

Star Cement (STARCEMENT)

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Call: Jun 2023

27th May, 2023

To
The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block-G
Bandra Kurla Complex, Bandra-East
Mumbai-400 051
Stock code: STARCEMENT

The
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai-400 001
Stock code: 540575

Dear Sir(s)/Madam(s),
Sub: Transcript of the Conference call for Audited Financial Results for the fourth quarter and year ended 31st March, 2023
In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the Transcript of the conference call with Investors and Analysts held on Monday, 22nd May, 2023 for Audited Financial Results for the fourth quarter and year ended 31st March, 2023.
The same shall also be available in website of the Company at <https://www.starcement.co.in/investor/earnings-call>

This is for your information and record.

Thanking you,
For Star Cement Limited

Debabrata Thakurta
(Company Secretary)

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"Star Cement Limited Q4 FY-23 & FY -23 Earnings
Conference Call"

May 22, 2023

MANAGEMENT : MR. TUSHAR BHAJANKA – EXECUTIVE DIRECTOR,
STAR CEMENT LIMITED
MR. MANOJ AGARWAL – CHIEF FINANCIAL OFFICER ,
STAR CEMENT LIMITED
MODERATORS : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Star Cement Limited Q4 & FY23 Conference Call hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital. Thank you and over to you, Mr. Agarwal.

Vaibhav Agarwal: Thank you Nirav. Good afternoon, everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q4 FY23 & FY23 Call of Star Cement Limited.

On the call we have with us Mr. Tushar Bhajanka – Executive Director and Mr. Manoj Agarwal – CFO of the company.

I will now hand over the floor to the Management of Star Cement for their opening remarks which will be followed by interactive Q&A. Thank you and over to you, Tushar.

Tushar Bhajanka : Good afternoon, all. My name is Tushar Bhajanka and I'm the Executive Director of Star Cement. I would like to welcome you all to the earnings call of Quarter 4. I have Mr. Manoj Agarwal who is the CFO of the company. He will give out the number of Quarter 4 and the year and then we can have a Q & A session. Thank you.

Manoj Agarwal: Thank you. Hi friends, very good afternoon. I, on behalf of Star Cement Limited, welcome you all to our Con-Call for discussing our numbers for Q4 FY23 and full year number of FY23. I would like to clarify, that we are discussing on the historical numbers and there is no invitation to invest.

Having said that now, I will just take you through the Q4 numbers followed by the full year numbers.

Starting from clinker production :

During the quarter ended March 2023 we have produced 7.78 lakh tons of clinker as against 6.71 lakh tons same quarter last year. So far as cement production is concerned, we have produced 12.53 lakh tons this quarter as against 11.59 lakh tons same quarter last year, a growth of more than 15% in clinker and more than 8% in cement.

Now I will take you through the sales volume :

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During the quarter we have sold 12.35 lakh tons of cement and no clinker as against 11.52 lakh tons of cement and a negligible quantity of clinker in the same quarter last year. This is as far as cement and clinker sale is concerned, there is growth of more than 7% in volume. As far as the geographical distribution of cement is concerned in the Northeast, we have sold around 9.12 lakh tons as against 8.08 lakh tons during same quarter last year. As far as outside Northeast sale is concerned, we have sold 3.23 lakh tons of cement this quarter as against 3.45 lakh tons same quarter last year.

In terms of blend mix it is almost 8% OPC and rest is PPC. These are the financial 3.04 numbers of the quarter.

Now I will take you through the financials:

The total revenue figure this quarter is around Rs. 820 crores as against Rs. 748 crores same period last year. As far as EBITDA figure is concerned, this quarter we have done an EBITDA of around Rs. 179 crores as against 123 crores last year. Profit after tax is 96 crores as against 88 crores in same period last year. This is on account of increased tax expenses due to the sunset of tax exemption period in respect of company's Guwahati grinding unit and its subsidiary Star Cement Meghalaya Limited. However, cash outflow will be MAT only.

On per ton EBITDA front it is 1,448 during this quarter as against 1,063 same quarter last year. This is what our quarterly number of fourth quarter. The total revenue figure for the FY23 is

Rs.

2,696 crores as against 2,219 crores last year. As far as EBITDA figure is concerned during the FY23, we have done an EBITDA of around Rs. 520 crores as against 379 crores last year. Profit after tax is Rs. 248 crores as against 247 crores last year. PAT is same level, the price of increasing EBITDA of Rs. 41 crores due to the increased income tax as explained before. On per ton EBITDA front it is 1,297 during FY23 as the list 1,112 per ton last year. These are the quarterly and yearly numbers.

Now I request all of you that if you have any query, you can ask the same and I will request Vaibhav to moderate the queries wherever required. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: Just firstly on your expansion plan , can you just detail a bit out where we are on that Meg halaya clinker expansion and the grinding units that are attached to them?

Management: The Meg halaya clinker plant , the 3-million -ton plant is due to be commissioned in Jan next year as explained in t he call earlier and the grinding unit in Guwahati should be commissioned in November this year and the grinding unit in Sil char should be August to September next year .

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Amit Murarka: The CAPEX was I think around 2 ,100 odd crores , so that number stays uncha nged ?

Management: Yes. T ill now t he CAPEX to these projects have been about 430 crores and we expect in this financial year , outlay of about 1,300 crores towards these expansions.

Amit Murarka: And also just on the quarter , I didn't get the volume number actually I joined the call a bit late.

Management: It is 12.35 lakh tons this quarter.

Management: YOY it's a growth of about 7% in Quarter 4.

Amit Murarka: Also , just on power and fuel , generally we are seeing a reduction in the line item across the board. Where were you in Q 4 on a rupees Kcal basis? How much reduction can we expect from that front?

Management: In Quarter 3 our average cost was about 2.1 and even in Quarter 4 the average cost remains about 2.1. The reason is beca use we had a stock , we had a healthy coal stock which we use in Quarter

4. But g oing ahead we do see a reduction in the coal prices as the prices in spot option is now coming down. Yes , I think similar to other players in the industry we'll also be seeing a decline in the per GCV cost of coal.

Amit Murarka: Could you just add a bit more on that like will this be a 10% reduction ?

Management: I think what we are aiming for Quarter 1 is about Rs. 1.8 to 1.85 a GCV.

Amit Murarka: We should go down a bit more in Q 2, right?

Management: Yes, it should progressively fall I mean in Q 2. So, this was basically for Q 1.

Amit Murarka: Would you also be able to detail out the fuel mix as well for the quarter?

Management: About 25% of the coal came from Nagaland , about 45% to 47% was spot option through Coal India and about 15% was biomass and about 15% for other UFR.

Moderator: The next question is from Glen of Sh ravan Shah from Dola t Capital Markets Pvt. Ltd .

Shravan Shah: For this quarter in terms of trade sha re was how much and the premium share ?

Management: Can you just repeat the question once again?

Shravan Shah: What was the trade share and premium share for Q 4 FY23 ?

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Management: We sold about 87% of our overall volume was sold in trade and the premium sh are was about 4%.

Shravan Shah: Just to clarify PPC share was you said 88%.

Management: Yes. So PPC share was about 91%.

Shravan Shah: 91%. Just trying to understand , our trade share has actually slightly declined , so f rom 92% to 87% and also at the same time last time we said we are looking at increase premiums at 7 %-8%.

So where are we on

that?

Management: I think on the trade , non-trade ratio , the reason why the no n-trade sale has increased is because the margin the non -trade has really improved because there is generally a shortage of clinker in the Northeast . The prices for non -trade have improved significantly , that is the reason why we have again focused on non-trade in Quarter 4. In terms of premium cement , we are working on the premium category and we do plan to launch a new brand under the premium cement so that we can actually have a demand pull as well for the product. That product we plan to launch in end of Quarter 1. With the new launch of the new product , I think there should be a good push towards the premium cement category.

Shravan Shah: We are looking at 7%-8% or more than 10% kind of a premium share?

Management: No, it just depends on how well the product is taken by the market. In the next two quarters we do plan to ramp up our premium cement sales to close to a double -digit number.

Shravan Shah: What was the lead distance for this quarter?

Management: It was about 224 kilometers versus 211 kilometers in Quarter 3 .

Shravan Shah: It has increased to that extent . Broadly in terms of the volume , so d efinately what we promised for this year we have achieved in terms of the 17% growth , 4 million ton that we have achieved.

Now how are we looking at on the volume growth for this year? Also , in terms of the profitability we were having the st rength of 1200 to 1250 EBITDA per ton. So , what's the new st rength ?

Management: I think in terms of volume growth we are looking at a healthy volume growth this year as well.

The target is of course to g row by more than 12 %-13%. In terms of profitability , we do maintain the profitability at about Rs. 1,250-1,300 per ton.

Shravan Shah: In terms of WHRS , has it started 12.3 m egawatt WHRS was supposed to start in February ?
Management: Yes, so the WHRS have started but the benefit because we do not accrue the entire benefit of WHRS in Quarter 4. It broadly started in quarter one this year. Now since May it has been
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running in full capacity and we do expect that in Quarter 1 we should see benefits of WSRs kicking in.

Shravan Shah: On a full year kind of were looking at 45 -48 crores kind of a savings that is possible.

Management: Yes, I think we have missed April as a month because were still ramping up our WHRS, there were some teething problems there. But from mid -May onwards I do think that we are going to accrue the entire benefit. So yes , I think probably not 45 but a 40 crores is the amount that we're looking at in WHRS.

Shravan Shah: Lastly on the pricing , have we post the March, have we seen any decline in the prices? Whatever the broadly for this 1.5-2 months the average price , is it 1%-2% lower or flattish?

Management: Yes, so I think in the Northeast we have seen a price hike of about Rs . 10 rather than a decrease. However , outside Northeast which is basically West Bengal and Bihar we are experiencing a price drop of about Rs . 10. The Northeast markets are increased the prices by 10. Right now , the outside Northeast markets are down by about Rs . 10.

Shravan Shah: Siliguri plant utilization for this quarter should be around 60 %-65%.

Management: It was about 73% this quarter.

Moderator: Next question is from the line of Uttam Kumar Srima I from Axis Securities Ltd.

Uttam Kumar Srima: My question is with regard to Siliguri unit utilization , this year we have operated around 55% utilization level. How do you see these utilization levels going ahead in FY24?

Management: Of course , one of our aims is to utilize the Siliguri plant but given that we are constrained for clinker in this year , our focus is going to be Northeast and we are seeing a very good growth in Northeast . Given that and keep that in mind

I think the focus for the organization is to first make sure that we tap onto the growth that we are experiencing in Northeast and then probably focus on outside Northeast market. I think you're looking at like a 10% to 12% growth in outside Northeast market as well. But we are not very aggressive in those markets.

Uttam Kumar Srima: So, you mean to say that once this new clinker which comes then thereafter this utilization of the Siliguri unit will increase?

Management: Can you please repeat that?

Uttam Kumar Srima: Once your new clinker unit comes in Meghalaya, so thereafter you want to say the Siliguri unit production will get increased?

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Management: Yes, of course. Once we get the clinker plant set in then we will also focus on outside Northeast markets to basically fill in the volume gap. But a gain, even after the clinker plant sets in our focus of course is going to be Northeast because it's much more profitable for us. For selling extra volume we will definitely look at outside the Northeast as well.

Uttam Kumar Srima: What has been our cash and cash equivalent in FY23?

Management: Can you repeat that?

Uttam Kumar Srima: Cash and cash equivalent in FY23 , cash and cash bank balance in FY23.

Management: So right now , it is about 530 crores .

Uttam Kumar Srima: Since we are doing expansion of 2 ,200 crores, so do you also need to take a certain debt for this expansion and it is in how much debt you are going to take for this expansion?

Management: I think the overall debt would not exceed more than 500 crores and that also will be repaid in the first year of commencement of the expanded capacity.

Uttam Kumar Srima: The last one our other expenses have increased in this quarter. So , any particular reason for that?

Management: There are certain regroupings that happen from manpower to other expenses and also the packing cost because the volume have increased , so packing cost and store expenses have also incurred .

Also , there are certain CSR expenses there. If you need the detail , you can ask me. I'll reply to that mail separately.

Moderator: The next question is from the name of Rajesh Ravi from HDFC Securities Ltd.

Rajesh Ravi: First of all , this K cal cost in 2.1 in Q 4, could you share the number for the average of FY23?

Management: Yes. The average cost for the year is about Rs . 2 per GCV.

Rajesh Ravi: 250, 15 .

Management: Rs. 2.

Rajesh Ravi: This in Q 1 now has come down to around 1.8 , right?

Management: No. In Q 1 it should be about 1.9 and 1.85 to 1.9. In Q 2 I think the main benefit of the decrease in coal cost will start showing , reflecting .

Rajesh Ravi: Second on the electricity cost what would be your average consumption cost in FY23?
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Management: The electricity cost would be about Rs . 6.5 per unit in the main clinker plant and about Rs . 7 in the grinding unit.

Rajesh Ravi: Do you see any softening in this also with fuel prices coming down?

Management: I think not right now because in the clinker plant we produce our own power through a captive power plant because the G CV cost is for us not coming down. I do not expect the cost of power to reduce in the clinker plant. But I think there is a softening in the IEX which is the source for the power in our grinding units. There we should be seeing some benefits of the reduction in IEX.

Rajesh Ravi: In terms of raw material , primarily fly -ash, what have been the cost trend in FY23 , have been stable or they have gone up when fuel prices were going up ?

Management: The cost of fly -ash has broadly been stable. Nothing too alarming but I just need to ...so I think it has gone up by about Rs . 50.

Rajesh Ravi: Rs. 50 a ton?

Management: Yes.

Rajesh Ravi: Could you also discuss on the incentives accrued in P

&L in FY23 , incentive income ? What is the outlook for next year FY24?

Management: Yes. Basically , we had about 125 crores of incentives in FY23 , out of which a majority of this benefit was till Jan '23. In the month of Feb and March we have actually not gotten a majority of the benefits because it's finished off in Jan '23. In Quarter 4 we only got a benefit of 19 crores.

Rajesh Ravi: Outlook for FY24 on these existing operations.

Management: I do not think that there will be any subsidy kicking in FY24. Though of course we are getting SGST benefit in the new grinding unit that we're getting in Assam and that has already been discussed and signed with the government. Once our new grinding units commission and once we get the credits for the G CV in the expansion. Then the benefit of SGST will start kicking in but that will be in the next financial year.

Rajesh Ravi: Only on the grinding unit or even for the clinker expansion you will be getting incentives ?

Management: In the clinker expansion because we are expanding in the same company SCL , there is a benefit in the current line of SCL which will be also passed on to the expanded capacity. We do expect some benefits that will not be as significant as the benefit in the grinding unit.

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Rajesh Ravi: Is it possible to quantify the incentives , annual incentive accrual which you foresee once the input credit is exhausted?

Management: Yes, I think we basically will get the net GST off, SGST off in the volume that we sell in an Assam . Right now , we are selling about 17 lakh tons in Assam and at that point we'll be probably selling about 20 lakh in Assam. I think it's just a function of multiplying that volume with the amount to SGST per ton. So , it could be a significant benefit.

Moderator: Next question is from Sharan Shah from Dol at Capital Markets Pvt. Ltd .

Sharan Shah: In terms of the demand , I just wanted to understand for FY23 broadly if I have to look at , so excluding the Northeast how it has grown in Bihar, West Bengal, Jharkhand, Orissa, Chhattisgarh and how do you see that for FY24?

Management: In outside the Northeast we have grown by about 3-4%. So, it was a good growth for us outside Northeast , mainly because the base is small for us but we do not expect the same growth rate in outside Northeast going forward . We expect a growth rate of about 10% to 12% .

Sharan Shah: But for FY23 definitely our base was lower and so we were able to grow 34% outside Northeast . But in general , for the industry if one has to look , is it the case that except the Bihar all other states Jharkhand, Orissa, Chhattisgarh have seen a very marginal kind of a growth?

Management: Yes, that is true. The growth rate has been about 4% to 5%.

Sharan Shah: How about Bihar?

Management: Bihar would be also very similar . Close to 3% to 5%, something on that range.

Sharan Shah: Any specific thing that and how the thing were in Q 4? Just trying to understand why normally the perception is that the East is growing much faster. What has happened and will it now has come back to the normal levels , double digit plus kind of a growth now ? So Q4 was the number the similar kind of a 4 %-5% growth in East and how do we see now?

Management: In East for us the number was very similar , it was like 4 %-5%. I'm talking about Star Cement; I'm not talking about the market in the East . For us in Q 4 and outside Northeast we grew by about 5% in outside Northeast . I'll have to come back to you with the numbers of the market , how the market grew.

Moderator: Next question is from line of Kamlesh Bagmar from Lotus Asset Management.
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Kamlesh Bagmar: Just one question on the part of the aspiration side. What's your game plan for next 5 odd years apart from Northeast

and East region and what people you have brought in to achieve that particular thought process or the vision?

Management: I think that's a good question to ask. I think of course the next 5-year plan is definitely because once we set up the capacity in Northeast of about 3 million and the grinding units, I think for the next 4-5 years we do not see any scope of putting more capacities. If we have to grow and I think we'll have a very healthy cash flow to grow, we'll have to grow outside Northeast and we are actively looking at mines. We are also looking at smaller plants that we can acquire and then we can probably grow inorganically - organically. I definitely feel that the growth going ahead for the company will have to come from outside, from coming out from outside like coming out of Northeast. In the last 1 year we have also built up the capabilities in the organization to embark on the journey. If I start from the start of the year, we have got a new manufacturing officer who is looking after all the plants, who also brings in capability of mines to the company. We have changed our HR head as well, a year back. We're bringing in a lot more people in the middle-management level and of course, a week back we have our new CEO Mr. Vinit Tiwari join us and of course with his expertise and other markets in north and East we do hope to look at opportunities which are viable for us and to grow in those markets.

Kamlesh Bagmar: Secondly like our one of the largest competitors is also bringing a large capacity in Northeast. Don't you think that there could be some competitive pressure? I know it's hardly doable in terms of the clinker capacity but do you see some pressure on that front or the volumes or the strong demand would take care of that?

Management: So, it's a function, of course, even Dalmia is getting a capacity of about the same, about 3 million tons. But the other players, the smaller players in Northeast are not really expanding at the moment. That will be a source of relaxation because then there are only two players effectively competing and rest of them are not really part of the game. That would be a benefit which probably will mean that our growth rate, the company's growth rate will be higher than the market growth rate and secondly there is some cement coming from outside basically being dumped in Northeast. Once we have the clinker capacity and we become aggressive and we attack the wide spaces then probably we will be able to curb some of the cement coming in Northeast and that will again become a growth center for the company. Going ahead of course in the first year or first 1.5 years there may be a competitive pressure but in the long run I do think that both the companies and Star Cement would be able to get a healthy growth and be able to utilize the capacities as soon as possible.

Kamlesh Bagmar: Lastly like you are coming to new areas other than the Northeast what would be the timeline over there?

Management: We are actively looking at assets and we should have something to at least share by Quarter 2. That is basically the timeline that we're looking at and I feel it depends on what clicks when. It

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will be hard to of course give a different timeline but yes, we are aggressively looking into it and we should be able to at least draw up a plan by Quarter 2.

Moderator: Next question is from the of Rajesh Ravi from HDFC Securities Limited.

Rajesh Ravi: Could you discuss the demand trends outside of Northeast particularly in states like West Bengal, Bihar, Jharkhand which are your focus markets for FY24? What sort of outlook you're looking at?

Management: We are broadly looking at a 7% to 8% growth in these markets.

Rajesh Ravi: That is your growth or market, you're looking at the market growing in these places?

Management: That's

the expectation of how far the market would be growing 7% to 8%.

Rajesh Ravi: In all the same markets you're looking similar growth trajectory?

Management: Yes.

Rajesh Ravi: FY23 I missed, I believe you have made some comments on the same, all these three states and if you're some trend on the other states in East, what were the growth numbers, mark growth?

Management: The growth number was close to 5% to my knowledge. I don't have the numbers really ready with me so I won't be able to comment with surety but that's what I assume the market has grown by.

Moderator: Next question is from the line of Shravan Shah from Dolat Capital Markets Pvt. Ltd.

Shravan Shah: Just to clarify when we mentioned that in Q 2 we will come up with an update in terms the expansion outside Northeast . We will be announcing where we plan to grow let's say in next 3-4 years. That's the way one can look at and broadly even if we let's say want to either acquire a small plant or grow , what's the minimum capacity we are looking at 2 million tons that we are looking at ?

Management: Yes, to grow outside there are two -three opportunities . One is to acquire a mine , the second one is to acquire a plant. It would just depend on what opportunity clicks with us and how does it pan out . In terms of acquiring a mine the CAPEX would be much lower and then acquiring a plant to 2 million the CAPEX will be a bit higher. We haven't really tapped on which route we are going to take . it will be a bit hard to comment. Yes, in case we take a plant then it would be of about 1.5 million tons at least .

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Shravan Shah: When we say that our net debt once the new all the clinker and two grinding units will be operational in 1-year we will be able to repay. That 1-year will start from August -September , when we'll start the Silchar grinding unit so from there we are looking at a 1-year to repay the entire these 500 odd crores that we are looking at max net debt?

Management: Basically, we're looking at 2024 -2025 year. Basically, from March '24 the year starts where we start. By March '25 we should be again debt -free.

Shravan Shah: Does that mean that we should be able to easily can see a (+50%) to (+60%) kind of a utilization from the first year itself?

Management: Yes, we do see about a 40% kind of utilization , 40% to 50% utilization. Just how the economics work , the subsidies work , the cost effectiveness of the cost efficiencies of the bigger kiln works. That I'm very sure that we'll be able to pay it off in that year.

Shravan Shah: Lastly just to clarify we said that now we do not have any incentives. So, in FY24 no incentive except the new grinding unit that will come up in Assam will have a state GST benefit. We do normally have extract a 17 lakh tons volume that currently we are doing. Only that benefit will come as an incentive ?

Management: We have a benefit going on even now that is in the clinker plant and the benefit is small which is about , it is about 26-27 crores. That benefit will remain and then we will get that benefit in the grinding unit , in the new grinding unit. That benefit should be of at least 150 to 160 crores every year?

Moderator : Next question is from the line of Raj Gandhi from S BI Mutual Fund.

Raj Gandhi: Just your freight cost for the quarter , freight cost per ton is down by about 20% YOY and 10% Q-on-Q. Is it again some regrouping or how is it going down so much?

Management: There is a one thing because the fleet now we have the own freight so generally February -March prices tend to increase. We have the fleet so we are managing properly so we are not allowed to increase the freight cost per ton in this last February -March. That is the reason the freight cost has not increased as compared to Q 3 and there is some saving in the freight cost.

Raj Gandhi: On fuel did y

ou happen to mention that 15% is biomass and then there is another 15% from other fuels so then does the cumulative AFR go to 30% or?

Management: The cumulative AFR right now is about 25% and that is mainly because our power plants are operating on biomass and also because we get low grade AFR in Meghalaya which helps us in of course meeting the 25% requirement.

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Moderator : I now hand the conference over to Mr. Vaibhav Agarwal .

Vaibhav Agarwal: Yes, thank you sir. I have had a few questions actually . So just an extension of Kamlesh's question. First thing I wanted to know is that Mr. Vinit Kumar Tiwari, he comes from a marketing and sales background from Nuvoco and his earlier assignments. So, Tushar I wanted to ask you that he coming on board , do you have any specific expectations from him as the next CEO of the company and how do you look him getting on board for Star Cement in particular in case of nature , of his assignments?

Management: No Vaibhav , there are of course huge expectations from Mr. Vinit Tiwari given his pedigree and the kind of experience he has. Some of the expectations is of course to make Star Cement even more operationally capable and to bring in the efficiency. The other expectation is of course to see a good growth rate in Northeast because Northeast being a very highly profitable market and given that he has a vast experience from marketing , it will be something which we're looking at . In marketing also there are good scope of improving ourselves like how we discuss our premium cement. To push premium cement into to make these technical services stronger. These are some areas in marketing which of course he can greatly contribute to and overall , in the overall team

of course we look at his expertise in outside Northeast markets like north and the Eastern market to of course grow the company in those markets by of course taking capacities which are already set or to take mines in a set of new capacities. So, the expectations are high and we really hope that he delivers on it.

Vaibhav Agarwal: I also like to ask you Tushar that so any change in like we had a CEO structure earlier as well maybe about three -four quarters back and so any change in management structure at Star Cement with Vinit sir coming on board and how do you look? Because you've changed a lot of HR policies in Star Cement, I believe you commented some of those on the call as well. Any change in this time with Vinit sir coming on board or it's the same way that the earlier CEO functioned and you would like to comment anything on that?

Management: No with Vinit ji coming in, of course all the functions in Star Cement will report to him and that is of course very clear. I do not know which earlier structure we're comparing it to but.

Vaibhav Agarwal: I was comparing to when Sanjay sir was there on board when he was a CEO?

Management: From there it will be a bit changed because even the expansions and the growth falls under the CEO now. It will be a bit of a change structure to what the earlier CEO had. So yes, there would be a change in the scope of what he's managing.

Vaibhav Agarwal: The last thing from this question, I just wanted to know going forward is it fair to assume that Vinit sir will be focusing more on the marketing and sales efficiency like you told and you would be focused more on the overall growth roadmap of Star Cement as to how to take it forward from a promoter's perspective? Is that a fair assumption to make and what do you think Star

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Cement could be in next so you did tell on the call that by end of Q 2 you might come and share something with us in terms of your next roadmap but next 3 to 5 years we already have a roadmap of 10 million tons in the near future but 3 to 5 years what do you see this number

to be; maybe

15 million tons -20 million tons 25? What is your expectation?

Management: Fair enough. To answer the first question of course Vinit ji has the expertise in more an experience in marketing but he would be looking at all the other functions as well and so his role will be of course as a CEO and besides the operations, he would also be helping us at the management to kind of take decisions on going outside Northeast as well. That is broadly how his job would entail and the next 5-to-10-year horizon would be that we would want to be a 20 million tons company and that is what we really want to start out and progress the work on.

Vaibhav Agarwal: So, 20 million you are saying in the next 5 to 10 years or like 3 to 5 years. I just got a bit confused there?

Management: No, 5 to 10 years target is about 20 million tons.

Vaibhav Agarwal: Tushar, just one small thing, did you mention the call that 500 crores would be your debt? Are you talking about peak debt there or are you talking of a debt FY24 end?

Management: No that's the peak debt that we're talking about of about 500 crores.

Vaibhav Agarwal: Can you also spell out the CAPEX numbers for FY24 and '25? Manoj sir if you can just tell what are the CAPEX spends in FY24 and '25 in pipeline, incremental CAPEX?

Management: I think in '24 we are looking at a CAPEX of about 1,300 crores and in '25 we'll be looking at a CAPEX about 400 crores.

Vaibhav Agarwal: Thanks a lot Tushar. On behalf of Phillip Capital (India) Private Limited that concludes the call.

Thank you very much Tushar. Thank you very much Manoj sir and Vinit sir also. Thank you very much for the call. Many thanks for the participants for joining the call. Nirav you can now conclude the call. Thank you so much.

Moderator: Thank you very much. On behalf of PhillipCapital (India) Private Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Aug 2023

16th August , 2023

To
The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G
Bandra Kurla Complex, Bandra -East
Mumbai -400 051
Stock code: STARCEMENT

The Listing Department,
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street , Mumbai -400 001
Stock code: 540575

Dear Sir(s) /Madam(s) ,

Sub: Transcript of the Conference call for Unaudited Financial Results for the Quarter ended 3 0th June , 2023

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the Transcript of the conference call with Investors and Analysts held on Wednesday, 09th August , 2023 for Unaudited Financial Results for the quarter ended 3 0th June, 2023 .

The same shall also be available in web site of the Company at <https://www.starcement.co.in/investor/earnings-call>.

This is for your information and record.

Thanking you,
For Star Cement Limited

Debabrata Thakurta
(Company Secretary)

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"Star Cement Limited
Q1 FY '24 Earnings Conference Call "
August 09, 2023

MANAGEMENT : MR. TUSHAR BHAJANKA – EXECUTIVE DIRECTOR –
STAR CEMENT LIMITED
MR. VINIT TIWARI – CHIEF EXECUTIVE OFFICER –
STAR CEMENT LIMITED
MR. MANOJ AGARWAL – CHIEF FINANCIAL OFFICER –
STAR CEMENT LIMITED

MODERATOR : MR. DHARMESH SHAH – EMKAY GLOBAL FINANCIAL
SERVICES

Moderator: Ladies and gentlemen, good day and welcome to the Star Cement Limited Q1 FY '24 Earnings Conference Call hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions at the end of presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dharmesh Shah from Emkay Global Financial Services.

Thank you and over to you, Mr. Shah.

Dharmesh Shah: Thanks, Ryan. On the call, we have with us, Mr. Tushar Bhajanka, Executive Director; Mr. Vinit Tiwari, CEO; and Mr. Manoj Agarwal, CFO of the company. I will now hand over the floor to the management of Star Cement for their opening remarks, which will be followed by an interactive Q&A. Thank you and over to you, Tushar.

Tushar Bhajanka: Good afternoon all. My name is Tushar Bhajanka and I am the Executive Director of Star Cement. I would like to welcome you all to the earnings call of quarter 1. I have Mr. Manoj Agarwal, who is the CFO of the company. He will give out the numbers of quarter 1 and then we can start the Q&A session. Thank you.

Manoj Agarwal: Yes. Hi friends, very good afternoon. I, on behalf of Star Cement Limited, welcome you all to our conference call for discussing our numbers for Q1 FY '24. I would like to clarify that we are discussing on the historical numbers and there is no invitation to invest. Having said that, now, I will just take you through the Q1 numbers.

Starting from clinker production, during the quarter ended June '23, we have produced 7.27 lakhs ton of clinker as against 6.92 lakhs ton same quarter last year. So far as cement production is concerned, we have produced 11.74 lakhs ton this quarter as against 9.90 lakhs ton, same quarter last year. There is a growth of around more than 21% over last year.

Now, I will take you through sales volume. During the quarter, we have sold 11.54 lakh ton of cement and 0.1 lakh ton of clinker as against 9.80 lakhs ton of cement last year. There is increase of around 19% in our sales. This is as far as cement and clinker sale is concerned.

As far as geographical distribution of cement is concerned, in Northeast, we have sold around 8.36 lakhs ton as against 6.48 lakh ton during the same quarter last year. This is including our sale 10,000 ton of clinker sales. And as far as outside Northeast is concerned, we have sold 3.29 lakhs ton of cement this quarter as against 3.32 lakhs ton same quarter last year. In terms of blend mix, it is almost 9% of OPC, 1% of PCC and the rest is PPC and ARC. These are the quantitative numbers of the quarter.

Now I will take you through the financials. The total revenue figure this quarter is around INR755 crores as against INR628 crores, same period last year. As far as EBITDA figure is concerned, in the quarter, we have done an EBITDA of INR138 crores as against INR138 crores

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last year, that is more or less same to last year. Though there is increase in volume, but the same was negated by the decrease in our GST refunds and increase of our fuel cost.

Profit after tax is INR104 crores as against INR105 crores last year. On account of recognition of deferred tax asset of time difference of property, plant and equipment, in one the company's subsidiary account, tax expenses of this quarter was lower. On per ton EBITDA front, it is INR1,185 during this quarter as against INR1,410 per ton same quarter last year. The decrease is mainly on account of increased fuel cost, due to high-cost inventory, and reduction of GST refunds.

This is what our quarterly numbers are. Now I request all

of you that if you have any queries,

then you can ask the same and I will request Dharmesh to moderate the queries as it comes in.

Thank you.

Moderator: The first question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, first couple of data points. Trade share, premiums share and lead distance for this quarter?

Tushar Bhajanka: So, the trade sales were about 88% of the overall sales. The premium sales were about 4% of the overall sales. And the lead distance was about 207.

Shravan Shah: Okay. And premium share, previously, we have talked about that we want to increase to double-digit in 2 to 3 quarters. So, this 4% -- in the last quarter also was 4%. So, what's the stand now?

Vinit Tiwari: Our stand is same. I think -- this is Vinit Tiwari. And the stand is same. We have taken initiatives, we have already seen the fruits coming in from the last month, that is the start of second quarter, and we are pretty hopeful that in next 2 quarters, we will be doubling our premium percentage.

Shravan Shah: Okay. And in terms of the volumes, definitely this quarter, we did good volume growth. We are looking at 12% to 13% for the full year. So, are we saying the same number or will it be on the higher side, 14%, 15% for this year, sir?

Vinit Tiwari: The growth, we have already forecasted, what we said last time. We are absolutely maintaining the same stand as of now. In the first quarter, it was better. Second quarter, considering the monsoon got slightly late set up in Northeast this time vis-a-vis last year if you would see, so in totality, you may see a variation between quarter 1 and quarter 2 because monsoon came late this time. So, quarter 1 was much better than last year quarter.

Now, as monsoon has set in, so we have -- we are seeing certain slackness in the demand. Also, these are the times when we try to take care of our maintenance work as well. So, in second quarter, I'll say, like in the first quarter, we may not see such a steep growth, but still, we will be growing and it will be a decent growth and most probably in double-digit.

Shravan Shah: Okay. And in terms of the pricing, so post-monsoon -- post-June exit, how are the prices in Northeast and East market where we operate?

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Vinit Tiwari: As far as Northeast is concerned, prices are stable. And if we consider it from the 1 April versus June -- versus this quarter, there was an increase, but presently, if you ask me, the prices are stable. So, we have not seen any dip during this start of this financial year. We are more or less -- have increased prices and we are maintaining that.

Shravan Shah: But from the last month June exit, in July and in 10, 9 days of August, have you seen any decline in East market?

Vinit Tiwari: No, no. There is not declining in the East market and in the Northeast market. There is some billing corrections which has been taken, but it is not a price reduction because there was some billing support, which normally is prevailing in the industry, that has been withdrawn, close to INR15 price equalization support. It has been withdrawn and the billing price has been corrected by the equivalent number.

Shravan Shah: And now on the capex and the expansions of all the 3, 1 clinker and 2-million-ton grinding that we are doing, so close to INR2,300 crores capex. So how much we have spent till now and how much more we plan to spend in FY '24 and '25?

Tushar Bhajanka: So, we have spent about INR750 crores overall on these capex. We have a reserve in the company right now of about INR380 crores. The cement expansion that we are continuing will probably take a capex of about INR800 crores more. And this year, for the remaining year, we expect a cash profit of about INR400 crores. So, from that perspective, we probably may need to take a debt of about INR400 crores to INR500 crores to

complete the status.

Shravan Shah: Sorry, sir, just to understand further, you said you have spent INR750-odd crores out of INR2,300 crores that we have envisaged for the ongoing expansions.

Tushar Bhajanka: Basically, we have 3 plants coming up. One is the Lumshnong plant, the Guwahati plant, which is the grinding unit, and the Silchar plant. So, most of the capex for the Silchar plant would happen in the next financial year. So, for this financial year, we have already spent about INR750 crores, and we have a capex plan of about INR800 crores for the remaining year.

Shravan Shah: And for FY '25, how much we want to spend? INR400 crores?

Tushar Bhajanka: Yes. So, FY '25 would roughly be about INR400 crores for the Silchar plant.

Shravan Shah: Okay. Okay. Because this INR800 crores, INR800 crores, INR1,600 crores plus INR400 crores, it is INR2,000. So total capex, I assume it was INR2,300 crores. So...

Tushar Bhajanka: Yes. So, I think this number that I'm talking -- so of course, the amount of -- the budget for the capex has actually come down a little. So, it's also an impact of that. And also, of course, it's INR2,100 crores, so these numbers are not exactly to the point. So, you would have to keep INR100 crores margin to it.

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Shravan Shah: Okay. Okay. And in terms of the timeline, what we previously mentioned that by November, we would be starting and then that next August and September. So that timeline remains intact? Or is there any changes? For the clinker, we said it would be by January we'll be starting and for Guwahati, it will be November this year, '23.

Tushar Bhajanka: Yes. So, for Guwahati, we are still -- it is November to December. So, we're expecting between November to December. And for the clinker plant, it is January to February. And for the Silchar plant, it has gotten delayed by about 3, 4 months, also because it just took us more time to procure the land. And also, because now that we're getting our Guwahati plant, we'll not have shortage

of the grinding capacity. So postponing Silchar by 3, 4 months will not hurt our sales.

Shravan Shah: Okay. So now December 2024 or January '25?

Tushar Bhajanka: Yes. So, December '24 is our target.

Shravan Shah: Okay. Okay. Got it. And the last is, on the other expenses, this quarter, we have seen a decent Q-o-Q decline, INR22-odd crores. So, any specific reason? And how one can look at -- in terms of the next 3 quarters, how one can look at the other expenses?

Tushar Bhajanka: So of course, that INR22 crores, most part of it was also the consultancy services that we took in that quarter from BCG and from other companies. In quarter 1, of course, we haven't taken those services, and that's why the cost is lower. And for the next 2, 3 quarters, though, we are engaging with one of the big 4, but the consultancy fees should not be too high and this cost should remain stable to where it is in quarter 1.

Shravan Shah: And in terms of the Kcal, so this time, power and fuel cost has actually gone up. So, Kcal cost last quarter was INR2.1. This quarter, how much and even we were expecting it to come down.

So how one can look at -- are we looking at further reduction in the power and fuel cost?

Tushar Bhajanka: Yes. So of course, the Kcal cost was very high in quarter 1. That was mainly because the stock -- the opening stock in quarter 1 was very high. So, it was at about INR2.4, the opening stock, and that is why the Kcal is about INR2.35 TCE. What we can expect in quarter 2 is for it to come down to about INR1.95 TCE. We will be seeing reduction in the coal cost basically.

Shravan Shah: Okay. Because slightly surprised because last time when -- for the quarter -- fourth -- 4Q, it was INR2.1, and we were expecting in middle of -- so around May, when we did a call, we were expecting INR1.85, INR1.9, and now you mentioned that o

pening was at INR2.4, and that's why

the overall Kcal was INR2.35, so not able to get it properly.

Tushar Bhajanka: No. So actually -- so there may have been a mistake in me saying it last time, but it was actually INR2.4. That was the opening stock. And it came down to -- right now, it is about INR2.05, our closing stock for quarter 1. And with the bamboo and all those other fuels that we use, which we were not able to use that much in quarter 1, which we are very positive of using in quarter 2, we can bring it down to about INR1.95. So that is what we are now targeting.

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Shravan Shah: And last, fuel mix. So, in terms of the spot contract coal, how much Nagaland coal and biomass and AFR for this quarter?

Tushar Bhajanka: So, for this quarter, we had gotten about 30% from Nagaland coal. And about -- the biomass was actually very less. It was about 7%, which we normally try to take it to 15%. And that was also one of the reasons why the GCV has increased.

Shravan Shah: So, spot contracted coal was how much?

Tushar Bhajanka: Spot contract coal was about 55%.

Moderator: The next question is from the line of Utkarsh Agarwal from YellowJersey Investment Advisors.

Moksha : This is Moksha. So, I had a question. Could you please let me know which key markets are we focusing on, except East and the Northeast region? And are we looking for any geographical expansion or diversification? Do you want to consolidate your position in the existing markets?

Vinit Tiwari: So as far as our existing capacity is concerned, we are best placed to cater to the Northeast market. And our focus is absolutely there. If you will see in quarter 1, we have consolidated on our trade market share. So, we have an opportunity to expand in the nontrade segment, which we are deliberately not expanding to looking into our current capacity. So, our target obviously is to solidify further our market share and take it to close to 30%, 32% in Northeast. That is the main market.

The other aspect is we are working on the rest of the East market for our Siliguri plant. We are taking a number of initiatives to bring down the cost at our Siliguri plant, which will help us slightly to expand and sell full capacity of our Siliguri plant. Because Siliguri plant, presently, we are operating at around 70%, 71% capacity. So, we hope that we will be able to utilize it fully. So, this is our focus area at this point.

Moksha : Okay. And in terms of pricing, like you've already mentioned that your prices are -- were stable in the last quarter. So, in the Northeast region, how do you expect this to move forward?

Vinit Tiwari: As far as if you speak -- talk about short run in this quarter, I feel it will remain stable.

Moksha : For the next quarter as well?

Vinit Tiwari: Next quarter, let's see how it turns up. But presently, I can tell you in this quarter, it will remain stable.

Moderator: The next question is from the line of Prateek Kumar from Jefferies.

Prateek Kumar: My first question is on your regional volumes. So, the Northeast volumes have grown around 30%, while East volumes are like sort of flattish year-on-year. Any logistic challenges which is resulting into evacuation of volumes or why the East volumes are like sort of flattish?

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Vinit Tiwari: No, there's no logistical challenges as far as Northeast is concerned. We are well placed and supplying to the market demand.

Prateek Kumar: So, our market didn't grow or we lost some share in these markets, because our...

Vinit Tiwari: No, no. Absolutely, we have not lost share. We have market share in quarter 1.

Prateek Kumar: Okay. And on capex, you said you have incurred INR750 crores on your expansion projects. Was this all in like first quarter? I mean full year capex expectation is INR1,500 crores for FY '24 and INR

400 for next year. Is that it?

Tushar Bhajanka: Yes. So, I think the INR750 crores capex which has been incurred, has been incurred over the last 2, 3 quarters, not only in this quarter -- in quarter 1. And the INR800 crores capex that we're talking about for the rest of the year will also be split across the next 3 quarters. And of course, after that, we'll have a capex of about INR400-more -crores -- INR400 crores to INR500-more - crores on the Silchar plant.

Prateek Kumar: So, FY '24 capex would be closer to like INR1,200 crores in that case and followed by around INR500 crores for next year.

Tushar Bhajanka: Yes, it will be about -- overall, it will be about INR1,000 crores to INR1,100 crores for this year and then followed by about INR400 crores to INR500 crores for the next year.

Prateek Kumar: And on, sir, Northeast demand, there have been like series of like new projects or new orders, which has been released in your market. Is this something which is showing up in nontrade demand for the region or...

Vinit Tiwari: The demand has been good. The demand has been good in quarter 1. As I said, we are focused more on trade, and we have remained focused there. We have -- in our mix between trade and nontrade, our trade mix have improved by a further 2%. So presently, we are focused there. Yes, there are projects which are coming up. Hydropower projects are coming up, which is a big cement guzzler, I'll say. So, we'll focus on that at the right time. Presently, our focus remains on trade.

Prateek Kumar: But is this -- nontrade is like growing so fast with all companies. Is there a significant infiltration from outside companies which are servicing these nontrade projects or if we are not like focusing on it?

Vinit Tiwari: No, there are local players who are also servicing the nontrade projects. It's not outside companies who are servicing it. There are players who -- for them, it makes sense. So, for us, it makes sense to be in trade at the moment. For them it may make sense to be in nontrade. There are outside players also. Earlier also, it was coming, presently also the outside players keep on coming into that market. So that's happening. So, it's fine, not a big threat of challenge as of now.

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Prateek Kumar: What could be outside players like in your overall market of 12, 13 million ton of sales? What could be outside market -- outside players market contribution now?

Vinit Tiwari: It ranges around 12% to 15%.

Prateek Kumar: Okay. And my last question, there was this -- few years back, there was this initiative around coastal waterways used for cement transportation. It was like sort of a slow start, but has that picked up in any material way for movement of your volumes or someone else's volume in the region?

Vinit Tiwari: No, not really. No updates as of now. We don't have any updates on this development.

Moderator: The next question is from the line of Parth Bhavsar from Investec.

Parth Bhavsar: I had this one question on strategy. Let's say that once all the capacity that we are planning to come up with by '24, those come up and like they are utilized at a very good level, let's say, 70% -- 60%, 70% over the next 2, 3 years. Are there any plans to go outside East, and if yes, what regions would they be?

Vinit Tiwari: As I just said, our present capacities, actually, we are focused on Northeast. Taking these materials from these capacities to outside Northeast, it's not something which is a brilliant thought because the cost economics doesn't work like that. So present capacities, if we go outside Northeast, we need to have capacities at the right place. Our current capacities are focused on Northeast.

And as I said, we will definitely be expanding into the outside Northeast in the markets of Bengal and Bihar, whereby we are working on our Siliguri plant to make it more viable

so that we are

able to utilize it as 100%. Apart from that, we are not thinking about any other market as of now.

Parth Bhavsar: I meant -- I didn't mean that you move material from Northeast and East to other regions, but like we don't have -- currently have any plans to maybe set up a capacity in, say, South or anywhere else.

Tushar Bhajanka: No, no, completely. So, I think, of course, after setting these capacities for the next 3, 4 years, we would be fulfilling our demand for Northeast from these capacities. So, we are actually actively participating in auctions, trying to find mines outside Northeast as well in areas like Chhattisgarh, which will be a natural continuation to our market from Northeast.

We are also actively looking at the acquisition opportunities which are coming up in the industry.

Of course, bigger companies like Saanvi would be something which we wouldn't be too interested in because it would be too big for our P&L. But a small opportunity, we are definitely looking, and we are exploring. So, we are participating in mines. We are very keen in taking a mine in the Eastern region. And -- but also, we are trying for mines in other regions, and we are interested in acquiring something which can fit our size.

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Parth Bhavsar: Okay. So maybe something like as small as maybe 1 million ton or 2 million ton, maybe?

Tushar Bhajanka: Yes, yes. So, I don't think at this point, we'll want to go anything more than 2.5 million ton, also because the competition for something which is more than 3 million, 4 million ton is enhanced in India right now because of the bigger companies kind of fishing out for all these companies, smaller ones. So, our target range is about 1 million to 2 million, 2.5 million kind of a company.

Moderator: The next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: Just on the regional dynamics, so we see that Dalmia has announced a large expansion actually there. So, in that context, just wanted to understand like what kind of impact you think it will have? Like Northeast, if I'm not wrong, is close to 11 million, 12-million-ton market right now. And it's -- this is almost like a 20% expansion in the region there, and you also are coming up with your clinker expansion. So how do you think market dynamics will shape up in terms of capacity utilization and pricing and all that?

Tushar Bhajanka: So, I think it just depends on how fast the market grows, right, to accommodate that capacity. And I think the market is behaving quite fairly in terms of growth. So, I think if we continue with the same pace of growth, then I think it should not be too big of a problem. Also, our capacities are coming up much before Dalmia's capacities are coming up, by almost a year. So, I think that 1 year would also give us more -- to actually attack more -- to get more market share. So, from that perspective, I don't necessarily think, and by the time Dalmia capacity comes, the market would have also grown. So, I think it is -- I think, given the prospects in North team, given how the nontrade is behaving in Northeast, given how there's so much potential in Northeast, I think it shouldn't be -- in the longer run, in a 3-, 4-year horizon, I don't think it seems like a major problem.

Amit Murarka: Isn't the current capacity utilization like below 80% for the region?

Tushar Bhajanka: No. So, I think we are looking at -- from a perspective, we are also including outside Northeast when we talk about capacity utilization in our numbers. So, if you only talk about the grinding capacity in Northeast, then we are actually exhausting our grinding capacity right now, and that is the reason why even the CEO was mentioning that we are cutting down on the nontrade. That is mainly because we do not have clinker at the moment, right? So, we are trying to cover trade market

et. And as soon as we get a clinker plant, then we'll also get into the nontrade market aggressively.

Amit Murarka: Okay. And just one last question. Like generally, blending ratio in Northeast is also lower, right?

I think it's close to around 1.3x cement clinker. So how much scope is there, generally speaking, for that number to go up to, let's say, 1.5x or so that we see generally for other regions?

Tushar Bhajanka: So, you mean the clinker factor, right?

Amit Murarka: Yes, the clinker factor, yes.

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Tushar Bhajanka: So, the clinker factor, I don't -- see, I mean, the more trade you sell, the lower would be your clinker factor and the more nontrade you focus, because nontrade is mainly OPC, that's why your clinker factor starts increasing. So right now, of course, our nontrade is 12%, out of that 12%, I think only 8% of the 12% will be OPC.

So -- but when we do get our clinker capacities, then we have grinding units, we'll also have to serve the OPC market -- OPC nontrade market, which we are not serving right now. So, you can

expect a little increase in the clinker factor, but I don't think there'll be any substantial increase.

Vinit Tiwari: After the capacity.

Tushar Bhajanka: After the capacity, yes.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, we, last time, talked about 12.3 megawatt WHRS that we started, but could not use much in terms of the cost saving benefit. So, have we now started getting the benefits?

Tushar Bhajanka: Yes. So, we actually started our WHRS properly in quarter 1. It -- so out of the 12.3 megawatt, on an average, it generated about 5.6-megawatt hour for us, which was much lower than, of course, the capacity, but it is also because we were stabilizing the kiln in the WHRS over the last 3 -- even in the first quarter. Now that -- and even though it ran at half capacity, it still made savings of about INR9 crores for us in quarter 1.

Now in quarter 2, it has been running well. It has been running on an average of about 10 megawatt hours -- 10-to-11-megawatt hours net. And I think from quarter 2, it will start reflecting.

Shravan Shah: Okay. So, we can see a INR40 crores plus kind of a saving for this year.

Tushar Bhajanka: Yes. Going forward, I think we will be seeing that saving. Of course, this quarter, we're also having a shutdown, the annual shutdown. So probably it may not reflect in our numbers as much.

But from a WHRS perspective that the WHRS has stabilized, it is running at about 10 to 11 megawatt and also the cost price -- the size of power has also increased, so given all those factors, yes, we should be expecting that this year, we should be saving at least INR45 crores to INR50 crores from WHRS.

Shravan Shah: So, when you say the power cost has increased, so what's the grid power cost now for -- in Q1?

Tushar Bhajanka: So, I mean, different plants have, of course, different costs, right? But on an average, for Guwahati, for example, it has increased from INR6 to INR7.25 per unit right? In the clinker plant, we normally produce our own power. Because the coal prices were high, so of course, the cost of power was also high. So those were the factors that led to a higher unit price of electricity.

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Shravan Shah: Okay. And sir, now our net cash is, I believe, should be closer to INR300-odd crores, so with the capex that we are doing, and you already mentioned, I think, INR500 crores kind of a more debt we will be taking. So, on a peak level basis, previously, we have talked about that the INR500 crores net debt would be the peak and that post the expansion in 1 year, we will be able to repay. So that remains intact?

Tushar Bhajanka: Yes, yes. I don't think we'll have to go for higher debt than INR500 crores, and we do expect t

o

pay that INR500 crores by the next year.

Shravan Shah: Okay. So, then we'll -- again, we'll have a kind of a zero debt by end of FY '25.

Tushar Bhajanka: Sorry, can you repeat that?

Shravan Shah: So, by end of FY '25, we will be having a zero debt.

Tushar Bhajanka: Yes. I think by end of FY '25, we should be very close to having a zero debt.

Moderator: The next question is from the line of Rajesh Ravi from HDFC Securities.

Rajesh Ravi: My first question pertains to this capex. Could you again kind of detail what is the total capex outlook for this financial year? And how would they be stacked across various projects?

Tushar Bhajanka: So, the capex outlook for this year would be basically about INR800 crores as was told on the call earlier. And it is basically stacked between 2 projects, which is the clinker plant of 3.3 million ton and the grinding unit of 2 million ton in Guwahati. So, for the clinker plant, we have already incurred a capex of about INR580 crores. And for the grinding unit, we have incurred a capex of about INR142 crores. And I think the INR800 crores would be just adding to these 2 - capexes to these 2 plants.

Rajesh Ravi: So, this INR580 crores and INR240 crores is till FY '23?

Tushar Bhajanka: Yes. So, this INR580 crores and INR142 crores is till quarter 1.

Rajesh Ravi: Okay. Till quarter 1, you have incurred almost INR720 crores and INR800 crores more would be spent on these 2 projects.

Tushar Bhajanka: Yes.

Rajesh Ravi: And additionally, what other capex -- how much would be maintenance capex and other -- so total capex out-go in this financial year?

Tushar Bhajanka: So, the total capex out-go in these 2 projects would be of about INR800 crores, how we spoke about. Besides this, we have 2, 3 smaller projects as well. One project is of AAC Block, which is also part of the Guwahati expansion, as part of the subsidy that we are going to get in Guwahati. So that is coming up.

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That is a capex of about INR40 crores. Then we have a solar plant of about 25 megawatts, again, on which we get SGST benefit of 100%. So that capex is of about INR80 crores. So those 2 capexes will also be coming up this year. So, the overall capex besides the cement expansion that we're taking up would be about INR950 crores for this year.

Rajesh Ravi: Okay. And maintenance would be how much beyond this?

Tushar Bhajanka: I'm sorry?

Rajesh Ravi: Maintenance capex, beyond this INR950 crores?

Tushar Bhajanka: The maintenance capex would be of about INR80 crores to INR90 crores.

Rajesh Ravi: Okay. Okay. And sir, this project capex size remains same, this INR2,300 crores for the total across the clinker and the 2 grinding units?

Tushar Bhajanka: Yes. So, the numbers that were discussed last time remains intact. I think there would be some reduction that may be possible, but may be hard to comment, but it's really not exceeding the budget that we had set initially.

Rajesh Ravi: Okay. Okay. And could you enumerate like what sort of other cost initiatives that you're looking at? This WHR, obviously, you talked about it stabilizing and will start contributing significantly maybe Q3 onwards. What other cost savings -- when the new capacities come up, is there any benefits in terms of lead distance, fly ash sourcing, et cetera, which could add on to margins, given that the -- yes?

Vinit Tiwari: Yes. So, one thing, as sir told, the -- our WHRS obviously is coming up and the new unit is coming up with WHRS. Apart from that, as you rightly said on the fly ash. So, we are planning -- our current fly ash procurement, the way it happens, we are looking up at an opportunity and to introduce the BTAP wagons which is a concept of bringing it through a railway. I think that will bring in a substantial cost reduction on our fly ash procurement. This is a slightly long run process

because these wagons are not off-the-shelf available. It takes time to build them. So, we are getting into that project. So that is one big project, which we are hoping to -- which will bring down our fly ash transportation cost.

Rajesh Ravi: Okay. And any special fly ash costing which you have advantageous position in Siliguri and Guwahati, etcetera, which you're looking at?

Vinit Tiwari: Yes. So presently, we are looking at to put up a BTAP system for our Siliguri unit because here, as I told, we are working pretty hard to bring down our cost of production in Siliguri down. So presently, we get these through rakes also but the handling is tedious and cumbersome, as well as from the -- by road.

But we have identified the source also -- the new source also from where we will be procuring fly ash. Northeast, as we all know, doesn't have a lot of fly ash available. So, there's only one Star Cement Limited

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source where the cost is not great. So, we are looking into logistical interventions to bring down the cost of fly ash.

Rajesh Ravi: Okay. Okay. Great, sir. And one last question. We hear that some players from -- Southwest players who have recently expanded capacity in East, even they have ventured in the Northeast market. So, are the pricing so remunerative that it makes sense? And do you see them as a sustainable competition?

Vinit Tiwari: For me, it's difficult to answer this. I think this question is for that player of whom you were asking. Because it depends, like if you see Star's philosophy is to work on margins, that's why we are consolidating in a shorter geography and trying to build up there. But for some people, it may make sense to just work on a variable cost, so they travel far further. So, it may be a question for them, not for us.

Rajesh Ravi: Okay. So why I'm asking because we have made major investments, Dalmia is also coming up with large capacities. And while we understand there are no other regional players who would be adding capacities or have clinker, but if there are big players from outside Northeast, if they start pushing volumes in your market, will that limit your pricing and margins?

Vinit Tiwari: I think we are well placed to handle that situation when it comes. When we have a capacity, I think we are much better placed to fight in the market.

Tushar Bhajanka: Because I think when we get the capacities, we'll also -- because we'll be getting a bit of scale and there will be lot of efficiencies which come with the kiln, we'll also be getting certain focus on marketing, right? We'll be also getting a lot of subsidies, which got over in quarter 1. Right? And of course, I'm not saying that all the subsidies get passed on in the price, but you are in a much more capable situation to compete with others who are not getting that subsidy, right? So, from all that cost economics and also just the subsidy angle, your margins to actually compete become much higher, right? So, from a long-term competitive outlook, I don't see companies

from outside able to effectively compete, right, because of many reasons, right?
And of course, they can play a game of contribution, right, where they sell at a variable cost or something above the variable cost. And that game keeps on happening in the industry and that we can't predict. So, I don't think that a certain arrival would happen from outside just on that strategy.

Moderator: The next question is from the line of Navin Sahadeo from ICICI Securities.

Navin Sahadeo: Just 2 quick questions. One is, how much are the incentives or subsidy amounts still receivable from both the central and state government? As on date, how much is yet to be received?

Manoj Agarwal: It is hardly any, because everything has been received. Only the last quarter of March is pending, which is around INR14 crores. So, there is nothing receivable from the government,

everything

we have received .

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Navin Sahadeo: Okay. And then when do they get restored because I think we've exhausted on clinkers? So, if you could just run through when can we expect these incentives to get reinstated...

Tushar Bhajanka: So basically, we have right now -- of course, the centre is potentially planning for a new subsidy in Northeast, but there's no clarity about it as to what it would be. So, what we really have right now is the state GST in Assam, which we will get on our expansion of grinding unit. The state GST is basically a benefit of SGST of about 200% on the investments that we make in the grinding units of Guwahati and Silchar.

And we sell about 17 lakh tons right now in Assam. By the time the plant comes up, we'll be selling at about -- we'll be selling about 20 lakhs or 21 lakhs ton in Assam. And you can then surely calculate what the SGST per ton would be and you can multiply it by the number of tons and you'll get a fairly good number.

Navin Sahadeo: Sure, sure. And this 200% benefit is on the -- is as a cap, but it's available for how many years, 7 years? Or how should one look at it?

Tushar Bhajanka: So, it is available for 15 years, and we plan to consume this by lesser than -- in lesser than 7 years.

Navin Sahadeo: Understood. And great to know about this. In the previous regime or when the earlier incentives were there, they were roughly totalling to how much per ton as in state GST of 14% increase?

Tushar Bhajanka: So, in Jan 2023, basically this year Jan, we had -- till then, we had a subsidy which was giving us a benefit of almost INR300 to INR350 per ton, which has gone now. So, I think the quarter 1 results should also be read when you compare it to last year's quarter 1 results. Last year quarter 1, we did have the subsidy of INR300 crores, INR350 crores. And this year, quarter 1, we do not have the subsidy of INR350 crores. Still, I think the margins are healthy. Yes. So, I would read the results as that.

Navin Sahadeo: Of course, it's really heartening to know that. Just for the sake of repetition and maybe my ignorance, if you could please give the precise timelines for the capacities that are coming. Your first 2-million-ton grinding unit is coming by when?

Tushar Bhajanka: It's coming in November, December. The clinker plant, which is in Meghalaya, for which we don't get any benefit, is coming up in January, February. And the Silchar plant, because we already have a grinding unit coming up in Assam and because that grinding unit will be enough for us initially, the Silchar plant is coming by December '24.

Navin Sahadeo: So, November '23 is when we get the grinding unit at Siliguri.

Tushar Bhajanka: Yes. November, December.

Navin Sahadeo: Yes, November, December this year, right?

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Tushar Bhajanka: This year, yes. This year, yes, yes.

Navin Sahadeo: November, December of '23 is when we get 2-million-ton grinding unit; Jan, Feb '24, we get 3-million-ton clinker, right?

Tushar Bhajanka: Yes.

Navin Sahadeo: And another 2 million ton at Silchar, as you said, comes next year November.

Tushar Bhajanka: Yes, next year December.

Moderator: The next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: Yes, just I had a similar question. So along with the timelines, could you also just reverify the capex per plant also, like unit-wise, that is?

Tushar Bhajanka: So, the capex for the clinker plant is about INR1,292 crores -- about INR1,300 crores basically. For the grinding unit, the capex is about INR400 crores to INR420 crores for the Guwahati plant

and about INR450 crores for the Silchar plant.

Amit Murarka: And you are buying land for Silchar. So, is that done or still going on?

Tushar Bhajanka: Yes. So, I think we have purchased like 75% of t

he land that is required. Of course, the plot of

land that we're taking is also bigger so that we can also think about a second line in the future.

25% of the land procurement is still remaining. I think in a month's time, we will be able to procure it. At the same time, we have started the paperwork for applying for the EC for the project. And then I think by December, we should have like the permission to start setting up the plant, and it will take about 12 months to commission the unit.

Moderator: The next question is from the line of Hiten Boricha from Sequent Investments.

Hiten Boricha: Sir, my first question is on the incentives. You mentioned we are getting the incentives for the expansion. Is it only Assam plant? Or are we also going to get in other 2 plant?

Tushar Bhajanka: No. So, we are only getting it in the new Guwahati grinding unit that we get and the Silchar plant that we get -- the Silchar grinding unit plant that we get.

Hiten Boricha: Okay. So, Assam where you get the GST benefit of 200%, similar is in Silchar plant also, right?

Tushar Bhajanka: Yes, exactly.

Hiten Boricha: Okay. Okay. So, sir, you have like given a very good bifurcation of this capex. So, can we get how much amount is spent in each -- now? So, for example, we have a capex of INR420 crores in Assam, how much is spent?

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Tushar Bhajanka: Yes. So, in Assam, we have spent capex of about INR142 crores already for the grinding unit.

For the clinker plant, we have spent a capex of about INR580 crores already, right? But these capexes will not give you a good indication of the progress of the project because a lot of capex and a lot of payments to the vendors happen towards the end of the project.

So even though they have supplied us with a lot of stuff, even though the civil has already been done, capex for a lot of those things will happen towards the end of the project. So probably just taking out the proportion of capex which has already been incurred will not give you a good idea of the progress of the project on ground.

Hiten Boricha: Okay. And then sir, you also mentioned something of INR80 crores capex we have done for solar plant. Can you please repeat it? I just missed that part.

Tushar Bhajanka: Yes. So, we are planning to set up a 25 -megawatt plant for our grinding units in Guwahati. We have right now applied for SGST benefit, which we will get on the grinding unit -- on the current grinding unit of Guwahati, of 100%. So, suppose I invest about INR80 crores to INR90 crores in the solar plant, then I will get INR80 crores to INR90 crores back as SGST benefit in my Guwahati grinding unit. So that is the scheme which is part of the government's industrial policy, and we have applied for that, and we are now setting up a plant -- a solar plant on the basis of that.

Hiten Boricha: So, this plant is going to take next 12 months, right, to start?

Tushar Bhajanka: Yes. I think our target is about March for this, but it may get delayed by a month or two. So, I'm not in a position to really comment about exactly when it's going to start.

Hiten Boricha: Okay. And sir, last question is on the debt. As you mentioned, we are going to take debt of around INR400 crores or INR500 crores for this capex. Just wanted to understand, by when this debt will be coming in the books?

Tushar Bhajanka: So, I think it should come towards the third quarter of this year -- third to fourth quarter. Of course, we won't take the INR500 crores in one go, but we'll start taking it from third quarter this year.

Hiten Boricha: Okay. And what will be the rate, sir?

Tushar Bhajanka: Rate is something that we...

Manoj Agarwal: We are just in negotiation; we are discussing with the bank. Maybe it will not be more than 8% to 8.1%.

Tushar Bhajanka: Yes. I think the rate will be very competitive because the debt -to-e

quity ratio of the company or

any other parameter of measuring leverage, I think the company is pretty healthy. So, I think that whatever the rate would be, it would be very competitive.

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Moderator: The next question is from the line of Chandresh Malpani from Niveshaay Investment Advisors.

Chandresh Malpani: Sir, only one question on the Assam side, that Dalmia said that Assam like as a market itself is

growing at 20%, 25%. So, like do we have any aggressive plans to -- like for inorganic growth in that region particularly?

Tushar Bhajanka: So, sir, there are -- of course, Assam is a very big market. It doesn't really have much of cement plants. The cement plants, all are located in Meghalaya, right? So probably what you mean to say is that is there an acquisition opportunity in Northeast, so that you can also secure some of the Assam market. So, from that perspective, I think all the other cement companies are small. They probably are not very interested in any of such activities right now. Once we get the capacity, we'll have to see how the dynamics work and probably if there is someone interested, we will be interested in taking them.

Chandresh Malpani: Okay. Sir, only wanted to understand that, going forward, the proportion of sales between outside Northeast and in Northeast, will that be favourable? Or like in Northeast, we will be contributing more? Or how is it?

Tushar Bhajanka: No. I think like our focus will always be in Northeast, right, because the margin in Northeast is much better. So, the first target that, of course, the team would have would, of course, be to sell more in Northeast. Anything that we can't sell in Northeast -- because pressurizing the market too much would also lead to a fall in the prices, right?

So, we don't want to pressure the market in such a way that the prices fall drastically, right? Because that will not be good for our sustainability in the long run. So, what we would, of course, do is take the extra cement, and we will try to sell it outside using our Siliguri plant, right? So, what I'm just trying to say is that when we get capacity, we need to be patient, right? Because in cement when we set capacity for 4, 5 years, we don't set it for 2 years. So first, initially, our Siliguri plant will help us in utilizing our clinker better. And we will be focusing outside Northeast. But the first priority is Northeast.

Chandresh Malpani: Okay. And sir, lastly, like you mentioned that the gross kilocalorific value will be coming down below 2. So, what EBITDA -- like power and fuel, we can expect savings from this?

Tushar Bhajanka: So, I mean, right now, it's at about -- this quarter, I think it was about 2.35, right? We are talking about a INR0.40 reduction in the fuel cost. You can multiply it by the heat rate, which is about 720. So that would be 0.4×720 . That would be about INR300. So, you can expect -- and that is on clinker. So, you can expect a saving of about roughly about INR180 probably on cement.

Moderator: Next question is from Rajesh Ravi from HDFC Securities.

Rajesh Ravi: Sir, last call, you had mentioned that you will be discussing on your long-term growth plans road map. Can we hear anything on that front?

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Tushar Bhajanka: So right now, again, at the cost of being repetitive, we are still doing it, right? We are still planning it out. There were some opportunities which were there in South and East, we're still evaluating it. At the same time, there are auction mines, which have come up. We are still -- we are participating in those, and we are seeing how that plays out. Right?

So, there are like 3, 4 different directions that we are, of course, evaluating, right, because the idea is not to only grow but to grow profitably in whatever other regions that we go to. And that what we

are -- we keep on evaluating, right, because as a company, which is very profit-focused and profit-conscious, right, we would want to make investments, which give us a good ROI. And that is where we are kind of deliberating and seeing what the best strategy going forward could be.

Rajesh Ravi: So basically, I wanted to know, when you're looking for mines, it would be more of an organic expansion rather than -- what would be your preference order? Like grow organically, you get some mines and build your capacity over there? Or acquisition would be a...

Tushar Bhajanka: See, it just depends on -- see, one cannot just keep on setting for acquisition, right? Because acquisitions are [inaudible 0:57:22] and at the same time, when they do come, there are a lot of people who probably may be better placed in bidding for it, right? So, for example, like the big 3 companies in cement, the Shree Cement or Ambuja, UltraTech, they're much bigger and kind of bidding a more favourable bid for such acquisitions. Right?

So, I think the idea is, of course, to be looking at mines, to looking at organic opportunities which we can. Probably not -- will not pan out in the next 1 year or 2 years, but will pan out in the next 3, 3.5 years. So, we are looking at those opportunities as well, right? We are also looking at smaller opportunities of acquiring, which the bigger ones will not be too interested in. It's a long process of actually convincing someone to sell, right?

So, I think we are in that process. And yes, and then we're also looking at like products which may be very close to cement, like AAC Block, we are getting into AAC Block. So, we are looking at other products, which may be having a bigger market that we can enter, which are very synergistic to cement. And that is also a theme that we are working on. Right?

Rajesh Ravi: Right. Sir, one last question on the capex. The total capex size, INR2,200-odd crores. Till FY

'23, you spent something like INR450 crores. And this year, you're targeting INR800 crores. So, the pending amount would be shifted into FY '25? Because from last quarter -- this last quarter guidance, this year, the guidance was a higher number.

Tushar Bhajanka: Yes. So basically, it is mainly due to the Silchar plant, right? So earlier, the guidance was that we'll get the Silchar plant by July, August, next year. But because the Silchar plant we have delayed or it got delayed because of the land acquisition, so of course, the capex has become more favourable, and which I don't ideally mind too much because we already are getting a grinding unit in Guwahati and that will be able to shelve for -- for at least 1 year. So, by delaying

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it by 4, 5 months, it also reduces the pressure on the debt side, which I don't think is there any which ways, but still like eases it out further.

Rajesh Ravi: Got it. And sir, the solar power plant, INR80 crores, which you're investing, you mentioned that you are getting different incentives. Why I'm asking this because most players in outside Northeast place prefer to go through a J V route where 75% is with the other party and 25%, 26% is by the cement company. Whereas here, you're going 100% captive?

Tushar Bhajanka: Yes, because I'm getting a subsidy on it. My economics works very differently from their economics.

Rajesh Ravi: Correct. So, it's the different economics you're getting?

Tushar Bhajanka: Basically, they're doing a group captive model, right, where they invest 26% and then at a fixed rate they'll get power at INR3.5 or INR3 or whatever, right? And our model is very different and our model can only work when we do the entire capex, right? Because it is a SGST refund on the investment that you make, right? So, we have to make that investment to get that refund.

Moderator: We'll be able to take one last question. The last question is f

rom the line of Navin Sahadeo from
ICICI Securities.

Navin Sahadeo: Just one last question that in your earlier comments, you said the intent is to increase the sale beyond Northeast market. I was just checking, from your clinker plant to Siliguri itself, I think the distance is a huge 670 or 650-plus kilometres, so to say. And from there on, then, to reach out to the other markets, which is Bihar or West Bengal, would be that much more. So, without, let's say, freight incentives, because I would like to believe in the hilly terrain, the cost of freight could also be high. And I don't know if prices are that much more remunerative, at least what last I know, for someone to travel all the way because prices are remunerative in East and incentives also. So that's where you'd make a very good EBITDA per ton. But just to understand this, will it really give us that extra some delta, given the huge lead distance or we will need some help from the government in terms of freight subsidy to travel the distance?

Vinit Tiwari: So, there's no freight subsidy as such. Presently also, we are operating our Siliguri grinding unit at close to 70%, 71% capacity utilization. So -- and we are already doing it. So, we are working on other raw material because I think we are able to -- generally, the grinding units are located far away from your integrated plant.

So that's nothing new. But the only difference is we have to move by road instead of rail, our clinker. That's the only difference which we have maybe from the other players, although many players also don't have rig connectivity. So that's the only difference. So that's not going to change.

The only thing, which is going to change, which we said, we are working on a model on reducing our incoming fly ash cost. So, we are investing there as well in those -- in that capacity to build up that capacity, which as and when it happens, we'll let you know because presently, the project

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is under consideration actively -- active consideration. And once we do that, that will help us bring down our raw material costs, which will make our Siliguri plant more cost-effective. Another thing is we are aggressively pursuing premium portfolio in the outside Northeast market also. We have been working on our new premium products also, which we should hit in this quarter. So that should also happen. So, we are working on various agendas, right from the cost side to the revenue side of product category, everything, so it will help us in optimizing Siliguri plant.

Navin Sahadeo: Understood. And I'm sure, Vinit ji, your previous experience of dealing with premium products will go a long way to help you get further at Star Cement as well. So, all the very best, and we look forward to your interactions.

Vinit Tiwari: Thanks, Navin.

Moderator: That was the last question. I would now like to hand the conference back to the management team for closing comments.

Tushar Bhajanka: Yes, so I don't think we have any particular comments as such, but we would just like to thank everyone who joined the call and is interested in the company. And we are very excited about the next 2, 3 quarters and how that shapes up. And yes -- and if there's any questions for us, you can always e-mail us or you can get in touch with our CFO for the clarifications. Thank you.

Moderator: Thank you very much. On behalf of Emkay Global Financial Services, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Nov 2023

15th November, 2023

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Dear Sir(s) /Madam(s) ,

Sub: Transcript of the Conference call for Unaudited Financial Results for the Quarter ended 3 0th September , 2023

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the Transcript of the conference call with Investors and Analysts held on Thurs day, 09th September, 2023 for Unaudited Financial Results for the quarter ended 3 0th September , 2023 .
The same shall also be available in web site of the Company at
<https://www.starcement.co.in/investor/earnings-call>
This is for your information and record.

Thanking you,
For Star Cement Limited

Debabrata Thakurta
(Company Secretary)

DEBABRATA
THAKURTA Digitally signed by
DEBABRATA THAKURTA Date: 2023.11.15
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"Star Cement Limited Q2 FY-24 Earnings Conference
Call"

November 09, 2023

MANAGEMENT : MR. TUSHAR BHAJANKA – DEPUTY MANAGING
DIRECTOR .

MR. VINIT KUMAR TIWARI – CHIEF EXECUTIVE OFFICER .
MR. MANOJ AGARWAL – CHIEF FINANCIAL OFFICER .
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED .

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Moderator: Ladies and gentlemen, good day and welcome to the Star Cement Limited Q2 and H1 FY 24 Conference Call hosted by PhillipCapital (India) Private Limited .

As a reminder, all participant lines will be in listen only mode. And there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited . Thank you and over to you sir.

Vaibhav Agarwal: Thank you Aman . Good evening everyone. On behalf of PhillipCapital (India) Private Limited , we welcome you to the Q2 and H1 FY 24 Earnings Call of Star Cement Limited.

On the call we have with us Mr. Tushar Bhajanka – Deputy Managing Director; Mr. Vinit Kumar Tiwari – Chief Executive Officer and Mr. Manoj Agarwal – Chief Financial Officer of the company .

I will now hand over the floor to the management of the company for their opening remarks will be followed with interactive Q &A. Thank you and over to you sir.

Management: So good afternoon, all, my name is Tushar Bhajanka , and I am the Deputy MD of Star Cement , I would like to welcome you all to the earnings call of quarter two. I have the CEO and CFO of the company with me as well. The CFO will give out the numbers of quarter two, and then we can have a Q&A session. Thank you.

Management: Hi, friends. Very Good evening. On behalf of Star Cement Limited welcome you to the concall for discussing our number of Q2 FY24 and half year ended September 23. I would like to clarify that we will be discussing on the historical numbers and there is no invitation to invest. Having said that now, I will just take you through the Q2 number followed by half year number.

Starting from clinker production during the quarter ended September 23 , we have produced 6.48 lakh tonnes of clinker as against 5.12 lakh tonne same quarter last year. So far as cement production is concerned we have produced 8.94 lakh tonne this quarter as 8.91 lakh tonne same quarter last year. This quarter we have taken shutdown in growth of our kiln at Lumshnong Meghalaya .

Now, I will take you through sales volume , during the quarter we have sold 8.96 lakh tonne of cement as against 8.91 lakh tonne of cement for same quarter last year. This is so far as far as our cement trade is concern. As far as geographical distribution of cement is concerned, in Northeast we have sold around 6.72 lakh tonne as against 6.54 lakh tonne same quarter last year. And as far as outside Northeast sale is concerned we have sold 2.24 lakh tonne of cement this

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quarter as against 2.38 lakh cement same quarter last year. In terms of blend mix it is almost 9% of OPC and almost approx. 1% of PCC and rest is P PC, these are the quantitative numbers of this quarters.

Now, I will take you through the financials. The total revenue figure this quarter is around Rs.585 crore as against 594 crore same period last year. As far as EBITA figure is concerned this quarter we have done an EBITDA of around Rs.104 crore as against 83 crores last year . PAT is Rs.44 crore against Rs. 31 crore in same period last year. On per tonne EBITDA front it is 1164 during this quarter as against 934 tonnes same quarter last year . This is our quarterly number of second quarter . The total revenue figure of half year ended September 23 is around Rs.1346 crore as against 1260 crore same period last year . As far as EBITDA figure is concerned during half year ended September 23 we had done an EBITDA of around Rs.242 crore as against 221 crore last year. PAT is Rs. 134 crore as against 99 crore in same period last year . On

per tonne EBITDA

front it is 1136 during the half year ended September 23 as against 1183 per tonne same period last year. These are the quarterly and half yearly numbers. Now, I request all of you if you have any query you can ask the same and I will request Vaibhav to moderate the query were its required Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question comes from Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir first couple of data points. Trade share and premium share and the lead distance for this quarter ?

Management: Yes, Vinit Tiwari this side. Trade, non trade is 89% and 11% in quarter two, premium growth is 6.9% this quarter vis-à-vis 4.6% same quarter last year. And lead distance.

Shravan Shah: So the share of premium in the trade is 4%?

Management: 6.9%

Shravan Shah: Okay , 6.9%

Management: Vis-à-vis 4.6% last year same quarter. So, premium growth is close to 37% .

Shravan Shah: Okay , and the lead distance sir?

Management: Lead distance in quarter two is 214 kilometers.

Shravan Shah: Okay, 214 kilometers and in terms of the fuel mix, spot contract coal, Nagaland coal and biomass AFR ?

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Management: Okay. So, in terms of fuel mix, in quarter two our FSA is around 6% , Nagaland is around 32% , biomass is around 5%, spot option and trader purchase is around 57%.

Shravan Shah: Okay . And Kcal rate is how much, last quarter it was Rs. 2.4 rupees, so?

Management: So, this quarter it is Rs.1.9.

Shravan Shah: So, do we expect any further reduction in the third quarter ?

Management: We expect similar line in the next quarter .

Shravan Shah: Okay. Sir, now coming the CAPEX and the timeline for the plants that we have so, plant wise in terms of the clinker at Meghalaya three MTPA, two MTPA, Silchar and grinding and two MTPA grinding at Guwahati , how much CAPEX we have done and how much more for this year, we are planning last time we told 13 crore that we are planning for this year and 400 to 500 crore in FY 25?

Management: Okay. So, first of all if you want to know about the project status, our Guwahati grinding unit is the first to come. So, it's looking quite possible , we will be starting in December. So, this is going to happen pretty soon. As far as our clinker initial unit is concerned it is expected as of now around February. And as far as Silchar unit is concerned, as we informed in last quarter also we have slightly delayed it for strategic reasons . Also , our land acquisition is going well in place almost 73% of the land acquisition we have already done. So that 's going on, but we are pacing it so that we have enough time to utilize our Guwahati grinding unit capacity. So, as far as Silchar is concerned it will be hitting us in the financial year 25 -26. Now, coming to CAPEX, overall CAPEX if you know all the projects everything involved was close to 2400 crores with Lumsh our Clinkerization was around 1300, you want to know how much we have done it now , that's what your question ?

Shravan Shah: And Guwahati.

Management: Guwahati is around 450 crores , Silchar is around 500 crores apart from this there are two other projects on which we are working which is AC block which is around 50 crores and our solar 25 megawatt which is around 10 crores .

Shravan Shah: So, we have already spent on clinker, how much we have spent and Guwahati grinding how much we have spent ?

Management: Okay . The cost incurred on our Clinkerization till now is around 700 crores, on Guwahati cost incurred till now is around 206 crores and as far as Silchar is concerned, the land acquisition is going on at this moment. So, that 's where we stand.

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Management: I just want to correct , just add one more thing here , that the c

ost which has been incurred in the

books is 700 crores , but the committed cost which is of course the cost of ordering machines and the payment and the contract is about 950 crores and then of course there are certain buildings , certain facilities that we making with the plant which we have not prioritized with the plant but the clinker production will start by February and the other supplementary building s and plants will be commissioned two , three months after.

Shravan Shah: Okay . So this year in FY 24 totally combined put together how much we are planning to do a CAPEX and the next year FY 25?

Management: We were in total , in the last call I suggested about 800 crores of CAPEX in this year and rest of it will be next year . Out of the 800 we have already done 200 in quarter two, and in quarter three and four, we plan to do the next 600 and right now the cash reserve in the company is about 210 and in this year we plan to generate about 320 approx. So, we may need a debt of about 300 crores in this financial year.

Shravan Shah: Sir, correct me if I 'm wrong, total for FY24 combining so 200 we have spent , 600 more so 800.

But in Q1 also including so, total last time we have talked about 1300 odd crore that we are planning to do a CAPEX at console level . So, as you said now we are seeing 800 crore ?

Management: Yes, so, basically in quarter one, what we have said is, that in the next three quarters we would spend about 800 crores, so out of the 800 crores we have already spend 200 crores . So th is 600 crore is yet to be invested right in the CAPEX , which will happen in the quarter three and quarter four.

Shravan Shah: And for next year FY25?

Management: For next year, FY 25, we would do the balance, so I will have to calculate exactly the difference, but about 300 crores more in the clinker plant and the Guwahati grinding unit. And then of course, there will be about 300 crores of more investment in the Silchar plant, because the Silchar plant we have deferred, so it will not really be hitting us that much in the early next year.

Shravan Shah: So, more than 600 crore broadly if one calculates for FY25, so in terms of the net cash so currently we have a 210 crore and we are seeing a 320 odd crore we will be generating. So with this CAPEX and we were looking at clinker again by end of FY 25 we will become a net cash company so that stand remains intact ?

Management: Yes, that stand remains completely intact.

Shravan Shah: Okay. And lastly on the pricing front, how are in terms of the current prices versus the 2Q average , whatever the reason particularly Northeast and East ?

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Management: On the NOD front if you will ask me we have improved by around 5% and in Northeast it 's around Rs.10 a bag and outside Northeast it is around Rs.50 a bag improvement we have seen in this quarter.

Shravan Shah: Okay and that is not impacting the demand ?

Management: Demand , it is not impacting the demand I will say price is not impacting the demand. Overall demand in quarter two if you remember it, quarter one was superb quarter there was a huge almost 25% industry growth was registered in Northeast in quarter one. And according ly Star also grew by more than 25% in quarter one in Northeast. Quarter two has been pretty subdued , it is flattish almost on demand front . So that was expected because quarter one the rain got delayed, more rain came into in the se cond quarter, there was a North Bengal , hillside there was huge landslides, roads were totally blocked and jam. So that has caused demand dampness in quarter two. And so there 's a balancing impact you can see, in quarter one was exceptionally well in quarter two has been subdued on that account. So going forward, we still may think that there is no reason why we should not be seeing a double digit growth in the balance two quarter.

Moderator: Thank you. Next question is from Mahek Talati from YellowJ ersey Investment Advisors. Please go ahead.

Mahek Talati: So, my question pertains to , there has been a sharp decline in the profitability on a quarter -on-quarter basis by close to 40%. So, any specific reason, because our pet coke , power and fuel cost has declined in this on Q-o-Q basis . So what has impacted our profitability ?

Management: One big reason which has impacted the profitability is of course the volume right , because Q1 is normally a better quarter in terms of volume. And Q2 because of monsoon normally the volume dip. So, even Q1 we did exceptional growth also because the monsoon had postponed , in Q2 the monsoon hit us. So, of course you will see a big difference in the volume s between Q1 and Q2, which also of course explains the difference in profitability between the two quarters.

Management: And another is obviously the maintenance expense also came into this quarter. So, we had a shutdown pl ant so, that is also difference between quarter one and quarter two.

Management: Yes, there was a 15 crore expenditure in the shutdown, which is annual shutdown that we took. And of course, because of that there is a difference there .

Mahek Talati: Okay . And the slowness in the demand which we saw in Q2, is it a postponed demand or so , will that demand come in Q3 and Q4 or how do you look at that slow demand which we face in Q2 due to the monsoons?

Management: If we will talk about the demand got postponed we can also say it was preponed also because the rains didn't came in the quarter one the way they did came in last year. So we can see a

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mixed impact. I will not say it 's totally a postponed demand. Yes, we can see some demand start after Diwali festivities get over. That 's the time when things should start looking up. And then as we are moving towards the general election, next two quarters we see a good build up.

Mahek Talati: So what is our volume growth target in FY24 as compared to FY23, how much are targeting?

Management: Our annual target, i f you will ask me whatever we have achieved and whatever we feel we will be able to achieve in the balance two quarters, it should help us in achieving a growth of in

double digit surely around 13%, 14% at least we should be able to achieve .

Mahek Talati: 13%, 14% for FY 24 or for H 2?

Management: No, I'm talking about the full financial year.

Mahek Talati: Okay. And last if I may confirm you say that Silchar project has been delayed, what's the status there?

Management: It's not delayed, we had all opportunity to start it. So, we are just going slightly slow as you understand Guwahati unit is coming up in December. So, we will be thrive with material for some time. So, we felt bringing up Silchar unit early may not be a wise thing to do. So, we are strategically delaying it for some time , we have calculated our volumes and based on that we feel that if Silchar unit comes somewhere in mid-25 that will be the right time in somewhere around first, second quarter on mid-25 that will be the right time when we will sitting exactly in a position to utilize the capacity of Silchar as well.

Moderator: Thank you. The next question is from Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Just two question s, first on the market . So, North grew 25% in Q1 which was flat in Q2 so, second half of 24 and 25 like can we expect the double digit growth to broadly be there in the market in terms of projects which are going on and the general demand that you see B2C level also?

Management: Yes. So, as I said, if you look into the month after the second quarter, October, if you look into October yes, it was good vis-à-vis last October. And since after that, there has been two festivities back -to-back in Northeast Durga Puja and now the Diwali so there has

been slight

dampness at this point of time. But surely double digit growth , I see happening in these two quarters .

Amit Murarka: Okay, sure. And also on realization a Rs.50 hike that you mentioned that has happened, like has it stabilized or you think that there could be some rollbacks going into the valley and all ?

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Management: No, as far as S tar is concerned, we have realized the gains definitely in our NOV . So there 's no rollback as of now. Slight rollback because of these festivities, which happened because Durga Puja if you understand is a big festivity here. So there was a slight correction , but there 's nothing big happening. Going forward, if everything works out, I hope this should get maintained. If it has come down, there may be a possibility of taking up another Rs.5, Rs.10, Rs.5, Rs.7 dilution which has happened in last 10 , 15 days we definitely see once the demand picks up the opportunity to bring it back on the table.

Management: And, I would just like to add that this price increase of Rs.50 , outside Northeast in Bengal and Bihar and Rs. 10 hike in Northeast happened in the month of September. So in quarter two, we haven 't NOD does not affect us increase in the price because it happened somewhere mid in September, so did not even have 15 days of impact. So the impact of that should be seen in Q3.

Amit Murarka: Got it. Lastly, like you believe instant players are also trying to get into the Northeast market.

UltraTech particularly has been quite vocal about it. So , are we seeing them making inroads incrementally or do you think that it 's tough to do that ?

Management: UltraTech has been there in that market for quite some time. So it 's not a new market for them . Yes, they must be having their own strategy to get into there. But it 's not a new market.

UltraTech has been serving th at market for quite many years.

Management: I don 't think like there 's any significant increase in, sales from UltraTech side in quarter t wo, so there is nothing which actually makes us believe that they are gaining market share in Northeast.

Amit Murarka: Sure. And just a last one, so as we believe like you are doing the clicker line even Dalmia is doing their clinker line . And both of them combined , I believe is like almost +30% kind of an expansion with the capacity in the market. So could there be a situation of like a temporary kind of increase in competitive intensity within the sales and growth of your clinker are ramping up , just some thought on that ?

Management: So, Dalmia clinker coming, approximately one year after our clinker plant is coming. So , that will not be the case for at least the next one year. But of course, when there are two companies which are getting big capacities of , two dominant companies getting big capacities, there could be some correction in the price. But what will happen is that , it will be made up in terms of volume. And that 's what we expect and it will be made up from, there is cement coming from outside Northeast. So , there 'll be some substitution of that market share getting added to ours and somew hat to Dalmia .

Moderator: Thank you. N ext question is from Mangesh Bhadang from Centrum Broking . Please go ahead.

Mangesh Bhadang: Sir my question is with regards to your profitability in the Northeast spends region, in the past you have mentioned that Easter region profitability is significantly lower than Northeast, so with

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this price hike it should be much higher increased. How far you have bridged this gap, this is more or less similar now, or you think there is still the difference that you need?

Management: So, if the question is that, is the difference between any Northeast and outside Northeast profitability per tonne, of course there is still a difference between the two.

But given that there

was a price hike outside Northeast, which was higher than the price hike in Northeast the difference would of course now reduce but still very substantial.

Mangesh Bhadang: Anything you can quantify there?

Management: Outside Northeast it would be about, this is before the price hikes. I don't have the EBITDA per tonne after the price hike. But before the price hike, the per tonne EBITDA outside Northeast was about Rs.300 per tonne and now the per tonne EBITDA would be much higher. And the per tonne EBITDA in Northeast was about 1500.

Mangesh Bhadang: Okay. Sir second question is on the Bihar market, so during that there has been a slowdown in that market in terms of demand. So just wanted to some color on, have you experience the sale in the North Bihar market that you target. And if at all it is, then what could be the quantum of the demand decline that we are seeing, you are saying that it is normal course of a deal?

Mangesh Bhadang: No, sir Bihar market, we have seen some slowdown in demand.

Management: Yes.

Mangesh Bhadang: So, just wanted to understand for North Bihar market that we specifically target have we also seen a similar kind of slowdown?

Management: Yes, we have experienced a slowdown in demand, last month or two I will say two months it has been a pretty bad in Bihar and Bengal also it's not something great vis-à-vis Bihar also, but Bihar was the type of growth which Bihar was showing it is not showing as of now, last few months.

Mangesh Bhadang: Okay. Sir final question is on the incentives, you can just run us through the incentives that we are eligible for the investment that we are doing?

Management: So, you are aware about it, the incentive is 200% of our plant and machinery investment. So we look if you want me to quantify that it should be around 800 crores.

Management: 800 per tonne pertaining to that.

Moderator: Thank you. The next question is from Giriraj Malu from MDM Tradecom. Please go ahead.

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Giriraj Malu: Just wanted to know, what is the current status on the capacity utilization as of date the current status?

Management: You want to know for quarter two?

Giriraj Malu: No, the running quarter where we are right now, as on date.

Management: Around 88% of cement utilization.

Giriraj Malu: Okay. Sir in last concall we have been noted that there has been some plans for the cost reduction of fly ash at the Siliguri unit. So what is the update on that, have we been able to make some progress on that?

Management: Yes, so that's a project we said it's a BTAP wagon project so whereby we are bringing fly ash by road as of now. So we want to bring through BTAP wagon, that project we are progressing under because it's a project in which we will have to order wagons. So presently the negotiation for wagons is going on, we will be ordering those wagons and it will be a project which will get realized in financial year 25 only, somewhere around March and April we expect those wagons to get delivered. So that's the time we expect the gain to come in from because that's the main initiative although a number of initiatives we have taken for Siliguri to reduce cost, but one of the major initiative is that, so that is already under progress. Our consultant everybody has been appointed, discussion and negotiations are on.

Giriraj Malu: Okay. As per the studies Star commands about 45% to 30% as far as the Northeast market is concerned. So post this whole expansion that is there for the next two years, where do you see this number really jumping into as far as the market is?

Management: We are targeting to reach a market share of +30%.

Giriraj Malu: So, where we are expecting the capacity to double. So, do you see that kind of absorption taken by the market, because both as national players, the big players as well as the

small, there are lot

of small players who are also expanding the capacities of less than about 2 million tonnes. So, how do you see on that front?

Management: So, there are two things one is the market will grow naturally. So the growth which we get out of the market growth that is something is there available for us. Secondly, the players who are not serious players in Northeast who are dumping material and are working and doing like hit and run, these are the players whom we will have to fight out with, we have all wherewithal with

whatever with our capacity there as well as we 'll have more subsidies with us. So if the need be, we will have to fight our market share out from them as well. As far as the smaller players are concerned we don 't see much capacity expansion coming up from any smaller player. So, they

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will remain stagnant at the level where they are. So, that growth which they were also taking will also come to us.

Giriraj Malu: And s ir, in consolidation, do you see any kind of consolidation happening in the market in the coming couple of quarters or a couple of years, since a lot of capacity is being added. So, any consolidation within the industry that can be expected ?

Management: We don 't rule it out once the two big players have the capacities coming in there , that's for the people they may not see much opportunity for their existence, if they don 't have a capacity to expand , they may think about that.

Giriraj Malu: Okay. And sir as far as the central India place , any progress or any minds that we are really looking out or any opportunity that is there because the company has been looking to venture into the central part. So, any update?

Management: We have been looking for mines , we have participated in few auctions as well. in Rajasthan we have participated , in MP we have participated , in Chhattisgarh we have participated, we have been successful in getting one in Chhattisgarh , Saloni we are able to get the composite license , we have secured one composite license in Chhattisgarh already .

Giriraj Malu: And sir, one last qu estion, what is the current non -trade versus trade volumes that the company has won by for Q2 and any ballpark that can be given for the Q3 and Q4 ?

Management: Our current ratio you want , you are asking in non -trade?

Giriraj Malu: Yes.

Management: 89% in quarter two and 11% , 89% and 11%.

Giriraj Malu: And s ir with the new capacity and all in place, how do you see this ?

Management: It will grow, our non -trade portfolio will grow , this is one thing which we have not invested much on . Last few months, we have paid attention to this and it has slightly grown in last two months. So we see it going to a level of 85 , 15.

Giriraj Malu: And s ir what has been the average pet coke cost that is there in entry size?

Management: Come again ?

Giriraj Malu: The pet coke cost, average cost that is there in the closing inventory for the last quarter. So the cost realization that will happen in this particular quarter coming ?

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Management: You are talking about the pet coke?

Giriraj Malu: Pet coke cost?

Management: We are not using pet coke.

Moderator: Thank you. We will take the last question, which is from the line of Uttam K umar Simal from Axis S ecurities . Please go ahead.

Uttam Kumar Simal: Sir, what's t he capacity on Siliguri unit in this quarter ?

Management: Capacity utilization of Siliguri grinding unit in this quarter has been 45%.

Uttam Kumar Simal: Okay, and what was it last quarter , last year same quarter ?

Management: Last year same quarter it was 37%.

Uttam Kumar Simal: So, it has improved and now sir you have improved on premium cement share to 4% to 7%. So, any number that you want to take premium cement too?

Management: We are targeti

ng to hit 10% by in this financial year .

Uttam Kumar Simal: Okay. And this WHRS plant which came last quarter. So how much trading till did we have achieved from that?

Management: In quarter two, we have got 10 crores out of WHRS.

Uttam Kumar Simal: And last one sir, this quarter our freight cost has been quite low , on tonne basis it has gone down by 16% so any reason for that?

Management: Yes, there are two reasons. One is as you are aware that Star has its own fleet. So we have deployed our fleet strategically to bring down the freight s, number one . Number two, there was a bridge, which was broken last year, which escalated the freight substantially , that bridge work has been over so that has helped us in bringing down the freights.

Uttam Kumar Simal: And t his one is sustainable going forward also ?

Management: Yes, we see it sustainable.

Moderator: Thank you. Ladies and gentlemen that was the last question I now hand the floor back to Mr.

Vaibhav Agarwal for closing comments. Thank you and over to you.

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Vaibhav Agarwal: Thank you Aman. Sir, I had a few questions. So sir you have guided on the call of about 14 % to 15% volume growth if I right ly hear for FY 24. And in the first half we have done about 10% growth in terms of volumes. So sir are we getting let say 17%, 18% kind of a growth in second half H2 given that the demand is not great at the moment, and there could be a risk to demand because of labor issues closer to elections. So, there are elections , so do you see a downside risk low guidance of 14% or you hold on to that , that we were able to achieve this number?

Management: We are absolutely aiming for those numbers. We have to aim for them. Vaibhav because in December if you know our plant is coming . So we are absolutely focused and our actions are in-line with that.

Vaibhav Agarwal: Understood sir. Sir second question was that , in East we have seen, like you also mentioned on the call that East prices have been quite higher than Northeast prices . So has these price hikes been able to push on the inflow of material which was coming to Northeast from East and other zones, so has the inflow to Northeast from other ?

Management: No, that has not impacted any material flow into Northe ast the reason for that is , the player in East are low in capacity utilization, so increases have happened, but the volumes are not that great in last two or three months. So volumes have not been great , so they find obviously we will dump it at some place. So they continue to dump it, but they are not serious players, as you know. So network also seek the opportunity with them as and when they like, unlike the players who are operating and who are enriching that market and working on brands and everything. So that difference is there , to be very honest Vaibhav , these players are operating because of the price , they are operating at Rs.30, Rs.40 less than us in those markets. So it 's a matter of time , the day we decide we have to fight it out we will fight it out.

Vaibhav Agarwal: Right , sir. And sir last question to Vinit sir. Vinit sir you had mentioned on the last call about some rationalization of some discount structures happening in East India specifically and even in Northeast India, so is that rationalization continuing or we have seen rollback s of those discounts rationally . Is this something which is helping prices to sustain in your view, just want ed to take a view on that ?

Management: Northeast doesn't work like since, I have a good exposure of Easter market. Northeast is not as bad in those practices. I 'll say , it's more disciplined and more transparent I will say .

Vaibhav Agarwal: Okay. And a s far as East is concerned, have you seen is good practices sustaining or?

Management: No, those good practices which were tried , they have been falling back .

Again, I see those efforts

are there but I have my serious doubts after our effort of one year. Those practices have come back again. And what is the seriousness , how to be one that they will be right going forward .

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Vaibhav Agarwal: Understood sir. Thank you sir those were my questions. Thank you so much. On behalf of PhillipCapital (India) Private Limited , I would like to thank the Star Cement for the call and many thanks to participants joining the call. Aman you may now conclude the call. Thank you very much sir. Thank you all, thank you.

Management: Thank you.

Moderator: Thank you very much . Ladies and gentlemen on behalf of PhillipCapital (India) Private Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: Feb 2024

Date: 12th February , 2024

To,
The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G
Bandra Kurla Complex, Bandra -East
Mumbai -400 051
Stock code: STARCEMENT
To,
The Listing Department,
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai -400 001
Stock code: 540575

Dear Sir(s) /Madam(s) ,

Sub: Transcript of the Conference call for Unaudited Financial Results for the Quarter ended 3 1st December , 2023

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the Transcript of the conference call with Investors and Analysts held on Thursday, 8th February , 2024 for Unaudited Financial Results for the quarter ended 3 1st December , 2023 .
The same shall also be available in web site of the Company at
<https://www.starcement.co.in/investor/earnings-call>
This is for your information and record.

Thanking you,
For Star Cement Limited

Debabrata Thakurta
(Company Secretary)

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"Star Cement Limited
Q3 FY '24 Earnings Conference Call "
February 08, 2024

MANAGEMENT : MR. TUSHAR BHAJANKA – DEPUTY MANAGING
DIRECTOR – STAR CEMENT LIMITED
MR. VINIT TIWARI – CHIEF EXECUTIVE OFFICER –
STAR CEMENT LIMITED
MR. MANOJ AGARWAL – CHIEF FINANCIAL OFFICER –
STAR CEMENT LIMITED

MODERATOR : MR. DHARMESH SHAH – EMKAY GLOBAL FINANCIAL
SERVICES

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of Star Cements Limited, hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone telephone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Dharmesh Shah from Emkay Global Financial Services Limited. Thank you, and over to you, Mr. Dharmesh sir.

Dharmesh Shah: Thanks, Manav. On the call, we have with us Mr. Tushar Bhajanka, Deputy Managing Director; Mr. Vinit Tiwari, CEO; and Mr. Manoj Agarwal, CFO of the company; I will now hand over the floor to the management for their opening remarks, which will be followed by an interactive Q&A. Thank you, and over to you, Tushar.

Tushar Bhajanka: So good afternoon, all. My name is Tushar Bhajanka, and I'm the Deputy MD of Star Cement. I would like to welcome you all to the Earnings Call of quarter 3. I have the CEO and CFO of the company with me. The CFO will give out the numbers of quarter 3, and then we can have a Q&A session. Thank you.

Manoj Agarwal: Yes. Hi friends. This is Manoj Agarwal, CFO of the company. I, on behalf of Star Cement Limited, welcome you all to our phone call for discussing our number of Q3 FY '24 and followed by 9-month number for the period ended December '23. I would like to clarify that we are discussing the historical numbers, and there is no indication to invest. Having said that now, I will just take you through the Q3 number followed by 9-month number.

Starting from clinker production, during the quarter ended December '23, we have produced 7.37 lakh ton of clinker as against 7.39 lakhs ton same quarter last year. So far as cement production is concerned, we have produced 9.82 lakhs ton this quarter as against 9.22 lakhs ton same quarter last year.

Now I will take you through sales volume. During the quarter, we had sold 9.6 lakhs ton of cement and 0.03 lakhs ton of clinker as against 9.08 lakhs ton of cement same quarter last year. There was no clinker sale last year. There is a growth of 7% in cement sales, that is as far as cement and clinker sale is concerned. As far as geographical distribution of cement is concerned, in Northeast, we have sold around 7.32 lakhs ton as against 6.62 lakhs ton during same quarter last year.

And as for our outside northeast cement is concerned, we have sold 2.38 lakhs ton of cement as against 2.45 lakhs ton same quarter last year. In terms of blend mix, it is 10% of OPC and rest is PPC. These are the positive numbers of the quarter.

Now I will take you through the financials. The total revenue figure this quarter is around INR655 crores as against INR629 crores same period last year. As far as EBITDA figure is concerned, this quarter, we have done an EBITDA of INR153 crores as against INR120 crores last year. Profit after tax is INR74 crores as against INR53 crores in the same period last year. On per ton EBITDA basis, it is INR1,576 during the quarter as against INR1,324 per ton same Star Cement Limited
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quarter last year. This is what our quarterly numbers of quarter. The total revenue figure of the 9 months ended December 23 is around INR1,975 crores as against INR1,769 crores same period last year.

As far as EBITDA figure is concerned, during 9 months ended December '23, we had done an EBITDA of around INR395 crores as against INR342 crores last year. PTA is INR207 crores as against INR151 crores in the same period last year. On per ton EBITDA front which INR1,300 during the 9 months ended December '23

as against INR1,229 per ton same period last year. These are our quarterly and 9-month ended figure.

Now I would request all of you that you have any query, then I will request Dharmesh to moderate the query wherever is required. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have a first question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Thank you and congratulations on good set of numbers, particularly on the profitability front. Sir, before asking questions on volume and the pricing and profitability, first, I wanted to understand in terms of the -- our expansion and the capex. So our 3 MTPA clinker at Meghalaya were supposed to start in February and 2 MTPA Guwahati were supposed to start in December and Silchar too obviously, in September. So what's the new timeline when are

these three units are going to start?

Tushar Bhajanka: Yes. So the Guwahati grinding unit, we've already started taking some initial trials and we should be commissioning the plant on the 1st of March next month. For the clinker plant, we will be commissioning the clinker plant on the 31st of March next month. And for the grinding unit in Silchar, that would be about August to September next year, next calendar year.

Shravan Shah: Okay. And any specific reason why there is a delay for this clinker and particularly the Guwahati grinding unit?

Tushar Bhajanka: Yes. So I think it just -- it took us more time in the trial and some of the critical delivery of a few of the machinery, and that is why we got delayed by a month. But I think we have already started taking the trial, and I think we are all set to commission the plant by 1st of March. I don't think there is any difficulty on that.

Shravan Shah: Okay. Secondly, in terms of the capex for all these 3 specifically. So clinker we were supposed to do a capex of INR1,300 -odd crores for Silchar INR500 crores and for Guwahati INR450-odd crores. So out of this, how much capex we have already done? And what is remaining to be done in the fourth quarter? And what about the next year FY '25 capex ?

Tushar Bhajanka: So in Guwahati, we've already -- till December, we had spent about INR330 crores in erecting the plant. There is a capex of about INR55 crores more that we will be doing in quarter 4. This is for the Guwahati plant. Our expected cost, the capex that we thought for the Guwahati plant is now coming to be lower than what we had estimated earlier. So we had estimated I think about INR430 crores, [inaudible] INR400 crores.

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Yes. So I was saying that the capex that we had thought for Guwahati was about INR430 crores. We have -- we are going to finish the project and below that amount. The capex should be about INR385 crores, INR330 crores is already spent till December and INR55 crores would be spent in quarter 4 for this year. This is Guwahati.

And Lumshong, the capex was about INR1,300 crores. We had -- till December, we had already spent INR850 crores. In quarter 4, we plan to spend about INR200 crores. And in quarter 1 of next financial year, we'll be spending about INR200 crores. So in total, we plan to complete the Lumshong clinker project in INR1,250 crores versus the INR1,300 crores, that was expected.

Shravan Shah: Okay. And for Silchar, so the cost was INR500-odd crores. So how much we have spent? And is it also revised down?

Tushar Bhajanka: So Silchar, we have just focused on buying the land till now. So we have spent about INR20 crores in total and just buying the land, and we are taking out the permission. I think because cost of steel and two, three other items have reduced. So we would revise the capex downwards from INR520 crores to, I think, about INR450 crores, but I would need to confirm that with the team. So that would be confirmed in the next investor

call.

Shravan Shah: Okay. Got it. Now on the volume front. So we were looking at 13% to 14% kind of volume growth for this year than 9%. So the ask rate for the fourth quarter is close to 22 %-odd. So what's the revised number for the volume for this year? And once this Guwahati or clinker will start up. So next year, how can we look at in terms of the volume growth?

Vinit Tiwari: Okay. So Vinit Tiwari this side. So as far as growth is concerned, what we anticipated the growth in quarter 4 was not in line. I think the industry growth was quite subdued. And we can relate it to because the quarter 1 normally monsoon, which has seen early in Northeast didn't set early. So first quarter was almost 25% industry growth.

Quarter 2 industry growth was almost flat. And in quarter 3, Northeast industry growth was pretty subdued to around 3% level vis-a-vis that, we've been able to, in Northeast per se, we will talk about, we've been able to grow by close to 10%. And that's organization 7% because of the outside Northeast sector.

Going forward, if we are looking at definitely the growth somewhere we are expecting in quarter 4 to be in line with somewhere around 5%, 7%, maybe for the industry, and we expect to again close to around 8% to 10% in quarter 4. For next financial year concerned, since we are coming up with a 2 million ton Guwahati, which is all trial production as informed by the Deputy MD, that trial production already started. And for all purpose, that plant will start giving us material from 1st of March.

So next year, we have this 2 million -ton extra. I think we were quite strained for material during the year. If we talk about logically, we will sell every ton of cement has been -- every ton of clinker will get converted to cement, whatever we have produced this year, and we will be able to sell that before 31st March.

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So next year, we have additional volume. So we look forward to a pretty aggressive growth.

As far as Star is concerned, we will definitely look for a pretty aggressive growth, and we are very sure of doing a growth somewhere in the range of 18%, 20% next year.

Shravan Shah: Okay. That's great. Second, just a couple of data points, premium share for this quarter, lead distance? And how about the profit prices in January and till February?

Vinit Tiwari: Okay. So if you talk about pricing, so in case of Northeast, there has been an improvement in the pricing although outside Northeast, there is a drop in the pricing. So in Northeast in quarter 3, we'll talk about per se, and the pricing has improved by close to INR7. But outside Northeast, like in Bengal and Bihar, there is a drop in prices almost by INR15, INR20 drop in Bihar, and similarly, around INR20 drop in Bengal. So this is what we have seen vis-a-vis quarter 2.

As far as the premium percentage is concerned. So we have -- our premium percentage has improved to 6.5% vis-a-vis 4.5% of the same quarter last year. And the growth in premium in quarter 3 has been 47%. So that has been a focus area and the growth has been reasonably well yes. Lead distance has been 215.

Shravan Shah: Okay. And trade share was how much for this quarter?

Vinit Tiwari: Come again?

Shravan Shah: Trade share, for this quarter was how much? And our KKL fuel costs?

Vinit Tiwari: Okay, 87%.

Shravan Shah: And KKL for this quarter, fuel cost?

Vinit Tiwari: Fuel cost for this quarter has been 1.75.

Shravan Shah: And for next quarter, do we expect some further possibility of reduction?

Vinit Tiwari: We expect to be at around 1.7.

Shravan Shah: Okay. And fuel mix for this quarter, third quarter, how much was contracted coal Nagaland, biomass and FSA?

Vinit Tiwari: FSA was around 12%. Biomass was around 7%. Nagaland was 26% and spot option coal was around 55%. If I talk about [in audible] 13%.

Shravan Shah: Okay. And last

ly, for net debt, if you can give the number, net cash as on December?

Tushar Bhajanka: Yes. So currently, we are about INR116 crores in positive, so we do not have any debt. But what we see is that in quarter 4, we would have to take a debt of about INR150 crores. And in quarter 1, we'll have to take our debt of about another INR100 crores. In total, by end of quarter 1, we'll have a debt of about INR250 crores, which would need to be paid in the coming quarters after that.

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Shravan Shah: Okay, thank you and all the best sir.

Moderator: Thank you We have our next question from the line of Mangesh Bhadang from Centrum Broking. Please go ahead.

Mangesh Bhadang: Hi, good afternoon sir and thank you for the opportunity. Congrats on good set of numbers.

Sir, my question is on the market size of Northeast. So we are adding 2 million tonnes now and another 2 million tonne grinding in it later, in, say, in '25. So how fast can we ramp this up? Do we have to aggressively take market share from incumbent players to get that kind of volumes? Or do you think that the -- basically, that if the region grows at, say, 7% to 8% or even 9%, we would still be able to ramp up the plant faster?

Vinit Tiwari: Okay. So if you look at Northeast, there are players who are coming from outside who sell close to around 1.8 to 2 million tonnes of cement comes from outside while rig players who dump cement in Northeast primarily. Then there is a natural market growth. And from the STAR perspective, if you look at, we are very high on trade, so non-trade has been 1 segment which we have left.

Further non-trade, there are big projects which are coming up in Northeast which you all must be aware about are getting announced, some hydropower projects are coming up, some big, big bridge projects are coming up. So we expect that the institutional demand, which was also good in the recent past also. It should remain good and bad. And that is a segment which is slightly untouched for us, we will be getting aggressively into that segment.

Secondly, if we look into going forward as far as the volumes are concerned, we have these outside players whom we have not competed with. Reason for that has been the volumes which we had; we were selling that volumes. So we have opportunity to compete with them and to take that share as well. And lastly, surely, we have to take our market share from the existing players also because that's where our volume will come from.

Mangesh Bhadang: And sir, the related question to that is basically, we have seen that the demand in the Eastern region, specifically in Bihar, West Bengal, Jharkhand has been very low and that has resulted in since October, we have seen pricing slide in those regions. So has that influx increased compared to earlier that from east to Northeast?

Vinit Tiwari: No, I will not say it has increased rather if we talk about the recent past, it has decreased because rake availability also gets challenged in this period of time. So the 2 -point rates availability has been challenged. So the -- I think the influx -- if we talk about the recent past, it has been lower. Yes, it increased over the year, if you talk about there is an increase over last year in that volume. But in this quarter, we don't see that to be on a very high side.

Mangesh Bhadang: Okay. And sir, I think last quarter, we did -- our fuel cost was around INR1.9 per kcal, and which has come down significantly to INR1.57. So what changes to -- what was the key change here in terms of what...

Vinit Tiwari: It is INR1.75 not INR1.57.

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Mangesh Bhadang: It's INR 1.75, okay.

Vinit Tiwari: So we informed last time, we have our inventory, which now with the coal prices going down, the inventory is going down because of the lower price inventory is coming up.

So that's how it is placed.

Mangesh Bhadang: Okay, sir. Thank you . I will just come back in queue if I have any questions.

Moderator: We have our next question from the line of Cheragh Sidhwa from Emkay Global Financial Services Limited. Please go ahead.

Cheragh Sidhwa: Thank you very much. Am I audible?

Moderator: Yes, sir. You are audible .

Cheragh Sidhwa: Just a couple of questions. First one is our longer -term target. So in the previous call, we had indicated that post our commissioning the current capacities, we are eventually targeting a 20 million tonne kind of co oking in the next 10 years. So any colour on the same? Have we kind of indicated a road map or something on that?

Tushar Bhajanka: Yes. So I think we are still working on it, but I think we progressed fairly well in that direction. So we are currently work ing out on a mine in South and also a mine in North in Rajasthan. And I'm still unable to share the information because I think we are still in the talk. But it is going to be a greenfield expansion.

We will be buying the mines and then we'll be putting u p a plant or will be getting mines an auctioning and then we will be putting up a plant. So I can't shed much light right now because, I mean, it's a bit tricky at the moment. I think by next quarter, we should have a possession of at least 1 mine in eithe r of these locations, and we can then discuss more in detail about how we plan to grow. But yes, our target remains that in the next 7, 8 years, we'd want to be at 20 -- by end of this decade, we'd want to be a 20 million tonne something onboard.

Cheragh S idhwa: Sure. Sure. So mostly, it will be kind of an organic expansion, not looking for inorganic at the moment?

Tushar Bhajanka: Yes, because I think most of the inorganic opportunities, which are floating around in the industry are very big for our size. Some of the smaller players in South are at the moment not willing to sell. And there is no small player left in Rajasthan or East. So from that perspective, we are focusing on growing organically. Of course, the mines may be bought inorganically, but then we'll put up a greenfield plant plant in those locations. So this is what we'll working out on and this is broadly what we are progressing with.

Cheragh Sidhwa: Sure, sir. That was helpful, sir. And 1 more question, sir. While our granting unit is been commissioned 1st of March, while our clinker unit is coming from a month or so later. So where are we planning to source our clinker till that period during that gap? Because if I'm not wrong, our clinker capacity is more or less utilized at optimum levels . So till that time till our

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clinker gets commissioning and gets starting from where will be resourcing our clinker for the Guwahati grinding?

Vinit Tiwari: Okay. So if you look at as far as the Deputy has already informed, we are expecting 31st March our plan to start. So it's only a matter of a month 45 days. And I think we have conserved clinker during the year to take care of our production from that unit in the month of March.

Tushar Bhajanka: So we have about 1.8 lakh tonnes of clinker stock right now and are producing at full capacity

as we speak. So we do expect the stock to help us in running a new plant as well as the new plant will also not run at 100% capacity from the very start. It will take time to ramp up as well. So I think it should not be a problem. And in April, our new plant should start producing. So then the clinker shortage will not happen any which ways.

Cheragh Sidhwa: Okay. Sure. And sir, just lastly, if I may. On the prices, we saw North-eastern region witnessing INR7 to INR8 kind of a price increase in the third quarter. So what have been the trends for the month of Jan from Q3 exit levels? Are there a similar less or have you seen a decline? And similar for the other Eastern

regions from Q3 exit in the month of Jan?

Vinit Tiwari: More or less it is in a status quo situation. But in quarter 4, it's a INR5 - a bag pressure on prices to be there still be there. But more or less still now it has more or less it remained stable as it was industrial.

Cheragh Sidhwa: Thank you.

Moderator: We have a next question from the line of Uttam Kumar from Axis Securities Limited. Please go ahead.

Uttam Kumar: Thanks for the opportunity, sir and congratulations on very good set of numbers. My question pertains to Siliguri unit. So sir, what was our capacity utilization during this quarter for this unit?

Vinit Tiwari: Our capacity utilization was around 47%, 48%.

Uttam Kumar: Okay. Sir. And how do you see the spending out in quarter 4?

Vinit Tiwari: In quarter 4, it will be better. I think it should be at around 52%.

Uttam Kumar: Okay. This is normally in this plant has not been operating more than 60% last March, it was around 60%. So when can we see the capacity placing of this plant is going -- moving ahead?

Tushar Bhajanka: I mean we did not try to grow in east East outside Northeast much because we had a shortage of clinker. And outside Northeast is a low price zone for us where we do not earn as much margins because 1 thing is the price reduces.

And the second thing is that the logistics cost is also high for us. So our margins are very low and outside Northeast. So that's why we never try to utilize our remaining clinker to grow

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outside Northeast once we get the clinker plant we'll definitely start pushing our material outwards as well, and then we can see a better utilization of LCO.

Uttam Kumar: Okay. And sir, we were also looking to develop logistics for flyers transportation for the Siliguri unit. So what is the status on that?

Vinit Tiwari: The project is underway since it requires some permission from railways. So the work is on. And very soon, we will be -- we are expecting those permission to come in. Once those permission comes in, I think then we will be able to place the orders for those wagons and which has a lead time of close to 10, 12 months to get. So we are expecting that project to get commissioned by April next year only.

Uttam Kumar: Okay. And sir, what is the status of AAC Block in Guwahati?

Vinit Tiwari: That project is also on. I think the land work has been completed. Machinery all orders have been placed. And we are expecting that project also to commission by August.

Uttam Kumar: August of this financial year?

Vinit Tiwari: This financial year.

Uttam Kumar: And sir, what is normal margin that we get in AAC by seeing AAC Blocks?

Tushar Bhajanka: So the margins in Northeast are very healthy because right now, there is a shortage of AAC Blocks in Northeast the capacity that we're coming up with and the technology that we're coming up with will allow us the margin of about 25%. And the ROC of that project would be about 20%.

Uttam Kumar: Okay. And sir, you said our premium cement is around 6.5% this quarter. So how do you see this premium -- portion of premium cement moving ahead? I mean, 10% -15% in how much time you are planning for that?

Vinit Tiwari: I think premium agenda is one of our core agendas and rather one of our biggest agenda for our volume push as well. So from where we stand today, we look forward to double ourselves by the end of next financial year.

Moderator: We have our next question from the line of Aditya Chheda from InCred Asset Management.

Aditya Chheda: So I have two questions. One, if you can quantify the incentive structure, which you are supposed to accrue from the new plants, which are due to commission soon? And if there are any other internal efficiencies which are going to help the overall EBITDA per ton for the company? And if you can quantify the same for me?

Tushar Bhajanka: Yes. I know

ow. I think it's a good question. So basically, we are supposed to get SGST benefit in Guwahati, the new grinding unit. So first, we'll have to adjust the input credit of the capex that we did in Guwahati plant. That if we suppose commissioned the Guwahati plant by 1st of March, in the first 2 to 2.5 months, it will take to utilize the input credit that we'll get on the SGST that we spend on the project.

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After that, we'll start getting the SGST benefit, that is subject to 200% of the fifth capital investment that we make in the grinding unit. And it would be per ton, it would be about INR800 per ton of benefit and that will get on about 2 million tons, which is the capacity of the new grinding unit. So, that basically would mean that on a yearly basis we would get about INR150 crores to INR160 crores of SGST benefit from that plant for the next at least five, six years. And this would also be true for the Silchar plant whenever it comes.

The second would be that in the clinker plant, we are expanding in the clinker in SCL, which is the mother company and we are going from 0.8 million tons, which is the current capacity of SCL to a 3.3 million tons we're adding. And on the 3.3 million tons till 2027, we should be getting IGST benefit on the clinker, which would materialize to about INR300 on the clinker -- INR300 per ton on the clinker on that volume that we produce, which is with the new capacity, it will be about 3 million. So this is -- these are two subsidy benefits that we are getting.

In terms of the efficiency, the new clinker plant would, of course, have a lower heat rate than the two lines that we have currently. Right now, we expect the heat rate to fall by about 40 to 45 Kcal to about 690 to 700 heat rate. And we also expect some savings on the power because again of new technology and the size. And then we also expect some savings on the fixed cost as we'll be not operating the smallest plant and operating the biggest one, which will have some synergies in terms of manpower and administrative costs.

So these are the synergies that we expect from the cost side. The other synergy that we expect from the cost side is also that during season, we have to normally dispatch from our Siliguri plant and Lumshnong plant to compensate for our Guwahati plant because of the capacity constraints. So with the new capacity come in Guwahati, we will also have the advantage that we can serve the market from L1 location, and we do not need to necessarily make divisions there because of capacity constraints. So I think that will also have an indirect benefit in the costing.

The third main benefit is in taxation. So our Guwahati plant will be coming under, it will be commencing before 2024 March, and it will be getting our taxation benefit in the sense that it will be at a lower tax bracket, not 25%, but 17%. And most of our profit would be actually 50% or 40% of our overall profitability coming from the new Guwahati plant because of the subsidy and because we'll be utilizing that at full capacity and taking care of our own plant. So from that perspective, there will be also a benefit in the taxation that we see. So these are the three main benefits that we see with the expansion.

Besides, of course, the fact that we can grow as Vinit ji said, that we'll be targeting a 20% growth. So that is, of course, the main reason why we expanded, and that benefit will come. But these are the other side benefit that will help us.

Aditya Chheda: Perfect. Thank you for the elaborate answer. Just one clarification, the SGST benefits, the cash accrues with a lag or how does that work if you can just...?

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Tushar Bhajanka: It was through the quarter lag normally. So suppose this quarter's GST would be received after a quarter. So right, there's normally a three, four

months lag. But in the past also, we've been

very efficient in making sure that we do get the money in our bank.

Moderator: We have our next question from the line of Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar: Congratulations on good set of numbers. Sir, the first thing, I just wanted to clarify that the SGST benefit of 200% at Guwahati, you said INR100 crores to INR150 crores benefit over five to seven years. Is that correct?

Tushar Bhajanka: No, I said INR150 crores benefit every year for the next five to seven years from Guwahati plant alone and then also the same will be repeated in the future plant from next year onwards.

Parth Bhavsar: INR150 crores annually for five to seven years. Perfect. Okay. And sir, just wanted to know what sort of incentives did we accrue during the quarter?

Tushar Bhajanka: If in the quarter, we have just accrued INR6 crores from the IGST benefit in the SCL plant, which we get on the clinker.

Parth Bhavsar: Okay.

Tushar Bhajanka: And just to also -- sorry, just on that point, I would like to clarify that we have done an EBITDA of INR153 crores versus INR120 crores last year same quarter even though last year, we had a subsidy benefit of INR38 crores, which is only INR6 crores this quarter. So the profitability, if you look at on operational basis has actually gone from INR85 crores to INR86 crores to INR147 crores. If you look at the operational EBITDA. So I think from that perspective, there is a sizable increase in the EBITDA when you actually exclude the subsidiary benefit, which was there last year, which was not so much there this year.

Parth Bhavsar: So the IGST benefit was clinker unit -- clinker and SCL, you said?

Tushar Bhajanka: Yes. That was the IGST, which was only INR6 crores. And last year, that the overall benefit was INR38 crores.

Parth Bhavsar: Okay. So everything that we see is from the operations itself? Okay.

Tushar Bhajanka: Yes. Everything broadly is from operations.

Parth Bhavsar: And sir, when are these benefits getting exhausted at the IGST benefit of INR6 crores, is it getting exhausted anytime soon?

Tushar Bhajanka: No, getting exhausted in 2027 end.

Parth Bhavsar: 2027 end. Okay. Great. And sir, one other question I had on the existing and the announced capex capacity that you've announced. Just wanted to understand what are the lower-hanging fruits in terms of brownfield expansion, if you want to go for the 20 million tons of capacity. Are there any low-hanging fruits in terms of brownfield expansion?

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Tushar Bhajanka: So I think because we have already taken so much capex in Northeast, putting up a 3.3 million ton clinker plant and 4 million tons of grinding unit. I think for the next four years or five years, we would not need any expansion in Northeast. Of course, we will be looking -- we'll already be planning to set up our new location for the clinker plant, and we'll start with that work.

For the next four years, I do not -- I do not think there will be a requirement for more clinker. So the natural progression would be to step outward. And we are looking at mines in south, like how I said those will be like greenfield expansion. I don't think there's any soft easy answer to that. I think we'll have to go for greenfield expansion, and we'll have to grow outside Northeast as well. Of course, with healthy cash flow coming from northeast.

Parth Bhavsar: But like I understand that you won't go for any expansion in Northeast over the next five years. But like do you have like such opportunities in like future, the market grows in Northeast or East. Do we have such opportunities?

Tushar Bhajanka: I mean, if the market grows, then definitely, I mean, we want to grow with the market and you want a 30% market share in Northeast. That is very, very clear. Right now, we were having about 24%, 25%.

We are aiming at a 30% to 32% market share in Northeast, right. I mean, if the market grows more than that if there's more infrastructure spend in the Northeast than what it is right now. We'll definitely want to grow and make sure that we are there to utilize that opportunity as much as possible, right.

We are also open to having inorganic growth opportunity in Northeast as any of the smaller players who want to sell. But right now from our understanding, no one really wants to sell. So from that perspective, I think we'll definitely be up for it whenever the opportunity does come.

Moderator: We have our next question from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, just a couple of things. First, in terms of the once this clinker and the grinding will start by March. So the next year, when we are saying 18%, 20% kind of growth. So, how one can look at in terms of the first year utilization so because this is also connected to the incentive that we are looking at INR150 crores and INR160-odd crores? So is it fair that in the first year, we can have a closer to 50% kind of utilization and by next year, we can have about 70%, 75% kind of utilization?

Tushar Bhajanka: So I think one thing is that the subsidiary benefit is not linked to how we utilize the new capacity right, I mean because we can always produce from a new plant, the existing volume. So I don't think it's connected to the subsidy. But to just answer your question, the utilization of the new capacity, for suppose we're setting up 3 million tons, a 3.3 million ton clinker plant. So we plan to utilize that plant at about 50% capacity.

Most of the utilization will come from the sale of cement because we plan to grow at about 20%. And some of the growth -- some of the utilization will come from selling clinker.

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Shravan Shah: Okay. Okay. So -- and then at the grinding level, also the similar kind of 50% kind of utilization one can look at. So from 2 million ton, one can look at a 1 million ton kind of volume?

Tushar Bhajanka: Yes. So I think the target that we are setting is of about -- if we talk about if you plan to do about 4.4 million tons this year, and we're talking about a 20% growth, then we are talking about more than a 1 million ton growth in the cement production as well, right? So we are talking about 1.2 million to 1.3 million ton growth in the cement production. So that will, of course, come from a grinding unit in GGU because we do not have capacity in Northwest otherwise.

So we plan to utilize the new capacity of GGU by about 60% to 70%. And overall capacity utilization will be higher because other plant -- other grinding units, we are utilizing any which ways.

Shravan Shah: Okay. Got it. So even if -- as you mentioned, just to clarify again, even if we, let's say, utilize 50% clinker and 60%, 70% grinding. So despite that, the incentive, INR150 crores, INR160 crores will definitely will outflow into the P&L?

Tushar Bhajanka: No, agreed. Because what we do is that we'll -- because we also have to take some shutdown in our old plant, right, because we need to do some repair work. So what we do is that even the volume which is the whole plant is doing, we'll start doing from a new plant.

Shravan Shah: Okay. So I was trying to understand, will it -- let's say, if we have a 1.2 million, 1.3 million ton volume from the grinding unit. So as GST benefit, INR800 per ton will be multiply to that? Or is it -- because you mentioned...

Tushar Bhajanka: No, what I'm going to say is that the new plant will be operating at full capacity, right? The old plant will be operating at 1.2 million ton capacity. GST benefit any which ways.

Shravan Shah: Got it. And second, any -- I understand that it is too early, but in terms of your Rajasthan greenfield -- broadly, if you want to understand, will it be a kind

of only max to max kind of a

2 million ton kind of a capacity that in the first phase, we can think of to go ahead with?

Tushar Bhajanka: Yes. So I think I said that we are looking at opportunity very closely in South and Rajasthan. We are yet to lock at least one of the two opportunities. So if we do lock that opportunity, we are looking to grow -- we are looking to put up a 2.5 million ton clinker plant and simultaneously the grinding units accordingly, right? So yes, you can be looking at around that kind of capex happening in the next two, three years, yes.

Shravan Shah: Okay. So broadly, in terms of how one can look at, let's say, 2.5 million ton clinker and maybe a 3.5 million, 4 million ton is grinding if we are looking at this, will it be closer to kind of INR2,500 crores kind of a capex that one can think of because it is a greenfield?

Tushar Bhajanka: Yes, it will be about INR2,500 crores kind of capex for the year. Over the next 2.5 years, it will be a INR2,500 crore capex.

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Shravan Shah: Okay. And anything broadly for this quarter, if somebody looks at definitely -- so now the incentive will be start showing in P&L, our profitability will start again still improving from here on. But for the third quarter, if I have to look at in terms of the profitability, Northeast versus East where -- because last quarter, we have talked about it is kind of a INR300 kind of profitability in the outside Northeast. So was the number same for this quarter?

Tushar Bhajanka: Yes. So the numbers were about INR300 outside Northeast and about INR1,700 -- INR1,800 in Northeast and INR300 outside Northeast.

Moderator: We have our next question from the line of Rajesh Kumar from HDFC Securities. Please go ahead.

Rajesh Kumar: Congratulations on good set of numbers. My question pertains to first this outside Northeast expansions which you're talking about and probably 10 million ton capacity enhancement over next four to five years. And because this would largely be greenfield. So 10 million ton would entail around INR8,000 crores capex. And how do you plan to fund this? Because that could be quite sizable from the current balance sheet and the operating cash flows with the company would be making from the Northeast operations?

Tushar Bhajanka: Yes. So I think we plan to add about 10 million ton besides the plan that we've already been working on. That's the target for 2030, so we have about six years. So I think a function of it is, of course, our own accruals, which we think are going to be very healthy in the coming years, right, because of the GST benefit because of the market in Northeast because of all the efficiencies which will come along with the new capacities. And the other would be other ways of raising finance, right, which may be at some point, raising money from the market, depending on the opportunity and the size of opportunity which comes.

As a family, we are very flexible in availing those opportunities, and we do not want to hamper the growth of the company for the lack of finance. So whenever we do need finance, we'll

make prudent choices in financing it. So that the company is risk free. At the same time, we are able to march towards what we targeting.

Rajesh Kumar: Okay. And sir, in the -- you talked about incentives on the both the grinding units. But on clinker plant, is there any clarity which has come through what sort of incentive may accrue when you commission it by March end, and for next financial year, one should look at?

Tushar Bhajanka: Yes. So I think we are looking at a benefit of INR300 per ton on the clinker that we produce from the new clinker plant. And what we would try is to make sure that we utilize the new clinker plant as much as possible, not only because of the benefit, but because it is more efficient to run the bigger clinker plant rather than the smaller ones.

Rajesh Kumar: Right. So it is on a production basis only, right, and not to which unit where you are selling this clinker to?

Tushar Bhajanka: No, it is based on the production only.

Rajesh Kumar: Okay. And Silchar -- the incentive would be linked to sales in?

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Tushar Bhajanka: No, this will be linked -- this is GST benefit.

Rajesh Kumar: Correct. No, clinker, I understood. The Silchar grinding unit next year which comes into...

Tushar Bhajanka: Silchar would be linked in Assam as well. So that would be a GST benefit in a sense.

Rajesh Kumar: So how do you -- how are you looking at the Assam market? Because you have 3 million ton, which you would be ramping up? And what is the market size of Assam market and for you to maximize the benefit, how much sale you need to...

Tushar Bhajanka: So this year, for example, we'll be doing about 18 lakh ton of sales in Assam alone. The coming financial year, I'm targeting to grow by about 20%.

Rajesh Kumar: Around 2.2 to 2.3.

Tushar Bhajanka: Yes. So 2.2, 2.3 it will reach to, right? I plan to get the grinding unit in the next financial year - next to next financial year, right?

Rajesh Kumar: FY'26 end it will be there.

Tushar Bhajanka: Yes. So FY'26 September, it should be there, August to September, right? So by that time, my sales should be about 2.6 million ton in Assam alone.

Rajesh Kumar: And what would be the market size of Assam?

Tushar Bhajanka: The market size of Assam is about 65% of the Northeast market.

Rajesh Kumar: Which would be 5 million ton; 4 million ton, 5 million ton.

Tushar Bhajanka: 7 million to 7.5 million ton.

Rajesh Kumar: Total market size you're saying, right?

Tushar Bhajanka: Yes, over time, yes.

Rajesh Kumar: No, Assam, you're saying 7.5 million ton or Northeast is how much you are looking at?

Tushar Bhajanka: Northeast is about 13 million ton.

Rajesh Kumar: 13 million ton, okay. So 7.5 million ton. And there you are looking to charge at around 2.5 million, 3 million ton if you're optimizing more the units?

Tushar Bhajanka: Yes.

Rajesh Kumar: So 30%, 35%. So you're not going -- looking to corner out significantly and hence, less risk to your numbers, right?

Tushar Bhajanka: I'm sorry?

Rajesh Kumar: No. The market size is good enough for you to efficiently sell your volume?

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Tushar Bhajanka: Exactly. And market is also growing.

Rajesh Kumar: Market is growing from that perspective I was looking at it. Okay. And lastly, this Q4, your incentives from the existing clinker unit, beside GST benefit will be going away, right? And next year, you will have only the major incentives from the new units?

Tushar Bhajanka: No. So I mean all the incentives which had to go are already gone. The incentives that we have of GST, which was about INR60 crores will continue till 2027. It is the same benefit which is continuing in the new clinker plant also because the new clinker plant isn't the same company as the existing one. So the same benefit is actually passing on to the new clinker plant also and that clinker plant will also have the benefit till 2027.

Moderator: That was the last question for today. I now hand the conference over to management for closing comments. Thank you, and over to you.

Tushar Bhajanka: So I would just like to thank everyone for asking questions, for showing the interest in the company and for following up with the company over a few last two years, and we look

forward to having more calls and more questions from you next time. If there's any question, any query that one has on the results, they can definitely reach out to the CFO , and they can ask their query, happy to answer. Thank you.

Moderator: On behalf of Emkay Global Financial Services Limited, that concludes this conference, and y

ou may now disconnect your lines. Thank you.

Call: May 2024

Date: 27th May, 2024

To,
The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G
Bandra Kurla Complex, Bandra -East
Mumbai -400 051

Stock C ode: STARCEMENT
To,
The Listing Department,
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai -400 001

Stock C ode: 540575

Dear Sir(s) /Madam(s) ,

Sub: Transcript of the Conference call for Audited Financial Results for the Quarter and Year ended 3 1st March, 2024

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the Transcript of the conference call with Investors and A nalysts held on Wednesday , 22nd May, 2024 for Audited Financial Results for the quarter and year ended 3 1st March, 2024 .

The same shall also be available in web site of the Company at

[https://www.starcement.co.in/investor/earnings -call](https://www.starcement.co.in/investor/earnings-call)

This is for your information and record.

Thanking you,
For Star Cement Limited

Debabrata Thakurta
(Company Secretary)

DEBABRAT
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DEBABRATA THAKURTA
Date: 2024.05.27
11:51:50 +05'30'

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"Star Cement Limited Q4 FY-24 Earnings Conference
Call"

May 22, 2024

MANAGEMENT : MR. TUSHAR BHAJANKA – DEPUTY MANAGING
DIRECTOR , STAR CEMENT LIMITED .
MR. VINIT KUMAR TIWARI – CHIEF EXECUTIVE
OFFICER , STAR CEMENT LIMITED
MR. MANOJ AGARWAL – CHIEF FINANCIAL OFFICER ,
STAR CEMENT LIMITED .
MODERATOR : MR. VAIBHAV AGARWAL – PHILLI PCAPITAL (INDIA)
PRIVATE LIMITED .

Star Cement Limited
May 22, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call for Quarter and Year Ended 2024 of Star Cement Limited hosted by PhillipCapital (India) Private Limited .

As a reminder, all participants will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited . Thank you and over to you.

Vaibhav Agarwal: Thank you, Yashashree . Good evening everyone. On behalf of PhillipCapital (India) Private Limited we welcome you to the Earnings Call for the Quarter and Year Ended 31st March 2024 for Star Cement Limited.

On the call we have with us Mr . Tushar Bhajanka – Deputy Managing Director; Mr. Vinit Kumar Tiwari – *Chief Executive Officer ; and Mr. Manoj Agarwal – Chief Financial Officer of the Company .

At this point of time, I will hand over the floor to Mr. Manoj Agarwal for his opening remarks and which will be followed by interactive Q&A. Thank you and over to you Manoj sir.

Management: Yes, Mr. Tushar Bhajanka will give the opening remarks , then I will provide you the details of the numbers .

Management: Good evening all . My name is Tushar Bhajanka , and I am the Deputy MD of Star Cement . I would like to welcome you all to the Earning Call of Quarter Four. I have the CEO and CFO, of the company with me.

The CFO will give out the numbers of Quarter 4 , and then we can have a Q&A session. Thank you.

Management: Hi friends, v ery good evening . I on behalf of Star Cement Limited welcome you to all our Concall for discussing our number of Q4 FY24 and full year FY23-24.

I would like to clarify that we are discussing on the historical numbers and there is no invitation to invest. Having said that now, I will just take you through the Q4 number followed by the full year number .

Starting from clinker production during the quarter ended March 24 we have produced 6.93 lakhs ton of clinker as against 7.78 lakhs ton same quarter last year. So, far as cement production is concerned we have produced 13.88 lakhs ton this quarter as against 12.51 lakhs ton same

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quarter last year . As you are aware we have successfully started commercial production from our newly commissioned cement grinding unit of 2 million tonnes per annum capacity in March 24.

Now, I will take you through sales volume :

During the quarter we have sold 13.87 lakh ton of cement as against 12.35 lakh ton of cement and 0.24 lakh ton of quarter there was no clinker sale. There is a growth of 12% in the cement itself. This is as far as cement and clinker sale is concerned.

As far as geographical distribution of cement is concerned, we noticed we have sold around 10.40 lakh ton as against 9.12 lakhs ton d uring same quarter last year . And as per Northeast is concerned we have sold 3.48 lakh ton of cement this quarter as against 3.23 lakh ton same quarter last year . In terms of blend mix it is almost same 10% OPC and the rest is PPC . These are the quant itative numbers of the quarter.

Now, I will take you through the financial . The total revenue figure this quarter is around Rs.914

crore as against Rs.829 crore same period last year. As far as EBITDA figure is concerned , the quarter we have done an EBITDA of around Rs.188 crore as against Rs.179 crore last year. Profit after tax is Rs.88 crore as against Rs.96 in same period last year. On per ton EBITDA front it is 1329 during this quarter as against 144 8 per ton same quarter last year. This is what our quarterly numbers for 4th Quarter .
Now, the total reven

ue figure for FY 24 is around Rs.2911 crore as against Rs.2705 crore last year. As far as EBITDA figure is concerned in FY 24 we have done an EBITDA of around Rs. 583 crore as against Rs.520 crore last year. Profit after tax is Rs.295 crore as against Rs.248 crore last year. On per ton EBITDA front it is Rs. 1312 during FY 24 as against Rs.12 97 per ton last year. These are the quarterly and yearly numbers.

Now, I request all of you that if you have any query, you can ask the same and I will request Vaibhav to moderate the query wherever it requires. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, just a couple of data points first and then the question . Trade mix, lead distance for this quarter and the fuel mix ?

Management: On trade mix, Quarter 4 we were around 84%, 85% trade , in round 1 5%, 16% in non -trade . As far as lead distance is concerned it was 227 kilometer .

Shravan Shah: And in terms of the fuel mix for this quarter spot contract coal Nagaland and biomass and FSA ?
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Management: Okay . Our FSA was around 4% , biomass was around 10% , Nagaland was around 36% and a spot contract coal was around 50%.

Shravan Shah: And then KKL cost for this quarter was ?

Management: Come again please.

Shravan Shah: KKL cost for this quarter Q4?

Management: The weighted average cost for fuel was 1.7.

Shravan Shah: 1.7, so any further reduction possible from here on?

Management: So, we expect for the coming year because we have signed a FSA contract with Coal India for the next 10 years, where we have locked 3.6 lakh tonnes of coal at about Rs.1.5 GCV. So, we do expect that the contract of course reduce our weighted average cost and we will substitute our more expensive coal to now this FSA . So, our target for the coming year is about Rs.1.55 per GCV weighted average .

Shravan Shah: Okay. And then this will start from the Q1 itself ?

Management: This should start reflecting from Quarter 1 and, because we just signed our contract beginning of this month, the quarter start coming from May onwards. So, partially in Quarter 1 and then fully see the effect .

Shravan Shah: Okay. S ir, now particularly on the volume front, so previously we say 18 % , 20% so now the clinker 3.3 2 MTPA grinding has also started. So, how are we now looking at the same kind of a 20% kind of volume growth and also if you can help us how far in last one and a half month or two months in this April, May how does in terms of the demand is ?

Management: So, the demand has not been very great, I will say it was reasonable demand, but it was not something which we can think about some say that it is great. So, as far as our mix is concerned, you are right. Now, we have clinker with us and as we are going ahead in this year, so obviously we will be focusing on the segments specially the institutional segment, which we had a pretty less percentage. So, that will be a big segment for us as far as volume gain is concerned so, the percentage of instit utional sale will surely go up.

Management: And just to add that, we had gotten the clinker plant and in the third week of April, but we had some technical difficulty with the plant they took one or two more weeks to properly, getting finger out of it. So , we had to buy clinker from outside in the month of April and also some part of May. So, that of course in Q1 will have a negative effect and that is also the reason why we did not push as much because we were running on bought clinker but , now that the plant is
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running and it's picking up we are able to operate it at a good TP H. So, we are building up the stock and the problem of shortage of clinker that we face d i

n Q1 would not be there in Q2
anyway .

Shravan Shah: Okay . So, just to come back to normal , in terms of the summary so in Q1, if it's possible if you can help for the full year, how, in terms of the volume growth we are looking at . Previously, we

say 20% and then maybe if you can help us in terms of the incentives that will be flowing from the Q1?

Management: Yes, so we are still looking year round, we are still looking at a 20% growth. So, that stays the way it is. On the incentive part, first our GST credit that we had spent in a new project will get adjusted. And then from Q2, the GST benefit will start hitting our books, because right now we are just adjusting for the GST that we paid in the CAPEX that will first get adjusted and from Q2, once it's adjusted, it should be adjusted by the first week of July. And then we will start getting the benefit of the GST which should be in quarter two. So, both the benefit of clinker as well as the benefit of subsidies, would start accruing to us from quarter two. We can see it in the books in quarter two, it will clearly start reflecting in quarter two.

Shravan Shah: Okay. So, previously what we said Rs.300 per ton GST benefit, IGST on the clinker and Rs.800 for the grinding unit. So, for the grinding, we were looking at Rs.150, Rs.160 odd crore, so that will remain intact?

Management: Yes. So, that will remain intact it's just that because we will start getting the benefit in Q2. So, it will just start affecting Q2 Results properly. So, from Q2 Results, you should clearly see that there is this jump in the EBITDA per ton because of those reasons.

Shravan Shah: And sir, lastly on the pricing and the cost, so net, net from Q1 can we see any because this clinker starting so in terms of any increase in the OPEX cost in the Q1 and then how it will start reducing from the Q2 particularly cost and So, net, net how much cost reduction are we looking at that is one and in terms of the pricing. So, current prices, versus the 4th Quarter average is how much lower both in Northeast and outside Northeast?

Management: So, in terms of cost, of course the cost has increased, because we were commissioning a plant and consume extra fuel and parameters for heated and all those things kind of take a toll. So, by Q2 we should be able to reduce and stabilize our cost and at the same time operate the new kiln at efficiency of course, the kiln is bigger so, the heat rate and other parameters would be lower in the kiln and so, there should be a long-term saving from operating the kiln. In terms of price, the price at Northeastern has broadly been stable, whereas the price outside Northeast which is Bengal and Bihar has seen a drop which is common across everyone, every player in the East. So, there is a drop of about Rs.300 in prices outside Northeast.

Shravan Shah: So, this 300 is from the average of the 4th Quarter or the March segment you are saying?

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Management: This 300 is from the average of the last quarter basically Quarter 4.

Shravan Shah: Okay. And lastly on the CAPEX front. So, how much we have already spent both on clinker and this grinding 2 MTP A and what is left on the 2 MTPA grinding Silchar and net, net total FY25 and 26 CAPEX?

Management: Sorry, can you repeat the question?

Shravan Shah: I am saying how much we have spent on 3.3 MTPA clinker, what was previously we were looking at Rs.1250 odd crore and for Meghalaya 2 MTPA grinding unit Rs.385 crores. So, how much out of that we have already spent and what is left to be spent in this year and the remaining 2 MTPA Silchar grinding how much we have spent and how much is left to be spent in FY25 so, put together everything the solar CAPEX net, net FY25 CAPEX is how much?

Management: So, we were supposed to spend about Rs.1250, till date we have spent about Rs. 1035 crores. There is

another Rs.150 crores, Rs.200 crores which will be spent on the clinker plant. So, in total we will be around the Rs.1250 crore number because there is still some CAPEX in terms of silos and all those things which are left in the clinker plant. So, the overall number would be about Rs.1250 crores as we had indicated. In Silchar grinding unit we have till date only spent Rs.22 crores, in FY 25 we plan to spend Rs.300 crores in this Silchar grinding unit. So, most of the CAPEX for the grinding unit will take place in FY 25. And some part of it will take place in FY26. Today in the Board we had also discussed and decided that we want to put a plant in Jorhat which is upper Assam. So, that would be a fresh CAPEX and the CAPEX could be of about Rs.450 crores which will be spent in the next two and half years and we expect to commission Jorhat plant in the next two years, as we have just started buying the land for it. So, for FY 25, the overall CAPEX is expected to be about Rs.1000 crores. This also includes a lot of operational CAPEX, it includes the group captive solar, it includes AAC Block and the BTAP and it also includes our own fleet that we are expanding now. So, it includes a lot of CAPEX, which will of course give us their own returns. So, in FY 25 we expect Rs.1000 crores investment.

Shravan Shah: Sorry, sir I need a clarification both on this the new expansion Jorhat Rs. 450 odd crore, so what's the grinding capacity of that and this Rs.1000 crore if you can split it where we are likely to spend that would be helpful sir.

Management: So, the Rs.1000 crores if I give a split of it. So, in the Rs. 10,000 crores about 20 crores would be spent in the clinker plant, just for starting the silo with another immunities that we need to create in the clinker plant. About Rs.300 crores will be spent in Silchar grinding unit, about

Rs.65 crore would be spent on AAC Block and adjacent construction chemical plant about Rs.30 crores will be spent in Jorhat for acquiring the land for the grinding unit. The BTAP, we will be spending about Rs.68 crores that will be to set up BTAP systems in Guwahati as well as in Siliguri. Group captive we will be spending about 30 crores and for operational CAPEX which are related to plant we will be spending about Rs150 crores.

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Shravan Shah: And the Jorhat capacity will be sir how much?

Management: Sorry?

Shravan Shah: Jorhat, Assam new plant capacity ?

Management: That will be 2 million .

Shravan Shah: 2 million and that will be in FY 27 will come?

Management: Yes.

Moderator: Thank you . The next question is from the line of Jyoti Gupta from Nirmal Bang . Please go ahead.

Jyoti Gupta: I would like to understand what is the demand environment now in the Northeast . And the pricing as well , mechanism how is it playing out and how do you think substantial capacity addition is coming out . How do you see the market dynamics changing for you with competition intensifying in the next two to three years in the Northeast as well as the markets where you are coming up new capacity ?

Management: So, the demand right now a decent Q1 is a bit subdued , that is mainly because of the election and Eid which happened in April. And also, even the election which is now also carrying on in May. So, demand is a bit subdued because of those reasons , the price is broadly stable. And the competition in the next one or two years so for the one year we are the only one who actually are getting a clinker plant in Northeast . So, for the one , one and a half years there would be some stability in terms of the profitability, and it will be growing. And there will also be a good margin in selling clinker for the next one, one and a half years. And then , how the competition behaves after two years would just depend on how the demand is and how is the supply demand situation

in Northeast.

Jyoti Gupta: I am talking about organic expansion, I am talking about acquisitions which would likely, which would happen by other players who might be buying our plants because there is enough supply in the Northeast market, so obviously this competition will intensify doesn't mean when I took over the greenfield project, acquisitions can also happen and plus with you increasing your share in the non-trade segment, will that not impact your margin , your realizations as well going forward ?

Management: So, first of all on the expansion part sorry, on the inorganic mergers acquisitions and all those things, there's nothing really Northeast to acquire, there's nothing really available. So , I don't know what acquisition are you talking about . Because I don't think there is anything available in Northeast, which is materially sizable and which is ready for sale . So, for a hypothetical situation

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where they may be a merger and acquisition, then the situation will be different. We haven't studied that situation yet. So, we can't really comment and what was the other point sorry?

Jyoti Gupta: Other point was your

Management: Non trade margin right?

Jyoti Gupta: Yes.

Management: Yes, so non-trade definitely as we ramp up the non-trade sales, the margins in non-trade may reduce naturally, but at the same time, what we are expecting is to grow in trade as well, because we are 85% trade. So, if you want to show a 20% growth we will have to show a good growth in trade as well. So, what we are really trying to do a 360-degree push where we are also pushing outside Northeast, we are also pushing in non-trade, but at the same time, we have to be very central to our core which is trade in Northeast. So, we are of course going to make sure that we are first pushing on trade the second , that on an absolute level we are able to earn much more profit and then also maintain the margin per ton basis, we will be able to maintain the margin because there are a lot of benefits and subsidies and other benefits of operating a bigger kiln, of not deviating L1, not having logistic deviations because of shortage of grinding availability . So, all those problems that we used to face earlier we will not face this year. So, there are also some benefits that will come and the margin should broadly be increasing only it should not be decreasing.

Moderator: Thank you. The next question is from the line of Giriraj from MDM Tradecom. Please go ahead.

Giriraj: So, firstly you just pointed out where there is an expansion of about Rs. 1000 crores in the current year. So, can you have a break up on how this would be funded , because already the company

has started taking about 82 odd crores of loan in the current year So, how do you plan to fund this Rs.1000 crore?

Management: Yes, so what we expect is that, this year we think about 750 crores would be our own cash profit generation that we will have so, that will broadly fund majority of the Rs.1000 crore and then rest would be a bit of debt. So, this is just a loan that we will take So, we have about Rs.70 crores of debt, and we will probably take about Rs.200 crores of more debt by the end of the year so maybe about Rs.300 crores debt.

Giriraj: Okay. And as far as benefit part is concerned for the GS T benefits, what is the kind of expected the number that we can expect , benefit in the current year for FY 25, what is the kind of benefit that the company has to realize ?

Management: In terms of per ton or in terms of absolute number ?

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Giriraj: In terms of absolute number .

Management: In terms of absolute number, it would be about 150 to 1 60 crores.

Giriraj: Okay. And as far as Silchar plant is concerned, so the land acquisition has been completed if I am not wrong ?

Management: Silchar p

lant?

Giriraj: Yes.

Management: So, for Silchar plant the land acquisition is almost 90% complete, we just need to buy some parcels here and there. We have already got the TOR from the MOS, we will be having a public hearing in one and half months, we will hopefully get it cleared. And after that we will start commissioning the plant from September , October onwards. And by November and December next year, we should be able to get the plant running .

Giriraj: So, Q3 FY26 we should be operational right?

Management: Q3 FY26, yes we should be operational.

Giriraj: Okay. Sir, what's the overall situation as far as the Siliguri plant is concerned and what is there been the company has been speaking for the last two, three quarters on cost cutting measures out there. So, what's the update on that?

Management: So, the Siliguri plant has grown in terms of cost efficiency, it has reached it's, it has become much more efficient than it was. It's stabilized very well , but the prices outside Northeast are low and they have actually decreased, which I am sure is clear from other investor calls of other companies as well. So, from that perspective the profitability of Siliguri is of course, it's profitable but at the same time, it really depends on the prices as well, which are not in our control. And the utilization, we do plan to ramp up Siliguri now, because we have clinker earlier we were not ramping it up because it was not, because we had shortage of clinker and we didn't want to buy clinker for Siliguri . Now that, we have clinker we plan to operate it at about 16 lakh tonnes like about 80% capacity around.

Giriraj: So, in the last two calls, we were told that there have been cost cutting measures as far as wagons would be ordered and logistics cost and all could be saved . So, have we moved on that particular part or there is no significant development on that?

Management: So, basically, we were talking about BTAP basically, like a wagon that will help us transport fly ash at a cheaper rate. So, that wagon we are going to lock it in a week's time. We are going on a leave model on that and that will help us reduce the cost in terms of the raw material cost.

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Giriraj: Okay. And sir one last question , so what is the current capacity utilization , what we are running in the Q1 on an average ?

Management: Of what, of Siliguri?

Giriraj: The capacity utilization ?

Management: Overall capacity utilization?

Giriraj: Yes, overall capacity utilization .

Management: So, we have just commissioned the clinker plant, so it's just stabilizing so, I can tell you about the grinding unit . We are, it would be about 65% around.

Giriraj: So, the demand being very tepid right now in Q1, and you see that.

Management: In terms of grinding we will be operating at about 78%, that is also till mid operating low also because we have just commissioned the grinding unit in Guwahati .

Giriraj: Okay. And how do you see the demand in Q2 or Q3 going forward since Q1 has been very tepid, as far as we have been informed?

Management: It just depends on how the election happens, what the results are, how the market behaves, looking at the results .

Giriraj: Okay. And sir what is the kind of drop so, institutional sales coming in so what is the kind of EBITDA per ton that would?

Management: How the market behaves, how the money flows, after the government has been formed in the rural areas, to a MGNREGA or any other scheme that they have, that will really decide how things go.

Giriraj: And sir, as the company has been focusing on increasing institutional sales. So, what is the kind of EBITDA per ton impact that could happen?

Management: So, we said about 15% in non-trade. So, if it dropped by about Rs.200 on an average, then we can have a Rs.30 per ton impact on EBITDA per ton. But, I would just say that we

should not

be so fixated on EBITDA per ton because the EBITDA per ton. Sorry, so I was just saying that we should not be too fixated number per ton, because the non-trade margin in the Northeast are still healthy, they are 1200 so even if it goes down from 1200 to 1000 it's still Rs.1000 of EBITDA. So, we shouldn't only be looking at numbers in per ton basis and we should also be looking at the growth numbers. So, it will have to be a combination of both, but I don't think

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non-trade prices going little bit, falling up a little bit will have a significant impact on the overall EBITDA per ton.

Giriraj: Sir one last question, actually, I had missed the kind of benefit that a company could see from the 10-year lock in that you have with Coal India as far as Coal supply is concerned. So, please can you give a highlight on that, because I missed that?

Management: Yes, so we are doing about one point, like last year average was about Rs.1.85 GCV for coal. We lost the FSA at now for 3.6 lakh tonnes at Rs.1.5, GCV. So, that is almost about 40% of our coal requirement for 10 years. So, it's just the difference between the GCV into the calorific value into the tonnage. So, it would be about Rs.70 odd crores in a year.

Moderator: Thank you. The next question is from the line of Girija from Asit C Mehta. Please go ahead.

Girija: So, you mentioned Rs.70 crore of savings from that FSA, you said something?

Management: Yes.

Girija: That Rs.70 crore you mentioned that is a savings per year from the coal you said right, if I am not wrong?

Management: Yes.

Girija: So, my first question is with regards to premium product sales. So, what is the percentage for the 4th Quarter?

Management: Percentage in 4th Quarter is around 6.7%, around 7%.

Girija: Okay. And the incentive you mentioned it is Rs.150 to Rs.160 crore per year. So, that is including our clinker unit as well right, clinker and grinding unit both?

Management: Yes, so that is about 150 for this year, it would be higher for next year, because we will not be missing out in Quarter 1 because right now our GST credit has been adjusted for the CAPEX that we did. So, next year, the same thing will not happen in Quarter 1. So, next year expectation of the GST benefit is about Rs.200 crore because we are missing Quarter 1. So, this year's benefit is about 150 crore.

Girija: So, FY26 we can expect Rs.200 crore of GST benefit you are saying right?

Management: Yes, additional benefit, still we are getting about 27 crores, this is on top of that 27 crores that we are expecting.

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Girija: Okay. Sir this time freight cost, I can see there is a significant increase in freight cost per ton. So, what leads us this kind of increase?

Management: So, in Q4 mainly it was the deviation because in Q4, in March we were just settling our grinding unit in Guwahati. And there was very good demand in February and March in Guwahati. Sorry, in Assam and Northeast. So, what we had to do at that point is to get cement from Siliguri to Northeast and because of that there was movement, we are of course it led to an increase in the outward freight. And we started using brick also which was a bit more expensive than the usual transport. So, we loaded right from Siliguri to serve Northeast, so that also led to additional cost. So, that was mainly because our grinding unit came in March and the demands that picking up from January, February and we needed extra grinding capacity in those two months and we had to then get it from Siliguri.

Girija: Fair enough. Is there any plan of expansion outside the Northeast as like, we are well established in Northeast region. So, are we looking any kind of expansion in outside Northeast, like Uttarakhand, Chhattisgarh, Bihar somewhere? Because why I am saying, li

ke previous someone

was asking about the competition , like even Ultra Tech is coming up with bulk terminal by FY 27 and Dalmia is also a very big competitor of Star Cement. So, that's like any kind of inorganic expansion or acquisition so, that may lead some kind of threat to Star Cement and most of the companies are also coming up with a lot of premium segment sales, where realization is better than the other cement. So, what is our future plan sir?

Management: So, we are right now looking at another area, which is in Rajasthan. We are looking at Jaisalmer Nagaur region, and there we are in the process of acquiring a mine, that is where we think the profitability outside Northeast is there because we don't see much profitability in South or in East or availability of mines in East . So, the natural place to go now is to go to Rajasthan. So, that is where we think we would be wanting to expand outside the Northeast . So, our plans of course for the next three, four years is to make a 12 million kiln capacity in Northeast including Siliguri and then try to put up a 4 to 5 million kind of a setup in Rajasthan and start serving the Delhi NCR , Haryana, Punjab market, along with Rajasthan. So, this is where we be right and about Ultra Tech, of course they may be making a bulk terminal . There were also news about other companies, acting upon in Northeast, but we haven't seen any movement in their such, the only moment we see is Dalmia , which is already there in Northeast , and they have announced a project in Northeast which is significant and that will be coming in the next one and a half years . So, that is what it is .

Moderator: Thank you. The next question is from the line of Uttam Kumar Srimal from Axis Securities Limited. Please go ahead.

Uttam Kumar Srimal: Sir you said in Quarter 1 , the demand is subdued. So, does that mean we will de-grow this year from last year or we will be in the same level what we had done last year around 1.16 million ton?

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Management: I don't think in the April month, yes, because of a lot of festivities and the election. So, the demand was negative , there was negative industry growth, which we saw. But in the month of May after this elections and things have got over we are seeing some positive growth coming in. And if we finish the quarter, we will definitely finish it in a growth that's what the expectation is, maybe in the lower single digit, but there should be a growth .

Uttam Kumar Srimal: Okay. Since we have guided for 20% volume growth so balance we will meet in next three quarters ?

Management: Yes.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, I couldn't hear the previous participant. So, did we per say anything growth number for the Q1 that it will be , any number on the growth part for the Q1?

Management: In April, there was a slight de-growth , in May it seemed like an 8% to 9% kind of growth , in June, we expect that we can get about 10% growth so on a weighted average in Quarter 1 , compared to last year Quarter 1 , we can expect a growth of about 6% to 7%.

Shravan Shah: Okay, 6% to 7%. And despite that, in the remaining three quarters we will be able to catch up to reach a 20% growth.

Management: So, the election would be over by then and all the facilities in Northeast so, all those facilities are now done . And also, the election would be done. So , from June onwards, we should start seeing a positive thing in demand. And also, we have got a clinker plant now, we are ramping it up now. So, we had dropped our sales outside Northeast , we have pushed our sales in non-trade , because we were get delayed in the clinker. And now that we are building up our stock of clinker , we should be able to push for sale and we should be getting higher growth .

Shravan S

hah: Okay . So, I am trying to understand both profitability and outside Northeast and the non -trade part, so help me with that. So, currently broadly we have 65% in N ortheast, 80%-84% in the trade. And as you mentioned that the non -trade margin in Northeast is Rs.1200 odd. So, now onwards they are on the line how are we looking at this trade share where it will come down and also at the same time in terms of outside North east, how much are we planning to increase our share and ultimately, in terms of the or from the profitability perspective, if I let's say, remove the pricing part, let's say it is stable what it is currently, then how the increase in the non -trade and increase in the share in the Northeast , how it will reduce the profitability, I understand the Rs.150, Rs.160 crore incentive is a beneficial, but if we ignore that then how that will pan out ?

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Management: Our non -trade sale is about 3%, we can expect it to be pushed to 20 % . Northeast sale is about 25% we can expect it to be pushed to 28%, 29% , our trade we of course definitely want to grow .

In terms of benefits is not only the clinker, some of the subsidy benefits are also the freight benefit like the L1, deviation will not be there, also the coal benefit, it's also the production efficiency benefit. Those are all benefits that will also be factor ed in. So , with all those things we kept in mind, really needs to be seen how the profitability works out . I can't give you an approximate number to that right now. But, it should be broadly offset in terms of operational numbers and if there is be it on the EBITDA margins, then there will be an increase in the volume proportionate to that side, so we should just be focusing on the volumes .

Shravan Shah: I got the point sir. Sir, I was trying to understand that first part is outside Northeast in the 4th Quarter , how was the profitability because in the third quarter it was around Rs.300 odd so given the prices were lower . So, what is the kind of, flattish kind of profitability in the 4th Quarter outside Northeast. And second is the bigger one is now we are looking at Rs.1000 crore CAPEX and also as you mentioned we want to grow outside Northeast particularly Rajasthan. So, broadly from '26-27 onwards can we see a kind of a Rs.800 kind of Rs.1000 crore kind of a CAPEX can be there. So, ultimately how one can look at the net debt going forward for next three, four years down the line . Sir, I am repeating, what was the profitability EBITDA per ton outside Northeast in the 4th Quarter , because in third quarter it was Rs.300 odd, just trying to understand given the pricing were much lower, was it a negative or a flattish for the 4th Quarter ?

Management: It was about Rs.260 compared to Rs.500 last year same quarter .

Shravan Shah: Okay. And now sir given the kind of expansion that we are looking at, so both Jorhat Rs.450 plus, Rajasthan so, how one can look at in terms of the CAPEX for next three, four years broadly, what's the thought and ultimately, the net debt how one can look at three , four year down the line?

Management: We are looking at if you do the Rajasthan project it will take us three years to put up the plan . We would have to spend about Rs.2500 crores to set up 4.5 to 5 million ton s capacity during the clicker plant. We will have about Rs.1500 crores including the Rs.1000 jus4.5-to-5-million -toneast. So, that will be about Rs.4000 crores of CAPEX . So, this 4000 crores of CAPEX in the next three years will be financed through our own accrual, it will also be financed through, some part of it will be financed through debt and some part, we still have to decide how we want to get financed, would it be a QIP or any other source of financing .

Shravan Shah: But just try ing to understand, even if we let's say to our profitability will definitely will be much lo

wer versus the Northeast , which is the case with even other players also. Will it make sense to go in the lower profitability or still we can squeeze whatever reduces left in the Northeast?

Management: No, we have already set up a 3.3-million -ton clinker plan t, it is increasing from a 2.6 million tonnes to a 6 million ton capacity of clinker, so the natural step is of course to go outside. So, Star Cement Limited

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anything, whatever juice needs to be extracted out of Northeast is any which way the clinker is good enough for Northeast for the next three , four years. So , from that perspective we are going outside and the profitability is much lower, but the ROI are still descent for good players . So, we should not look at only EBITDA per ton, but we should also be looking at the volume that one get being a mainland player and that is what we will be focusing on that such as capacity utilization, the volume and also the profitability outside is of course lower than Northeast but the volume is more than compensated , the absolute return the money is much faster than in Northeast . So, there's an entire calculation to it right . So, we are just of course, going to do a project which gives us a good IRR on our investment, and that's why we would take it .

Shravan Shah: Okay. And lastly sir this 12-megawatt WHRS with clinker has it also started or will it be starting in maybe one or two months?

Management: It will be starting in August September .

Shravan Shah: Okay and this 24-megawatt solar plant will be starting ?

Management: No. So, we are now going for a group captive model. So, we will be adopting that in a week's time. And that will be a hybrid model, where we will be setting up 26 megawatts of solar plus wind, with the company in the middle. And so we are going for that now.

Shravan Shah: Okay, So, currently our green share is how much and with this 24-megawatt WHRS and this, when this will come, this 24-megawatt group captive when we will start using it and our green share will increase to how much by so , in (Inaudible) 50:14 by FY26, so if you can help us?

Management: We haven't logged the contract so , I can't comment about it, as soon as we will lock it we will let you know.

Moderator: Thank you. Ladies and gentlemen due to time constraints we will take the last two questions. The next question is from the line of Naitik Mohata from Sequent Investments . Please go ahead.

Naitik Mohata: Most of my questions have been answered just one, what were the volumes when we are expecting out of the Guwahati grinding unit and Meghalaya clinker unit for FY 25 respectively ?

Management: So, the target that the company has taken it has grown from 4.4 million tonnes to 5.5 million tonnes . So, that would be a 1.1-million -ton increase in sales will at least 80% of that or 90% of

that will be coming from the new Guwahati plant, so the utilization would be about 2% of the new Guwahati plant. And for the clinker, we would require about to produce about 5.5 million tonnes we will require about 3.9 million tonnes, so about 1 million ton of clinker will be produced using the new clinker plant. And then also we will be producing about 4, 5 lakh tonnes of clinker that we plan to sell, because Northeast right now is also very good market for clinker.

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So, what we plan to do is that we plan to shut our old line, line one which is inefficient and operate line three and take some repairs and improvements in line one.

Moderator: Thank you. We will take our next question from the line of Hemaant Soni and Individual Investor . Please go ahead.

Hemaant Soni: Sir, I have few questions. First question is, as per a media interview in June 2023, we had initially guided for 18 % to 20% volume growth in FY 24. But the same was missing , sir any specific reason for that ,

I am new to this company that is why I am asking you sir.

Management: So, we had shown a growth of 14% in Northeast and that is mainly because of clinker, because we thought that the clinker plant would come sooner, it did not. We have shown a 14% growth in Northeast, our growth outside Northeast was only minus 1%. So, if we would have ramped up on outside Northeast, as well as grown in Northeast aggressively with the new clinker if we had gotten in time, then we could have had a higher growth rate. What really led to having a lower growth rate is one month delay in the grinding unit, in Guwahati and delay in the clinker plant.

Hemaant Soni: So, what is the total sales volume for FY24?

Management: FY24 4.4 million ton.

Hemaant Soni: Okay . Sir one more thing I wanted to ask you is , since we have a subdued Q1. But you told us that there will be a lower single digit growth in Q1. So, how confident are we for 18 % to 20% volume growth in FY 25, because Q2 will again be a lean season due to monsoon?

Management: No, it's just that is what our team is aiming at. I cannot give you a probability of easing it. We are sure that we will be able to ramp up in the next two, three quarters, and from that perspective as well I think we will be looking at quarter -on-quarter growth. Year growth is one benchmark, in case there is a miss in Quarter 1 , because we are settling our clinker capacity and bringing in to action. We of course will try to make up in quarter two but in respective you will see a better growth rate in quarter two, and you will see that's Y -o-Y from quarter two onwards we are growing healthily , that number could be 15% , that could be 20% , that could be 25 % as well . That is to be seen, that depends on how the market plays .

Hemaant Soni: But our internal target is 18% to 20% kind of volume growth in FY25 right?

Management: Yes, it is about 18 % to 20.

Hemaant Soni: Okay . And what I understand from our conversation is , Q2 should be better than Q1, there will be a quarter -on-quarter recovery ?

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Management: Yes.

Hemaant Soni: And one more thing sir, what is the EBITDA per ton on a blended basis we are targeting for FY25?

Management: So, on a blended basis, we are targeting about 1550.

Hemaant Soni: Sir, what is the EBITDA per ton?

Management: 1550.

Hemaant Soni: 1550 right?

Management: Yes.

Hemaant Soni: And sir what is the 800 TPD AAC Block?

Management: AAC Block is basically it produces AAC, it's a plant that we have commissioned which produces AAC Block, AAC Block is a kind of bricks that we use for construction, that's basically sells at the same channel as the non -trade cement , and use r cement as a raw material and also fly ash and pan . So, it has a lot of synergy with cement . And the market in Northeast is growing very fast , it is growing at about 20% for ACC Block . So, that's why we wanted to get into this industry and to see, and see how it works out for us, and also leverage our brand name in to this industry as well, because this is also a very close construction material.

Hemaant Soni: So, this unit has already been commissioned ?

Management: No, it will be commissioned in August.

Hemaant Soni: In August, so it will fetch some sort of additional revenue sir. So, what kind of additional revenue we are expecting in FY25 from this unit, and in FY 26 as well ?

Management: So, the revenue because it's a very low value product, so the revenue will not be too high. It

should be about Rs.35 crores or Rs. 40 crores and it will just give, and the profitability is decent, it's about 20% margin. So, the profitability will be about Rs.10 crores .

Hemaant Soni: Okay . And sir this 18% to 20% volume growth, it excludes the products from the A AC Block, right ?

Management: Yes, it e xclude the production of AAC Block .

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Hemaant Soni: Thank you. As there are no further questions , I now hand the conference over to Mr. Vaibhav Agarwal for closing comments . Over to you, sir.

Vaibhav Agarwal: Thank you Tushar. I was going to ask you one question from my end. It's basically about the Northeast market. So, in the recent past, we have been hearing quite a lot of new regional players are applying for mines in Northeast or scouting for land in Northeast, you have been born and brought up in Northeast , your family belongs in Northeast . So, I just want ed to understand from you, your perspective about the ground reality as to , do you think that all these players, serious players in long term or we are just coming in Northeast with an announcement, and it may not be very serious in the long term as far as their plans are concerned . Just wanted to take your view on that?

Management: It will be very hard for Vaibhav for me to say if these players will in the long run , long run means about five to 10 years be able to come to Northeastern or not . I just think , right now what we have done in Star Cement, is preempted the demand which should have been coming in Northeast and what we have achieved is that, in a market which is about 11 to 12 million, we have been able to set up about 3.3 million tonnes clinker . So, about 5 million ton nes of additional grinding capacity.

Vaibhav Agarwal: Tushar , I am sorry, actually I lost your audio, can you repeat what you said please if you don't mind ?

Management: I was just saying that, in Northeast it will be very hard for me to comment, if there are any players in the long run who would be able to come or not, what I can say is that in Star Cement , we have been able to preempt the demand which is coming in Northeast, we are well equipped in the sense that we are getting about 3.3 million tonnes of clinker in a market, which is of 12 million tonnes of cement. And even Dalmia, after one and a half years, will be getting a capacity similar to this . So, both Dalmia and Star Cement , together are actually serving the capacity that is required for Northeast, any other player who comes in Northeast, I don't see how his economics would work out. Because the market, right now with that capacity, and also the coming capacity will be saturated . And to kind of, any benefit that we see in Northeast, of SGST, of any other benefit, comes when you sell if that has a kind of a revenue base . If you don't have that kind of a revenue base, then those benefits are not that significant. So, because we have been here for 20 years, we can see those benefits. So , the overall costing and the timeline of putting up a greenfield in Northeast for a outside play er is long, because the area has it's own problems, Northeast has been a market since the last 20 years, so if the players had to come, they could have come anytime , because it's not that easy to enter, because the dynamics here works differently. It's not Rajasthan or it's not Jaisalmer or Nagaur where you have a flat piece of land where you just buy a piece of land and put up a plant. I t's, a different dynamics , there's a lot of forest area, there's a lot of tribal areas , a lot of its own dynamics, which I don't think a main players are spending enough time to understand. So, I, from my perspective, do not see a plant

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coming from any other mainland player areas in five year, t hat's what I can see. Rest, of course after five years anything can happen. Anyone can come anyways . So, that forecast I can 't give, but from my perspective honest feedback , I don't see any plant coming up in four, five years, because it's also a long gestation period of acquiring land , applying for mining lease , getting a plant ready , setting up a plant here, it's not as easy as setting it up in Gujarat or Rajasthan or Andhra, because everything is just ha

rder here in terms of logistics, in terms of the job and everything.

Vaibhav Agarwal: Right Tushar, I completely get your point, actually I was asking more from the perspective of some of the players have started announcing that they have acquired land , mines, et cetera . So, I remember there was a disconnect between your ground section, the announcements which are being made . So, from that perspective I am asking.

Management: Sorry, for cutting you but just for example, JK Lakshmi announced that they have acquired a mine, everyone knows that just buying a plot of land doesn't give you the mineral reserve, it has

to come in auction as well. So , I don't think there's any auction which has happened of their mine. So, we won't be able to , so I don't feel, how some of the players which have announced , how they are setting up a clinker plant and not visible to me honestly , they could be buying a piece of plot, but that piece of plot needs to also have the mining , which is an auction process , and then everyone is going to participate. So, any auction which comes in Assam again will have to go through the auction option. So, that auction everyone is going to participate, everyone is interested in Northeast . So, what are the premium is going to look like . Right, will there be 200, 250%, can we get 200%, 250% of premium will they be able to compete effectively . These are the questions which someone looking in Northeast will have to answer. And that will be the deterrent . So, that is what my feedback is and making a terminal in Northeast, that of course gives them some kind of advantage but (Inaudible) 1:04:33 clinker in Northeast. So, how we are going to have clinker in Northeast.

Vaibhav Agarwal: Understood sir . Thanks a lot Tushar on behalf of PhillipCapital (India) Private Limited we would like to thank the management of Star Cement for the call and many thanks to participants joining the call . Yashashree, you may now conclude the call . Thank you very much, everyone. Thank you.

Management: Thank you.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited , that concludes the conference call. Thank you for joining us, and you may now disconnect your lines .

Call: Aug 2024

Date: 14th August , 2024

To
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Dear Sir(s) /Madam(s) ,

Sub: Transcript of the Conference call for Unaudited Financial Results for the Quarter ended 30th June , 2024

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the Transcript of the conference call with Investors and Analysts held on Monday , 12th August , 2024 for Unaudited Standalone & Consolidated Financial Results for the quarter ended 30th June , 2024 .

The same shall also be available in web site of the Company at <https://www.starcement.co.in/investor/earnings-call>.
This is for your information and record.

Thanking you,
For Star Cement Limited

Debabrata Thakurta
(Company Secretary)

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Star Cement Limited
Q1 FY '25 Earnings Conference Call
August 12, 2024

MANAGEMENT : MR. TUSHAR BHAJANKA – DEPUTY MANAGING
DIRECTOR – STAR CEMENT LIMITED
MR. MANOJ AGARWAL – CHIEF FINANCIAL OFFICER –
STAR CEMENT LIMITED

MODERATOR : MR. NAVIN SAHADEO – ICICI SECURITIES

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August 12, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Star Cement Limited Q1 FY '25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the

listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Sahadeo. Thank you, and over to you, sir.

Navin Sahadeo: Thank you, Sir. Good afternoon, everyone. On behalf of ICICI Securities, I welcome you all to the Q1 FY '25 Earnings Call of Star Cement. We have with us -- from the management, we have with us Mr. Tushar Bhajanka, Deputy Managing Director; and Mr. Manoj Agarwal, the CFO of Star Cement.

So without any further ado, I hand over the floor to Tushar ji for his opening comments. Over to you, sir.

Tushar Bhajanka: Good afternoon all, my name is Tushar Bhajanka, and I'm the Deputy MD of Star Cement. I would like to welcome you all to the Earnings Call of quarter 1. I have our CFO of the company with me. He will run you through the numbers of quarter 1, and then we can start with the Q&A session. Thank you.

Manoj Agarwal : This is Manoj Agarwal, CFO of Star Cement. On behalf of Star Cement Limited, welcome you all to our con call for discussing our number of Q1 FY '25. I would just like to clarify that we will be discussing on the historical number, and there is no indication in this. Having said that now, I will just take you through the Q1 number.

Starting from clinker production. During the quarter ended June '24, we have produced 6.86 lakh ton of clinker as against 7.27 lakh ton same quarter last year. So far the cement production is concerned, we have produced 11.80 lakh ton this quarter, which is almost same as compared to the same quarter last year.

Now I will take you through the sale volume. During the quarter, we have sold 11.54 lakh ton of cement and negligible quantity of clinker as against 11.54 lakh ton of cement, 10.11 lakh ton of clinker same quarter last year. This is as far as cement and clinker sale is concerned. As far as geographical distribution of cement is concerned, in Northeast, we have sold around 8.50 lakh ton and against 8.36 lakh ton during same quarter last year. And as far as outside Northeast is concerned, we have sold 3.04 lakh ton of cement this quarter as against 3.29 lakh ton same quarter last year. In terms of brand mix, it is almost 9% of OPC and the rest is PPC. These are the quantitative numbers of the quarter.

Now I will take you through financials, the total revenue figure this quarter is around INR736 crores as against INR755 crores same period last year. As far as EBITDA figure is concerned, this quarter, we have done an EBITDA of around INR118 crores as against INR138 crores last year. The decrease in EBITDA is mainly on account of outside clinker purchase during this quarter, which has an impact of approximately INR28 crores. PAT is INR31 crores in this quarter against INR93 crores last year. The decrease impact in PAT is mainly on account of increased Star Cement Limited

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depreciation due to capitalization of company's subsidiary, Cement grinding at unit at Guwahati and company's clinker plant in Lumshnong Meghalaya. On per ton EBITDA plan, it is INR1,018 during this quarter as against INR1,185 per ton, same quarter last year. This is what our quarterly numbers are.

Now I request all of you that if you have any query, you can ask the same, and I will request Navin ji to moderate the query wherever it is required. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question

is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, first a couple of data points, trade share, premiums share, lead distance and kCal cost during Q1?

Tushar Bhajanka : Yes. So the trade share in Q1 was about 84%. The non-trade cost was 16%. The premium share was at 9.2%. And what was the third one, the?

Shravan Shah: Lead distance and kCal costs?

Tushar Bhajanka : Okay. So the lead distance was about 207 -- 207 kilometers. And the kCal cost was INR1.5, we see.

Shravan Shah: Okay. Sir, now in this quarter, we are seeing just a marginal 1% kind of a decline on the volumes and we were looking at close to 18%, 20% for this year. So the ask rate for 9 months is more than a 27% kind of a number. So how do we now look at in terms of full year volume?

Tushar Bhajanka : So this quarter was exceptionally bad. The reason being the monsoon and the election, right, which, of course, drove the momentum of the market. Even right now, the monsoon in Northeast is pretty hard, it is much worse than last year in Northeast, the monsoon. So I think that is why the revenue numbers look subdued. So our expectation of the volume that we would be able to do this year would definitely get to rise because of bad quarter 1 that we had in terms of the

revenue growth. Though despite the bad monsoon in Northeast, we have grown in Northeast by about 3%, but we have degrown outside Northeast by about 8 %. So in Northeast, we did see a marginal increase in the volume on the revenue, but it was a -- It got diluted a because of the degrowth outside.

Shravan Shah: So for full year now, how we look at in terms of volume growth?

Tushar Bhajanka : So in terms of volume growth in the coming within 3 quarters, we can expect a volume growth of about 1 4% to 15%, that is what our expectation is. So we're bringing it down our volume growth target from 18%, 20% towards 15% for the coming 3 quarters.

Shravan Shah: Okay, okay. And in terms of the profitability, particularly so last time, we were looking at INR1,550 kind of EBITDA per ton for this year. So obviously, this quarter is close to INR1,000 - odd. So 2 things to understand that. So one is what was the EBITDA per ton outside Northeast. And now in terms of the pricing, how are the pricing both in Northeast and outside Northeast. And given the cost is there particular cost, there are 2, 3 line items where the cost actually has

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gone up maybe because of the new clinker unit. So particularly, the RM cost has gone up, so if you can help us understand how now the cost one can look at as the utilization fix up. So -- and finally, then how we look at it in terms of the EBITDA per ton hopefully.

Tushar Bhajanka : Yes. So I mean, if I take the question in 2 different halves, right? First, I think the pricing, of course, in East is declining outside Northeast pricing was declining. It has fallen even after quarter 1, it has fallen by about INR12 to INR13 on the EBITDA level. The NPR has fallen by about INR12 to INR13 that is for East which includes West Bengal and Bihar and also Northeast. And I think that is a trend throughout other areas of East as well.

In terms of the target for INR1,500, there were 2, 3 factors, which led to us believing that we will be able to achieve INR1,500 EBITDA per ton, which we still maintain. The reason why the profitability this quarter is low for Star Cement is because we got INR30 crores worth of clinker from outside because our clinker plant that we commissioned in April had some technical difficulties due to which it was not able to produce clinker till end of May. So we had to buy clinker from outside.

And that is the main reason why Star Cement's profitability has declined. So the impact was roughly about INR30 crores to INR32 crores . That is almost about INR250 piece per ton impact, right? If we add that to the EBITDA per ton, w

hich is about INR120 this quarter 1. We add the

INR250 per ton, then with these our efforts coming closer to INR1,300. On top of that, there was a INR6 crores political donation this quarter, which I did not see as repeating in the coming quarters. So that again had an impact.

The second impact -- the third impact was of the manpower cost because we have capitalized some of the project costs are coming into the operations now. So we are taking steps to control our manpower cost. And with that, I do see a positive uptick in the EBITDA. The main factor is that the GST benefit that we are supposed to get in Assam because in the quarter 1, the input credits are getting adjusted. So only in June 15, we will be actually start getting our SGST benefit from Assam. And from quarter 2 onwards, we will see the full effect of the SGST benefit. So despite the price that the market prices are going down, we do still anticipate that in the year round figure, we would be able to kind of close it at about INR1,500 per ton EBITDA.

Shravan Shah: Okay. That's great. So broadly just trying to further half on the costing front. Obviously, you mentioned INR30 crores , INR32 crores kind of clinker that we bought and the staff cost. So if you can help us in terms of both on in terms of the staff cost also this INR62 crores kind of a quarterly run rate, how much reduction can we look at from the Q2. And now have we now stopped the clinker of purchasing so that the costs will start coming in. So broadly, whatever the increase now we are looking at to reach a INR1,500 -odd kind of EBITDA per ton. Is it mainly entirely from the cost reduction that we are looking at?

Tushar Bhajanka : I mean, there again, 2 major factors. I mean they are smaller ones. The 1 major factor is that we don't have to buy clinker anymore, right? So the INR32 crores or INR30, INR32 crores expenditure that we made right, is now not to be incurred anymore, right? That in itself increases your EBITDA per ton by INR250. Then the other factor is the SGST benefit, right? That SGST benefit would have an effect of about INR300 per ton weighted average on the overall volume,

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right? So that INR300 again is a significant chunk, right, which will be added in quarter 2 onwards. So these 2 factors, of course, take you to the number of about INR1,500, then there are

additional savings that we can make, right? Like for the kiln that we put right now, the bigger kiln. It will take another 3, 4 months to fully stabilize and for us to get the cost benefits -- variable cost benefit -- benefits from it.

So we will be shutting our inefficient kiln and operating the bigger one. So there will be cheap rate benefits that we expect -- we expect power consumption benefits. We expect some reduction in the fixed cost, which includes the manpower cost. We do -- like how you mentioned, INR52 crores run rate. We do expect that run rate to reduce, right? So I do expect that run rate increase in the manpower cost could be about at -- running at a run rate of about INR45 crores, out of INR52 crores. So there would be a saving from there as well. So we do see savings from between different avenues. So the 2 main avenues is that we don't have to buy clinker and the second one is that we will get the SGST benefit.

Shravan Shah: Okay. That's great. Lastly, in terms of how much capex we have done in Q1 and for full year, we are looking at INR1,000 -odd crores. So that still remains? And what's the net debt level? And how do we look at by end of FY '25.

Tushar Bhajanka : Yes. So in Q1, we did about INR110 crores of capex. Our estimate for the year remains to be about INR835 crores in which we have already done INR110 crores. Our debt right now is about -- is about INR240 crores, which by the end of the financial year, FY '25, we expect it to be about minus INR350 crores.

Shravan Shah:

Okay. This is a gross debt and not the net debt we are seeing?

Tushar Bhajanka : Yes, this is a total debt position will be end of the March around will be around INR350 crores, [inaudible 0:14:22] estimating right now.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Maybe somebody else will ask. I had more questions. So just continuing. So in terms of the incentive, we were looking at INR150 crores, INR160-odd crores for this year and next year INR200-odd crores SGST benefit. So in Q1, how much we have booked, as you mentioned, from only 15 June and for full year, will that number remains the same?

Tushar Bhajanka : Yes. So the GST benefit that we got overall in Q1 was about INR10.9 crores price, which, of course, from Q2 onwards will increase significantly as mentioned, I think this number of INR10.9 crores in Q1, what is that touching [inaudible 0:15:47] from Q2.

Shravan Shah: Okay, great. And in terms of our 12 -megawatt WHRS, which was supposed to start by August, September. So what's the status for that? And also recently, I think we have done some tie -up for the solar. So if you can explain on that part.

Tushar Bhajanka : Yes. So WHRS, we are expecting to get from October onwards. So there are 2 phases of the WHRS. The first one would be -- will be commissioned in October. The second one will be commissioned by end of December. So this is for WHRS...

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Shravan Shah: Okay. So this will be 6, 6 -megawatt that we will be adding in Phase I, Phase II?

Tushar Bhajanka : Yes. So it'll be 6 megawatts in Phase 1 and 6 megawatts in Phase 2. The total WHRS is at 12 -megawatt. The new -- phase that we are adding up at 12 -megawatt.

Shravan Shah: Okay. And the solar that we have done, so how that will have, so what's the total...

Moderator: We will request you to return for the question to your follow -up questions as there are several participants waiting for their turn. The next question is from the line of Uttam Kumar Srimal from Axis Securities Limited.

Uttam Kumar Srimal: Sir, what is the current status of Jorhat and Silchar plant?

Tushar Bhajanka : So for the Silchar plant, we have acquired the land. We have applied for -- we have gotten the ToR from the MOF. We have a public hearing in a month's time. By October, we plan to start the erection of the plant. By next year, October, we plan to consume the plant. So that is for Silchar.

For Jorhat, we have applied for the MOU with the Assam government. We are in 2 weeks' time going to lock the land at on the which will put a plant. And we will then apply for EC. So of course, Jorhat is going to take almost a year more than Silchar. So if we are expecting Silchar to be commissioned by October next year, we expect Jorhat to be commissioned by October 2026.

Uttam Kumar Srimal: Okay. And sir, what is the current status of AAC blocks that's where putting in what at a capital cost to INR50 crores?

Tushar Bhajanka : So that we should be able to commission by October this year.

Uttam Kumar Srimal: Okay. So we will also be getting some incentive by expecting AAC blocks?

Tushar Bhajanka : Yes. So there is a central benefit of GST. And also, there is an SGST benefit from Assam. So we'll be getting benefits from both the center and the state governments in AAC blocks.

Uttam Kumar Srimal : Okay. Okay. And sir, what has been our fuel mix this quarter?

Tushar Bhajanka : The fuel mix -- majority of the fuel has come from SSA and spot contracts from Coal India. So about 60% has come from there, about 20% for biomass and about 20% for Nagaland coal.

Moderator: The next question is from the line of Rajesh Kumar Ravi from HDFC Securities.

Rajesh Kumar Ravi : Yes, this is Rajesh here. Good afternoon. First question on the demand front volumes, you mentioned that it will be the 9 months, the full year

volume growth probably lower than 20%.

How is the demand currently in the September quarter?

Tushar Bhajanka : The demand honestly is very subdued even in quarter 2. Again, that is mainly because of monsoon. In Northeast, the monsoon has hit -- monsoon will be early than in other case and compared to last year. So -- but we do expect that as soon as monsoon subsides we should see an uptick in demand because, of course, the effect of monsoon, which is -- which damages

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infrastructure. So we do see a demand from that side and also the general demand, which has been pent up. From September onwards, we do see an uptick in the demand. That is what we're anticipating. But in terms of the growth in the market, the market has degrown actually in quarter 1 for Northeast. It has degrown that of 8%, but we still managed to grow by 3%. So there is definitely an increase in the market share that we see in Northeast market for us.

Rajesh Kumar Ravi : So Q2 also, you're looking at the market to degrow and for you, are you looking at July, at least, the volume should have been positive or the monsoon would have impacted it negatively?

Tushar Bhajanka : No, in July, we do expect a positive growth. And I do not expect the market to degrow in a similar trend in Q2 as well. But there will not be a very good growth rate in the market for Q2 as well. So I do not see it degrowing by 8%, but I also do not see it growing by 10%.

Rajesh Kumar Ravi : Okay. And you mentioned that around INR30 crores was incremental costing on account of clinker purchase. So you were mentioning the cost differential versus your own production?

Tushar Bhajanka : Yes. The cost differential was from my own production.

Rajesh Kumar Ravi : Okay. So this you're expecting with the ramp-up of your own capacities or this cost to get nullified.

Tushar Bhajanka : Yes. So this -- in nature, it is like a one time cost that I'm correct. So -- and also, there is about INR6 crores of political donation, which is also onetime. And there is also about INR4 crores of incentives in projects and project-related expenditures on top of the INR30 shares, which is also onetime. So overall, if you ask I see about INR40 crores of cost, which is in nature one time.

Rajesh Kumar Ravi : Okay. And incentives also, which was around INR10.11 crores which you have booked in Q1. Now this quarter, it will be available for the full quarter, right?

Tushar Bhajanka : Yes, it will be available for the full quarter, and we should see that the INR10.9 crores would roughly be touching a number of INR40 crores.

Rajesh Kumar Ravi : Yes. Okay. And that would be the run rate for subsequent quarters from the Assam unit?

Tushar Bhajanka : Yes. I think it -- yes, it will. It will -- this number of course depends on the sale also. So quarter 2, we do not expect almost same. That's why we're expecting INR40 crores in quarter 3 and quarter 4, which normally tend to be higher sales in quarter 2. So once that happens, then this number could also increase.

Rajesh Kumar Ravi : And you mentioned that in terms of this old kiln, you will be retiring or not be using. So how much is the capacity? Are you looking to scrap it or just use it when the demand is close to peak or when you utilize it is close to peak?

Tushar Bhajanka : No, we don't plan to scrap any of the kiln because the plant is -- I mean, it's not as efficient as a new kiln, so it's still -- but I mean still meets the basic parameters of -- in the cement industry.

And if not that old, it's 18 year old. So in cement there are kilns which are operating for almost 50 years also. So...

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Rajesh Kumar Ravi : This is 9 old, right around 0.8, 0.9...

Tushar Bhajanka : It's a 9 one basically, so we are just going to close it for -- we will just close it for like 15 months. We just

wanted to fix it, to do some on capex on it? Fix the cooler, heater and all those things just to make sure that we are making it efficient and making it to the current standards of how the things should be for the last 3, 4 years, we do not get a chance to do that because we always were in shortage of clinker. Now that we have an opportunity where we have purchased clinker. So we want to take this opportunity to kind of make our older place more efficient.

Rajesh Kumar Ravi : Okay. Okay. And is it the rains only that the AAC blocks are now you mentioned it is to be operational end of this financial year? Did I hear it right?

Tushar Bhajanka : No, it was in October, I said.

Rajesh Kumar Ravi : October AAC blocks. So this is at the last conversation which is on track. Okay. And there will be -- what sort of revenue you're looking at from this investment?

Tushar Bhajanka : I don't see the revenue numbers are that much. I mean I haven't taken a tower price about 750 CVM per day capacity selling at INR4,000. So I don't assume that lot of revenue is particularly expected out of this especially at the start. It would be roughly about INR80 crores, INR70 crores to INR80 crores. But I think the profitability in AAC in Northeast and given the synergies with Star Cement, and the branding and the distribution channel. I think that works out very well. And particularly, the market for AAC in Northeast is very good because red bricks are not even available in Northeast, very costly -- cost of red bricks is costly. So this is a very good product environmentally friendly product and a ISO product which in Northeast situation work very well. So with that, we do expect that we'll be able to make a good EBITDA margin on that INR80 crores turnover that we make basically.

And we take the project as -- honestly, we take this project as a -- not as a trial project, but we are just trying to venture into it. If it turned out well as we expect it to, then we will set the plant in other areas in Northeast as well. So however the distribution of AAC blocks across Northeast.

Rajesh Kumar Ravi : Okay. And to ask two questions. First on the clinker plant, why -- when do you expect the incentives to start kicking and fuel cost, INR1.5, which is already lower by around 15%, 20%

Q-on-Q. Are there further savings possible on the conventional basis, fuel cost?

Tushar Bhajanka : Sir, I don't think right now we can see a further decrease in the fuel cost. I don't see a further increase also. So I think it's going to broadly be the same only, INR1.5. And the incurred subsidy would also start partially kicking in Q2? And then fully kicking in, in Q3 and full.

Rajesh Kumar Ravi : So could you quantify how much would that be Q3, Q4 onwards?

Tushar Bhajanka : Yes, I expect it to be about INR13 crores to INR14 crores.

Moderator: The next question is from the line of Navin Sahadeo from ICICI Securities.

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Navin Sahadeo: Sir, a couple of questions. Does any of our markets get impacted with, I mean, positive or negative because of the turmoil in Bangladesh?

Tushar Bhajanka : No, not really. We haven't experienced it till now. I don't think our markets are very connected to Bangladesh. The some cement which comes from Bangladesh to Northeast nothing goes from Northeast to Bangladesh. Something comes from Bangladesh Northeast and Tripura markets and Agartala markets, some of those markets. So I mean, is there any positive impact, the positive impact could be that the cement not coming.

Navin Sahadeo: Yes. I mean that's what I was asking, positive or negative.

Tushar Bhajanka : Yes. So like very miniscule amount comes in a year, it's partly like 1 or 2 lakhs. So it doesn't really make a difference that way. But -- and I can't predict it still not coming because Bangladesh may also stabilize in the coming weeks. So I don't know about that.

But I don't see

any -- but I don't see a significant impact.

Navin Sahadeo: Understood. Second question was about the capex. So I think you mentioned that the capex that you plan to spend is about INR835 crores for FY '25. Is that correct?

Tushar Bhajanka : Yes.

Navin Sahadeo: So if you can just help get us a broad breakup of this INR835 crores capex and also guide with some indication for FY '26?

Tushar Bhajanka : So the INR835 crores, I have to break it up. Out of that, we've already spent about INR110 crores in quarter 1. So the breakup is that we have to complete the silo and the pressure of Line 2 -- sorry, of the new clinker plant, which is of about INR100 crores. We have to complete the WHRS, which is about INR37 crores.

We are investing in Silchar so about INR300 crores, we expect to go in Silchar this year. We are investing in the AAC blocks, about INR55 crores for the AAC blocks. About INR100 crores for the land filling, land acquisition and for basic service in Jorhat. About INR70 crores for the BTAP wagon, which is basically to get cheaper fly ash and containers than in open rake. So the INR70 crores is going there. And for group captive, which we have recently signed which we had also notified was about INR23 crores. And in general operations, it was about INR100 crores to INR150 crores.

This is a break up of INR835 crores. So basically out of the INR835 crores, INR300 crores is going in Silchar, INR100 crores is going in Jorhat and then INR100 crores is going in the clinker plant that we have installed in like completing like some section of it and about INR37 crores is going in WHRS. And then the AAC block and BTAP wagon and so on so forth.

Navin Sahadeo: Yes, got it. And how much of a...

Tushar Bhajanka : So we are anticipating about INR172 crores in Silchar to complete the project. So we expect it to come -- be completed in INR472 crores in total, INR300 crores this year, INR172 crores next year. At Jorhat about INR350 crores. So INR100 crores this year, INR350 crores next year. And

about INR48 crores in Beta for wagons and about INR100 crores in operational capex. So overall, it would be about INR670 crores.

Navin Sahadeo: Understood. INR630 crores for FY '26.

Tushar Bhajanka : Yes. Yes, INR670 crores FY '26.

Navin Sahadeo: Yes. Understood. Understood. That's helpful. Lastly, regarding this group captive process, the group captive capex that you gave and INR23 crores is being spent there. So if you can just give more details about what is the tie-up. What is the megawatt capacity contracted, how much power will we get? And also in the same breath, what savings can potentially be expected there?

Tushar Bhajanka : So I mean the -- in the group captive model, we have a gone for 18 -megawatt group captive, which has about 70% CUF. In terms of the capacity, we are proposing to set up about 15 -megawatt of solar capacity and about 32 -megawatt of wind capacity. This is, of course, tie-up with JSW. In this, we have -- in the FTV, we have gotten about 30% ownership in the FTV, which makes it a group captive because the ownership has to be more than 26% for it to be an eligible for group captive for subsidy.

So this is broadly what we has done. As for the power that we generate, 18 -megawatt is the capacity. 70% of that is expected on an average, right per hour. So that power would be going through majorly to Guwahati in our grinding unit because the power rates in Guwahati right now are very high. It is almost at about INR7 to INR7.5 per unit, which has increased over the last 1 year.

So we do expect a saving of about INR2.5 coming from in power through that. And the overall saving that we expect of this INR23 crores investment is about INR22 crores per year. So the return on investment on this INR23 crores is largely a year.

Navin Sahadeo

: Understood. So INR23 crores remains a onetime capex ? Or is there more capex required during pipeline?

Tushar Bhajanka : No. So I think INR23 crores is the only capex that is required from our side as per the contract that we signed. And the savings that we expect and this rate whatever rate we have fixed is fixed for the next 25 years. And the saving that we expect each year would be about INR22 crores to INR24 crores.

Navin Sahadeo: Understood. And by when can we start factoring in these numbers, please.

Tushar Bhajanka : So I think it is in contractually. It should be before 18 months. But we expect solar to come before because solar plants are easier to set up and they're also quicker -- panels are easily available. Wind would take about 18 months and solar would be before so we expect the savings to come between 1 year to 1.5 years.

Navin Sahadeo: So second half '26 is where you are seeing these numbers will start picking up, right?

Tushar Bhajanka : Yes, yes.

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Moderator: Next question is from the line of Uttam Kumar Simal from Axis Securities Limited.

Uttam Kumar Simal: Yes, Manoj, this time our tax rate has been around 21%. And since this Guwahati grinding unit is eligible for lower tax rate. So this tax rate will -- we will have a 21% tax or it will go higher right from here?

Tushar Bhajanka : As far as because the SCL will be because of the subsidy and all these things still we have in a subsidy. So that will -- the major portion of the profit will be remain in the lower tax rate. So I think that is the rate of 22% approx every 22% will continue maybe for next 5, 6 years till we exhaust all our subsidy.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, just 2, 3 things. First, this quarter outside Northeast, the EBITDA per ton was how much?

Tushar Bhajanka : This quarter outside Northeast, the EBITDA per ton was about INR250.

Shravan Shah: INR250. Okay. And you mentioned the INR12 crores to INR13 post June the prices are declining in East and in Northeast, how much it has declined?

Tushar Bhajanka : It has decline similar to Northeast as well.

Shravan Shah: Okay. Northeast all we show it has declined. Okay. And this clinker subsidy of INR13 crores to INR14 crores, this is for quarter or for the year? That we will be getting GST?

Tushar Bhajanka : Per quarter.

Shravan Shah: Okay. And our plan to reach 20 MTPA by FY '30, that remains intact. And in terms of the Rajasthan, we were looking at 4.5, 5 MTPA that we are planning by spending INR2,500-odd crores capex over the next 3, 4 years. So that remains the same. So broadly, why I'm asking this,

the overall -- we were looking at INR4,000 -odd crores kind of capex in the next 3, 4 years, so that remains the same.

Tushar Bhajanka : Yes. So I think that Rajasthan we are still -- that is still work in progress. We are close to getting a mine there once we do we will inform and accordingly, we will then span out the capex for Rajasthan and inform accordingly.

Shravan Shah: Okay. Okay. And in terms of the -- for this year now -- last time, we were looking at to sell a clinker of 0.4, 0.5 million tons, so I think this quarter, I think it was kind of a mill clinker. So in the remaining quarters, are we looking to sell some clin ker?

Tushar Bhajanka : Yes. So we are -- from Q2 onwards, we will see that there are some clinkers sold from Q2 onwards. In quarter 1, so we were in the other position where we're buying clinkers. We've got about INR1.5 lakh tons of clinker. So from now onw ards, definitely, we will see the other trend where we are selling clinker. And that's a trend in Q2 will carry to Q3 and Q4, you'll see a good uptick in clinker sales as well.

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Shravan Shah: Okay. And then in terms of structurally, onc

e the Dalmia capacity will come up and also for

even the JK Lakshmi is also looking to set up a plant there. So structurally for 3, 4, 5 years perspective, don't you think that, that can have a kind of or the way that we are -- across India, we are seeing the pricing pressure. Will that kind of extra volume can have an impact on the pricing?

Tushar Bhajanka : I don't see that happening honestly. And I don't see about JK Lakshmi, I do not see any moment on ground. I think it takes at least 4, 5 years in Northeast to put up a plan t. It's not that easy.

Dalmia's plant is definitely coming. I think it will take a year or more from what I have understood. And whenever it does come, of course, there will be some pressure right. So then we also to realize that there will be only 2 playe rs who were expanding, rest of the players in Northeast are smaller, and they don't have any plans of expanding as of now they've on ground . So from that perspective, the competition will of course increase because they also will get the plant, they will a lso want the share of the market, right? But overall, the competition is between 2 to 3 players for the expanded capacity, right? And for the increasing market. So I don't -- but I do think that for the competition scenario will become more intense, but it should not be remotely as intense as it is right now in East or in South.

Shravan Shah: Okay. And lastly, Manoj, sir, this depreciation INR70 crores to INR73 crores , will this continue? Or it will start declining from Q2?

Tushar Bhajanka : We have capitalized the assets just because during the full year because of Phase 1 and also the Guwahati unit has stabilized a full quarter depreciation was there. Maybe -- so this year maybe second phase will stabilize this depreciation will go up for le aving this year. But after that, because we are in definitely -- we are reaching down value by that and from next year onwards it will get decreasing. But this year, it will go up maybe quarter 2, quarter 3 it will go up a little bit, but from Q2 next year onwards it will decrease -- it was on a decreasing side.

Moderator: The next question is from the line of Navin Sahadeo from ICICI Securities.

Navin Sahadeo: Yes, 2 questions, apart from JK Lakshmi. I think sometime that UltraTech also had done some I think signed up for an entity project in their name, but there was some development from or intent from UltraTech to tie -up with a local player there for a plant? And also, as per the info available on the environment industry website, another player called m egatop or Meghatop, were they had applied for a clinker expansion? So if you can just throw some light if these players seeing -- are doing or any activity, any buzz that you are aware of from these 2 players?

Tushar Bhajanka : So UltraTech, of course, mayb e on a lookout to get a mine. I don't think from our -- I -- no I do not think that they have been able to identify a mine. And I think there is a long process even after your identify a mine before you setting up a plant and after your acquired a mine. So I think there is a lot of time. I don't think there's -- this structural location, just like the mine, they bought the mine, I don't think all those things have happened.

Meghatop is definitely a local player who is attempting to put up the plant. From wh at I understood that they're also having some difficulties from the MOS and from getting the public hearing here. And I do not expect that plant to be some -- either commissioned or coming up in

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the next 3 years. So that is my expectation. Of course, if th ere is any other development which happens over time, then I will communicate accordingly.

Navin Sahadeo: Helpful. My last question was on the receipt of the incentive. So you said for this quarter, our

benefits were just around 10.9%. And next quarter, we could see a significant ramp -up. So these

are -- I just wanted to understand how do we plan to account them in sense these are on the actual receipt basis? Or these are accrued and then they come with a lag?

Tushar Bhajanka : No, no. It is always been accounted for accrual basis only. And there is no time lag because we have got a part also we have received the SGST benefit. Maximum, 3 months is the maximum time is time that is there. Okay. So there is no such timeline because SGST once the entire fleet, the entire procedure every months we'll file and maybe in a month we will get back the money. And for IGST clinker plant also we will get quarterly return and in the next quarter, the filing within 1 month we are getting there. So there is no such time line, maximum of 3 months' timeline is there.

Navin Sahadeo: Understood. Helpful. Just one more question if I could slip in. You mentioned about the AAC block, could you just -- can I please request you to please repeat that? What is the revenue and EBITDA potential that you are looking at? I think you mentioned capex is more like INR155 crores there, right?

Tushar Bhajanka : Yes. No, no. I think I mentioned that the capex is about INR65 crores .

Navin Sahadeo: Okay, INR65 crores .

Tushar Bhajanka : Yes. So capex is about INR65 crores . And capex is about INR65 crores , the revenue I expect at about 80% utilization or 70% utilization revenue to be close to INR60 to INR70 crores per annum. I expect the EBITDA to be about 20% of the revenue. So to give INR14 crores , INR15 crores , INR16 crores , right. And yes, so I think the payback looks healthy let's say.

Navin Sahadeo: Yes, yes Okay, very good. Great. Great. All the very best for the quarter.

Moderator: Next question is from the line of Milind Raginwar from BOB Capital Markets Limited.

Milind Raginwar: One thing is on the logistic cost, how would this mean from here on this -- will it just be at the run rate level? Or we see some kind of an improvement in that once the new plant stabilizes, how should we look at this going forward?

Tushar Bhajanka : So I think the logistics costs in Q1 was, of course, a bit unstructured because of clinker coming from outside and the movement was not usual, right? So I think logistics costs should stabilize, plus we are also getting more fleet. So earlier, our return on our fleet was very good because our fleet we were able to provide both in -- and backward return also we could provide. So we have seen that the fleet to have our own fleet has worked very well.

And of course, first to pay costs directly also to have a tap on the overall logistics cost, right, to have a control of site keeping on how the logistics cost behave. So we have got more trucks, which will be operational in Q2, and we will see the full benefit of it from Q3. So I do see that

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those things should have an impact on the logistics cost especially the inward cost -- the inward logistics cost, which is basically fly ash and clinker.

Milind Raginwar: Okay. And did I hear that you overall EBITDA from the -- other than Northeast, can you just please confirm that? I was probably missed it.

Tushar Bhajanka : Overall EBITDA was the Northeast -- sorry, could you repeat the question?

Milind Raginwar: Yes, I was just thinking that you said that it's about INR250 something other than Northeast EBITDA? In the earlier question when you are answering somebody.

Tushar Bhajanka : Yes, EBITDA per ton is INR250.

Milind Raginwar: INR250. Okay. Just confirming that.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today's call. I would now like to hand the conference over to the management for closing comments.

Tushar Bhajanka : So thank you so much for joining the call. And thank you for the questions, they were very detailed. And they definitely help us for the company in the right

perspective for the investors.

And we do look forward to better and more detailed calls in the future and calls where the company has done better than what it has in Q1.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

Date: 12th November , 2024

To
The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G
Bandra Kurla Complex, Bandra -East
Mumbai -400 051

Stock C ode: STARCEMENT To
The Listing Department,
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street , Mumbai -400 001

Stock C ode: 540575

Dear Sir(s) /Madam(s) ,

Sub: Transcript of the Conference call for Una udated Financial Results for the Quarter
and Half Year ended 3 0th September , 2024

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, we forward herewith the Transcript of the
conf erence call with Investors and A nalysts held on Monday , 11th November , 2024 for
Unaudited Standalone & Consolidated Financial Results for the quarter and Half Year
ended 3 0th September , 2024 .

The same shall also be available in web site of the Company at
<https://www.starcement.co.in/earnings -call#main>
This is for your information and record.

Thanking you,
For Star Cement Limited

Debabrata Thakurta
Company Secretary
(M. No.: F6554)

DEBABRATA
THAKURTA Digitally signed by
DEBABRATA THAKURTA Date: 2024.11.12 16:11:40 +05'30'

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"Star Cement Limited Q2 & H1 FY-25 Earnings
Conference Call"

November 11 , 2024

MANAGEMENT : MR. TUSHAR BHAJANKA – DEPUTY MANAGING
DIRECTOR , STAR CEMENT LIMITED
MR. MANOJ AGARWAL – CHIEF FINANCIAL OFFICER ,
STAR CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLI PCAPITAL (INDIA)
PRIVATE LIMITED

Star Cement Limited
November 11 , 2024

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Moderator: Ladies and gentlemen, good day , and welcome to the Earnings Conference Call for the Quarter and Half Year Ended 30th September 2024 of Star Cement Limited , hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call , please signal an operator by pressing “*”, then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you and over to you Mr. Agarwal.

Vaibhav Agarwal: Yes. Thank you, Michelle. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q2 FY '25 and H1 FY '25 of Star Cement .

On the call , we have with us Mr. Tushar Bhajanka – Deputy Managing Director ; and Mr. Manoj Agarwal – CFO of the company.

I will handle the floor to Mr. Manoj Agrawal for his “Opening Remarks ” and which will be followed by interactive Q&A. Thank you and over to you, Manoj s ir.

Management: So, good afternoon , all. My name is Tushar Bhajanka, and I am the Deputy MD of Star Cement . I would like to welcome you all to the Earnings C all of Quarter 2 . I have our CFO of the company with me , he will run you through the numbers of Quarter 2 , and then we can have a Q&A session. Thank you.

Management: Hi, friends , very good afternoon. On behalf of Star Cements Limited , welcome you all to our concall for discussing our number of Q2 FY '25 and half year ended September 2024 . I would like to clarify that we are discussing on the historical numbers, and there is no invitation to invest. Having said that, now I will just take you through the Q2 number s followed by half yearly number s.

Starting from clinker production during the quarter ended September 2024 :

We have produced 6.58 lakhs tonnes of clinker as against 6.48 lakh tonnes in quarter last year. So, far as cement production is concerned, we have produced 9.55 lakhs ton nes this quarter as against 8.95 lakh tonnes s ame quarter last year.

Now , I will take you through sales volume :

During the quarter, we have sold 9.62 lakh tonnes of cement as against 8.96 lakh tonnes of cement in the same quarter last year , and we have also sold 0. 16 lakh tonnes of clinker during this quarter. This is as far as cement and clinker sale is concerned. As for the geographical distribution of cement is concerned, in the Northeast we have sold around 7.49 lakh tonnes as Star Cement Limited

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against 6.72 lakh tonnes during the same quarter last year. And that's why outside Northeast cement is concerned , we have sold 2.13 lakh tonnes of cement this quarter as against 2.24 lakh tonnes same quarter last year. In terms of blend mix, it is almost 10% of OPC and the rest is PPC. These are the quantit ative number of the quarter.

Now I will take you through the Financial s:

The total revenue figure this quarter is around Rs. 642 crores as against Rs. 585 crores same period last year. As far as EBITDA figure is concerned, this quarter we have done EBITDA of around Rs. 96 crores as against Rs. 104 crores last year. Profit after tax is Rs. 6 crores as against Rs. 41 crores in same period last year. The decrease in PAT on account of increased depreciation due to capitalization of our new 2 million tonnes grinding unit at Guwahati and our clinker plant at Lumshnong , Meghalaya . On per tonne EBITDA front it is Rs. 995 during this quarter , as against Rs. 1,164 per tonne same quarter last year. This is what our quarterly number of 2nd Quarter .

The total revenue figure for the Half Year Ended September '24 is around Rs. 1,393 crores

as

against Rs. 1,346 crores same period last year. As far as EBITDA figure is concerned, during half year ended September '24, we have done an EBITDA of around Rs. 215 crores as against 242 crores last year. PAT is Rs. 37 crores as against Rs. 134 crores in same period last year. The decrease is on account of increased depression, as explained earlier .

On per tonne EBITDA front, it is Rs. 1,007 during the half year ended September '24 as against Rs. 1,176 per tonne same period last year.

These are the quarterly and half yearly numbers .

Now I request all of you that if you have any queries you can ask the same , and I will request Vaibhav to moderate the query wherever it requires. Thank you.

Moderator: Thank you very much, sir. We will now begin with a question -and-answer session. The first question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti : I wanted to know the status of Meghalaya clinker S GST benefit , have they recorded in this quarter and how much?

Management: So, for the Meghalaya clinker plant, the GS T benefit that we are supposed to get, we have recorded some part of it . But because of Line-3, the new clinker plant , we were having some problem with the clinker plant, so it did not manufacture much. So, because it did not manufacture a lot, the overall benefit was very small compared to what we expected.

Keshav Lahoti : And how much incentive has been recorded for this quarter , overall?

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Management: So, overall incentive this quarter Rs. 37 crores is the incentive which has been booked in the books for th is quarter.

Keshav Lahoti : And lastly on the CAPEX , what is the CAPEX for this year and how are your expansion at Silchar and Jorhat working, is it running on track?

Management: Yes. So, the CAPEX for this year, in the H1 '25 was about Rs. 337 crores. In which a la rge question went in completing our new clinker plant and also the WHRS . For the H2 of this year, we plan to spend about Rs. 377 crores. Out of which, a major part is going in the Silchar project and some part of it is going and the clinker plant, the new clinker plant WHRS .

Keshav Lahoti : So, there is a overall cut in CAPEX , earlier the total year CAPEX was Rs. 835 crores, n ow it is broadly Rs. 720 crores types.

Management: Yes, you are right , it's at about Rs. 720 crores, y es.

Keshav Lahoti : So, is the timeline delayed for either of the Silchar plant or be it Jorhat plant?

Management: So, I think the Silchar plant, earlier we were expecting it to be commissioned by September, October '26. Now we are expecting it to commission by December '26. So, there is a two, three month s delay. But besides that there's no significant delay . In Jorhat plant we are expecting by FY '27 and.

Moderator: Thank you. The next question is from the line of Pratik Shah from Climb Capital. Please go ahead.

Pratik Shah : I have two questions. First is, what is the difference between Northeast cement market versus rest of the India cement market? And second is, how much incentive do you expect to get in balance two quarters and for next full year on a consolidated basis?

Management: The Northeast markets are basically the seven states in the Northeast , right , that is what constitutes the Northeast market . The outside Northeast market is basically West Bengal and Bihar for us. So, that's how we differentiate, I think , in our results as well. And the subsidy that we expect, in quarter three we are again having some problem with the new clinker plant. It was having some problems stabilizing , and by 20th or 21st of November we finally expect to light up the kiln again and be able to run . So, because of that, the generation of subsidy till now has been quite poor. But in whatever is left of Q3 and in Q4, we do expect a good generation of GST . The exact n

umbers I will quantify, and I will let you know. I will probably ask my CFO

to get back to you . But I think about Rs. 50 crores to Rs. 60 crores quarterly is what we expect in the coming quarters.

Moderator: Thank you. The next question is from the line of Sahil Solan ki from Dial wealth Securities. Please go ahead.

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Sahil Solanki : My first question is , what capacity utilization do you expect for Q3 and Q4 of current year ? And what is your expectation for FY '26?

Management: So, in Q3 and Q4 , I expect to go at about 11 % to 12%, that is what the expectation is, right. So , I think with that , of course , in Q4 we do expect the utilization to significantly improve because Q4 in North east is the season time , right, when the rainfall is the lowest , so we do expect to operate at about 85 %, 90% capacity during season time in Q4 . In Q3, I think the capacity

utilization will be at about 70%.

Pratik Shah : And for FY '26?

Management: FY '26, I think on a year average I think our capacity utilization will be at about 75%.

Pratik Shah : And my second question was , how much EBIT DA do you expect for balance part of the year and for FY '26?

Management: So, I mean, as I told , we are having some problems in Q3 because of the clinker plant. There has been some technical difficulties that we have been facing and because of which there is a problem in production of the new line. But in Q4 , our expectation is good , I think it should definitely be much higher than last year , there should be about Rs. 220 crores to Rs. 230 crores in Q4.

Moderator: Thank you. The next question is from the line of Uttam Kumar Srimal from Axis Securities Limited. Please go ahead.

Uttam Kumar Srimal: Sir, last time you had guided for 11% volume growth for FY ' 25. So , are we sticking with that volume growth ?

Management: Sorry, how much did I suggest , 11%?

Uttam Kumar Srimal: 11% for this year, yes.

Management: Okay. So, this year also we grew in the Northeast by about 11%. In the outside Northeast we grew by about minus 5%, so that's why the weighted average is about 7%. And in Q3 and Q4 we do intend to grow by 11 % overall. So , I think for the coming two quarters we do expect to grow by about 10 % , 11%, that will still be our estimate . But we are focusing more in Northeast, so the growth rate in more Northeast is going to be higher . And growth rate in outside Northeast, which is basically West Bengal and Bihar for us , will be a bit lower.

Uttam Kumar Srimal: And sir, how is the current pricing and demand scenario in both Northeast as well as in this region?

Management: So, in the Northeast , the pricing scenario is definitely much better than outside Northeast. In Bihar and West Bengal, the prices have seriously crashed , and compared to the earlier two

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quarters I think in Bengal and Bihar the prices have not improved. So, whatever the average was of Q2 still remains the price currently . In the Northeast , the prices have increased by about Rs. 10 compared to the quarter too. So , in the Northeast the prices are a bit more stable than outside the Northeast .

Uttam Kumar Srimal: And sir, how is the capacity utilization for your new grinding unit in Guwahati? And where we see the capacity utilization by the end of this year ?

Management: So, the capacity utilization for Guwahati is at about 77% , that is also primarily because we are utilizing our old line a bit lesser, and we are focusing on a new line . Overall , between the two plants in Guwahati, Line-1 and Line-2, the overall utilization will be at about 70%. By the end of quarter three and in quarter four we do expect full utilization of both lines .

Uttam Kumar Srimal: Sir, a couple of data points, trade mix and non -trade mix , premium cement sale , lead distance and fuel mix.

Management: So, the trade percentage was 85% compared to Q 1 '25's 84%. That of course means that non-trade was 15% as to 16% in Q1. The lead distance is about 218 kilometers versus 207 kilometers in Q1.

Uttam Kumar Srimal: The lead distance has increased from earlier quarters?

Management: Yes. So, the lead distance was 218 kilometers this quarter , right. And last quarter in 2025 Q1 it was 207 kilometers . The share of premium is about 10.6 % this Q2 compared to 9.1 % in Q1.

Uttam Kumar Srimal: And sir lastly, fuel mix for this quarter?

Management: Fuel mix, so fuel mix , most of our coal has come from FSA, so about 55% of the coal has come from FSA Coal India coal agreement . Then about 18% has come from biomass , and the rest of it has come from spot contracts in Nagaland.

Uttam Kumar Srimal: And sir, what is the CAPEX guidance for FY '26, we have given for FY '25, and for FY '26 if you can quantify?

Management: Yes. So, for FY '26, we basically intend to complete our Silchar plant, which will be the main CAPEX . And besides that there will be operational CAPEX . So, I think in total we estimate overall CAPEX of about Rs. 450 crores.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Just wanted to check , like you mentioned that the Line-3 faced some issues , could you just help better understand like what issues and like after the resumption will it be on a normal run rate or will it take time to kind of ramp up the unit?

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Management: Yes. So, I think there were some incidents in the plant where there were some faults in the panel. So, because of that we had to replace the panel in the electrical room. And so it was just taking time for the panels to come. So, now on the 17th those panels will be received, and on the 22nd we will erect those panels. And I think after that we should have smooth functioning. So, this is broadly what it is.

Amit Murarka: And what kind of ramp up is expected on this unit?

Management: I mean, ideally it has the capability of producing about 10,000 tonnes a day, which is almost about 2.8 lakh tonnes to 3 lakh tonnes a month, which is actually more than our current clinker capacity of the Line-1 and Line-2. So, we expect that in November, whatever teething problems there would be, will rest out. And by end of November, we are able to at least operate it at 7,000, 7500 TPD, tonnes per day, and from there on we can stabilize it to 8,000 - 9,000 tonnes a day. So, I think once it ramps up, we should not have any problem of clinker. And we will also be in a position to self-clinker to rest of the plants in Northeast and also players in North Bengal because there will be a very acute shortage of clinker in Northeast in the coming season and there will be huge demand for it.

Amit Murarka: And just generally understanding like SC has seen so much consolidation in the last year or so, generally what are your thoughts about it, like how does it impact the industry? I know in the Northeast there has not been much, like JK Lakshmi I believe is trying to enter the market and even UltraTech is trying to do that. So, what is your outlook on these new entrants? And as well as what you thought on this wave of consolidation in the industry?

Management: So, I mean, particularly to Northeast, I think JK Lakshmi is attempting, they have also bought something in Northeast to put up a plant. So, I think the process is a bit more complicated in the Northeast, right, because of the land acquisition, the possession, the local, and even the legality of the mines, right, it is a bit more complicated than in other areas. So, I think anyone who attempts to put up a plant will at least take four, five years to put up a plant. Given that they have

now finalized the land and finalized the mine. So, I think Ultra Tech and other players, I would not want to like to name, but they are I think all looking for something. But they are not really being able to put a finger to a particular site or to a particular mine. So, given that, at least whoever comes will take four, five years to come. And so, I do not see the situation like rest of India repeating in Northeast anytime soon. In terms of consolidation in other parts of the country, I think it's good for industry overall because, I mean, most of these areas were highly fragmented. And for any pricing discipline and for decent profitability I think there was a need for a consolidation, which is happening.

Amit Murarka: And you are not in any way into the M&A market in terms of either thinking or acquiring something or anything like that.

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Management: No, we are not in the M&M market right now because we were earlier looking at the South, but South, for the size of the company that we are and the kind of margin there is in South and the variability in the margins, it did not look like the right kind of market. We have acquired mines in Rajasthan in auction recently, about 65 million tonnes of reserves. So, we are conducting geological survey. It is in Nimbol, it is very close to Nuvoco's Nimbol plant in Rajasthan. And we are conducting surveys there and we are awaiting the geological reserve and the quality. And once we are sure of the quality, then we will start the land acquisition in that area and put up a clinker plant, look to put up a clinker plant there. But that I will confirm in the next quarter, but there are already details, I think we had also submitted in SEBI the details of mine that we had part operated.

Moderator: Thank you. We will take the next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, fuel cost on KSL for Q2 was how much?

Management: So, the fuel cost is at about Rs. 1.5 per GCV.

Shravan Shah: And likely to remain similar in the third and fourth quarter?

Management: Yes, I think it probably will remain the same only. So, I think in Q1 also it was Rs. 1.5, right now also it's about Rs. 1.5. And I think it should remain Rs. 1.5 in the coming quarters as well. I think there could be some reduction but no increase.

Shravan Shah: And sir, this 12 megawatts WHRS which was supposed to start in October and November, has it started?

Management: So, it should start by the end of November. So, we have phased it out in two sets, so one part of it which will produce about 6 megawatts will start by the end of November, the second one will start by December end.

Shravan Shah: And in terms of the CAPEX, so you obviously for FY '25 and for '26 also previously we were saying the Rs. 670 and now Rs. 450 crores. So, for both the years we are reducing the CAPEX.

So, just trying to understand the delay what you have mentioned in the Silchar plant by

December we will be starting , and Jorhat will start by end of FY '27?

Management: Yes. So, the Silchar plant, we should come be able to commission by December , January next year. And the Jorhat plant will be a year after that year, year or fifteen months after that.

Shravan Shah : So, both is kind of delayed by three to six months delay is there on that part ?

Management: Yes, because we are also trying to time it with the market. because we are just making sure that we are timing it with the pace of the market , right , as the market demand. So, we are buying

land, we are taking out permission , right . Like for example, we have already done public hearing

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and we are in the process of taking the environmental clearance for Silchar, the same we will do for Jorhat. And we are just trying

to pace it depending on how the demand situation is.

Shravan Shah : And then in terms of the volume also you mentioned that in the second -half we are looking at 10%, 11% of growth in the second -half. So, once this clinker will restart in November and then for the next year , broadly just trying to understand , how one can look at on the volume front. So, try to understand how the Northeast would be growing in the next year and how we will be growing in the next '26?

Management: So, basically the main problem at least in the North East was that the government expenditure in Northeast in the first half was a bit low, right , and because of that the demand was a bit subdued . Even despite that we had grown at about 11% in Q2 of this year in Northeast , right . So, we do expect the demand to pick up because there is signs of the government releasing its scheme in Northeast at least from December January onwards. So, I think that will definitely positively affect the demand, right , for the coming two , three quarters, and we have to see what kind of schemes they bring in to boost up housing and all. So , in case the schemes are lucrative and they are effective , then I think there could be a surge in demand again. In next year it's hard to predict right now because there's a lot of fluctuation at the macro level, right. But I think by the next quarter, I think we will be better placed in giving a forecast about next year.

Shravan Shah : And you mentioned that in the third quarter our profitability will be lower , so just trying to understand, given that as you mentioned the Northeast prices are Rs. 10 off and outside Northeast is flatish on QoQ basis, so just trying to understand on QoQ basis, given the incentive , how the incentive is, as you mentioned Rs. 50 crores, Rs. 60 crores . So, still there will be a decent QoQ improvement that should be there in the third quarter on the profitability front .

Management: Yes. So, I think they should be, but it also depends on the price . And that Rs. 40 crores, Rs. 50 crores we have not been able to get , because our new clinker plant was not producing , right. So, we will only get some part of quarter three will get that benefit. But the entire benefit should be visible in the books from quarter four onwards, right? So , because of the Line-3 the new clinker plant problem , we also had to buy clinker from outside, right , so that will also affect the profitable. But from end of November onwards we should start building up the clinker stock. And then I think by quarter four we should have enough stock for ourselves . Also at the same time we should have stock to sell, right . So, Q4 I see should be a drastic improvement in the profitability compared to last year Q4.

Shravan Shah : And lastly, Manoj sir, in terms of the depreciations , so this quarter Rs. 82 crores, Rs. 83 crores , so how one can look at the second half and even what kind of a reduction one can look at in FY '26?

Management: Reduction , because we are on the WDV method, okay, so the depreciation will keep on decreasing on the year -to-year basis , because the first year it is the highest one and then the

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second year onwards it will start getting decreased. So, this quarter whatever depreciation has come , because you know, because last year in March we had stabilized our Guwahati unit and April we have capitalized this clinker plan. And part of WHRS will also be get supplied in the Q3. So, this year depreciation will be higher, but next year onwards it will start diminishing.

Shravan Shah : And lastly , what was the PPC share in the 2nd Quarter ?

Management: PPC sale?

Shravan Shah : Yes, PPC and OPC share.

Management: 10% is OPC, balance all OPC.

Moderator: Thank you. We will take the next question from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar :

Good evening, sir. My couple of questions. Firstly, this starting of this large clinker unit , does it have like any major startup cost which can also hit your performance in next quarter? Or is this

only related to like the other factor which you have mentioned on the profitability for Q3?

Management: I am sorry, can you please repeat that, it wasn't too clear.

Prateek Kumar : Is there any specific one-off startup cost which also like is going to hit the cost performance or like any specific marketing cost over next two quarters which can have an impact on your profitability?

Management: No. So, I think those kind of marketing campaigns we have already undertaken, and so that already has hit the profitability in the Q1 and Q2, and unfortunately we had this technical problem of panels in our plant, due to which we were not able to support the sales team in doing the best, right. So, I do not think there should be any hit in terms of the marketing cost or startup cost or startup of the kiln cost, right. I think there should be no cost as such. Of course, the first one or two months when they can operate, it is still trying to reach sufficiency. So, I think there will be not surge in the fuel or power cost, but there will definitely be over time a decline in these costs as we stabilize the kiln three, and we are able to operate our new and the latest more efficient kilns.

Prateek Kumar : And on demand, you talked about the East demand (-5) for last quarter, in October has the things improved like in terms of demand because we have a low base overall for East in the month of October?

Management: So, the demand has been subdued in the east, but in the Northeast I think overall our volume may have been growing in single digit and Northeast we have seen an uptick, but in East we have not seen really an uptick. And we have not been also focusing that much in East because right now the pricing is such and there's so much work that we have in Northeast itself, and the

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profitability in itself is so high in Northeast that our focus is normally in Northeast and we do not focus on East as much.

Prateek Kumar : Particularly on Northeast, with your commissioning of plant and Dalmia Bharat's also commissioning of plant later in this initial year, do you see any specific pricing pressure into next year?

Management: So, I mean, there could be pricing pressure, but I think Dalmia, from what they have announced, is coming in the next financial year, not this financial year, according to their investor presentation, right. So, I do not think that we should be facing a pricing pressure, at least in quarter four. Probably there could be pricing pressure in Q1 to next year, but quarter four should be quite smooth because I think in Northeast no one really has a clinker to serve the demand, right, which comes in quarter four, this time. So, I think the pricing should be higher because of the demand-supply gap.

Moderator: Thank you. We will take the next question from the line of Uttam Kumar Simal from Axis Securities Limited. Please go ahead.

Uttam Kumar Simal: Sir, what is the current status of our AAC block in Guwahati?

Management: AAC block in Guwahati should be commissioned by December, in the first two weeks of December. And with that, we are also launching construction chemicals, right, so we will be getting into motor, waterproofing chemical and all these items. So, I think that should start and we have already started with advertising, and I think by the first two weeks of December we should be able to launch it.

Uttam Kumar Simal: So, we will also receive incentive for this AAC block?

Management: I am sorry?

Uttam Kumar Simal: Are we also going to receive incentives for stabilizing this AAC block?

Management: Yes, we will be

receiving incentives for the AAC block as well. I think it is eligible in both the central subsidy and also the state subsidy.

Uttam Kumar Simal: And sir, what was the cost of clinker purchased during this quarter?

Management: In Quarter 2?

Uttam Kumar Simal: Quarter 2, yes.

Management: In Quarter 2, I do not think we have purchased that much clinker, but I will get back to you. In Quarter 2 we did not purchase much clinker, I think it is only in quarter three that we purchased clinker. In Quarter 2, we may have purchased like less than 5,000, 6,000 tonnes of clinker.

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Moderator: Thank you. The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti : Your employee cost run rate will remain at this level, Rs. 60 crores, in the upcoming quarter also, Rs. 60 crores, Rs. 65 crores?

Management: This quarter there is an extraordinary payment of around Rs. 3 crores, so that will be in the coming

quarter s. The rest will remain the same. Only the extentia payment will not be there in the quarter three and quarter four.

Keshav Lahoti : And Jorhat land is acquired for this expansion?

Management: The Jorhat land has been identified and we still have to buy the land, but I think it has been identified and the team is working to acquire it . And the cost of manpower on a running rate basis should be on an average about , the increase should be about Rs. 42 crores to Rs. 43 crores .

Keshav Lahoti : One last question on CAPEX side, can you give a broad break up for CAPEX for FY '25 and '26 for which project how much you are allocating?

Management: Yes. So, in FY '25, the H2 , we are allocating about Rs. 60 crores to the clinker plant and the WHRS .

Keshav Lahoti : So, preferably by FY '25 only, rather than H1 and H2 ?

Management: So, in FY '25 we are almost spending Rs. 170 crores in clinker and WHR S, out of which a lot has already been spent . In Silchar we are spending about Rs. 110 crores . In AAC and the construction chemical we will be spending about Rs. 67 crores . In Jorhat we are spending about Rs. 26 crores to acquire the land . We have bought about 120 trucks of our own fleet which costed us about Rs. 52 crores. We have put up a system which should be commissioning in November, which has costed us about Rs. 32 crores. And we have gone for a group captive project with JSW energy, which we had also notified with SEBI, that will cost us about Rs. 12 crores. And the operational CAPEX should be about Rs. 170 crores . So, in total it is coming to about Rs. 600 crores.

Keshav Lahoti : Coming around, sorry ?

Management: It's coming to about I think Rs. 650 crores around .

Keshav Lahoti : Okay, because the CAPEX guidance is Rs. 720 crores for this year , and the remaining part ?

Management: The remaining part , for example in Silchar we had actually , I think I will have to devise these numbers , so I think in Silchar we had reduced some of the CAPEX because it will be getting postponed by two, three months . And I think in Jorhat I think there's some CAPEX which is due .

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So, I think the CAPEX sheet, I think I will add it in the Investor Presentation, and it will be submitted.

Keshav Lahoti : Do you have CAPEX for FY '26.

Management: Yes, I have a tentative CAPEX ready for FY ' 26, which I will also ask the CFO to kind of put in the presentation. So, in Silchar it is about Rs. 300 crores, Jorhat i t is about Rs. 100 crores , and operational CAPEX is about Rs. 100 crores. So, in total it is about Rs. 500 crores. And then there's group captives which is Rs. 12 crores . So, in total it is about Rs. 480 crores to Rs. 500 crores .

Moderator: Thank you. The next question is from the line of Hemant , an individual investor. Please go ahead.

Hemant : I have couple

of questions. First question from my side is regarding the recent p romoter stake sale, especially it comes at a time when the plan of the company is very, very robust. We are finally moving towards, I mean, 2 million tonnes of capacity by FY ' 30. So, there have been a couple of stake sales by Suchita Agarwal and Gayatri Chamaria . Can you please elaborate on that? I mean , this is I think considered a negative sign, and especially at a time when the plans are very, very robust , the growt h plans are very, very strong .

Management: Yes. So, I think that , honestly , in Star Cement there are about four families with the promoter group , right. And out of that one family is actually the one who's selling the stake. And the other three families normally are seen as picking up shares in the market rather than selling, right. So, I think it is just a personal situation for them to sell their state , and not a situation which is reflective of the future of the company. And you would also notice that in the last one and a half, two years , the other promoters have also increased the sta ke, right. So, I think that is also there. So, I think it's not necessarily something related to something, but they are just personal requirement and personal preference.

Hemant : So, sir, the Agarwal family and the Chamaria family, they are not the promoters of the company right now ? Because I saw it in the, I mean, I saw their name in the promoter list.

Management: So, the Chamaria family and the Agarwal family, so Chamaria family mainly is the one which is selling, I think the Agarwal family is just part of the Chamaria family in some ways, right. So, I think the Chamaria family is selling the sta ke right now and they are part of the promoter group, but they are one of the four families in the promoter group, right. So, what I am trying to say is that maybe that Chamaria family is selling the sta ke for their own personal reasons, but it is not reflective of the overall promoter group, right .

Hemant : So, it does not affect the , I mean , the future growth of the company, right , they are quite intact ?

Management: Hello, can you repeat that?

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Hemant : So, I mean, it is just a personal thing and it has nothing to do with the future road map of the company and the growth?

Management: No, I do not think it affects the future road map with the company , it is just a personal choice that they feel that they need to sell.

Hemant : Sir, there has been a recent pledge by Chamaria family as well, Amritansh Chamaria, the stake pledge created by him.

Management: So, again , all these things are , again , their personal things. B ecause you have to understand that in Chamaria family also the share equity is quite divided, right, because they are also having like four brothers and four brothers are now having their children and so on so forth. I really do not know what is going on. And they together constitute a family which may be owning about 14 %, 15% of the company. So, I do not know what goes around in that 14 %, 15% really. So, my point was that if they 60%, 70% is the promoter holding , the rest 52% is actually not the ones who are buying or selling , there is this 15% which is actually selling and buying. So, I think it should just be looked at as the ir personal choice rather than something which is a bit more serious.

Hemant : One more thing I wanted to ask you is , in the previous quarter, I mean , in Q1 we had some issues like clinker we had to buy from outside , and we were supposed to get the benefit of GST , then the FSA benefit. So, ideally Q2 should have been much better, right , because I think we were also expecting the logistics cost to get reduced as we were introducing 100 new trucks. And power and fuel costs also m ust be going down , as we had decided earlier . So, I do not think that Q2 shou

ld have been much better .

Management: No, our expectation honestly was also that the Q2 should have been better , and that is mainly the unfortunate part was the clinker, right , that we were not able to stabilize the clinker plant till now, and that was giving us the hiccup. And it has kind of given us the hiccup for the last five, six months , and that is where we have kind of suffered. But having said that , I am confident that by end of the month, right, we will be able to stabilize the plant and we should be able to get the benefits of having a new setup in terms of the GST also in terms of the availability of clinker as well, and in terms of the heat rate , power and all those o ther aspects , right. And the freight and all, you are completely right that we also expect a reduction in freight , so that the freight cost and all those things could not reduce as much and have increased , because there was a lack of availability of clinker. So, the entire logistics and the entire movement of clinker just changes, and it increases and puts pressure on the logistics , right. So, I think that is what we were struggling with in the last Quarter 2 , and I completely respect and agree to the fact that, yes, we were expecting better results, and we should see it , right , given the price supports us, right, because price is something which is not in our control. And given how East prices have been behaving, it's not great, right.

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Hemant : Sorry to cut you, sorry, it's the same clinker plant, which is I mean troubling us, right , from Q2, right ?

Management: Yes, the clinker plant is basically something which we are looking to stabilize , by end of the month it should stabi lize. There's nothing long term wrong with the plan t. It is just that some parts of the plant , like the crusher and the static claimer , we are waiting for it to come , right. So, now that the plant is completely ready in the sense that some aspects of the plant which needed to be completed are also completed, I think we will be able to stabilize it in a much better way, right , and it is just a hiccup of running the plant now, right . So, I think that we should be able to do and we should be able to come up with better results is the expectation.

Hemant : It is the same clinker plant, right?

Management: Sorry?

Hemant : It's the same clinker plant, right, which was travelling us in Q2, right ?

Management: Yes, it is the same clinker plant.

Hemant : So, sir, shall we expect a sequential recovery from Q3 or Q4? Because I think the dispatches will also , plus because of monsoon season and all , so shall we expect a sequential recovery from Q3 or Q4?

Management: I think a better recovery in at least the profitability would be from Q4, right, because I mean I am talking about November end to kind of stabilize the plant, right . We have already crossed October and November, right . So, the recovery of getting up a new plant and be able to sell clinker and all those things will actually start coming. And the GST also , because the GST will also come for the clinker plant when you produce clinker, right . So, that benefit. I think will be from Q4, r ight. Q3 wil l still be a struggle, but Q 4 is where we actually see the benefit coming.

Hemant : And sir, as per the annual report of 202 4, you were guiding was 20% growth in revenue with

higher EBIT DA in FY '25 . So, are we some sort of lowering guidance for FY '25 given the kind of problem we are facing for the clinker unit?

Management: No, I think the problem is not only of the capacity , the problem is also of demand, right? Like as we have seen for other cement companies also , some of them have degrown , right , and some of them have actually grown in only single -digits, right. So , entire India I think there is a problem of demand, right , that we are facing. So , my expecta

tion would still be double -digits, right , that

we should be able to do Q3 and Q4 well. But I do not think that the number will be touching 20%, right , because the demand also needs to support for that to happen.

Hemant : So, maybe early double -digits you can say, right?

Management: Yes, early double -digits. Like I think 11%, 12% would be a good estimate.

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Hemant : Sir one more thing I have a concern , and it is very, very disheartening. We as an investor and we are also doing equity research, and no one picks up the call. I mean , the number which is there on the website and the number, which was there in the investor presentation, we were unable to reach the investor relations department . No one picks up the call , neither the sales team , nor any replies to emails. So, this is very , very disheartening. And numbers are not working also, sir. Like the Guwahati number or something, I just got a chance to connect with the Delhi team and they were something from the sales department or someone else. They took the call, and they were unable to get me connected to the investor relations department. So, it is very, very disheartening. Please note this as a concern, sir?

Management: Which fund are we speaking from?

Hemant : No, I am an individual investor, sir. I do my own research, and I invest in most of the companies . This is very , very disheartening, sir.

Management: No, I get it. So, I will do one thing, in the investor presentation that there is , I will make sure that all the numbers are working, and you do not have this problem . And I will also ask the team to be a bit more responsive to such queries.

Moderator: Thank you. The next question is from the line of Jinesh Shah, an individual investor. Please go ahead.

Jinesh Shah : First of all, thank you for the opportunity. Once our clinker plant will be established by the end of November, how much cost saving in terms of operation cost saving we are expecting on monthly basis , if you can elaborate on this please ?

Management: So, once the clinker plant does come , end of November, then we expect to shut our Line-1, the first line that we have of clinker , where the heat rate is almost touching 780 Kcal, and the power is 65 , to a bigger kiln which has a power consumption of about 50 unit and a heat rate of about 710. So, there will be substantial saving of about, I am expecting a saving of , just from the operations perspective I think we should be saving about Rs. 50, right , from operating the new kiln. And then also the SGST benefit , the GST benefit of the central subsidy that we will get, right, which should be another about another weighted average should be about Rs. 100 a benefit on cement . So, I expect about a Rs. 100 to Rs. 150 of benefit from operating the new kiln. And then of course the new kiln will also give us the benefit of selling clinker and availability of clinker, which is a huge benefit , right. Because as I said, the demand in Northeast for clinker is also going to be very high. It's still high and going to be very high, especially in the season 's time. And at that position if you are able to sell clinker, then I think that will generate additional income for us .

Jinesh Shah : And what is current market price of cement , OPC PPC there in Northeast? And how do you see trend in Q3 , Q4?

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Management: Sorry, can you repeat the question?

Jinesh Shah : What is the current cement price in Northeast and how do you see the cement price trend in Q3 , Q4 in North east?

Management: The current price in Northeast is about Rs. 460 per bag. And in November I do not see an increase in the pricing . But I think going ahead , hopefully , I think we should be , I think by December I think normally the prices do increase . So, we do see like a Rs

. 15 to Rs. 20 scope of increasing

prices . But that we do not know , it depends on how the demand behaves and how the pricing behaves . So, I think , the experience from last years ' is that normally the prices increase by about Rs. 15 to Rs. 20 in December leading to the season.

Jinesh Shah : Sir, we have a production plant in Northeast and if the demand in North east is not increasing

and if we are selling our products outside the Northeast , are we still entitled for the central subsidy?

Management: In clinker, yes. So, basically there are two benefits , one is the S GST benefit , that is of course the state of Assam benefit , and that you only get for sales in Assam . Then there's the GST benefit that we get from the clinker, that is for overall GST. That is a central subsidy benefit, right . So, the central subsidy in clinker we get for all our sales, but for the sales uh from grinding unit , the benefit is only for Assam.

Moderator: Thank you, sir. Ladies and gentlemen, due to time constraint, we will take the last question for today, which is from the line of Prachi Kadam from Dol at Capital. Please go ahead.

Prachi Kadam: Sir, can you help me with the EBITDA per tonne for Northeast and outside Northeast?

Management: Yes. So, EBITDA per tonne for Northeast was about Rs. 1,300 per tonne, and the EBITDA per tonne for outside Northeast was about minus Rs. 200.

Prachi Kadam: Sorry sir, minus Rs. 200?

Management: Yes, rupees per tonne would be EBITDA for outside Northeast, and for Northeast it was about Rs. 1,300.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to Mr. Vaibhav Agarwal for closing comments. Over to you , sir.

Vaibhav Agarwal: Yes. Thank you. On behalf of PhillipCapital, we would like to thank the management of Star Cement for the call . And many thanks for joining the call. Thank you very much, sir. Michelle, you can now conclude the call. Thank you.

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Moderator: Thank you, sir. Thank you, members of the Management . Ladies and gentlemen, on behalf of PhillipCapital (India) Private Limited, that concludes this conference. We thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Feb 2025

Date: 07th February, 2025

To,
The Listing Department,
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Mumbai -400 051
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Dalal Street,
Mumbai -400 001
Scrip code: 540575

Dear Sir(s) /Madam(s) ,

Sub: Transcript of the Conference call for Unaudited Financial Results for the Third Quarter and nine months ended 31st December , 2024

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the Transcript of the conference call with Investors and Analysts held on Thursday, 06th February, 2025 for Unaudited Financial Results for the third Quarter and nine months ended 31st December , 2024 .

The same shall also be available in web site of the Company at
[https://www.starcement.co.in/earnings -call#main](https://www.starcement.co.in/earnings-call#main)
This is for your information and record.

Thanking you,
For Star Cement Limited

Debabrata Thakurta
(Company Secretary)
(M. No.: F6554)

Encl: as above
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“Star Cement Limited Q3 & Nine Months FY '25 Earnings
Conference Call ”

February 06, 2025

MANAGEMENT : MR. DILIP AGARWAL – CHIEF COMMERCIAL AND CORPORATE AFFAIRS OFFICER , STAR CEMENT LIMITED
MR. MANOJ AGARWAL – CHIEF FINANCIAL OFFICER , STAR CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day , and welcome to Star Cement Limited Earnings Call for Quarter and Nine Months ended 31st December 2024 , hosted by PhillipCapital (India) Private Limited .

As a reminder, all participant s' lines will be in the listen only -mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*,” then “0” on your touch tone phone.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited . Thank you and over to you, sir.

Vaibhav Agarwal: Yes. Thank you , Mitchell . Good evening, everyone. On behalf of PhillipCapital (India) Private Limited , we welcome you to the Star Cement Q3 and nine-month FY '25 call .

On the call we have with us Mr. Dilip Agarwal , he is the Chief Commercial and Corporate Affairs Officer of Star Cement; and Mr. Manoj Agarwal, who is a CFO of the company. At this point of time, I would hand over the floor to Mr. Dilip Agarwal for his opening remarks, which will be followed by an interactive Q& A. Thank you and over to you, Dilip s ir.

Management: So, good evening, everyone . Myself, Dilip Agarwal – Chief Commercial and Corporate Affairs Official for Star Cement . I welcome you all in this conference call for discussing Q3 numbers and YTD numbers of FY '25.

One small clarification that Mr. Tushar Bhajanka was very willing to join, but he has been traveling so he has not been able to join this call . Otherwise , with me m y CFO, – Mr. Manoj Agrawal , is there , so he will take you through all the numbers of Q3 . And then we will try to answer your question s in the question -and-answer session . Thanks . Over to Manoj.

Management: Yes, hi friend s. Very good afternoon. I, on behalf of Star Cement, w elcome you all to our concall for discussing our number. Q3 FY '25 and nine months ended 3 1 December , '24. I would like to clarify that we will be discussing the historical number s and there is no invitation to invest.

Having said that, now I will just take you through the Q 3 number s followed by YTD number s.

Starting from clinker production . During the quarter ended December '24, we have produced 6.42 lakh tons of clinker as against Rs. 7.37 lakh tons in the same quarter last year. So, far as cement production is concerned, we have produced 10.82 lakh tons this quarter as against 9.81 lakh tons same quarter last year.

Now , I will take you through the sales volume. D uring the quarter , we have sold 10.60 lakh tons of cement and 0.07 lakh tons of clinker as against 9.70 lakh tons of cement. That means approximately 10% growth is there. This is as far as cement and clinker scale is concerned.

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As far as geograph ical distribution of cement is concerned, in Northeast we have sold around 8.30 lakh tons against 7.32 lakh tons during the same quarter last year . And as far as outside Northeastern is concerned, we have sold 2.31 lakh tons of cement this quarter as against 2.38 lakh tons for the same quarter last year. In terms of blend mix, it is almost 11% of OPC and the rest is PPC. These are the quantities numbers of the quarter s.

Now , I will take you through the financial s. The total revenue figure this quarter is around Rs. 719 crores as against Rs. 651 crores same period last year. As far as the EBITDA period is concerned , this quarter we have done an EBITDA of around Rs. 107 crores as against Rs. 153 crore s last year. PAT is Rs. 9 crores as against Rs. 74 crores in the same period last year. The decrease in PAT on account of increased depreciation due to capitalization of over 2 million tons grinding unit at Guwahati and also the clinker plant at Lumshnong. On per ton EBITDA front, it is Rs. 1,000

during this quarter as against Rs. 1,576 per ton same quarter last year . This is about our quarterly numbers of 3rd Quarter .

The total revenue figure for the nine month s ended 31 December , '24, is around Rs. 2,111 crores as against Rs. 1,997 crores same period last year . As far as EBITDA figure is concerned, d uring the nine months ended December '24, we have done an EBITDA of around Rs. 321 crore s as against Rs. 395 crore s last year. PAT is Rs. 46 crores as against Rs. 207 crores in same last year,

a decrease on account of increased depreciation as explained earlier. On performance ton EBITDA front it is Rs. 1,005 during the nine months ended December '24, as against Rs. 1,304 per ton same period last year . These are the quarterly and year-to-date numbers.

Now , I request all of you , if you have any queries you can ask the same and I will request Vaibhav to moderate the query w hereas it requires. Thank you.

Moderator: Thank you very much , sir. We will now begin with a question -and-answer session. The first question is from the line of Shravan Shah from Dolat C apital. Please go ahead.

Shravan Shah : Hi, thank you sir. Sir, a couple of data points. Trade share, premium share, lead distance and K -cal for this quarter.

Management: So, share of trade in Q3 was around 51% and rest has been non-trade . And what else , Shravan, you ask ed for?

Shravan Shah : Premium share, lead distance and K -Cal cost.

Management: Premium share in this quarter is 12%.

Shravan Shah : Lead distance ?

Management: Lead distance , 222 kilometers .

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Shravan Shah : And K-cal cost?

Management: K-cal cost is the same, around 1.5 . That was more or less in the same line as last quarter.

Shravan Shah : Now the basic thing, s o how do we now see in terms of the volume growth for the 4th Quarter and for FY '26?

Management: See, Dilip here, w e are expecting a volume growth of around 7% to 8% for the full year and around 10% in Q4.

Shravan Shah : Okay. Got it. And for next year, how one can look at?

Management: We must ad d here that in Northeast market this year demand was flattish kind of thing . If you consider the demand of the industry as a whole, then the demand was flat tish. A nd we are expecting to grow by 6 %, 7% this year. And next year also we are expecting to grow by 12% to 15% for next year.

Shravan Shah : Sorry, sir, 12 % to 15% you said?

Management: Yes, we are talking about our growth.

Shravan Shah : Yes, yes, 12% t o 15%, okay, got it. And sir, in terms of the profitability, we were looking at decent in terms of Rs. 220 crores , Rs. 230 crores odd kind of EBITDA.

Management: Yes, that will remain at the same number that we should be closing around the similar numbers. Given the issues that we faced in Q3 in terms of stabilization time of our n ew clinkerization unit and then followed by some purchase of clinker from outside , otherwise our Q3 numbers would have been better. But we are expecting that Q4 will pan out much better than earlier quarter s, so that is what our EBITDA projection is, a round Rs. 225 crores to Rs. 230 crores on the conservative side.

Shravan Shah : Okay , got it. And now, sir, how one can look at in terms of the pricing, so current prices , so January until now versus the 3rd Quarter average for Northeast and outside Northeast ?

Management: What I can add here that prices so far as Northeast is concerned , let m e take first the Northwest market. So, as I said, th e demand was flattish , so far as industr y is concerned in this current financial year . And price is looking stable as of now , and it should remain stable or with maybe a bit positive side. We are not expecting a price cut going forward in coming months. So, far as outside Northeast is concerned , so prices has taken a beating and I think volume also there is a degrowth in volume also.

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Shravan Shah : Okay. So, broadly if somebody looks at current prices, whatever is for outside Northeast , how much it would be lower versus the 3rd Quarter average ?

Management: More or less 3rd Quarter and 4th Quarter , because 3rd Quarter already prices have gone down outside the Northeast . So, we are hopeful that further decrease will not be there. Maybe Bihar we have done an increase , in maybe November, December the increase was there. So, that full impact will come only in this quarter. So , prices from here , even it will be either flat or there will be increase in prices.

Shravan Shah : Okay . Got it. And on the CAPEX front, I astly sir, timeline for both the expansion , Silchar and Jorhat, so i s there any change in the timeline ?

Management: No, that is f ixed, FY '26 we have chosen for Silchar, and for Jorhat FY ' 27, that will still remain the same.

Shravan Shah : Okay . So, Silchar I think last time we said 3rd Quarter of FY '26.

Management: By December '25 or FY '26.

Shravan Shah : Got it. And in terms of the CAPEX , how much we have done ? And for the full year next year how much of the CAPEX we are planning to do , considering everything, the AAC block plus the WHRS, plus all the expansion s, AFR, everything ?

Management: So, actually, major CAPEX which is left out is not Silchar and Jorhat only. So, Jorhat, full CAPEX to panel in next one, one and a half years, or two years you can say from now . And Silchar, we are hopeful to commission in FY ' 26, as my colleague rightly said . So, the full projected CAPEX of Silchar should get exhausted during the next financial year. So, far as AAC block project is concerned, it is in advance stage. Except for some tidbits, I think in this quarter the project should be commissioned.

Shravan Shah : Sir, in terms of the absolute number, if you can help us how much we have already done CAPEX in nine months ? And for 4th Quarter , how much ? And for FY '26 and '27, in terms of the absolute value , if you can specify the CAPEX ?

Management: So, nine months we have already done around Rs. 440 crores kind of. And the rest of the period in this quarter, I think it should be between Rs. 200 crores to Rs. 250 crores .

Shravan Shah : Okay , next year, sir? FY ' 26 and '27, sir?

Management: FY '26 should be around Rs. 600 crores . And say, another Rs. 300 crores to Rs. 400 crores you can take for FY '27.

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Shravan Shah : Okay . Lastly, the incentive for 3rd Quarter , and then I will be in queue.

Management: Yes, Manoj , please share.

Management: Yes, what do you want to know , Shravan?

Management: Incentive for 3rd Quarter .

Management: Third quarter total incentive is Rs. 43 crores.

Shravan Shah : Okay. Thank you and all the best, sir.

Moderator: Thank you. The next question is from the line of Rajesh Ravi from HDFC Securities . Please go ahead.

Rajesh Ravi : Hi, sir. Good evening to Manoj sir and Dilip sir. Sir, my first question pertains to this quarter .

You mentioned that this quarter you mentioned that there was impact of one-off clinker purchase because of the new line getting stabilized. However, could you explain what led to sharp jump in the other expenses ? And what would be the normalized run rate ? Because earlier it was close to Rs. 800 to Rs. 900, this quarter it is almost close to Rs. 1,170.

Management: Rajesh, the other expenses, because the shutdown cost was there , the one-off kind of thing is Rs. 10 crores is the one-off thing, okay, that will not be there in the next quarter .

Management: What happens, Rajesh, let me explain , that whenever you take a maintenance shutdown for any reason , whether for stabilization or a normal shutdown , two things which happen . One, we have to incur some cost for maintenance. On the other side , because of

lower production on account

of maintenance shutdown , your fixed cost does not get spread over the volume. Thirdly, since it was normally after October the season starts of cement in Northeast , so you have a demand growth also during that time as compared to second quarter. So , just to maintain the market share and all we had to purchase some outside clinker also. So, outside clinker is always costly. So, everything taken together, it has a bearing on the bottom lines.

Rajesh Ravi : So, if we want to strip out the one-off cost, including maintenance and the one-off clinker purchases --

Management: Can you speak a bit loudly, Rajesh , please .

Rajesh Ravi : Okay . So, I am saying, if we strip out this Rs. 10 crores and the clinker purchase cost, how much would be the impact in the Q3?

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Management: Because 1.5 lakh tons we have purchased clinker , that is almost about Rs. 30 crores . At Rs. 30 plus crores is the shutdown cost, then Rs. 40 crores is the one-off kind of thing in this quarter .

Rajesh Ravi : Which will not be recurring in subsequent quarters ?

Management: Yes, yes.

Rajesh Ravi : Okay. So, almost Rs. 400-odd impact because of these two.

Management: There will be two things in Q4 which were there in Q3 and will not be there in Q4. One is , no purchase cost of clinker. And another is , additional shutdown cost.

Rajesh Ravi : Okay. And this logistics cost in Q4, will it remain at similar elevated level or will it again come down to --

Management: That normally happens because everybody has the volume pressure. So, Q4 there is always some price increase as credit cost is there. So, there may be a mild thing .

Management: On the gap of seasonality , otherwise there is no long term or any such kind of cost.

Rajesh Ravi : Okay . And this WHR you would be commissioning, this would become operational in Q4 , 12 megawatts?

Management: Yes, yes. WHR will be operational in this quarter.

Rajesh Ravi : Okay . And sir, lastly on the competitive landscape, we believe that the Dalmia project is still far away. But once that kiln gets started early next year, what sort of scenario would that lead to pricing erosion in your market?

Management: Rajesh, I do not think that .

Management: Yes, this can happen. Theoretically yes, but I do not think that there should be any call on price discipline. So , we do not expect much of prices getting down. And we can discuss it at appropriate time when Dalmia is already there in the market.

Rajesh Ravi : Okay. And sir, one last question, if I see the trend for your trade sales, at the start of FY '24 we were close to almost 89 % , 90% was the trade sale volume which has come down to 81%. So , is there any change aggressiveness in the non -trade market or it is just a one-off that we are close to 81% in Q3?

Management: No, there is no change. The only change is that you are aware that we have commissioned a 2 million grinding unit also in this current financial year . And we have also commissioned the clinker unit. So , earlier our production was just matching the market requirement. Now , with the Star Cement Limited

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increased capacity , we are testing waters so far as non-trade infrastructure market is concerned.

So, right now our clinker production is going to be almost stabilized. So, yes, on a day -to-day basis we are utilizing around 70% of the capacity of the new clinker unit. Similarly is the case with new grinding unit at Guwahati . So, we are exploring , since earlier we were not focusing too much on non -trade market because of lower realization on non -trade as compared to trade. Now, with increased volume, we will definitely look for some share in non -trade markets also. So, that is why the pie of non -trade is looking a bit higher this time against 10 % , 11% to 18%, but

with volume I think it should again go down.

Rajesh Ravi : Okay . Great. That's all from my end. I will come back in queue . Thank you. All the best.

Moderator: Thank you. The next question is from the line of Uttam Kumar Simal from Axis Securities Limited . Please go ahead.

Uttam Kumar Simal: Yes. Good afternoon, sir. Thanks for the opportunity . Sir, your premium cement share has improved to 12% from 9% last year , so where do you see this premium sale moving ?

Management: Because whatever growth we are doing, whatever growth was there in the Northeast market . Because as we told that the Northeast market s have not grown , nine months is a flattish kind of thing, but still we have grown more around 10% . So, whatever growth was there is from Northeast . And outside Northeast , you know prices were lower and also we have a clinker constant . So, we have not put much of the effort for keeping the volume outside Northeast . But now everything is streamlined , now we will see the prices will improve, then we will also focus on the outside Northeast .

Uttam Kumar Simal: Okay . And sir, what has been the capacity utilization of our Siliguri plant during this quarter ?

Management: Siliguri plant , because last year also it was around 45% till now, but we are hopeful that it will be 50%.

Management: Siliguri plant mainly caters the markets of West Bengal and Bihar. So, as we said earlier that markets of outside the Northeast have not grown that way , and we had some clinker constraint also and we had to buy from outside , too. So, we were not focusing upon Siliguri grinding unit . And realization wise also Northeast market s are much, much better than Bengal and Bihar market s. That is why capacity utilization has not increased as compared to last year . But during this current quarter , we are expecting some improvement in rest of eastern , Siliguri capacity utilization. But in any case, our prime focus will still remain with the Northeast market so far as overall pie is concerned.

Uttam Kumar Simal: And sir, what has been our fuel mix during this quarter , pet coke, biomass and coal?

Management: If you take the CSR budget , this quarter is around 13% kind of a thing.

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Uttam Kumar Simal: Okay. So, overall sir, fuel mix, last time it was 20% was Nagaland coal, 20% biomass, and 60%

--

Management: 77% from the fuel supply arrangement. And 13% is biomass, and 20 % around is Nagaland coal.

So, this is the mix for this quarter .

Uttam Kumar Simal: Okay , sir. That's all from my side. And I wish you all the best.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Nihar Dave from IIFL Capital . Please go ahead.

Nihar Dave: Yes. Hi, sir. Thank you for the opportunity. So, sir, like you said, you purchased Rs. 30 crores of clinker from outside. So, we had no clinker production at all or what is the clinker production for this quarter?

Management: No, the clinker production during the quarter I have already given the number. This quarter we have produced 6.42 lakh clinker we have produced. But two things are there, one is that new plant little bit took more time to stabilize. And second thing is that because the road was also problem –

Management: There were two constraints actually. One was, as we already elaborated that our new clinker line was under stabilization. And the second was that there were some issues so far as Silchar, Khliehriat road highway is concerned, there is some long-time repair work which was due for long time. Now the government has released funds, and the work is going on full-fledged. So, there were issues of availability of vehicles transport also. So, that is why this passage was a bit low. We are expecting this road to complete in the next month's time. But we are trying some alternate way of dis

patching in terms of alternate routes and all. So, both the cases taken together, our number is looking like that.

Nihar Dave: Okay. So, even for the most part of this quarter also that road is not completed, so we should see a similar sort of scenario for this quarter?

Management: No, clinker purchase will not be there. I mean, dispatch of cement from our Lumshnong plant, that's it. We have two plants, one is at Lumshnong where capacity is very minimal as compared to rest of the plant like Guwahati and Siliguri. But whatever dispatches which we're supposed to take place from Lumshnong because of this road issue, it cannot pan out like that as expected. And it is a one-off issue, I think in this quarter it should get resolved. And we are already doing good numbers this quarter, so I do not think there should be an issue this quarter so far as road is concerned. And clinker production is already now in line with our expectation. So, both the things as of now looks addressed.

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Nihar Dave: Okay, perfect. And sir, just one last question, in our regional mix in northeastern and east, so what was our sales in the eastern region?

Management: So, Northwest was around 79% of the total sales and around 20%, 21% was outside, last quarter.

Nihar Dave: Got it, got it. Alright. Thank you very much, sir.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Hi. Sir, just needed clarity in terms of the UltraTech stake from the existing promoter. Any comment in terms of the future plan or is there a possibility that they can have a higher stake?

Management: I think we have already clarified this issue in past also when this issue had come up. Our rest of the promoter's stand committed about the future plan of Star Cement. There is no such plan of further dilution so far as the rest of the promoters are concerned. So, whatever we have told earlier in this issue, I think we reiterate the same thing.

Shravan Shah: Okay. And Manoj sir, for this quarter, 3rd Quarter in terms of the Northeast EBITDA per ton and outside Northeast would be how much?

Management: I think those numbers are not bifurcated over here. Northeast ROE and EBITDA are not separated, so as of now we will not be in a position to comment upon EBITDA in Northeast and rest of Northeast.

Shravan Shah: Okay, no issues, sir. Second in terms of our future expansion in Rajasthan. So, to reach a 20 million tons capacity by FY '30, so that stand still remains intact? Any update there in terms of land acquisition or anything?

Management: Yes, I said in earlier calls that we have already won the bid for Rajasthan mines, deposit was around 65 millions. The exploration for testing is going on. And side by side this land acquisition process is also going on. So, we stand committed to the Rajasthan project. And at an appropriate time, we will definitely discuss the timeline, etc., also. But yet, as of now Rajasthan is on.

Shravan Shah: Yes. So, sir, just broadly looking at sir post both Silchar and Jorhat, we will be reaching to close to 11.67 million tons capacity at cement level, and also to reach 20 million tons so that is kind of 8 million, 8.3 million tons kind of additional capacity we need. And in terms of the timeline post FY '27 it will be just three years. So, obviously we need to start doing CAPEX. So, just trying to understand, broader level if somebody wants to understand how much CAPEX we would be needing to reach 20 million tons capacity?

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Management: See, as of now, so far as cement is concerned, we are already close to 7.7 mtpa precisely. Another 4 million will get added in Jorhat and Silchar, so it will give us number of around 12 million.

So, far

as 20 million by 2030 is concerned, so still we are left with 6 full years to conceive, start and complete the project. And with our experience of rolling out the projects, we do not find any issue in reaching that projected capacity. So, far as CAPEX is concerned, so you can calculate it the way cost of cement is coming so far as rolling of a greenfield project is concerned. So, the number should be around that only.

Shravan Shah : So, is it fair to assume a Rs. 900 crores to Rs. 1,000-odd crores for greenfield kind of 1 million tons kind of a CAPEX, that's the way one can look at? Or it would be a Rs. 700 crores, Rs. 800 crore s?

Management: Yes, you can consider. Because 1 million capacity is bigger than the average will come down, that we can say.

Management: I think for a 3 million tons grinding unit, the last project which we have commissioned, this is only clinker, 3.3 million. So, the cost was around Rs. 1,300 crores. And if you add cement of similar capacity, then maybe say another Rs. 600 crores. So, Rs. 2,000 crores you can consider for around 3 million tons of capacity. So, you can calculate the number accordingly. So, around Rs. 4,000 crores you can assume.

Shravan Shah : Got it. But just trying to structurally, so obviously Northeast is the highest in terms of profitability. So, now I assume the entire new capacity would be coming outside Northeast, including the Rajasthan one. So, should we not think that in terms of ROE, ROCE that would be kind of lower versus what right now we would be getting at the Northeast?

Management: As you know that cement is a business of volume. And if you are getting a good EBITDA in Northeast, and not fairly that kind of EBITDA in the rest of Northeast or rest of east also, but on a blended basis you will find that, if you consider Northeast also, then we should pan out better than what is happening today in the cement industry.

Management: And because Rajasthan will take three years' time, and then who will know what happens in the market in two, three years, because the prices will still go. Because obviously prices are going to increase from here, because everybody's cost will increase after 2030. So, prices nobody knows, predict what will be the market demand in prices. That is one.

Management: And secondly, in industry, a lot of consolidations are happening as you know, so I do not think there should be much of a beating on prices.

Shravan Shah : Got it. And in terms of the incentive now for this quarter 43, we were previously looking at Rs. 200-odd crores annual. So, from this quarter, 4th Quarter onwards kind of Rs. 50 crores quarter run rate?

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Management: Yes, yes. See, everything is related with volume. As we said earlier that we had a volume constraint because of our stabilization of the clinkerization unit, so that is why this Rs. 43 crores you are looking at. But in the coming quarter it should be Rs. 50 crores plus.

Shravan Shah : Got it. So, that's what I am just trying to. So, even let's say in the 4th Quarter if you would be doing whatever you said kind of a 10% kind of a growth, so would be a 1.5 million, 1.6 million odd tons. So, even if I just do the math, so next year we should be out doing a minimum 5.5 million to 5.7 million tons, which should be a kind of closer to 20% growth, but we were saying just 12% kind of a growth.

Management: Because we will be considering, maybe at least whatever we are collecting 12% to 15% growth over the next year we are projecting we will be targeting. As the market grows bigger than this, then obviously then it may increase, but we are targeting 12% to 15% for the next year. Maybe this year we will close down to 4.7 million tons, then you can take it 15% from here, so 5.4 million, 5.5 million tons.

Shravan Shah : Yes, got it, sir. Thank

you, sir. All the best.

Moderator: Thank you. The next question is from the line of Milind Raginwar from BOB Capital Markets Limited. Please go ahead.

Milind Raginwar: Yes, hi sir. Thanks for the opportunity. So, essentially, the headroom that we have around -- Management: Can you speak loudly.

Moderator: Your voice is very low. Sir, please proceed. You are audible now.

Milind Raginwar: Yes. So, for 4.7 million, 4.8 million tons of the kind of capacity utilization at that level would be still much lower than what our capacity currently is for FY '25, at around 7.7 million tons. Now we are taking two big leaps in FY '26 and '27, we will move to around 2 million tons each in FY '26 and '27. So, can you just call out on the kind of the growth scenario, demand scenario, or major CAPEX program of the government as well as some private CAPEX that's happening so that we can get some fair idea on how the demand would be in the region?

Management: Yes. Actually, you might have seen that the kind of budget allocation the central government is doing for Northeast infrastructure development, very recently I had a meeting in government

last week only. And we have been given to understand that their infrastructure projection for the Northeast is Rs. 1 lakh crores . And the kind of development, it's not only the numbers what they are saying, we are also witnessing on the ground projects coming out and getting rolled out. So , we are expecting a good growth in infrastructure sector. And that is why we have planned two grinding units, looking at the growth prospect , one in Silchar and one in Jorhat .

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Let me add here that Jorhat is a kind of location, it is called Upper Assam. So, Upper Assam, Jorhat , the lead distance from Guwahati to Jorhat is around 300 kilometers . So, that will give us an added advantage in the catchment area of Jorhat market where we can push directly our brand to the catchment area of Jorhat. And a lot of infrastructure projects are coming in Jorhat side also, and in this proposed grinding unit at Silchar side also . So, we are expecting a good growth in non-trade segment , and that is why these two projects have been flagged and now in the process of getting rolled out one after another.

So, coming to your question that sudden jump in capacity , so we are expecting that we should be able to utilize the capacity of both the plants gradually . And in three, four years I think from now, and by the time this capacity will be commissioned , Silchar in FY '26 and Jorhat in FY '27, by that time some growth will always be coming . And then after that , in next two, three years we will be able to utilize the capacity fully, that is what we expected as of now .

Management : And one thing to add , because cement kind of seasonality is there, so at times you can use 100% because even if you are yearly utilizing 70% capacity, but in the season time we are using it 100%. So, that is the thing, in capacity we are working only 70%.

Management : Unless you have, I mean , surplus capacity , you would not be able to serve the increased demand during the season time post October or from early November till April. So, to take care of those demands, you have to have the capacity .

Milind Raginwar: Okay , that was quite helpful , sir. The second thing I wanted to understand was, you had called out on the other expenditure one-offs, and also on. RM cost. Similarly, the anything that you would like to call out on the savings that you would be having in the 4th Quarter over 3rd Quarter ?

Management: Freight cost two things are there , one is there because we have again 120 vehicles, okay, because the new clinker plant, because we have a requirement of more trucks, so we have been using our own plate for carrying a clinker. So, not only we have a flexibility of

using our plates for

utilizing, but still because we can take on the competitors so that we cannot increase much of the freight, we can bargain negotiation with the transporter . So, that is a one plus advantage . And the thing is that we are getting very good, what you can say, setting when we are operating our plate . So, that is the one thing which would be , because clinker would be, because now the roads are okay and all this, so we will be getting that advantage from this using the entire fleet. In addition to that, because in March we will know , because January to March quarter generally there some increase in the freight will be there , because everybody has been year-end pressure . But we think that there may be might be some increase in our overall numbers there would be some increase, but it is not so significant , it will be a nominal thing .

Milind Raginwar: That means we have about five weeks inventory in the quarter? What would be the pricing over the average of the 3rd Quarter ?

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Management: Average price was, what, annuity prices?

Milind Raginwar: Yes. So, I was just coming to , now that we are under about five weeks in the 4th Quarter , what would be the pricing scenario over the average of 3rd Quarter ?

Management: As I said, in the markets of Northeast , prices are more or less stable. From here , there should not be any beating , rather we are expecting some growth in prices. Similar is the kind of story there in rest of east also. From here now in rest of east , I mean , Bihar and Bengal market where we are there , we are expecting a stable kind of prices .

Milind Raginwar: Okay . Thank you so much, sir. Thank you so much. That's it from my side .

Moderator: Thank you. The next question is from the line of Uttam Kumar Simal from Axis Securities Limited. Please go ahead.

Uttam Kumar Simal : Manoj ji, what would be our gross and net debt currently?

Management : Gross and net?

Uttam Kumar Simal : Yes, debt.

Management : Sorry?

Uttam Kumar Simal : Gross and net debt in the books.

Management : Okay, net debt. So, we have total Rs. 420 crores, currently December is I think around Rs. 420

crores, and net debt is around Rs. 400 crores.

Uttam Kumar Simal : Net debt is around Rs. 400 crores?

Management : Yes.

Uttam Kumar Simal : Okay . And sir, in terms of, how much specifically Assam region would be contributing to the Northeast revenue?

Management : It should be around 55% or so.

Uttam Kumar Simal : 55%, o kay. That's all from my side. Thanks.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Shravan Shah from Dolat Capital . Please go ahead.

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Shravan Shah: Sir, last two things . So, first, currently or maybe for the 3rd Quarter average , just if you can tell us in terms of the trade and non -trade price gap in the Northeast ?

Management: Northeast trade prices generally Rs. 25 to Rs. 30 gap is there.

Management : See, as of now trade to non -trade gap is Rs. 25, Rs. 30, or maybe a bit more also. But with the coming increased capacity of ours , the cap may further increase, but not much. But on a normative basis it is around Rs. 25 to Rs. 30 only.

Shravan Shah: Got it. And secondly, sir, if you can just help us with the new clinker that we have started , 3.3, for 3rd Quarter how much we would have produced or entire production that we have mentioned 6,42,000, so how much from that the new plant?

Management: I think we should be able to utilize around, because this quarter stabilization issue was there, but we have been utilizing 70%, this quarter we are hopeful that it will be 70 %, 75% we would be utilizing this quarter.

Shravan Shah: No, that I understood that now the stabilization has happened so the ut

ilization will increase . Sir

just trying to understand , for 3rd Quarter how much we would have produced, so was it some production was there or there was nothing?

Management: Yes, the production was obviously there. Line-3 was actually not much number so far as 3rd Quarter is concerned.

Management : See, right n ow we do not have the number , okay.

Management : But 3rd Quarter actually in the first month itself this issue came up. And this lingered upon almost two months, I believe. So, 3rd Quarter Line-3 number is not, we do not have separately that number as of now.

Shravan Shah: No, directionally j ust wanted to understand , but going forward now as we say that we will be using --

Management: Going forward 70% this quarter we are expecting.

Shravan Shah: No, no what I am trying to --

Management : The plant is performing well now and we are witnessing a good performance as of now . So, we do not foresee any issue here on now so far as capacity utilization is concerned of Line-3.

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Shravan Shah: Yes, got it, sir. But what I am trying to understand is that the old one, the 2.8 million tons cleaner at the old plant. So, once we use this new one 70 %, 75%, so are we also significantly reducing the utilization of the old plant ?

Management: No, b ecause clinker is always in demand, okay.

Management: As of now, we are operating all the three lines. So, we are not expecting, w e cannot say about the off-season time of rainy season as of now, but so far as season time is concerned , all t hree plants will run.

Shravan Shah: Okay, t hank you.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to Mr. Vaibhav Agarwal for closing comments. Over t o you, sir.

Vaibhav Agarwal: Yes. Thank you , Mitchell . Sir, I have one question , especially for Dilip sir. Dilip sir, I believe you have spawned very long years in the summer industry and you were at Star Cement in your past also , and then you joined some other cement company and then you came back to Star Cement. And this is your first public appearance after joining Star Cement. So, you have categorically clarif ied on this call that Ultra Tech buyout of 8% in Star Cement is n othing that calls for anything more to think o ver at this point of time.

But I want to know from you that because you have spent so many long years in Northeast cement industry, how do you foresee the Northeast industry in terms of consolidation? Do you see that there are other smaller players in the industry who have been targeted by larger players ? Or do you think that their promoters might exit or there is something on the cards in the consolidation of Northeast India? What is your say about broader Northeast market , not just

about Star Cement ?

Management: See, so far as consolidation is concerned , Vaibhav , you are aware that most of the capacities are there so far as cement is concerned in Meghalaya only, because of proximity of raw material.

And if you take Star and Dalmia, both taken together in the complete capacity of Northeast , they fit in around 60% of the total capacity . And there are around eight or nine operating plants , rest all are very smaller one. So, I do not think if anybody goes for consolidation , first of all, I do not think there is any opportunity of buying out or consolidating so far as the smaller . All of them, most of them are less than 1 million ton plant , right . So, that is one. So, that kind of opportunity I do not think that it exists , number one.

Number two, putting a new plant for a new company or outside company , you know that as compared to rest of India Northeast projects a lot of challenges in terms of land acquisition, local issues and all . So, things are not on the brighter side so far as consolidation or putting a new

plant is concerned. If you go and put a new plant , if you are able to do it considering all the
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hurdles also, then also minimum four to five years is the minimum timeline. So, I do not think that in the immediate future or near future something big is going to happen in Northeast .

So, far as capacity or consolidation is concerned , Dalmia is already you know expanding. We have expanded and we are also expanding in the Northeast . There is some more little expansions coming up in the existing plan , but not of that great capacities . So, I do not foresee any challenge so far as surplus capacity is concerned.

As I told you that infrastructure , there's a lot of infrastructure activity going on and Government of India is focusing upon Northeast so far as infrastructure growth and budget allocation is. And it's not just for the sake of saying , it's happening also on the ground and we are able to see the way it is being panning out in Northeast . So, on the demand side also we are expecting a good number to roll out in coming years , good growth in the demand. So, that is what I foresee . I have been working in the Northeast market from last 14 , 15 years , as you know. So, the kind of growth we are able to see now as compared to previous years , it keeps a very promising future so far as the cement industry is concerned .

Vaibhav Agarwal: Sir, I take your point that capacities in Northeast were quite small in terms of the size , they are mostly 1 million to 2 million tons, or maybe 0.5 million tons kind of capacity also. But having said so , related to the size of the market, the size of the market itself is quite small versus the rest of India . So, from that perspective, do not you think that even if 1 million or 2 million tons capacity is available, larger players might be interested in taking them over, do not you think so ?

Management: See, I do not know whether the larger players would be interested in adding up 0.5 or 0.7 million tons or even 1 million tons. There is no cement plant , except us and Dalmia there is only one that is Meghalaya Cement, they are having around 1.1 million or 1.2 million tons capacity, rest all are less than 0.7 or 0.8 million tons. So, I do not think even if larger player comes and they consolidate also , then the capacity will remain the same , installed capacity will remain the same. If you are going to start a new cement plant of say 2 million tons, 3 million tons, it will take four , five, six years of time, not less than four, five years. If you start even today from scratch, then there are issues related to mining etc ., getting mining clearances. So, these are very long time taking issues . And honestly, I do not see any that kind of growth opportunity so far as capacity addition by some outside player is concerned .

Vaibhav Agarwal: Got it, sir. Thank you very much , Dilip sir . And on behalf of PhillipCapital, I would like to thank all the participants for joining the call. And also thank the management of Star Cement for the call. Thank you very much , sir. Mitchell, you may now conclude the call. Thank you.

Management: So, thanks to all the participants from Star Cement side also, thanks Vaibhav for moderating and coordinating the call.

Star Cement Limited

February 06, 2025

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Moderator: Thank you so much, sir. Thank you members of the management . Ladies and gentlemen, on behalf of PhillipCapital (India) Private Limited , that concludes this conference. We thank you for joining us . And you may now disconnect your lines.

Call: May 2025

Date: 26th May, 2025

To,
The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G
Bandra Kurla Complex, Bandra -East
Mumbai -400 051
Symbol: STARCEMENT To,
The Listing Department,
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai -400 001
Scrip code: 540575

Dear Sir(s) /Madam(s) ,

Sub: Transcript of the Conference call for Audited Financial Results for the 4th Quarter
and Year ended 31st March, 2025

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, we forward herewith the Transcript of the
conference call with Investors and Analysts held on Thursday, 22nd May, 2025 for Audited
Financial Results for the quarter and year ended 31st March, 2025 .
The same shall also be available in web site of the Company at
<https://www.starcement.co.in/earnings-call#main>
This is for your information and record.

Thanking you,
For Star Cement Limited

Debabrata Thakurta
Company Secretary
(M. No.: F6554)

Encl: as above

“Star Cement Q4FY25 Earnings Conference Call ”

May 22, 2025

MANAGEMENT : MR. TUSHAR BHAJANKA – DEPUTY MANAGING DIRECTOR ,

STAR CEMENT LIMITED
MR. MANOJ AGARWAL – CHIEF FINANCIAL OFFICER , STAR
CEMENT LIMITED

MODERATOR : MR. NA VIN SAHADEO – ICICI SECURITIES LIMITED

Star Cement Limited
May 22, 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Star Cement Q4 FY25 Earnings Call hosted by ICICI Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*,” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Sahadeo. Thank you and over to you sir.

Navin Sahadeo : Thank you, Sresha. Good afternoon, good evening, everyone for participating in this call. On behalf of ICICI Securities, I welcome you to the Q4 FY25 Results Conference Call of Star Cement.

From the Management we have with us, Tushar Bhajanka ji , who is the Deputy Managing Director and joined by Mr. Manoj Agarwal, who is the Company CFO.

So without any further ado, I hand over the call to the “Management for Opening Comments .” Over to you , sir.

Tushar Bhajanka: Yes. So, good evening, all. My name is Tushar Bhajanka . I am the Deputy M .D. of Star Cement. I welcome you all to the conference call of Q425.

I will hand to our CFO , Mr. Manoj Agarwal, to go through the numbers and then we can have the Q&A. Thank you.

Manoj Agarwal: Yes, hi, friends, very good afternoon. I on behalf of Star Cement Limited, welcome you all to our Con Call for discussing our number of Q4 '25 and for the full Financial Year '24-25.

I would like to clarify that we are discussing on the historical numbers and there is no indication to invest . Having said that now , we will just take you through the Q4 number followed by full year number.

Starting from clinker production during the quarter -ended March '25, we have produced 11.38 lakh ton of clinker as against 6.93 lakhs in same quarter last year. The increase in production is on account of the stabilization of our 3.3 m t clinker plant at Lumshnong, Meghalaya.

So far as cement production is concerned , we have produced 14.79 lakh tons this quarter as against 13.88 lakh tons same quarter last year.

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Now , I will take you through sales volume. During the quarter, we have sold 14.75 lakh tons of cement and 0.57 lakh ton of clinker as against 13.87 lakh tons of cement and 0.2 per lakh ton of clinker last year. This is as far as cement and clinker sale is concerned .

As far as geographic al distribution is concerned, in Northeast , we have sold around 11.02 lakh tons as against 10.40 lakh tons during the same quarter last year. And as far as outside Northeast is concerned, we have sold 3.73 lakh tons of cement this quarter as against 3.47 lakh tons same quarter last year.

In terms of blend mix, it is almost 14% of OPC and the rest is CPC. These are the quantity numbers of the quarter .

Now I will take you through the “Financial s”:

The total revenue figure this quarter is around Rs.1,052 crores as against Rs.914 crores same period last year.

As far as the EBITDA figure is concerned, this quarter we have done an EBITDA of around Rs.268 crores as against Rs.188 crores last year.

PAT is Rs.123 crores as against Rs.88 crores in the same period last year. There is an increase in PAT despite of the fact that there is some increase in depreciation due to the capitalization of our 2 mt clinker grinding units and also the clinkerization unit.

On the EBITDA front , it is 1,749 per ton during this quarter as against 1,329 per ton same quarter last year which is what our quarterly numbers of 4th Quarter .

The total revenue figure for the full financial year is around Rs.3,163 crores as against Rs.2,911 crores in the previous financial year .

As far as the EBITDA figure is concerned, during the financial year we have done an EBITDA of around Rs.589 crores as against

Rs.523 crores last year .

PAT is Rs. 169 crores as against Rs.295 crores in FY24. The decrease is on account of increase in depreciation as explained earlier . On per ton EBITDA front, it is 1,245 during FY25 as against 1,312 ton last year. These are the quarterly and full year number.

Now we request all of you that if you have any queries you can ask the same .
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Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shravan Shah from Dola t Capital. Please go ahead.

Shravan Shah: Yes. Thank you, Sir , first on the volume front, so now for FY26, last time we said 5.5 million tons - odd kind of a number we are looking at. So, what's the revised number?

Tushar Bhajanka: So the revised number still is about 5.4 , 5.5 million tons . So our target remains broadly the same . Though of course monsoon has come early this year and so the Q1 results may not necessarily reflect us achieving the number s year around. But I think we should be able to broadly achieve that number by the end of the year.

Shravan Shah: Okay, got it. Second, in terms of the prices, sir, so now the current prices, so both in Northeast and outside Northeast for us versus the 4th Quarter average is , how much increase it is there and how do we now see the prices?

Tushar Bhajanka: So the prices compared to Quarter 4, broadly the average of Quarter 4 is broadly up by about Rs.5-7 and we hope to maintain this prices in Q1 but as the off -season come s, then there may be some degradation in the prices.

Shravan Shah: Okay. So Northeast and E ast also similar Rs.5-7 hike is there ?

Tushar Bhajanka: Yes, yes, o verall on average it's about Rs.5-7.

Shravan Shah: Okay. And still in terms of the gap in terms of trade , non -trade for us is how much?

Management : The gap would be Rs.75.

Shravan Shah: Sorry, sir. Rs.75 you are saying ?

Tushar Bhajanka: Yes, but that is at the GST level. So you'll have to subtract the GST and then you look at it , so the gap would be about 15.

Manoj Agarwal: 80% is trade and 20% is non -trade.

Shravan Shah: No, you are saying trades a nd non-trades.

Manoj Agarwal: Yes.

Tushar Bhajanka: So I think your question was what is the gap in prices between non -trade and trade. Is that correct?

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Shravan Shah: Yes.

Tushar Bhajanka: Yes. So to that question, the answer is about Rs.500 to Rs.600.

Shravan Shah: And in terms of the CAPEX now, so cost of both the grinding units. Silchar and the other one , so 1, 2 million tons we were looking at to start in FY26 and the other one in FY27 . So that remain intact or is there a possibility of an early start?

Tushar Bhajanka: We expect the grinding unit in Silchar to come by Quarter 4 of FY26, right, which is basically in about eight months from now and we expect the grinding unit to come around at the same time next year. So it will be coming in Quarter 3 or Quarter 4 of '27.

Shravan Shah: Okay. And in terms of the CAPEX for FY26 and 27, so would be how much?

Tushar Bhajanka: So the CAPEX for FY25 was about Rs.562 crores . The CAPEX which is targeted for FY 26 would be about Rs.823 crores a nd the CAPEX for about FY27 will be about Rs.600 crores .

Shravan Shah: Okay. Got it. And sir, recently we got in March two limestone auction s in Assam. So close to 339 million tons. So the point I want to understand it , earlier we were having a plan, also got a mine in the Rajasthan . So we want to reach 20 million tons. So, w ith this 2 million tons we will be close to 11.7-odd million. So another 8.3 million tons if we want to reach by FY30, how one can look at -- so are we looking at a more expansion in Assam first and then Rajasthan?

Tushar Bhajanka: No. So I think the capacity that we have set in terms of clinker in the Northeast are sufficient for the next

four to five years. So , we do not plan to expand in clinker very soon. But of course we will take all the permissions in our Brow nfield . We will apply for all the certificates from the environmental clearance to forest clearance to any other clearance that we require. And we will keep the permissions ready so that whenever we have to set up a new kiln in the Northeast , we are ready to set it up. So that is why we have taken mine . So the min e that we have taken was from a longer -term perspective for our requirement of setting up a clinker plant whenever we need it in the Northeast . Our focus right now is of course, because in the Nort heast we will have about 12 million tons of capacity as you mentioned including delivery. So that I think for this area for the next three, four years is a good plan, and we are evaluating Rajasthan , we have gotten mines in Nimbol area in Rajasthan , we are also looking for mi nes in Rajasthan and we are trying to make a strategy so that we can enter Rajasthan in a substantial way . And for that we are working and once we have decided we will let you know.

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Shravan Shah: Yes. So that the point was that the now the F Y25 is over , so in next five years, if you want 8 million

tons, how one can ... so we have to start spending that. So just trying to understand in Rajasthan how much we can add 2 to 3 million tons, where the remaining capacity likely can come ?

Tushar Bhajanka: Yes. So I think if you do end up doing Rajasthan, it would be about a four , four and a half million tons grinding capacity with the clinker capacity of about 3 million tons. So if we go in that model, then we reach about 16 , 17 like 12 million of what we have already announced and 4.5 million of what potentially we can do in Rajasthan. So including that , I think we inch closer to the 20 million number and in the next 5 -6 years, I think there will also be a requirement of another grinding unit in northeast, not now , probably in the next 5 -6 years. So that inches us closer to 18 to 20 million number basically.

Moderator: Thank you very much. The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead sir.

Navin Sahadeo: Yes. Thank you for the opportunity. A couple of questions. So what was the amount of incentive booked in the quarter, please?

Manoj Agarwal: It is Rs.75 crores .

Navin Sahadeo: Understood. So that comes to roughly around Rs.500 per ton give or take. So , is it fair to assume that with the new kiln fully step up phase , we will continue to see the incentives at a similar per ton run rate going ahead or there could be some deviation or broadly what is the annual incentives one can look for, let's say, a foreseeable future of four, five years on a steady run rate basis ?

Management : It should be almost similar kind of subsidy, except for our Lumshnong plant, the old one, and that too, next two years we are due for subsidy in Lumshnong plant, Star Cement Limited , and so far as Guwahati grinding unit is concerned , so Guwahati grinding unit will continue to have this for another six, seven, eight years and Lumsnong plant standalone if you see the complete number of subsidy then it will not have a much bigger number. And next year , we are targeting in the next to next year Jorhat and next year Silchar . So that will also add to the kitty of subsidy, so we do not see any drastic change in the numbers of what we are having right now.

Management : But you will see that during July to September it depends upon the volume. So maybe July to September will come down, may not be Rs.75 crores over the 4th Quarter , but it is maybe somewhere between Rs.220 crores to Rs.250 crores .

Navin Sahadeo: Understood. Understood. So roughly, Rs.200 crores to Rs.250 crores anywhere that kind of a number per annum is what we can look to generate for the next couple of years going ahead ?

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Management : Yes.

Navin Sahadeo: Understood. Sir, my second question was that as you ramp up your Northeast like recently commissioned capacities and grinding units are also coming along and Tushar in the previous question mentioned you have enough like volume left which can support growth or your volume growth for next four or five years , so is it then fair to say that from a growth perspective, all the energy will be canalized towards new capacities in Rajasthan , is that the way to look at it ?

Tushar Bhajanka: I think that is fair. I think that is one way of looking at it. But the thing is that we are in no hurry in that sense, right ? So what we really want is that once we enter Rajasthan, we have enough resources , we have enough mines that can sustain our growth in Rajasthan. Though we are aggressive and of course adding up capacities , we are conservative financially and we would want to first get all the permissions , probably in the next call I think we will be in a better position to explain to you what exactly we're doing in Rajasthan . But right now we are just making sure that we have our base ready so that we can enter Rajasthan in an effective way.

Navin Sahadeo: Understood. And my last question was, is there any further scope of efficiency now that the new kiln has ramped up, are we likely to see further efficiency gains or from the waste heat recoveries or most of the gains are already captured in?

Tushar Bhajanka: So I think the WHR has had just come in. So Quarter 4 may not cover the entire period of WHRS benefit. So I think WHRS is one benefit which we expect from Line -III, the new line that will start reflecting. Besides that the new line is still stabilizing. Of course we are able to produce that 70 %, 80% capacity but still can produce more. So as the kiln stabilizes further and starts producing at higher capacity, the heat rate and the power would come down and that saving may not be very significant but will start reflecting in the results.

Navin Sahadeo: Understood. That is helpful. Thank you. I will come back in queue for further questions.

Moderator: Thank you very much. The next question is from the line of Mr. Jain from Investing . Please go ahead.

Jain: Hi, good afternoon. Thank you so much for the opportunity. Just two -fold questions that I have. One is about the EBITDA that we have. In this what is the proportion of incentives for Q4 year -on-year and on FY basis?

Management : Q4 FY25 is Rs.75 crores and on a full year basis it is Rs.167 crores .

Jain: Okay. This is compared to previous year and this quarter respectively ?

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Management : As compared to previous year, this year Rs.167, I guess Rs.16 or 17 crores last year on full year basis and on a YoY quarter basis, this Q4 is Rs.75 crores as against last year very negligible amount of around Rs.3 crores .

Jain: Okay. The other question is, what is the current grinding capacity in Northeast?

Management : You are asking about our capacity or total capacity of industry.

Jain: No, your capacity . What is the total grinding capacity in the Northeast ?

Management : Our capacity is 5.7 , total we have 7.7 , two units in Siliguri, and a balance 5.7 is in the Northeast.

Moderator: The next question is from the line of Harsh Mittal from Emkay Global. Please go ahead.

Harsh Mittal : Hi, good evening. Thank you for taking my question. Most of the questions have been answered. A few questions. First is what is the EBITDA breakup between the East and NE if you can provide the data?

Management : Normally, we do not break EBITDA on a geography basis. So we work on the combined EBITDA basis only . And that's workable for us. So the other plants are normal. So we have to take it down a few basis points.

Harsh Mittal: Next question is what is the time difference

between the incentive booked and the actual cash receipt of the same?

Management : See, most of the subsidy is GST subsidy . When you commission a new plant, initial like 18 months and after that it kind of regular cash flow kind of maybe one quarter less .

Harsh Mittal: Okay. Sure. And sir what would be the lead distance for this quarter ?

Management : 229 Kms.

Harsh Mittal: Thank you, sir. That is all.

Moderator: The next question is from the line of Uttam Kumar Srimal from Axis Securities Limited. Please go ahead.

Uttam K Srimal : A Very good afternoon and congratulations on the good set of numbers. So my question pertains to the AC blocks in Guwahati. So what is the current status of this thing?

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Management : AC block unit is actually now almost ready for commercial production. We are targeting to commence the production maybe last week of any day kind of situation is there.

Uttam K Srimal: How much revenue are we expecting from this particular unit in FY26?

Tushar Bhajanka: So we have actually set up the AC plant and also construction chemicals. Though I don't have the revenue estimate right now and there are central benefits and also state benefits attached to it. So we do expect to generate an EBITDA of about Rs.15 crores from this in the first year and it is going to commence I think in this coming week.

Uttam K Srimal: How was the premium cement sale during this quarter?

Tushar Bhajanka: I think we have reached a premium segment sale of almost about 12% in Quarter 4, which we had started last year at about 5%, 6%. So there's a good growth of premium sales in the last eight, nine months and we expect that in the coming year we can be reaching about 20%.

Uttam K Srimal: Okay. A few data points . For this quarter, this is Nagaland coal, biomass, and option coal and per ton kilo rail cost.

Management : Cost is 1.54 per VCV and from FSA we have 52% from FSC and from biomass and others 14%, Nagaland is near 1% and there is spot option 33%.

Uttam K Srimal: That is all from my side. Thank you very much.

Moderator: The next question is from the line of Shravan Shah from Dola t Capital. Please go ahead.

Shravan Shah : Thank you, sir. Sir, just the one thing to understand this depreciation run rate of Rs.88, 89 odd crores, so that's now the new normal run rate that one can expect or now once the plant is stabilized we can start seeing a decline in the depreciation till the new grinding comes up ?

Manoj Agarwal: Yes, because on depreciation , we are using the reducing balance method. So because the first year it will be higher and as the year goes on, it will come down. So as the new plant will come only in Q4, till that time the depreciation will be going to be reduced only .

Shravan Shah: Okay. And sir, in freight per ton basis versus third quarter to 4th Quarter , there is a sharp increase is there from Rs.1,144 odd per ton to Rs.1,280-odd. so kind of a Rs.136. So any specific thing to highlight , how one can now look at , will this Rs.1,280, Rs.1,300 for freight is kind of a new normal?

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Management : Normally Q4, the last quarter of the financial year is the peak season time for us so far as business is concerned. So at that time if you see on a year -to-year basis also then there is a tendency of increasing freight in the last quarter of the financial year.

Shravan Shah: Yes, even last year it has increased but not a significant, only Rs.25, 30-odd but this time it was significant Rs. 136 per ton on QoQ . So that's what I asked.

Manoj Agarwal: It will be normalized, maybe there will be no such increase in freight cost and then also it depends upon the fuel prices and also if it goes up and it is very difficult to predict right now, but it will normalize.

Shravan Shah: Okay. Got it . And Siliguri currently would be in terms of utilization

for 4th Quarter would be similar to 45 %, 50% or it has gone up?

Manoj Agarwal: In Siliguri, it is more than 70%.

Shravan Shah: Yes, that is a great number. Okay, great. Last time, we were saying that though our focus will remain on the trade segment, but we also want to grow the non-trade share . So, though, this quarter we haven't seen any much change despite of sharp improvement in the volume. So this 80 :20 kind of trade, non-trade, that's the way one can look at or we can see maybe further increase in the non-trade and trade going down.

Management: I think more or less would remain barring 2%, 3% here and there.

Shravan Shah: Okay. Got it sir. Thank you , sir and all the best.

Moderator: Thank you very much. The next question is from the line of Harshal from Asian Market Securities. Please go ahead.

Harshal : Thanks for the opportunity, sir. So basically seeing the balance sheet in current other finished assets, we have seen a very sharp jump from almost Rs.12 crores to Rs.175 crores .

Manoj Agarwal: As we have told them, around Rs.150 crores of subsidies, that has been increased as compared to the last year and which we are hopeful to get in maybe by Quarter 2 it will be clear and then after that it will be maybe a quarter accumulation. So that is the one-time because the subsidy is -

Manoj Agarwal: As I said earlier that in the initial year of first year of production it takes around 12 to 18 months till such time it gets accumulated and then there is a gradual cash inflow of that accumulated subsidy.

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And I think from next or next-to-next quarter, this will get streamlined and this whatever you are able to see in the current asset number, that will also get stabilized.

Harshal: Thank you, sir.

Moderator: Thank you very much. The next question is from the line of Mr. Jain from Investing . Please go ahead.

Jain: Thank you for the opportunity again. Just a follow on question. So , what is the expansion that we are looking for in the other regions as well -- is there any scope of Chhattisgarh, Jharkhand, anywhere?

Management : I think right now so far as expenses are concerned, we have a plan as we already discussed with all of you in Northeast, one grinding unit in Silchar which is already on , one grinding unit at Jorhat and then we have some plants in Rajasthan as we said earlier . Barring those plans as of now, we don't have any other plans. Whenever we have any change in our plans, we will definitely share with the investors.

Jain: Okay, understood. Thank you so much and all the best for the coming quarters .

Moderator: Thank you very much. The next question is from the line of Mr. Navin Sahadeo from ICI CI Securities. Please go ahead sir.

Navin Sahadeo : Yes. Thank you for the opportunity. My question was around the competitive intensity in Northeast. So, if you could just share or give some light on how are you looking at the overall competitive scenario in the region , in the sense except Dalmia, do you see any other major capacity coming up or are there some other entities that were looking to set up a plant in the region, including Ultra Tech. So if you could just throw some light on the competitive landscape there ?

Management : I think except to Dalmia, as you rightly said, like Ultra Tech and other bigger players in the next three, four financial years we are not able to foresee any asset acquisition or any Greenfield project going over there. So in the short term, we are not able to foresee any such capacity addition over there or then competitive marketing scenario.

Navin Sahadeo: Understood. Understood. That is it from my side.

Moderator: The next question is from the line of Harsh Mittal from Emkay Global. Please go ahead.

Harsh Mittal: Hi, thank you for the follow up. Just one small question . What is the consolidated gross debt and net debt? Thank you.

Star Cement Limited

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Manoj Agarwal: Gross debt is around Rs. 380-odd crores and net debt because we have hardly any cash and bank balance right now , maybe -.

Management: See, around Rs.350, 360 gross debt, we are due for subsidy of around Rs.150 crores which is as we discussed a moment before. So , so far as other cash and other things , cash equivalents are concerned that is not very much significant. So 360 minus you can say 150, so around 200 or 210 crores you can take as net debt .

Harsh Mittal: Sure. Thank you. So this Rs.200 crores , can we say as on March '25 ending or is it the current -?

Management: Net of cash and bank balance is around Rs.320 -odd crores. But if you consider the current receivables of the subsidiary, then it will be around Rs .200 crores.

Harsh Mittal: Got it. Thank you, sir. Thanks a lot.

Moderator: Thank you very much. The next question is from the line of Uttam Kumar Simal from Axis

Securities Limited. Please go ahead.

Uttam K Srimal : Sir, I missed the CAPEX number for FY 26 and FY27, if you can provide them?

Manoj Agarwal: In FY26 we have a plan of around 820 -odd crores and for FY27 it is around Rs. 600 crore s.

Uttam K Srimal: Okay, sir. That is all from my side.

Moderator: Thank you very much. As there are no further questions from the participants , I now hand the conference over to the management for closing comments .

Management : Thank you, friends, for participating in the discussion of Q4 FY25 and Year -Ending FY25 Numbers . We will keep you informed about the Number s on a Quarter -to-Quarter Basis . Thanks for joining.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: Aug 2025

Date : 19th August, 2025

To,
The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G
Bandra Kurla complex, Bandra -East
Mumbai -400 051

Symbol : STARCEMENT
To,
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400 001

Scrip Code : 540575

Dear Sir(s)/Madam(s),

Sub: Transcript of the Conference Call for Unaudited Financial Results for the Quarter ended 30th June, 2025

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the Transcript of the conference call with Investors and Analysts held on Tuesday, 12th August, 2025 for Unaudited Standalone & Consolidated Financial Results for the quarter ended 30th June, 2025.

The same shall also be available in website of the Company at
<https://www.starcement.co.in/investors-information/earnings-call>.
This is for your information and record.

Thanking you,
For Star Cement Limited

Debabrata Thakurta
(Company Secretary)
(M.No - F6554)

Page 1 of 17

"Star Cement Limited Q1 FY '26 Earnings Conference
Call"

August 12, 2025

MANAGEMENT : MR. TUSHAR BHAJANKA – DEPUTY MANAGING
DIRECTOR , STAR CEMENT LIMITED
MR. MANOJ AGARWAL – CHIEF FINANCIAL OFFICER ,
STAR CEMENT LIMITED
MODERATOR : MR. HARSH MITTAL – EMKAY GLOBAL

Star Cement Limited
August 12 , 2025

Page 2 of 17

Moderator : Ladies and gentlemen, good d ay and welcome to Star Cement Limited Q1 FY '26 Earnings Conference Call hosted by Emkay Global.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing *, then 0 on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Harsh Mit tal from Emkay Global. Thank you and over to you, sir.

Harsh Mittal : Hi, thank you. Good afternoon, good evening , everyone for participating in this call. On behalf of Emkay Global, I welcome you to the Q1 FY '26 Results Conference Call of Star Cement.

From the Management , we have with us Tushar B hajankaji who is the Deputy Managing Director and joined by Mr. Man oj Agarwal who is the company CFO.

So, without any further ado, I hand over the call to the management for their Opening Comments .

Over to you , sir.

Tushar Bhajanka : Yes, hi, good afternoon all. My name is Tushar B hajanka and I am the Deputy MD of Star Cement. I welcome you all to the Conference Call of Q1 FY '26. I will hand the reign to our CFO, Mr. Manoj Agarwal who will go through the numbers and then we can start the Q&A.
Thank you.

Manoj Agarwal : Yes, thank you. Hi friends, very good afternoon. I , on behalf of Star Cement Limited , welcome you to our concall for discussing our number of Q1 FY '26. I would like to clarify that we are discussing on the historical numbers and there is no invitation to invest.

Having said that now, I will just take you through the Q1 number. Starting from clinker production during the quarter ended June '25, we have produced 8.90 lakh ton of clinker as against 6.86 lakh ton same quarter last year. So, far as cement production is concerned, we have produced 12.31 lakh this quarter as against 11.80 lakh ton same quarter last year.

Now , I will take you through the sales volume. During the quarter , we have sold 12.22 lakh ton of cement and 0.74 lakh ton of clinker as against 11.54 lakh ton of cement and negligible quantity of clinker same quarter last year. This is as far as cement and clinker sale is concerned. As far as geographical distribution of cement is concerned, in Northeast we have sold around 8.97 lakh ton as against 8.50 lakh ton during same quarter last year. And as far as outside North East is concerned, we have sold 3.25 lakh ton of cement this quarter as against 3.04 lakh ton same quarter last year. In terms of blend mix, it is almost 15% of OPC and rest is PPC. These are the quantitative numbers of the quarter.

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Now , I will take you through the financials. The total revenue figure this quarter is around Rs. 847 crore s as against Rs. 736 crore s same period last year. As far as EBITDA figure is concerned, this quarter we have done EBITDA of around Rs. 230 crore s as against Rs. 118 crore s last year. Profit after tax is Rs. 98 crore s in this quarter as against Rs. 31 crore s last year. On firsthand EBITDA front , it is Rs. 1,774 crore s during this quarter as against Rs. 1,018 crore s same quarter last year. This is what our quarterly numbers are.

Now , I request all of you that if you have any query, you can ask the same and I will request Harsh to moderate the query wherever it requires. Thank you.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question comes from the line of Nav in Sahade o from ICICI Securities. Please go ahead.

Navin Sahadeo : Good afternoon, sir. Am I audible?

Manoj Agarwal : Yes.

Navin Sahadeo : Yes. So, congratulations first of all on the very good set of numbers. In fact, sequential increase

in EBITDA per ton. So, I

just wanted to understand how much has the incentive we have booked in this quarter ? And how much we have received?

Manoj Agarwal : Yes, it is around Rs. 62 crore s we have booked this quarter. And this is because we are going to receive it , we have already filed the claim and it has already been passed in the final stage of receipt of the subsidy.

Navin Sahadeo : So, I believe then cumulative, what is the outstanding incentives which are yet to be received while we have already booked?

Manoj Agarwal : It is almost around Rs. 150 crore s.

Navin Sahadeo : Understood. And sir, my second question was that while we have done fairly good on the revenue front, ramp up of volumes and also the realization has essentially even excluding incentives has gone up almost 3% Q-o-Q, but I was seeing your variable cost has also inched up. So, I am talking more about power and fuel and raw material combined. That cost seems to have gone up. So, I was under the impression or in general, we were given the impression that Q4 onwards because the kiln has ramped up to its full potential, the cost will rationalize and come down. So, if you could just explain why sequentially there is a further increase in the fuel cost?

Tushar Bhajanka : The only major reason I think in the variable cost is the fact that in Q1, depending on the demand, we had to keep operating and shutting the kiln, which of course has its own cost because of the demand. The demand was not as much as it was in Q4 and then there was also a good stock of clinkers. So, I think because we were operating at lower capacities in Q1 compared to Q4 that is

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why I think the fuel cost and all, of course, shot a bit. And that is something that we will of course, work on and reduce in the future.

Navin Sahadeo : Helpful. I will come back in queue for further questions.

Manoj Agarwal : One thing I would like to add, because you are considering also the movement of stock, because as far as raw material cost and power and fuel, both costs have come down as compared to the last time, because the volumes are lower. So, it has come down, but we are still trading in the power and fuel cost. Mainly , the increase and decrease in stock, because the overhead absorption was lower because we are not running on the kiln as per the demand. So, that is why the increase and decrease in stock impact is there. Otherwise, the production cost is more or less the same as that of last time.

Navin Sahadeo : Understood, sir. Thank you so much. I will come back in queue.

Moderator : Thank you. The next question comes from the line of Shravan S from D olat Capital. Please go ahead.

Shravan S : Hi, sir. Thank you and congratulations on good set of number. A couple of questions. So, first on the volume front. So, last time we said that for this year, FY '26, we are looking at 5.4 -5.5 million ton. So, obviously, the 1st quarter was good. But if we want to achieve this, then in the balance 3 quarters, we need to do a 17 %-20% kind of a growth. So, just wanted to know whether are we sticking to our volume guidance?

Tushar Bhajanka : The Quarter 1 , because of the early monsoon, the volume has taken a bit of a hit. I think in Quarter 2 , because now we do not have as much monsoon in northeast, I think the subsequent months are picking up well. So, I think it will take another full quarter to actually see whether volumes will end up. But I do think that it may be realistic to get that kind of a growth.

Shravan S : Great. Second, in terms of the timeline of the ongoing expansion , so 2 million ton in Silchar by this March and 2 million ton in Jor hat, Assam , by Q3 FY '27?

Tushar Bhajanka : So, I think the timeline is broadly the same. We will probably commission Silchar in Jan or Feb of this financial year. And we will be commissioning Jor hat around Jan or Feb of next financial year.

Shravan S : Got

it. And till now in Q1, how much CAPEX we have done? And for full year, last time we said close to Rs. 820 crores and Rs. 600 crores for FY '27. So, that number remain intact?

Tushar Bhajanka : Yes, I think it broadly remains intact , I don't think there is much change in number s.

Shravan S : So, in Q1, how much CAPEX we have done?

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Manoj Agarwal : It is around Rs. 62 crore s we have done.

Shravan S : Got it. And the net debt is how much as on June?

Manoj Agarwal : Should not get you, what do you want to know?

Shravan S : Net debt as on June is how much, sir?

Manoj Agarwal : Net debt is Rs. 320 crore s.

Shravan S : Rs. 320 crore s. Got it. Couple of data points if you can share, sir. So, first is trade , non-trade share, premium share, then lead distance and K cal cost for this quarter ?
Manoj Agarwal : Yes. Trade sale this quarter is 81 %. And lead distance is 220 kilometers. And premium cost is 1.35.

Shravan S : So, it has come down drastically from 1.54 last quarter, it is 1.35. So, is it likely to remain at this level, fuel cost?

Manoj Agarwal : More or less, we are hopeful that it will continue like that, maybe in this financial year .

Shravan S : And premium share for this quarter was how much?

Manoj Agarwal : Premium s hare was 12 %. It is 12.2 %. 12%.

Shravan S : 12.2%. And the incentive for full year would be the same last time what we said, Rs. 220-Rs. 250 crore s for FY '26?

Manoj Agarwal : Yes.

Shravan S : And AAC block, how much revenue and EBITDA now because it has started, how much we can see? So, AAC and construction chemical both put together ?

Tushar Bhajanka : So, right now, it is just ramping up. The AAC block plan t that we set up was of about 20,000 CBM a month. We have already started operating the plant at about 40 % capacity commissioning just 1-1/2 months back. So, I thin k for the first year, I do not see a very significant EBITDA coming from there. But I think we will be able to ramp it up in a year's time for us to start getting EBITDA from there.

Shravan S : But at revenue level, how one can look at for this year and next year if we ramp up next year?

Tushar Bhajanka : I think about this year, we should not expect more than Rs. 70-Rs. 80 crores of revenue coming from there.

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Shravan S : And next year, it will ramp up to?

Tushar Bhajanka : Next year, it may ramp up to 20 %-30% higher.

Shravan S : Great. Thank you and all the best.

Moderator : Thank you. The next question comes from the line of Vishal D udhwala from Trinetra Asset Managers. Please go ahead.

Vishal Dudhwala : Thank you for the opportunity, sir. I have a couple of questions. So, first question, what was the clinker to cement ratio in Q1 and what percentage of your thermal energy in Q1 came from alternative fuel?

Manoj Agarwal : You want to clinker sector?

Tushar Bhajanka : Hello? Ye s, can you repeat the question?

Vishal Dudhwala : Let me repeat. What was the clinker to cement ratio in Q1 and percentage of captive clinker and what percentage of your thermal energy in Q1 came from alternative fuels versus coal?

Tushar Bhajanka : It is 1.44. T he clinker to cement is 1.44. And the cement, the clinker factor is 1.44. Is 1.44 clear? Because there is also another way of measuring or suggesting clinker factor. So, it is 1.44. And besides that, the fuel cost in the overall fuel mix, 18% was substituted to non -conventional sources of fuel.

Vishal Dudhwala : And the second one is like, can you give your consolidated trade receivable days and inventory days as of 30 June 25?

Manoj Agarwal : But I should not hear you. Just speak loudly.

Vishal Dudhwala : Should I repeat the question?

Manoj Agarwal : Yes.

Vishal Dudhwala : So, can you give your consolidated trade receivable days and inventory days as of 30 June 25?

Manoj Agarwal : Tra

de receivable is around Rs. 183 C r. Hello, you got your number?

Tushar Bhajanka : So, I think let us do one thing. On this question, we will get back to you. Because we don't have it in days. We have it in C r. I think we will have to divide by the revenue.

Vishal Dudhwala : Just give me the C r number of trade receivable and inventory ?

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Manoj Agarwal : Trade receivable is Rs. 183 C r and inventory is Rs. 492 C r.

Vishal Dudhwala : Just a follow -up question. Like, are you seeing any conversion pressure during the year or any working capital?

Tushar Bhajanka : No, we are not.

Vishal Dudhwala : Got your point . Thank you.

Moderator : Thank you. The next question comes from the line of Milind S . Raginwar from BOB Capital Markets Limited. Please go ahead.

Milind S. Raginwar : Thank you, sir, for this opportunity. Just a confirmation. The net debt number is 3.2 billion?

Manoj Agarwal : Yes.

Milind S. Raginwar : Was this 2.3 billion in the 4th Quarter ?

Manoj Agarwal : No. It was in the March quarter. Also, it was there around 300.

Milind S. Raginwar : And sir, can you just please share the number for the fuel breakup that is the fuel that comes from FSA, from spot and advance fuel?

Manoj Agarwal : Yes. FSA is around 79% from FSA.

Milind S. Raginwar : 79%?

Manoj Agarwal : And 18% approximately from PFR. And 3% is almost at the coal PFR coal.

Milind S. Raginwar : And, sir, regarding our grinding units in terms of clearances, where should we be?

Tushar Bhajanka : So, for Silchar, we have already started construction. We have got all the permissions. And for Jorhat grinding unit, we have selected land. We mine the land. And we will then apply for EC in a month's time. And we should be through the EC in 3-4 months.

Milind S. Raginwar : So, that means that 4th Quarter FY '27 is still gettable, right?

Tushar Bhajanka : Yes. I think for Jorhat, it is still achievable. And 4th Quarter for Silchar is definitely happening.

Milind S. Raginwar : Understood. Right.

Tushar Bhajanka : 4th Quarter of FY '26, it will be definitely happening for Silchar.

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Milind S. Raginwar : All right. And Manoj sir, can you please, I just missed that number of Northeast and East breakup. Can you please share that again?

Manoj Agarwal : Just a moment. I think it is 73% and 27% outside India.

Milind S. Raginwar : Thank you, sir. That is it from my side.

Moderator : Thank you. The next question comes from the line of Uttam Kumar Srimal from Axis Securities Limited. Please go ahead.

Uttam Kumar Srimal : Yes. Good afternoon, sir. Congratulations on a very good set of numbers. My question pertains to Rajasthan expansion, sir. Last time you spoke about expanding in Rajasthan. So, any update on the same?

Tushar Bhajanka : Yes. So, I think we have bought some mines in Nimbol and we are also participating in auction in Jaisalmer, right? So, I think we should have some news in a week's time regarding how it went and we will also make it public. So, I think we are definitely looking at Rajasthan as a potential market to expand.

Uttam Kumar Srimal : And sir, how much CAPEX we will do for this for 3 million?

Tushar Bhajanka : Right now, we are trying to just secure a mine. But if you are able to secure a mine, then we plan to do a CAPEX of, we plan to put up about 3-million-ton clinker plant along with 4 million ton grinding in Rajasthan, which would basically be about Rs. 2,400-Rs. 2,500 crores CAPEX overall.

Uttam Kumar Srimal : And, sir, how is the pricing right now compared to Quarter 1 FY '26 estate prices in both Northeast and East region?

Tushar Bhajanka : So, compared to Quarter 1, I think the prices right now are still maintaining. They have not fallen by as much or anything. So, I think we should not see a very big dip in the price due

to off-season.

Uttam Kumar Srimal : And, sir, sales prices have improved, so Siliguri unit might also be producing more cement compared to what it was doing earlier. So, how do you see Siliguri unit's capacity inflation this year because prices have improved compared to last year?

Tushar Bhajanka : So, definitely, we are pushing more outside Northeast to West Bengal and Bihar markets because the prices have improved. So, I think we will see in the Quarter 2 Results that I think that has really helped us in achieving a higher volume.

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Uttam Kumar Srimal : And now coming to, sir, this premium cement sale, this is around 12% and last quarter also it was around 12%. So, it has remained on the same level. So, what we are doing to increase the sale of premium cement?

Tushar Bhajanka : So, if you compare it to a year back, we have definitely improved it from 6%-7% to 12%. And I think we have taken target to be more aggressive, to be pushing up even sales more. So, we have taken a target to make it reach about 18% by end of the year.

Uttam Kumar Srimal : That is all from my side and wish you all the best.

Tushar Bhajanka : Thank you.

Moderator : Thank you. The next question comes from the line of Jayesh Shah from OHM Portfolio Equity Research. Please go ahead.

Jayesh Shah : Thanks for the opportunity. I just had one question on these incentives and subsidies. There are some media reports of certain state governments including West Bengal looking to withdraw these incentives and subsidies. So, where are we on this? And how long does it take to collect

the subsidy amount once you are eligible?

Tushar Bhajanka : So, good question. So, we, unlike other states that you mentioned, right, I don't think Assam has a history of taking away the subsidies, right, because we have completed all our documentation.

We have gotten an eligibility certificate from the government of Assam, which is also approved by the GST department, the finance department of the state . So, it is more of a binding agreement that one has with the state, right. And then we have already filed for getting the subsidy for the last year that we had booked about Rs. 150 crores. And I think that should be with us before the Quarter 2 end. So, we will see that whatever we are booking in terms of subsidy in our books is also received in our cash flows every quarter from now on.

Jayesh Shah : So, are there any timetable of disbursement as per what has been promised to you?

Tushar Bhajanka : Yes. So, basically, there is no timetable as such. But what normally happens is that right now there is a backlog, right, because we were filing all our documents and all. So, there is a backlog of last year as well, which we are supposed to get, which I think we will get the entire 150 or major part of the Rs. 150 crores by Quarter 2 end. So, that will finish the backlog till Quarter 1 , right. And then , for each subsequent quarter that passes, we should be able to get the subsidy amount by end of the next quarter. So, suppose the subsidy amount for Quarter 2 will be accrued to us and received by us by end of Quarter 3 . That is how normally it should follow, and this is how we have seen in the past also that it has followed. So, the subsidy does not remain an amount which is just showing in the books and never received by the company. So, in our case, it has never happened like that. And we hope to maintain this.

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Jayesh Shah : That is very comforting. Thank you. And my second question is, given the state that Ultratech has in your company, which is a financial investment, is there any business relationship, trade arrangements, or do you benefit due to Ultratech taking stake in your company in terms of dealer distribution, logistics or cost ?

Tushar Bhajanka : No, not really. So, U

ltratech definitely bought a stake in the company , but that was a non, I think it was just an investment that they made from a long -term perspective, I guess. But I don't think that affects our business negatively or positively, either way, right? Both the companies are operating at an arm's length . There is no synergy that we are benefiting from right now.

Jayesh Shah : Thank you. And lastly, in terms of demand outlook for Assam, given , all the political uncertainties and media articles that we keep hearing, what is your outlook on overall demand scenario in Assam? And how much you sell exactly in Assam?

Tushar Bhajanka : Sorry?

Jayesh Shah : Yes, Assam and Meghalaya, basically ?

Tushar Bhajanka : Yes, so if I talk about Northeast overall, then I think, just a second. In Northeast overall, we sell almost about 75% of our sales is happening in Northeast right now, right? And I think the market growth in Assam and other states in Northeast are going to be good only, because there is just so much more scope to grow, right, which you can also see in the sales numbers that we normally forecast, right? The way Star Cement's turnover has grown the last 4-5 years, I don't think that kind of growth has been seen in outside Northeast, right? So, definitely, there is more potential to grow and there are also a lot of hydro projects which are coming up, there is also a lot of infrastructure projects which are coming up. And I think the demand will be basically led by that.

Jayesh Shah : Thank you very much and best of luck .

Tushar Bhajanka : Thank you .

Moderator : Thank you. The next question comes from the line of Harsh Mittal. Please go ahead.

Harsh Mittal : Hi, thank you, Shubham. So, I have two questions. So as per media articles, there has been trial runs conducted for the first freight train to Nagaland and Tripura a quarter ago, roughly a year ago. So, how do you see this as a benefit to Star Cement in terms of capturing higher market share in these states, or reduce freight cost? So, that will be my first question, sir ?

Tushar Bhajanka : Sorry, could you please repeat the question?

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Harsh Mittal : So, my question being that Northeast Frontier Railway, they have started trial runs for their first freight train, cement cargo freight train to be transported to the states of Nagaland and Tripura, roughly a quarter ago. So, how do you see this as a benefit to Star Cement in terms of higher market share or reduced freight cost?

Tushar Bhajanka : So, I think it can give an advantage in terms of serviceability, right, in terms of the freight, but also poses a risk because now cement players from outside can also send the cement to Nagaland directly, right, to the rail. So, it has both elements of, like, benefit and disadvantage. But

definitely, I have not worked out the math of how cheaper it would make it if we send it through rail now. But we will definitely do that working. I think in busy season it will help us serve it better.

Harsh Mittal : Sure, sir. And the second question being, as per your market intelligence, besides Star Cement and Dalmia Bharat, what is the tentative expected supply, which we are going to see in the next 4-5 years?

Tushar Bhajanka : I think in the next 3 -4 years, I do not expect any other plan to come, though, of course, major cement companies in India are definitely looking at this market now, right. They may be also talking in their own investor calls. But I think for 4 years, I do not see any of the capacities really coming in. So, for 4 years, I do think that this market would probably be dominated by 2 players. And probably there is a chance that third one probably comes in 3 -4 years. And then it is very hard to predict, but of course, then we will see how the scenario changes. But I think the market will become big enough for the market to even absorb a third player in like 4 -5 years ' time. I

don't think that that should be a challenge, right, because the market is also growing, right.

Harsh Mittal : So, what is the current market size for Northeast?

Tushar Bhajanka : About 14 million would be the current market size.

Harsh Mittal : And the expected growth rate you expect for the next 3 -4 years, CAGR, any guidance on that market growth ?

Tushar Bhajanka : It is anyone's guess, but I think it should be about 10%.

Harsh Mittal : Sure. We can take the next question.

Moderator : Thank you. The next question comes from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : Thank you for the repeat opportunity. So, two follow up questions. If you could, like, please talk about the efficiency, because green power share, I think in the previous quarter was around 20%, but the target is to take it to almost 55% by 2026 itself . So, where are we, in terms of green

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power efficiency or other initiatives as well, be it the FSA coal or any other thing that can help us reduce cost in the coming quarters?

Tushar Bhajanka : Thank you so much. And the FSA cost, of course, the FSA, we have tied up for the long run, if you see that 78% of our requirement of fuel was met through FSA. So, definitely, we are doing a decent job at managing our cost of fuel, right. And I do think that Quarter 1 was slightly better in terms of fuel cost, Kcal, rupees per Kcal, then Quarter 4 . And it was also better than last year, same quarter. So, we have definitely pulled up our socks on the fuel cost and reducing. On the green energy y, we have currently hired EY to make entire plan of how we can substitute more of a power requirement to green energy. So, on that plan, we are putting up about 40 megawatts of solar in Assam itself. That will help us serve the Guwahati units, and we are also probably going to draw some power to Meghalaya from that solar farm. And then we are also looking at wind options, not in Assam, of course, but in other states that we can kind of get a captive wind farm that we can probably use to provide power to us . So, I think in a month's time, we will have a clear roadmap. Of course, some of the roadmaps we have already started implementing with regards to solar, but then, the wind and other sources of renewable energy we are tapping , we will only be clear after the entire EY project is done. So, I think by next investor call, you will have a clear roadmap of how we are reaching 55 %-60%.

Navin Sahadeo : And the PPA we had signed last year, JSW green energy stage, right? That starts contributing by end of this fiscal, is that correct?

Tushar Bhajanka : Yes, that should start contributing by end of fiscal year, though there was some delay of 3-4 months in that. But we are just talking to them as well as to how we can bind them to kind of give us as soon as possible. We are also evaluating other options to that agreement in case we want to have our own generation, because that in the long run reduces your fixed cost. Because when you tie up with JSW or any other developer like that you are buying power at a fixed cost, which may be 3.5 or 3 .6, whatever the rate you may decide, right? But that 3.5 -3.6 becomes your base cost, right , whereas if you put up your own plants, then your base cost is only the cost of the O&M of the plant, solar or wind. So, your variable cost falls to 0.6 -0.7. So, I think in the long run, it makes much more sense for them and companies if they want to be competitive to kind of put up their own plants, because they effectively reduce the variable cost by Rs. 3 .

Navin Sahadeo : Yes, that is very helpful. And sir, my last question was on our preparedness for foraying into Rajasthan. You said that, of course, we have more, like participated in some more options and maybe in a couple of weeks, there

will be a formal update on the outcome of the same. But what

I wanted to broadly understand is, typically, how far are we in terms of actually having a plant in place? Will you say it is 3 years away? Will you say it is 4 years away? How should one look

at foraying into North ?

Tushar Bhajanka : I think it is about 3-1/2 years away. I think that is the timeline because for us to acquire mine and land and then put up a plant will take us 3 years , right. So, in 3 years ' time, unless we go for Star Cement Limited
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acquisition, right, which I don't think is really available in Rajasthan, but probably in areas of South, I don't think there is any other way , but to spend 3 years and put up a plant there .

Navin Sahadeo : Correct. That is very clear and helpful. Thank you so much.

Tushar Bhajanka : Thank you.

Moderator : Thank you. The next question comes from the line of Shravan S from D olat Capital. Please go ahead.

Shravan S : Hi, sir. Sir, just continuing this part. So, currently, the 4 million ton that we will be ongoing expansion. So, we will be reaching close to 11.7 odd million tons. And this Rajasthan would be a maybe a 4-4.5 million tons in terms of cement level. So, around 16 odd million tons. But we target to reach 20 million tons by FY '30. So, where else we will be? Will it be in the northeast, maybe 2-3 years down the line we can add because we already got more mines there ?

Tushar Bhajanka : We are honestly evaluating because I think that was just, the 20 million was just an aspirational target of where we think our long -term vision should align. But in the short run, we will of course have to find opportunities, right? So, I don't think I have a clear answer. We are evaluating to put up a plant of 2 million tons in Bihar, for example, right because our S iliguri plant, I expect in the next few years, we will reach full utilization of the plant. So, we will have to put another grand unit for us to grow in outside northeast, right? So, we may put up a plant in Bihar, it looks like a favorable place with good thermal plants around it, with the market, which is growing, of course, competitive, but growing. So, we do think that that 3 -4 million extra capacity that we want to build up, we are evaluating it, which area it should be. And I think we will have an answer in a quarter or 2, because I don't think it is very easy for us to forecast the entire 5 years from now. But I think definitely we are working on 2 -3 more opportunities, so that we can probably ramp up to the 20 million capacity as soon as possible.

Shravan S : Got it. But in whatever way , whether we will reach to 18 million ton or a 20 million ton, but in terms of the net debt EBITDA level, what is in our mind that we will obviously right now we are at much comfortable level, only 300 around kind of a net debt. So, till what level are we comfortable to keep on increasing net debt?

Tushar Bhajanka : So, that honestly depends on the EBITDA that we achieve, right, and the cash flow that we get. So, I do assume that we should be able to start touching levels of Rs. 850-Rs. 900 crores of EBITDA from this year onwards, right, and probably do better next year. So, if that is the case, then I do think that we should be comfortable with about Rs. 1,500 crores of debt in the worst -case situation, worst case scenario, right. So, I think that is something that, depending on how our cash flows are seeming this year and next year . We should be able to ramp up our comfort of taking debt to about Rs. 1,500 crores at max, right, which I think it is in line with other companies, right, debt to EBITDA ratio is 1.5 x, which is fine, I guess.

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Shravan S : True. No, that is fine. Because currently obviously we are having a Rs. 1,700 plus EBITDA per ton, and hopefully if you can help us, given as yo

u are mentioning, the prices are stable, and

maybe we can start seeing some cost benefit also. So, this kind of a run rate likely to be maintained, that is first part. And second is, once we have up Rajasthan, obviously, that we will not be having a, maybe a half of the profitability what right now we are enjoying. So, that also we are watchful, despite t hat fact of, we should not be kind of a worst case, Rs. 1,500 crores kind of a debt is manageable ?

Tushar Bhajanka : Yes that is what we always thought that if the cash flow in the next 3-4 years in North East is stable, and even if you have Rs. 1,500 crores debt, which you of course will start reducing as soon as your plan ts are commissioned, then I don't think it is bad. And also, the company will of course think of doing a QIP as well, right, if we do go in Rajasthan and do all those things. So, I think from that perspective, also, we wi ll definitely maintain our debt levels in control, because as a company, we don't like to pay too much for debt as it is clear with our history, right?

Shravan S : Got it. Understood. And then, now onwa rds from Q2, the current OPEX per ton and so that is the way what we calculate in terms of revenue minus EBITDA, whatever the cost divided by volume , so that number should not be rising, rather it should be seeing one should start seeing given the volume uptake will be there. So, we should start seeing the declining trend there. And if the prices remain stable, then this kind of EBITDA per ton, Rs. 1,700 is manageable at least for next couple of quarters ?

Tushar Bhajanka : Yes, I think that is true. But it also happens that every quarter is a bit different in terms of volume, right? So, if I compare my OPEX cost compared to last year, same quarter, Q2, then it will definitely be lower. If I compare it to Q4, where the volumes are very high, then my fixed costs are divided by a higher volume, right? So, I think then it is very hard to like be it Q4, because the volumes were higher. So, I think, it should be fair for variable costs to pass that statement, but not overall cost.

Shravan S : Got it. And if you can help us currently trade, non-trade price gap in Northeast and East would be how much?

Tushar Bhajanka : Trade, non-trade, I think it is about Rs. 60-Rs. 70.

Shravan S : In Northeast?

Tushar Bhajanka : Yes, in the Northeast.

Shravan S : And in East?

Tushar Bhajanka : East, we actually don't sell that much of non-trade. So, I don't think we will be able to give a good benchmark.

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Shravan S : Got it. Thank you, sir.

Tushar Bhajanka : Thank you.

Shravan S : And sir, lastly, this Silchar, how much already we have done the CAPEX and what is balance for Silchar? Because that is going to start by this January, February?

Tushar Bhajanka : So, in Silchar till date, we have done only about Rs. 105 crores, right. Because a lot of payment will now start going in Quarter 2 and Quarter 3, right. But our timeline is quite certain that by Quarter 4, we should be able to commission and there will be some aspects of the plant which may be getting commissioned after Q4. So, we may see that even after commissioning the plant, there are some CAPEX's which are ongoing. Yes, that answers the question.

Moderator : Thank you. The next question comes from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : Yes, hi, good afternoon. Just on the Northeastern market, like we have been hearing about other companies also wanting to set up capacity, latest being JK Lakshmi having won some limestone leases over there. And they are talking about starting a plant in roughly 2 years' time. So, do you see the competitive intensity going up over the next 2-3 years as these new players enter the market? Like it has usually been seen as a duopoly market, but Ultratech wants to get into the

market and now even JK Lakshmi wants to get into the market. So, what is your thought or view on that?

Tushar Bhajanka : I think for anyone who is coming fresh to Northeast, it will take at least 3-4 years to put up a plant. And I do think that, of course, as the market becomes bigger, people will come in and they will like to get a share of the market. So, it is quite natural. But I do not think that Northeast has that kind of space where you can accommodate a lot of people. So, people, when they are doing their working, after, like, suppose a competitor comes in, they will have to really question that for the fourth one or the fifth one, is the market big enough to absorb the capacity. So, I do think that in 4 years that probably the competitive landscape will be more aggressive. But then I do think it will settle down. Because I don't think people will just keep on entering Northeast. There is a limit to it because there is only a very small market that they can address.

Amit Murarka : Yes, but as people enter, won't it spoil, let us say, the pricing because Northeast has been having really strong and consistently good pricing and margin?

Tushar Bhajanka : Yes, I think it may spoil it for a year. It may spoil it for 2. But I think eventually, everything settles down, I guess, in some way.

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Amit Murarka : Sure. Got it. And generally, like, is my understanding, right, that the market is operating at 65 %-70% capacity utilization right now after you expanded and then even Dalmia is going to kind of get that clinker commission soon enough?

Tushar Bhajanka : So, yes, I think it is operating at about 65 %-70% utilization.

Amit Murarka : But what will be the size of the market? If you can just let us know in terms of million tons?

Tushar Bhajanka : It is about 14 million tons.

Amit Murarka : Got it. And you would be having, what, 25 % market share or less?

Tushar Bhajanka : Yes. So, we have about 27 %-28% market share.

Amit Murarka : And Dalmia would be having a similar number?

Tushar Bhajanka : Yes, like something a little bit lesser than us.

Amit Murarka : Got it. Sure. Thank you so much. Yes, that is all from my side.

Moderator : Thank you. The next question comes from the line of Navin Sahadeo from ICICI Securities.

Please go ahead.

Navin Sahadeo : Yes. Thank you for the repeat opportunity. I just had one follow up. The incentive we booked in Q1 was Rs. 62 crores and it was almost Rs. 75-Rs. 76 crores in Q4. Just wanted to know, is it fair to assume that this year as a whole, we will receive in upwards of, let us say, Rs. 250 crores, of course, assuming volume momentum stays intact, but I believe with your ramp up of scale and overall it should. So, is it fair to assume that incentives can continue at this run rate of Rs. 475 per ton or Rs. 500 per ton for the full year or that could be a little stretched?

Tushar Bhajanka : Yes, it is fair to assume that we probably should be able to get incentives about Rs. 230-Rs. 250 crores.

Navin Sahadeo : Very helpful. Thank you so much.

Tushar Bhajanka : Thank you.

Moderator : Thank you. The last question for the day comes from the line of Harsh Mittal. Please go ahead.

Harsh Mittal : Thank you. Sir, my question is, what will be the tentative capacity for the Rajasthan on the drawing board, if any?

Tushar Bhajanka : Tentative capacity?

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Harsh Mittal : What have you planned, the expansion size?

Tushar Bhajanka : So, I think it will be, wherever we put up a plant, it will be about 3 million tons of clinker and about 4 million tons of grinding.

Harsh Mittal : Right. And the tentative budget for the same?

Tushar Bhajanka : So, the budget will be about Rs. 2,400 crores. Yes. I think we have already answered this question.

Harsh Mittal : Sure. Thank you. Thank you, sir.

Mod

erator : Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Tushar Bhajanka for closing comments. Thank you and over to you, sir.

Tushar Bhajanka : Thank you so much, everyone, for your questions. And if anyone has any remaining questions, they can always email us and we are happy to answer those questions. And if there is any further interest, you can get in touch with the CFO. And if you want to visit the plant, we are happy to organize something. So, thank you so much.

Tushar Bhajanka : Thank you.

Moderator : Thank you. On behalf of Emkay Global, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2025

Date: 07th November, 2025

To,
The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G
Bandra Kurla complex, Bandra -East
Mumbai -400 051

Symbol -: STARCEMENT To,
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400 001

Scrip code: 540575

Dear Sir(s) /Madam(s) ,

Sub: Transcript of the Conference call for Unaudited Financial Results for the Quarter and Half Year ended 30th September, 2025

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the Transcript of the conference call with Investors and Analysts held on Thursday, 6th November, 2025 for Unaudited Standalone & Consolidated Financial Results for the quarter and Half Year ended 30th September, 2025.

The same shall also be available in web site of the Company at

<https://www.starcement.co.in/earnings-call#main>

This is for your information and record.

Thanking you,
For Star Cement Limited

Debabrata Thakurta
Company Secretary
(M. No.: F6554)

Encl. as stated.

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"Star Cement Limited Q2 FY-26 Earnings Conference
Call"

November 06, 2025

MANAGEMENT : MR. TUSHAR BHAJANKA – DEPUTY MANAGING
DIRECTOR , STAR CEMENT LIMITED
MR. MANOJ AGARWAL – CHIEF FINANCIAL OFFICER ,
STAR CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLI PCAPITAL (INDIA)
PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Star Cement Q2 & Half Year FY26 earnings conference call ended 30th September, hosted by PhillipCapital (India) Private Limited.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you and over to you, sir.

Vaibhav Agarwal: Thank you, Sagar. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q2 FY26 Earnings Call for Star Cement Ltd.

On the call, we have with us Mr. Tushar Bhajanka – Deputy Managing Director and Mr. Manoj Agarwal – CFO of Star Cement.

At this point of time, I will hand over the floor to Mr. Tushar Bhajanka for his opening remarks, which will be followed by remarks from Manoj ji, and then we can have the Q&A. Thank you and over to you, Tushar. Thank you.

Management: Hi, good afternoon, all. My name is Tushar Bhajanka and I am the Deputy MD of Star Cement. I welcome you all to the Conference Call of FY26 Quarter 2 .

I will like Manoj ji, the CFO, to give his remarks regarding the numbers and then we can start with the Q&A.

Management: Hi, friends. Very good afternoon. I, on behalf of Star Cement Limited, welcome you all to our Conference Call for discussing our number of Q2 FY26 and half -year ended September '25.

I would like to clarify that we are discussing on the historical numbers and there is no invitation to invest. Having said that now, I will just take you through the Q2 number followed by half -year numbers.

Starting from clinker production during the quarter ended September 2025, we have produced 9.18 lakh tons of clinker as against 6.58 lakh tons same quarter last year. So far as cement production is concerned, we have produced 10.83 lakh tons this quarter as against 9.55 lakh tons same quarter last year. Now I will take you through the sales volume. During the quarter, we have sold 10.73 lakh tons of cement and 1.01 lakh tons of clinker as against 9.62 lakh tons of cement and 0.15 lakh tons of clinker in the same period last year. This is as far as cement and clinker sale is concerned.

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As far as geographical distribution of cement is concerned, in Northeast we have sold around 7.64 lakh tons as against 7.49 lakh tons during same quarter last year. And as far as outside Northeast is concerned, we have sold 3.09 lakh tons of cement this quarter as against 2.13 lakh tons same quarter last year. In terms of blend mix, it is almost 16% of OPC and the rest is PPC. These are the quantitative numbers of the quarter.

Now I will take you through the financial :

The total revenue figure for this quarter is around Rs. 811 crores as against Rs. 642 crores same period last year. As far as EBITDA figure is concerned, this quarter we have done an EBITDA of around Rs. 194 crores as against Rs. 97 crores last year. Profit after tax is Rs. 71 crores as against Rs. 6 crores in the same period last year.

On P AT and EBITDA front, it is Rs. 1 ,650 during this quarter as against Rs. 995.10 same quarter last year. This is what our quarterly numbers of 2nd Quarter . The total revenue figure for the half year ended September '25 is around Rs. 1,723 crores as against Rs. 1 ,393 crores same period last year. As far as EBITDA figure is concerned, during half year ended September '25, we have done an EBITDA of around Rs. 424 crores as against Rs. 215 crores last year. Profit after tax is

Rs. 159 crores as against Rs.

37 crores in the same period last year.

On P AT and EBITDA front, it is Rs. 1715 during the half year ended September '25 as against

Rs. 1,000 per ton same period last year. These are the quarterly and half yearly numbers.

Now I request all of you that if you have any query, you can ask the same and then I will request

Vaibhav to moderate the queries wherever it requires. Thank you.

Moderator: Thank you very much. We will now begin with the question -and-answer session. Our first question comes from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Thanks for the opportunity. The first question I had was on your expansions at Silchar and Jorhat.

Could you kind of throw some light on what is the progress and the timelines for them?

Management: For Silchar project, we are planning to commission it in the next 3 months. So, we should be

able to commission it by January in the next calendar year. And for Jorhat, we have acquired the

land. We have applied for the permission. But we are looking at the demand supply situation

right now. And then trying to take a call about Jorhat. So, we may announce a deferment of

Jorhat project by the year. Instead of Jorhat, we have also started acquiring land in Bihar. And

there is a very lucrative scheme which has come in Bihar which is offering 300% SGST benefit

in Bihar for whoever sets up their plant in Bihar. So, we are looking at East market of Bihar that

will be Central and East markets. And we have identified a plot in Begusarai which we will

pursue and try to put up a plant there. And we will come up with a timeline in the next quarterly

meeting.

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Amit Murarka: And what will be the size of the Bihar plant? What will be the capacity of the Bihar plant?

Management: The capacity that we are planning to put up is about 2 million. So, what really happens is that

rather than putting up more capacities in Northeast, immediately we will be able to cater to a

larger market of Bihar. And given the SGST benefit that we get along with it, it becomes decently

viable.

Amit Murarka: But just a thought over there. Isn't the Bihar market right now seeing intense competition with

JK Cement entering the market and generally pricing in the market has been in a tailspin? While

incentives might be there, but just to understand that part.

Management: Of course, Bihar market is the fastest growing market in East India because people have

anticipated that and put up capacities accordingly. But because of the size of the market, first of

all we are only putting 2 million. And we already sell about 6-7 lakhs in Bihar market. So, we

will try to create a market using our Siliguri plant in Bihar. And then put up a branding unit in

Bihar so that our capacity utilization from the very first year is better. Also, we are talking about

2 years later. So, the scenario of the market right now may not be the same after 2-3 years. So, I

think that is also a function.

Amit Murarka: And what is the incentive that you mentioned that you will get in this?

Management: So, Bihar has come up with a new industrial policy where you are eligible for 300% SGST

benefit. So, whatever you sell in Bihar, you will get the SGST benefit of it.

Amit Murarka: And just quickly also on the incentive that you booked in the quarter.

Management: So, we had booked about 56 crores in the quarter as incentive.

Amit Murarka: Thank you. I will come back in the queue.

Moderator: Thank you. Our next question comes from the line of Navin Sahadev from ICICI Securities.

Please go ahead.

Navin Sahadev: Good evening. I just wanted to understand in terms of your CAPEX priorities now, if you can

just help us understand the priority, is it the Jorhat grinding unit, is it the Bihar grinding unit?

Whatever land that you are looking at, that is the priority or the

northern region that we are looking,

that where we had some limestone mines, that is a priority? If you could just help us understand

that.

Management: Thank you for the question. So right now, after we commission Silchar, which is in the next 3

months, so hopefully by the time we are having a next call, Silchar plant should be

commissioned. Our priority will be to, from a Northeast perspective or East perspective, our

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priority will be to put up the Bihar grinding unit. And we have already gotten the approval from

the government. We have already acquired the land also in Jorhat. But we are stepping the project

for a while, because we are already getting a Silchar project up and running. And I think that

will give us enough capacity for Northeast. So, we are looking at Bihar, just from a better

capacity utilization of clinker perspective and also expanding our geographical reach

perspective. Coming to Rajasthan, in north, we had acquired mines in Jaisalmer, which was actually one of the largest mines in Jaisalmer, at the lowest, one of the lowest premium as well. Then we had also acquired mines in Nimbol area, which is central Rajasthan, right. And we are acquiring land also in Nimbol. We are trying to acquire the plant land also, the mine land also. And then we are looking at some other mines, which are non-option mines in Nimbol, so that our cost of limestone will be lower once we start the plant. And we plan to put up about 4 million tons in Rajasthan and Haryana. So that is a natural expansion that we are working on. Right now, we have not come up with a very decisive presentation, mainly because we are still acquiring land, we are still trying to figure out the difficulties of the terrain. But in the next 5 years, if you ask me what the plan is, I think our plan involves putting up a plant in Bihar for sure, also a plant in Jorhat eventually. Our plan involves 4 million tons of clinker plus grinding in Rajasthan area. And then it of course involves eventually to put up another clinker plant in Northeast, which will be more likely in Umrangs o area, which is Assam. And for Umrang so area, we have already acquired the land, we have already acquired the mine land, we have already acquired the permission for mining.

Navin Sahadev: Understood. So, just to confirm, in the scheme of things, your first priority now is a grinding unit in Bihar, second will be Rajasthan, third will be then Jorhat meanwhile or Jorhat can possibly be the number two priority?

Management: Yes. So, I think our plan is like what you said, Bihar. Along with Bihar, around the same timeline, we are also trying to work on Rajasthan, so that we can ground break and start our commissioning. At the same time, we are getting our permission for the Umrangs o clinker plant, it may take 1 -1.5 years to get those permissions, so we have already applied for it and so first we will put up the Bihar and we will start working on the Rajasthan plant and after that we will put the Umrangs o plant along with the Jo rhat plant.

Navin Sahadev: Understood. So, basically for Jorhat now to happen, we need a potential clinker line from Umrangs o, as of now existing clinker will use towards Bihar grinding unit and existing other units.

Management: And for that Umrangs o plant, we have already also acquired the land, the full land of the mine, land of the plant and we have also won an auction mine which has about 180 million tons reserve at about 57% premium, which is not very high given the margins in Northeast and we have already started with our work, with basically getting other permissions, ECs and other permissions.

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Navin Sahadev: As far as your Rajasthan expansion is concerned, I believe Nimbol will be a priority over Jaisalmer or it's the other way round ?

Management: We

are also just still deciding, but yes, on the face of it, Nimbol does seem to take priority over Jaisalmer, mainly because we wanted to enter North from a geographical location which is a bit more central, so that we are able to cater to market more effectively. And Jaisalmer, we had gotten that mine just from a future prospect and our second or third line could be in the future in Jaisalmer because Jaisalmer in the next 3 -4 years, like you may already know from other commentaries of other cement companies, is going to be a big hub. And it's the future deposit for serving the entire North. So, we just thought that if we can, we should lock a mining Jaisalmer as well.

Navin Sahadev: My second question then was about your incentives because in the GST rate cut regime, of course, there can be a decline in the annual accrual of the GST. So, if you can just first of all understand what was the GST booked in Q2 of FY26 and then if you could just take us through how should one look at this accrual now from a quarterly run rate or from an annual perspective and also just a clarification, if the total incentive pool also gets shrink because of this GST rate cut or we can get an extension period over there. So, it's only the time lag and not the total incentive pool which gets compromised. Clarity will really help.

Management: So, I am happy to provide the clarity on that. So, basically, of course, the GST percentage came down. So, because the GST percentage came down, the SGST percentage was also come down.

And so, hence, the reimbursement of that benefit has also come down. So, the impact that we feel that we will have on the overall volume will be of about Rs. 130 to 150 per ton. So, that is the impact that we feel that we will have. So, that is the impact. Of course, the quantum of the benefit which is the fixed basis, the CAPEX that you do, it remains the same. And I think the pace at which we consume the benefit anyway is 5 years and we have gotten time for 15 years. So, the benefit that we would have otherwise accrued in 5 years may get postponed to 6th or the 7th year. So, we don't have to get any extension on the timeline of the benefit because anyway, we have 15 years, which is more than enough for us.

Navin Sahadev: Understood. So, roughly, 130 to 150 million tons impact is all that will come to us. That's what large impact and not the total cost.

Management: So, it's more of a time lag impact.

Navin Sahadev: Helpful. Thank you so much. I will come back in queue if I have more questions.

Moderator: Thank you. Our next question comes from the line of Shravan Shah from D olat Capital.

Shravan Shah: Hi, sir. Just to again clarify on what right now we have discussed. So, first on the CAPEX front, so now in 1H we have done 211 crores. So, for full year of FY26 -27 and maybe possible for

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FY28, what kind of a CAPEX we can look at? And there also, if you can specify, if we go for a Nimbol 3 million clinker and 4 million grinding. So, previously, I think we have said 2,400 - 2,500 crores. So, will it remain the same?

Management: Sorry, can you repeat the last part?

Shravan Shah: I said that for Nimbol , if you go for a 3 million ton s clinker, 4 million ton s grinding, last time I think we were looking at 2,400 to 2,500 crores CAPEX total. Will it remain the same?

Management: Yes, I think that broadly means the same, about 2,400 -2,500 crores for Nimbol . But again, I have to get back to you. So, let's get back to the projections and everything else. And once we are completely decided at the promoter level, we will also share a presentation of what we are thinking so that it clearly transparent to the investor, how the expansion is going to take place. But, answering your first question regarding the CAPEX that we plan to initiate in FY26, the remaining of FY26, we pla n to entail about 50

0 crores of CAPEX in the remaining of FY26.

Mostly, we will be going and completing the Silchar project. And then we are also putting up a solar power plant, which is of about 42 MW in Assam. We have already acquired the land for that as well. So, I think, so that 500 is broadly split between Silchar and the solar plant in Assam.

Shravan Shah: Sir, just to again clarify. So, in 1H '26, we have done 211 crores, another 500 crores in second half. So, total put together 710 -720 crores that we are looking at for full year of FY26.

Management: And this includes, the major item in this is the Silcha r plant. And it also includes the solar plant. And it also includes the land that we have bought in Umrangs o in Bihar and Jorhat.

Shravan Shah: And for next year FY27 and maybe for FY28, given if we go by what we are saying, 2 million tons and then the 4 million ton s Rajasthan and maybe Jorhat also. So, in that sense, how much one can look at CAPEX?

Management: So, for that I have to first solidify my expansion plan. And then only it will be fair for me to give numbers and throw numbers out. So, I think, what we will do is that in a month we should be able to gather our information and make a presentation. In a month, month and a half, we will post the presentation . So that, which will have all these details, which will have a lot of other details as well. So that your question is answered. But right now, I don't think it will be fair for me to answer your query.

Shravan Shah: But still, a broader level, 2 million ton grinding in Bihar would be broadly, the CAPEX would be how much , 300 crores?

Management: No, I think CAPEX for 2 million tons is more than that. I think it would be about 500 crores. Also including the price of land.

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Shravan Shah: Got it. And then in terms of timeline, if we start whenever in the next 3 -5 months, it should be commissioned b y first half of FY28, 2 years down the line ?

Management: Yes, that is what the target is.

Shravan Shah: So now coming on the volume front. So, last time we said we are looking at 5.4 to 5.5 million ton for this year. So, we have already done a decent 16% kind of a growth. So, that number for full year remains or is there a possibility of some upgrade in volu me?

Management: I think the number broadly remains the same. October was a good month. That gives us some confidence that going forward, probably the next quarter will be good. But, again, I think on a conservative basis, we will meet the target. We are also given EBITDA estimate as well, of about Rs. 1,500 rupees per ton to 1 ,550 per ton. But given how it is going, I think the EBITDAs are a bit more healthier than what we are presently doing.

Shravan Shah: And in terms of now, full year, though you said the 130 -150 per ton incentive impact will be there because of GST, but on an absolute basis, if we have to look at for full year of this FY26, I think last time we were looking at 230 -250 odd crores. In 1H, we have already done close to a kind of a 118 -120 odd crores. So, how much one can look at on absolute basis?

Management: Are you talking about EBITDA?

Shravan Shah: No, incentive, sir.

Management: I think we may be looking at about 180 crores to 190 crores. I don't an exact number, but it would be 180 crores to 190 crores.

Shravan Shah: Lastly, a couple of data points, trade share, premium share, late distance, kcal cost and if

possible, the fuel mix.

Management: Trade sales is 80%. Non-trade sales is 20%. Premium sales is about 13.1% , lead distance is about 230 km. And fuel cost is Rs. 1.25 per kcal.

Shravan Shah: So, there is a decent decline from 1.35 to 1.25 Q OQ. So, this number will remain in 3rd Quarter similar?

Management: I think in 3rd Quarter it should be broadly similar. I don't think there is any increase.

Shravan Shah: And in terms of

fuel mix, spot contract, FSA and Nagaland Coal ?

Management: Mainly it was FSA only. I think 80% of it was FSA. And then rest was broadly biomass and other sources of coal there.

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Shravan Shah: Thank you and all the best.

Management: Thank you.

Moderator: Thank you. Our next question comes from the line of Parth B havsar from Investec. Please go ahead.

Parth Bhavsar: Thank you for the opportunity. I had questions on competition in the Northeast region. So, I wanted to basically, so Ambuja has limestone mine in the region. So, I wanted to understand, like, how do you see the competition coming up over the next 2 years? And have they acquired any land to build a plant and are they eligible or fall under the scheme in the region?

Management: What I know is that, of course, they have won mines and auctions, I think about 5 -6 months back. And the land is owned by the district council. So, I don't know if they have been allocated the land or not. But I think, and I am sure they may have their plans of putting up a plant. But it normally takes about 2 -3 years at least to put up a plant because it's a greenfield and also in a very difficult terrain. So, so that is my expectation of the competition. And I think, Northeast , generally, us as the largest players and it has been Dalmia. And then we have 3-4 smaller players in Northeast which are not listed, which are not there. So, I think once that entry happens, there will be a bit of a competition, I guess. But at the same time, there may be some consolidation for smaller players. And then, I think it will just go across I guess.

Parth Bhavsar: So, how do you, once Ambuja's plant comes in, so how do you see the profitability for the Northeast fair like? And then what would be your stance, would you go after the market share or would you give up, you will try to manage or improve your profitability over and above the value.

Management: I think the strategy basically, so right now about 18% of cement is coming from outside Northeast . That's a big number. That is mainly coming because profitability and margin in Northeast is quite good. So, I think, so it has to be a combination of both. One has to hold the market share at the same time, hold the prices and to of course reduce the amount of cement which is coming from outside. And probably from the smaller players . So, I think that is an adjustment phase. I don't know how exactly will it go. But we think that the market still has a decent level of competition which will definitely help us in the longer run maintain the margin.

Parth Bhavsar: So, you think you can protect this profitability even going ahead with the competition coming in?

Management: See, I can't predict, after 2 -3 years when the competition does come in, what the intensity would be and what will be the impact on price and so on and so forth. But I do understand that anyone who is getting into business is in the long run there to earn . So, that is true for an entrant also and that's true for an incumbent also.

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Parth Bhavsar: Thank you so much for answering my question.

Moderator: Thank you. Our next question comes from the line of Uttam Kumar Srimal from Axis Securities. Please go ahead.

Uttam Kumar : Thanks for the opportunity and congratulations on a good set of numbers. Can you highlight the current pricing both in Northeast and Eastern India after Quarter 2 exit prices? How is the current pricing faring in both Northeast and East India?

Management: Northeast the price was about Rs. 493.

Uttam Kumar : So, it has gone down or it is at the similar level of Quarter 2 exit prices?

Management: Are you talking about prices right now or in Quarter 2 ?

Uttam Kumar : Compared to Quarter 2 . Is it gone down? How much or it is on the same level?

Ma

Management: No. Between Quarter 1 and Quarter 2 , the prices have gone up by about Rs. 8.

Uttam Kumar : And currently compared to Quarter 2 prices?

Management: Right now, the prices are broadly similar to Quarter 2 prices. And in Bihar, the prices in Quarter 2 had fallen by about Rs. 5 compared to Quarter 1. And I think the price in Bihar right now is the same as Quarter 2 prices. West Bengal had also fallen by Rs. 7 in Quarter 2 compared to Quarter 1. But the prices right now in West Bengal also should be similar to Quarter 2.

Uttam Kumar : What is the current status of our AAC block? Because I think that has already been operational. So, what kind of revenue we have derived in Quarter 2 and how this is going to be for the full year?

Management: From AAC, we have just started it 3-4 months back. And we have been ramping up the capacity. Last month only we were able to produce it at 18,900 CBN. And the capacity of the plant is about 16,000. So, we have already ramped it up in off-season to about 60% capacity utilization. The revenue that we have gotten from it is quite minimal. It is about 13-14 crores. But I think we are going ahead because we only had a full production last month. But we are going ahead. We do expect a revenue of about 50-60 crores to come from it.

Uttam Kumar : What would be the margin in this particular business?

Management: Margin would be normally it should be about 12%-15%. That should be the margin. Because it is a low effect on our decent EBITDA margins in business normally. It also depends on the competition. The reason why we have gotten to AAC is mainly because one of the largest raw

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materials is fly ash and the other one is cement. And the second reason was because the distribution is very similar to cement in non-trade. So, it acts as an extra product for non-trade customers as well as dealers. We have also launched the construction chemical segment which just in this month only that we have launched it. You will see the revenue numbers for that also in the next meeting. And we have also gotten to R&D. So, we are trying to get into like forward integrate ourselves. Because that's where we see the market should be moving. So that's what we are thinking now.

Uttam Kumar : Company has passed some enabling resolution to raise funds of around Rs. 1,500 crores. So, if you can highlight on the same.

Management: As I mentioned to you as well, as mentioned in that circular, we had taken a resolution to raise about 1,500 crores. We do not know if it will be in what form, like the issue of preferential allotment or QIP or some other form. That we need to kind of fund the expansion that we may have in Rajasthan which we will circulate the details of. When we do circulate the details of the entire expansion project, we will also circulate how we are raising the funds to fund that project. And I think that is why we have a major resolution.

Uttam Kumar : That's all from my side and wish you all the best.

Management: Thank you.

Moderator: Thank you. Our next question comes from the line of Navin Sahadev from ICICI Securities. Please go ahead.

Navin Sahadev: Thank you for the follow up opportunity. Sir, if you could comment on the demand scenario in Northeast, is the government led CAPEX or infrastructure focus which was there, does that continue or you see there is some slowdown or some sort of shortage of funds that is being put in which could hamper demand? How do you see the current demand scenario and your, maybe the outlook as well? How are you seeing it going ahead? Thanks.

Management: So honestly, like I think that the current demand scenario is compared to other areas in North India, they are quite robust. So, I think the market is growing at about 8%-9%, which is a bit higher than the market outside. And that's one. The second i

s that the infrastructure investment

is yet to come in a significant way. I think there is a lot of initial inquiry about the dam projects, the hydro projects which are coming up in Arunachal. And I think once these projects are in full swing, we will see a big demand coming up from there, which has still not started. So, but there are expectations as we read in the news and otherwise, there are expectations of these projects starting soon. So once these projects start, I think they will become a great source of absorbing.

Moderator: Thank you. Our next question comes from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

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Rajesh Ravi: Good afternoon. My question pertains to announcement of Bihar expansion. So, I understand you currently have, post the recent clinker expansion, 6 million ton of clinker. And post the Jorhat, you would be already having operating at 9.7 million ton of cement capacity, all being fed from the Northeast and then you have the Silchar is already coming up and then Jorhat is planned next year, which will take you to 12 million ton. So, what is the plan? Because this Bihar will add another 2 million ton, which is almost 14 million ton of cement capacity. So, is

there any concurrent slinker expansion plans, which is there in pipeline, or you would be operating at surplus grinding capacity?

Management: No. So, actually we plan to put up the 2 million ton s cement, which comes in Silchar, will make a capacity of 9.7. And then we plan to put up the Bihar plant to basically make sure that our utilization of the clinker plant that we just put last year is a bit faster. And also, because of the other benefits that we are getting in Bihar. And our plan to put up a plant in Umrangso is intact. So, so we have also gotten the mines in Umrangso and we have already started our work on ground to get all the approvals. We have the land, we have the mine, we are looking to get the ECs and all. And then we will slowly start making our base, getting the roads, the power and all those things. So that whenever we do need clinker, in 1 or 2 years' time, we are able to put up a plant and get the clinker supplying to the Northeast and the East region from there. Jorhat will be coming along with the slinker plant in Umrangso, broadly.

Rajesh Ravi: So Umrangso clinker, by when do you look at that coming up and what quantum you are looking at?

Management: We haven't put a date to it right now. I think '28 and '29 is what we are anticipating, but really depends on the demand. So, what we are doing now is just preparing every single thing. We are getting all the ECs way in advance. We are acting as if we are putting a plant now. Then just before the construction stage, we are waiting and seeing how the demand is turning out. So, if the demand is coming across very well and the Bihar market is also consuming a lot of clinker for us, then we will go for a quicker expansion in Umrangso. Otherwise, we may wait for a year or two.

Rajesh Ravi: And only then you will concurrently put up the Jorhat grinding, is this understanding correct?

Management: Exactly. Because our whole point of putting up Umrangso early would be, would mean that the demand in North and Northeast and East is good. So, we will also have to put up a grinding unit there. So, in 4 years' time in the Northeast story, what you said is right. That in 4 years' time, we should have the Bihar plant, probably Umrangso and Jorhat. So, it will be 14 million tons with 9 million tons of clinker capacity and then whatever we do in Rajasthan is extra.

Rajesh Ravi: Understood. And Rajasthan would also take at least 3 years whenever you start work on that project?

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Management: I think once we start work, once we have acquired our basic plant land

and all, and we are already

on the process, I think it should take 2 years. Because mainland, I think putting up a planter is relatively, as a construction and all is a bit easier. And there's also less rainfall. So, those problems aren't there. So, my expectation will be that it will be less than 2 years or 3 years.

Rajesh Ravi: So somewhere in FY29, you will have both the Rajasthan as well as the Umrangso and Jorhat all coinciding around FY29?

Management: Like probably one may come before the other, but broadly by 2030. We expect that, we should be, we should be around that capacity. That's still a plan, that plan has to be discussed thoroughly. And then only can I make a bold statement about it. So, this is what we are thinking.

Rajesh Ravi: So next year, your major CAPEX will go only towards the Bihar grinding unit?

Management: Yes, majorly towards Bihar grinding unit. I think some CAPEX will start going in the civil work and ground work in Rajasthan as well. If we go ahead with the Rajasthan project.

Rajesh Ravi: Understood. And what is the status with Dalmia's clinker plant ramping up? What sort of pressure is expected? October, you mentioned, has been quite healthy in terms of demand. So, do you look at any pressure on volumes or pricing given the, with the Dalmia's major capacity now ramping up?

Management: No, I don't think there is a pressure on pricing or anything like that because the capacity that we both have set, we have to kind of be cognizant of the fact that the market is still the size that it was last year broadly. So, I don't think there's any point in the pressure in pricing. I think that is something that we will have to just, I hope that we are all able to understand that and things work out accordingly. I don't see the pressure right now, but I can't predict the future.

Rajesh Ravi: No issues. And lastly, on this fuel cost, which you mentioned, 1.25 is arguably the lowest in the industry. So how sustainable is this? Because this is a costing where players are paying for AFR and you are on a blended basis operating at that cost. So, is that sustainable over the next few quarters or do you see there were some one-offs in terms of high purchases of local coal, which helped you that? What is the outlook for the next two quarters on this fuel cost?

Management: So, the book stock that we have right now, because what happened was that there were a lot of rates of last year of SSA, which we did not get which was carrying forward. We got all those old rates along with the new ones, along with the one that we were supposed to get this year from SSA in Quarter 2. So, our stock and book stock of coal is about Rs. 2,83,000 right now. It is a stock of almost about 5 to 6 months and the cost of that stock is at Rs. 1.25 to Rs. 1.3 GCV. So that is the clarity that for the next 5 months I don't think that the cost is going to increase of coal.

It may go between Rs. 1.25 to Rs. 1.3 between that.
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Rajesh Ravi: That's good to hear, sir. Thank you and all the best.

Management: Thank you.

Moderator: Thank you. Our next question comes from the line of Harsh Mittal from Emkay Global. Please go ahead.

Harsh Mittal : Thank you. Good evening, Prasad ji. So, I have one small question. Given that elections, state elections are scheduled in March next year. Is there any possibility of demand being slow in Quarter 4 or it is business as usual? Thank you. This is my only question.

Management: No, I think the demand right now, like in October, I think we had a very good growth in North - East itself. Right. So right now, I don't get a sign, but it may be the case. But I don't have anything to validate it.

Harsh Mittal: Thank you.

Moderator: Thank you. Our next question comes from the line of Shravan Shah from the Dolat Capital. Please go ahead.

Shravan Shah: T

Thank you. 20 million tons capacity that we want to reach by FY30 that remains intact.

Management: I think the target that we have by FY29 -FY30, given that we go ahead with the plan that we do, is of about 18 million tons to 20 million tons . 20 million tons could be a little bit stretched but 18 million tons , I can see that the plan that we are trying to make may get us there. So, at least 18 million tons is what I would say. And then if something else also comes up, then probably continue .

Shravan Shah: And, just on AAC block, construction chemical, RMC, so all put together in FY26 and '27, how one can look at in terms of revenue?

Management: I think overall next year, complete year production, I think we should be targeting about 80 -90 crores of revenue from it. The reason why we did it is not a lot related to the revenue or anything.

I think these were just futuristic products that we had to get into as a cement company, right from a branding perspective, marketing perspective and also from a distribution perspective.

And that's why we got into it. So, my expectation would be 80 -90 crores next year.

Shravan Shah: And, currently in terms of Q2, the profitability in East versus Northeast for us would be how much broader? The East would be Rs. 400-500 odd?

Management: That number, I don't have it by geography right now. But you can reach out to Manoj ji and we can try to give you the information. But I don't have it right now. Sorry.

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Shravan Shah: No. Why I was trying to ask is because now we are preferring Bihar. So, just trying to understand that structurally going forward and once even Rajasthan also comes up, so obviously this will have a much lower profitability versus Northeast . So, in that sense, I was trying to understand how we are looking at the profitability and at the same time the volume growth. And even for volume growth for next year, how one can look at it? Because now, except the 2 million tons , I think everything will be in terms of practically from the volume perspective, would be FY29, they will be contributing. So, in that sense, I wanted to understand how one can look at the volume growth for us for next year also, FY27.

Management: So, I think the volume growth that we expect from next year, because we are still ramping the Siliguri plant. We do not have clinker for 2 -3 years, so we will first slow down the Siliguri plant. So, next year also, I think we expect a 12% growth in volume and as what you said, we are not entering in to the new geography or anything else or any other thing. So, 12% is also a decent growth.

Shravan Shah: Thank you, sir. All the best.

Management: Thank you.

Moderator: Thank you. Our next follow -up question comes from the line of Navin Sahadev from ICICI Securities. Please go ahead.

Navin Sahadev: Thank you for the opportunity, sir. I was just looking at the distance from Lumshnong to the Begusarai grinding location, or Begusarai basically in Bihar. It's a good over 1,050 kms. I just wanted to get a sense that, how are you planning to move clinker capacity by road or till Siliguri by road and thereafter by rail? Do we have any subsidies for freight in that sense or the 300% of the SGST benefit is what we are banking on to be ensuring that this unit dynamics stays for IRR is profitable and in the comfortable zone. Some thoughts around how are we planning to move clinker will be very helpful. Thank you.

Management: So, I think we plan to move around the clinker through filters. We will take the clinker to filters, then through rake we will take it to Begusarai. In Begusarai we are looking for a location which

is close to a railway siding, so that we can have a railway siding come in our plant. So, the entire distance from Lumshnong to Silchar is only 70 kms and rest of the entire distance is going to be covered through

rail. And the benefit of Bihar state policy will probably give us Rs. 400-500 per tonne benefit in terms of the margin. So, I think which we plan to use.

Navin Sahadev: Understood, sir. Very helpful. Thank you so much.

Management: Thank you.

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Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Vaibhav Agarwal for closing comments.

Vaibhav Agarwal: Thank you, Sagar. Sir, Prasad ji just one question and Manoj just one question. So, do you have any one -offs in the Q2 numbers?

Management: Don't expect it because shutdown has been taken this quarter. So, 13 crores to 14 crores is there in the P&L.

Vaibhav Agarwal: No, but was it a one -off or it's a non -recurring maintenance?

Management: The shutdown is normally annual in nature. So, we have taken the shutdown in Q uarter 2 this year. And last year also we took it in Q uarter 2 only. But a big difference between Q uarter 3 and Quarter 2 will be that 14 -15 crores.

Vaibhav Agarwal: So, to that extent, this is not a one -off, right? This is recurring.

Management: Yes, th is is an annual thing. But of course, it does affect the per -ton EBITDA. So, this quarter's per ton EBITDA is down by Rs.100 because there is a shutdown cost involved in Q uarter 2 which will not be in Q uarter 3.

Vaibhav Agarwal: Yes, understood. Thank you, Manoj ji. Thank you, Prasad ji . Thank you on behalf of PhillipCapital , we would like to thank the management for the call and many thanks for joining the call. Thank you very much. Sagar will now conclude the call. Thank you.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes this conference.

Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2026

Date: 11th February, 2026

To,
The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G
Bandra Kurla complex, Bandra -East
Mumbai -400 051

Symbol : STARCEMENT To,
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400 001

Scrip code: 540575

Dear Sir(s) /Madam(s) ,

Sub: Transcript of the Conference call for Unaudited Financial Results for the third quarter and nine months ended 31st December, 2025

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the Transcript of the conference call with Investors and Analysts held on 09th February, 2026 for Unaudited Standalone & Consolidated Financial Results for the third quarter and nine months ended 31st December, 2025 .

The same shall also be available in web site of the Company at

[https://www.starcement.co.in/earnings -call#main](https://www.starcement.co.in/earnings-call#main)

This is for your information and record.

Thanking you,
For Star Cement Limited

Debabrata Thakurta
Company Secretary
(M. No.: F6554)

Encl. as stated.

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"Star Cement Limited Q3 & 9M FY-26 Earnings
Conference Call"

February 09, 2026

MANAGEMENT : MR. TUSHAR BHAJANKA – DEPUTY MANAGING
DIRECTOR , STAR CEMENT LIMITED
MR. MANOJ AGARWAL – CHIEF FINANCE OFFICER ,
STAR CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLI PCAPITAL (INDIA)
PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the earnings call for the Quarter and 9 months ending 31st December 2025 for Star Cement Limited, hosted by PhillipCapital (India) Private Limited.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing * then '0' on your touchtone phone.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you and over to you, sir.

Vaibhav Agarwal: Thank you, Rio. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q3 and 9 months FY26 call of Star Cement Limited.

On the call, we have with us Mr. Tushar Bhajanka – Deputy Managing Director, and Mr. Manoj Agarwal – Chief Finance Officer at Star Cement Limited.

I would like to mention on behalf of Star Cement Limited and its Management that certain statements that may be made or discussed on today's conference call may include forward-looking statements related to future performance and anticipated company developments by its management. Such statements stated on today's call would be based on Star Cement's current management expectations. These statements are subject to a number of risks, uncertainties, and other important factors which may cause the actual developments and results to differ much from the statements made. Star Cement Limited and the management of the company assume no obligation to publicly update or alter these forward-looking statements, whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of Star Cement for their opening remarks which will be followed by an interrupted question and answer session. Thank you and over to you, Tushar.

Management: Hi, good afternoon, all. My name is Tushar Bhajanka and I am the Deputy MD of Star Cement. I welcome you all to the conference call of FY26 Quarter 3. I would like our CFO, Manoj, to give his remarks regarding the numbers and then we can start with the Q&A.

Management: Hi, friends. Very good afternoon. I, on behalf of Star Cement Limited, welcome you all to our con-call for discussing our number for Q3 FY26 and 9 months ended December '25.

Starting from clinker production :

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During the quarter ended December '25, we have produced 8.94 lakh tons of clinker as against 6.42 lakh tons same quarter last year. So far as cement production is concerned, we have produced 12.57 lakh tons this quarter as against 10.82 lakh tons same quarter last year.

Now, I will take you through the sales volume :

During the quarter, we have sold 12.31 lakh tons of cement and 0.65 lakh tons of clinker same quarter and as against 10.61 lakh tons of cement and 0.07 lakh tons of clinker in the same period last year. This is as far as cement and clinker sale is concerned.

As far as geographical distribution is concerned, in North east, we have sold around 9.36 lakh tons as against 8.37 lakh tons during same quarter last year. As far as outside North east is concerned, we have sold 2.95 lakh tons of cement this quarter as against 2.24 lakh tons same quarter last year. In terms of blend mix, it is 18% of OPC and rest is PPC. These are the quantitative numbers of the quarter.

Now, I will take you through the financial :

The total revenue figure this quarter is around 880 crores as against 719 crores same period last year. As far as EBITDA figure is concerned, this quarter we have done an EBITDA excluding of exceptional item of 5.52 crores. It is around 207 crores as against 107 crores last year. That is 74 crores as against 9 crores in the same period last year.

On the per ton EBITDA front, it is 1,600 during this quarter as against 1,000 per ton same quarter last year. This is what our quarterly numbers of the 3rd Quarter. The total revenue figure for the 9 months ended December '25 is around 2,603 crores as against 2,111 crores same period last year. As far as EBITDA figure is concerned, during 9 months ended December '25, we have done an EBITDA of around 631 crores as against 321 crores last year.

Profit after tax is 243 crores as against 46 crores in the same period last year. On per ton EBITDA front, it is 1677 during these 9 months as against 1,005 per ton same period last year. These are our quarterly and 9 months ended numbers.

Now I will request everyone, if you have any questions, then please you can ask the same and I will request Vaibhav to moderate the same whenever required. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Harsh Mittal from Emkay Global Financial Services. Please go ahead.

Harsh Mittal: Congratulations on the good set of numbers. Good evening team. I have two set of questions. The first question is that there is one conflict event happened in the Umarangso district due to a coal mining blast. Do you have any domino effect on our operations? This is my first question.

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Management: I think your question is regarding the Meghalaya mining blast and the situation of illegal coal mining in Meghalaya, right?

Harsh Mittal: Yes.

Management: We have no relation to that incident because our coal is not coming from Meghalaya. It's unfortunate, but we have no information about it.

Harsh Mittal: The second question is that our volume guidance was 5.4 million tons for this year and given that we have a 21% growth in Quarter 3, so can we see any upward revision to this guidance?

Management: We can't hear you clearly. I think we can't understand the question even. So, if it's possible for you to be a bit clearer, then I think it will be easier for us to answer. Just try to repeat the question once. I will try to understand that.

Harsh Mittal: So, my question was that our earlier volume guidance was around 5.4 million tons and given that we have achieved 21% growth in Quarter 3, do we see any upward revision to this guidance?

Management: No, we don't. So, I think we will be trying to do about that or probably 5.3. So, I don't think there is any upward revision on that guidance for Quarter 4. I think we will be broadly growing at about the same pace in Quarter 4 as well.

Harsh Mittal: Sure, sir. There has been inflation in freight costs per tons, which is up 13% YOY and 6% sequentially. So, any specific reason for this? And can we assume this kind of steady-state guidance going ahead?

Management: So, Harsh, because December quarter and March quarter is a natural cycle. There is a slight increase over the second quarter because second quarter is not an oxygen period. So, there is hardly a Rs. 60-70 per ton increase. That is a normal thing. It happens in every quarter if you compare it from the Q2 vis-à-vis Q3 and then Q3 vis-à-vis Q4. That is normal. And there is a certain because the transport disruption was there in the middle, maybe October end and November first week. So, that is why we have to move the material through rakes. So, handling cost has gone up. So, that is why that was one-off the costs. But normal Rs. 60-70 increase was there. This is cyclical in nature. And every quarter, Q2-Q3, it keeps on happening.

Harsh Mittal: So, can we assume 60 Rs. one-off rate cost for this quarter and that to reverse in next quarter? Is it a safe assumption?

Management: Actually, in October, we had a strike. The strike had lasted. It was a strike in Meghalaya which restricted the movement of clinker. So, we had to use rakes to send cli

nker to a vending unit.

That had increased our logistics cost. And that is why you see abnormal hike in our logistics cost

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compared to last quarter or YOY which I don't think you will see from Q4 when you compare Q4 to last year's quarter.

Harsh Mittal: Last question, what will be our depreciation guidance for FY27? If you can help me with that number.

Management: Depreciation will remain the same. 30 crores per month, 90 crores per quarter. That will be more or less the same.

Harsh Mittal: Sir, depreciation I am asking.

Management: I am talking about depreciation only. Depreciation right now is about 30 crores per month for us. And that will remain the same because we are also commissioning Silchar plant this month.

So, I guess the depreciation will start showcasing itself in the next year. So, whatever depreciation should be reduced will be neutralized by the fact that there is another plant coming

up and the depreciation of that plant will also increase.

Harsh Mittal : Thank you, sir. These were my questions.

Management: Thank you.

Moderator: The next question is from Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Good evening, sir. Congratulations on a good set of numbers. I had a couple of questions. I will start with the incentive income that you have booked in this Quarter 3.

Management: So, the incentive income that we booked this quarter is about 33 crores. If you compare this number to last year's same quarter, then last year's same quarter was 43 crores. And if you compare it to Q2 of FY26, then it was about 56 crores. So, our subsidy income has fallen from 43 crores YOY to 33 crores, which is a 28% drop in the subsidy income.

Navin Sahadeo: So, on subsidy, my follow-up question was that at roughly 1.3 million or nearly 13 lakhs of volumes, 12.3 as you said in cement, at this volume run rate, is this a subsidy to continue?

Because you said Silchar is just about to get commissioned, I think you just mentioned a while back. Silchar is about to get commissioned. So, this subsidy amount can go up once the volumes from Silchar start coming up. How should one look at the run rate for the subsidy amount?

Management: I think the run rate for the subsidy that we experienced in Q3 is the result of the reduction in GST from 28% to 18%, which of course then reduces the overall subsidy amount which we were getting. So, that's why there's a drop. And the question regarding Silchar, when Silchar gets commissioned, first it will use the input GST from the project. So, that will take at least 7-8 months to fully utilise. And after we utilise the GST input credit, that's when we will start

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utilising the subsidy. So, we can see the benefit of having Silchar from Quarter 4 onwards next year in terms of subsidy.

Navin Sahadeo: Understood. My second question then was on your realisation. So, net of one size excludes the incentives. The cement realisations for us have seemed to have gone up sequentially by a little under 2%. My question was, because East as a region, I know Northeast, but still 25% of the volumes as I understand, probably we sell it in areas out of Northeast, which is largely the Eastern region. So, if our analysis were correct and other companies also indicated the same that non-trade prices and even trade prices have taken significant hit in the Eastern region, I wanted to understand how did we manage a 2% increase in a tough environment? I mean, congratulations on that, but just wanted to understand how did we manage to get an increase when most of the players are reporting a decline?

Management: I mean the information that I have for Bihar and West Bengal, the YOY, the prices in Bihar have risen a bit for us, but the prices in West Bengal have fallen. So, that is the observation. So,

for

us outside Northeast, which is basically Bengal and Bihar, has been quite neutral YOY, from FY26 Q3 compared to last year Q3. And in Northeast, we have seen an increase in the price of about Rs. 20 compared to last year same quarter. So, I think our weighted average realisation has improved mainly because of Northeast, in East, we have been broadly neutral. If we average out the price increase in Bihar with the price drop in West Bengal, it's basically neutral. So, that is how we can see that there is a 2% increase in realisation.

Navin Sahadeo: Understood. And just to conclude, since our prices or realisations are benefited by the price increase, we could take in Northeast, are those hikes holding firm so far in January, Feb, or there has been a further improvement, any colour will be helpful?

Management: Yes. So, fair enough. So, I think the prices are holding up in at least Northeast from December onwards. So, we do see that the prices are maintained. So, what we exited December month from, the prices have continued to be stable from there. Bihar and West Bengal, I think we have tried to take an attempt of Rs. 10, but that Rs. 10 entirely is not necessarily going to show in the Quarter 4 for Bihar and Bengal.

Navin Sahadeo: No, I understood. But for Northeast, I was only confirming because very recently we also saw Dalmia's big kiln getting commissioned. So, how did that impact on the regional pricing, if at all? Are you seeing or how should one see now, with the major capacity coming up, how should one look at Northeast pricing in general for the next one year or so?

Management: Well, I see the pricing to be stable. I don't think there is any problem because of the increase in supply and the pricing. I do see that the pricing even after Dalmia's kiln has come to operation, has broadly been stable. So, I don't see a price problem for the coming year as well.

Navin Sahadeo: Thank you, sir. I have more questions. I will come back in queue.

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Moderator: Thank you. The next question is from Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Good afternoon.

Moderator: We seem to have lost the line for Mr. Rajesh. We will move to the next question. The next question is from Shivashish Kaushik from IFM Investment Advisors. Please go ahead.

Shivashish Kaushik: My question is, basically, to check with you, what is the composition of non-trade and trade in your total volume? Plus, I also want to know that, what is the non-trade, even there is a marginal hike in the price, whether that has been absorbed properly, and what is the view in February, because there is a lot of noises which is there, that there is going to be Rs.10 to 50 further rise in the price. So, we just want to know your view on that.

Management: So, non-trade in Quarter 3, we had sold 22% of our overall volume. So, this has increased compared to last year's same quarter, which was 19%. So, we have, our overall non-trade mix has increased from 19% to 22% over this one year. Your second question was regarding the price hike.

Shivashish Kaushik: Yes.

Management: I have not heard any news of price hike as of now. I don't think we have any plans of taking a price hike in North East, but to maintain the current prices which have already been increased.

So, I don't think there is a hike happening of Rs.10 to 15 in North-East.

Shivashish Kaushik: Another thing which I want to know is what is the price differential with North or Central, with North-East in terms of per bag?

Management: I can tell you the per bag cost in North East, but I do not know what is the price in Central and West and East, in Central and North because we are not present there. So, the per bag price in North East is about Rs. 453, but you will have to probably verify the prices in North and Central as well.

Shiv

Shivashish Kaushik: Thank you.

Management: Thank you.

Moderator: Thank you. Next question is for Mr. Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Sir, I was alluding to this incident which has happened in North East, as you mentioned in your earlier question. So, overall North East is a dynamic source of coal supply. Do you see this stringent measure now, which would be taken by the government and courts? Any implications on coal availability in North East?

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Management: So, are you talking about coal availability in North East?

Rajesh Ravi: North East coal availability and overall coal prices going up.

Management: Because of what?

Rajesh Ravi: Because of this gradual mining crackdown on the illegal mining.

Management: No, I don't think our coal supply is really linked to the Meghalaya coal illegal coal. So, I don't think there will be a big impact of that. Most of our coal is locked in the form of FSA from Coal India and the others are spot contracts that we take from Coal India and a little bit of biomass.

So, I don't think we are really impacted by that at all.

Rajesh Ravi: Also, what we understand earlier that a good chunk of coal moves out of Meghalaya into India in parts of--.

Management: I am not able to clearly hear your question, so I am not able to answer.

Rajesh Ravi: This is one. And second, also on the freight cost, we see that there has been an upward revision or rationalisation on the upward side on Meghalaya truckers' freight costs. So, what sort of impact this would have on numbers in subsequent quarters?

Management: I don't think the freight cost has really been revised for Meghalaya truckers as such. I don't see that we are having a material impact on the freight cost going forward. I think the reason why the freight had increased in Quarter 3 is mainly because of the strike which had happened in October, due to L1 deviation. And that is why the freight cost in October had increased and that is what you see in the results. But I don't see that you will see a material impact of that going forward in Quarter 4.

Rajesh Ravi: So, what is the reason for this increase in the freight cost?

Management: We really can't hear you. Now you are like fully cracking.

Rajesh Ravi: I will come back in queue.

Moderator: Thank you. The next question is from Kamlesh Bagmar from Lotus Asset Managers. Please go ahead.

Kamlesh Bagmar: Hi Tushar. Thanks for the opportunity. Tushar, can you please highlight or give some insight into the next phase of expansion because we were looking to expand capacities or enter the markets of Central and North markets. So, can you briefly touch upon that?

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Management: Yes. So, thanks for the question. We are actually firm on a plan to enter Rajasthan. We have

cottons mines in Nimbol next to Jodhpur district. And we have been securing land there. And we plan to apply for our EC and get our EC by September, October and then start construction of about 3 million tons of clinker along with 3 million tons of grinding and subsequently put 2 million tons of grinding in Haryana which will be fed by the clinker plant in Nimbol. So, that is our next plan which is to enter Rajasthan.

Kamlesh Bagmar: And a part from that, are we looking into the central region as well or so far sticking only to the North market?

Management: Yes, we are sticking to the North market because we believe that if we focus on one market which is North and it's quite a big market, so I think we will be able to probably position ourselves better in terms of brand and also focus in deeper penetration of the market. So, that is the first phase of expansion in North that we plan which we plan to start executing from Quarter 3 of this year onward, for next year onward. So, end of calendar year basic

lly and then, so that

is the plan and besides this we plan to put up a 2 million tons grinding unit in Bihar, the timeline of which we can discuss in the next call because we are in the phase of acquiring land for that. So, our plan for the next 2-3 years is basically to put up a 5 million tons grinding backed by clinkers in North and about 2 million tons of grinding in Bihar and along with this we have also applied for the EC in Umrangso in Assam for another clinker plant which we again will get from September this year. So, then we can also start laying the foundations and doing the basic civil work for our next clinker plant in Assam.

Kamlesh Bagmar: So, is it fair to assume that by Q3 of FY27 or Q4 of FY26 we would be ready with like say we would be having the orders placed for all these equipment's which we have talked about or the capacities which we have talked about?

Management: Yes, by Q3 of FY27 we will be in a position where we have ordered the machineries and we also started some work on ground in building of the plant. I think machines should be probably in Q2 -Q3 around that time we should be placing orders for machines as well. So, we are now a bit clearer about our plans of Rajasthan.

Kamlesh Bagmar: Great. And lastly what percentage of land we have acquired for Rajasthan and Haryana units?

Management: So, in Rajasthan unit we have broadly done a sale agreement right now and the entire land will be probably transferred to us in the coming month, a month and a half and we have already applied for the EC on the land that we have gotten a sale agreement and for Haryana we have identified the plot that we are looking at and we will start acquiring the land. The land in Haryana is a bit aggregated so I don't think once we have decided to buy the land then I don't think it's going to take much time. So, the EC process is basically running parallel to the land acquisition process and that's how we are progressing and that's how we are sure by September - October this year we will be able to start something on ground.

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Kamlesh Bagmar: And what would be the mode of financing that we would be looking at or like say the equity through the QIP or that source of funding?

Management: So, ideally we'd want to keep our debt to EBITDA ratio to be less than 1.5 X EBITDA and so I think that is what we are targeting and then we will make sure that whenever we are reaching the threshold or before that we will do a QIP to fill in the gap. So, that is something that we will also share in our investor presentation.

Kamlesh Bagmar: Great, thanks for the thanks for answering the question.

Management: Thank you

Moderator: Thank you. The next question is from Uttam Kumar Simal from Axis Securities. Please go ahead.

Uttam Kumar Simal: Good afternoon and congratulations on good set of numbers. How much CAPEX do we have incurred in first 9 months and how much we are going to incur in 4th Quarter and in FY27?

Management: So vitally we have till now incurred about 431 crores of CAPEX and in Quarter 4 we plan to incur about 150 crores of CAPEX.

Uttam Kumar Simal: And in FY27

Management: FY27, we will have to probably plan it a bit and get back because we are still figuring out our plans in Rajasthan so, accordingly we will have to revise the numbers and probably get back to you on that

Uttam Kumar Simal: And with regard to premium cement what was the share of premium cement out of the trade sales during this quarter?

Management: We sold about 17.1% of our trade sales was premium sales. This number has increased from 12% last year, so it has jumped from 12% to 17.1% in that one year.

Uttam Kumar Simal: That should have also helped you in getting more realization because percentage has increased from 13% to 18%.

Management: Yes, 12% to 17%.

Uttam Kumar Simal: So, wh

at is the current status of AAC block , how much revenue we have generated this quarter because it got a commission last quarter ?
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Management: We have sold 61,5000 CBN of AAC , the corresponding revenue is about 25 crores and Quarter 3 we have generated about 13 crores from AAC because still in ramp up . The plant is going to take some time to stabilize and we have utilized the plant at about 45% utilization in the second quarter of its commissioning.

Uttam Kumar Simal: So, what could be the maximum revenue that we can generate from AAC block when it gets into full utilization ?

Management: We can generate a revenue of about 90 to 100 crores if we utilize it fully .

Uttam Kumar Simal: Couple of data points lead distance during the quarter .

Management: So, the lead distance was 212 .

Uttam Kumar Simal: It has come down it was around 220 km last time.

Management: Yes, it was 220 km and now it's come down to 212 , yes.

Uttam Kumar Simal: Fuel mix this quarter ?

Management: Fuel mix was 70.88 % was from FSA and about 15 % was from biomass and another 5 % was from spot .

Uttam Kumar Simal: And per kcal cost was ?

Management: 1.2.

Uttam Kumar Simal: That's all from my side and all the best.

Management: Thank you.

Moderator: Thank you . The next question is from Shravan Shah from Dolat Capital . Please go ahead.

Shravan Shah: Thank you, sir . Just to recheck in terms of the total CAPEX for Bihar Rajasthan and 3 million tons clinker at Umrangso with 2 million tons grinding in Jorhat. The total CAPEX if you can split Bihar , last time you said 500 crores , Rajasthan because now it seems 5 million tons, so last time you said 2,300 or 2,500 crores odd and for Umrangso 3 million tons clinker and 2 million tons grinding at Jorhat what would be the total CAPEX ?

Management: Right now , the plan that we have in mind is to in the next 3 years or 4 years our plan is to put up a Bihar grinding unit , in the next 2 years Nimbol and Haryana plant . Nimbol is in Rajasthan , the clinker plant in Nimbol and a grinding unit in Haryana and sequentially start working on a
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grinding unit , and a clinker plant in Umrangso. So, the overall CAPEX for these four projects is about 4,800 crores .

Shravan Shah: And broadly this all should be commissioning in 1 H FY29 or second half of FY29 ?

Management: I think towards the second half of FY29 or beginning of FY30 , these all plants should be commissioning . Of course, they all will not commission together , some will commission before and probably Umrangso may commission about FY29 .

Shravan Shah: So Umrangso will commission in FY29 and Bihar and Rajasthan . But that also you said it would be in the second half , so almost everything will be in 3 or 6 months everything will be commissioned in FY29 .

Management: FY29 probably , the exact timeline we will be probably putting it in the presentation . So, I think it will just be a bit clearer for everyone . But of course, the grinding units take less time to commission and in Nimbol we are at a decent position , in September to start construction so the Nimbol Rajasthan plant will start sooner than the Umrangso plant .

Shravan Shah: So, the Rajasthan plant is also dependent on the QIP or we will start and as you said once the net debt EBITDA is reaching to 1.5 X and we will then do the QIP of 1,500 odd crores that we have talked last time ?

Management: We are going ahead with the plan irrespective and whenever we do get the right time to do the QIP or any other instrument we will do it . But we are not talking any plan for the country .

Shravan Shah: But broadly if one has to split this 4,800 crores into FY27-28-29, is it fair that FY27 would be a 1,800 odd crores and FY28 would be a 2,000 to 2,500 crores and FY29 would be the balance

that's the way one can look at ?

Management: We will also have to plan it in a piece of paper and then share it . I don't think I can just say like that.

Shravan Shah: Till now in terms of the volume you as you highlighted that in the 4th Quarter also we will see the similar kind of run rate in terms of growth but for FY27 and '28 how one can look at because now all this extra new capacity will be coming in FY29, so ideally the volume should be coming in FY30 in a full way , so how one can look at the volume for at least '27-28?

Management: In the coming year I think the volume growth would be similar to the volume growth that we experienced in FY26 so I don't see FY27 to be very different to FY26 and the volume growth of

'28 will be hard to predict right now .
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Shravan Shah: And obviously as you are saying the prices are kind of stable , so profitability should be similar what we are right now having 1650 to 1700.

Management: Yes, that is broadly maintained.

Shravan Shah: And lastly all put together A AC block and other non -cement revenue , till now in FY26, 9 months how much we would have done and how much would be the EBITDA margin on that and for next year how one can look at that ?

Management: So, from non -cement revenue . Till now it is around 25 crores , we are expecting to be around 45 crores this year and this year because of first year of operation . So maybe we have no profit no loss kind of thing and next year we are hopeful that 20% EBITDA margin should be minimum there fr om that business .

Shravan Shah: And in terms of the revenue , so this year you are saying that tota l...

Management: So, what we expect is that 45 crores this year would be coming from the non -cement business and next year we expect about 100 crores coming from this business .

Shravan Shah: And the current KKL cost 1.2 that should be stable for next one or two quarters I hope we should be having a 2 -3-4 months inventory ?

Management: We have about 2.8 lakh tons of coal so that is good enough for at least 4 mon ths and that is broadly at the same rate as 1.2 so I think it should be fine.

Shravan Shah: On the green side, the 50 MW solar that we are looking at in Assam, so when it is going to start?

Management: The 50 MW that we are looking at Assam, we are still i n discussion. There is some regulatory change and we will consider, now we are thinking of Rajasthan and generation of power in Rajasthan is high so we may decide to put up in Rajasthan so we will have to probably get back to you in the next quarter invest or call on that.

Shravan Shah: Thank you and all the best and congratulations on good set of numbers for this quarter.

Management: Thank you.

Moderator: Thank you. We take the next question from Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Thank you for the opportunity. Just a couple of clarifications. So, in terms of your CAPEX priorities, is it fair to assume that number one will be the Bihar grinding unit followed by a greenfield project in Nimbol and thereafter Umrangso? Is tha t correct sequence?

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Management: So, I mean in terms of priority , it's a good question I also haven't put it like that . But I think in terms of priority I think it really is to move all the four projects that I mentioned together as fast as we can because t hey are at different stages of completion from an EC perspective and from a groundbreaking perspective . But the idea is to definitely do the Bihar project and Nimbol project . The Nimbol Rajasthan project will of course give us a growth in revenue and creat e a diversification platform in terms of the EBITDAs and the revenue and the Bihar project would help us utilize our North east capacities better . So, from that perspective these two things are in p

rriority at the same time , Umrangso is not an easy terrain t o work so we just want to make sure that we start early so that we are able to commission the plant by the time we need the clinker which we expect to be about FY29 . Like they all are equally important and they all have different aspects of business which they are solving for us . Rajasthan is more from a diversification story and Umrangso is more from just making sure that we are able to grow in our home market.

Navin Sahadeo: Great, just again clarification , Nimbol is a 3 million tons clinker unit and 5 mi llion tons grinding unit.

Management: Yes.

Navin Sahadeo: Of this 3 million tons clinker , clinker of course is at Nimbol but a grinding unit will be at Nimbol only 3 million tons and Haryana is 2 million tons which is what we are trying. Is that breakup broadly, correct ? So, for this entire 5 million tons plant what is the broad CAPEX that we have finalized so far and then how should one look at the cost, or you would rather give it at a later stage?

Management: So, I think the cost that we have and that may change and I think the broad cost that we have taken out is about 2 ,400 to 2 ,500 for the clinker plant and the integrated grinding unit along with the grinding unit in Haryana . But that estimate may be a bit prem ature and may have a 10% deviation up or down , so that with that flexibility you can take that number.

Navin Sahadeo: The reason I am asking is because at 2 ,500 ballparks at a 5 million tons that cost comes to more like \$55 for a greenfield project , peers have not really delivered it at such low cost and that's my question. If one could 2 ,500 is a realistic number or it is more closer to 3 ,000 crores is what I

wanted to make a sense.

Management: I feel that this number is realistic because we have just put up a kiln of about that size right now and we were able to put it up in about 1,200 crores. So, even if I take the greenfield cost and even if I take the cost of an integrated grinding unit, I think we should be able to manage in that much but I will again do the working and then probably can give you a further clarification in the next call.

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Navin Sahadeo: Sure, and from a timeline point of view is Q3 this year, I mean let's say by December of '26, we place all the orders, so we should be targeting commissioning you said in 1.5 year thereafter is that what you said? By end of FY28 or early FY29, how should one look at it?

Management: We will start a commissioning by Q3 of the next year which is December around of this calendar year and I think from there it will take about 18 to 22 months. So, if we calculate then that will be basically around September of FY28. So, that is what we are thinking because it will take at least 18 months from when we start the ground building.

Navin Sahadeo: Understood, my last question. So, for this year the volume guidance in the first question that you answered, did you say our volume guidance for this year remains intact at 5.3 million tons for '26?

Management: Yes, I think about 5.3 million tons remains intact and it also has clinker.

Navin Sahadeo: The reason why I asked is because 5.3 will imply flat volume year-on-year in Q4 so that's where I was checking, are we saying that Q4 will see flattish kind of volumes year-on-year or could see some?

Management: I think there is some confusion because the number that we are talking about probably. So, I will have to get some clarity about it because I think they've also included the clinker sales volumes in it. But what I can say about Q4 is that this year we will see a 10% to 12% growth in Q4 as well, YOY so in terms of cement volumes the cement volume will be coming out about 8% to 10% in Q4 as well and the numbers, the right estimate of Q4 in terms of the absolute number for the entire year I will pro

bably be able to write that down in the presentation that we put up online.

Navin Sahadeo: We will certainly look forward to your presentation and thank you for answering all the questions.

Management: Thank you.

Moderator: Thank you. The next question is from Uttam Kumar Srimal from Axis Securities. Please go ahead.

Uttam Kumar Srimal: My question pertains to Silchar unit, since Silchar unit will get commissioned in this quarter. Silchar is basically also nearest to Bangladesh also, so we are also thinking of exporting cement to Bangladesh?

Management: No, right now, we are not considering that because I think the transportation to Bangladesh is a bit tricky. There's no direct road which connects Bangladesh and Silchar side and normally in rainy season barges are used to transport and that is also not very near the rivers. So, we are not right now planning to sell in Bangladesh from Silchar and also Bangladesh has a custom duty

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on cement which is almost like Rs. 2,000 per ton of custom. There's no economic sense of sending cement to Bangladesh anyway.

Uttam Kumar Srimal: And sir what was the capacity utilization of our Siliguri plant this quarter?

Management: This quarter our utilization of HUL is about 60% and I think we will be able to utilize our plant in Q4 at about 70% to 75%.

Uttam Kumar Srimal: That's all from my side. Thank you.

Management: Thank you.

Moderator: Thank you. The next question is from Milind Rag inwar from BOB Capital Markets. Please go ahead.

Milind Rag inwar: Thank you for this opportunity. Just confirming Silchar, GU we are expecting by what would be the timeline for Silchar and Jorhat revised on?

Management: The timeline for Silchar is this month. I think by end of the month we will be commissioning a plant so between 20th to 27th is when we think of commissioning the plant and Jorhat would be, I think we have deferred Jorhat and we have preferred to put in Bihar rather than Jorhat. So, Jorhat may come along with the clinker plant in Umrangso.

Milind Rag inwar: So as of now Jorhat remains replaced by Bihar.

Management: Yes.

Milind Rag inwar: So, there is no GU now in Jorhat, right?

Management: No so there will be a GU which will come along with the Umrangso plant but not right now it

will take about 3.5 years because right now with the Silchar capacity coming up I think we will have sufficient capacity in North east to serve North east market.

Milind Rag inwar: In that case we will have 9.6 long capacity in in North east on the GU side. I mean including GU that is a total cement capacity. Is that in fair assumption?

Management: Yes, it will be 9.7 , 2 in Siliguri and 7.7 in North east.

Milind Rag inwar: Correct and this will be backed by about 6.1 million tons of clinker?

Management: Yes, s o this is broadly clinker backed this capacity.

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Milind Ra ginwar: Then the Bihar GU we will be backing by the existing clinker only or it will only come after the Umrangso plant?

Management: So, we will be putting up the Bihar plant before Umrangso also because it will take lesser time than Umrangso and it will help us out utilize the clinker of the existing units faster and with Umrangso , we will be putting the Jorhat plant.

Milind Rag inwar: So, till that time Bihar will be fed by Meghalaya clinker, i s that a fair assumption?

Management: Yes, and that will also help us utilize it faster.

Milind Rag inwar: That is it from my side. Thank you.

Management: Thank you.

Moderator: Thank you. We have one last question. We take the last question from Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Hi sir. This clinker whatever we are selling 5 %-6% of the total volume. So , this will continue for even next year also?

Management: Yes, I think we do ex

pect that clinker that whatever we sold in Quarter 3 that kind of a volume to be sold every quarter.

Shravan Shah: So currently if I look at 9 months our CC ratio broadly is 1.32 versus normally, we have closer to 1.5 , so it is that by the end of 4th Quarter we will catch up and on the full year basis the broadly 1.5 CC ratio that remains.

Management: I think right now our clinker ratio is about 67.5% which is if I can work in the way it is coming to be about 1.48 only.

Shravan Shah: And in for 3rd Quarter broadly if we have to look at North east versus East for us , in terms of profitability still it would be the East would be Rs. 500-600, that the number which we used to have the similar still is there?

Management: I think the EBITDA per ton that we earn in East is about Rs. 600 to 700 and I think with some price betterment I think it can reach to about Rs. 800.

Shravan Shah: Got it. But post the Rajasthan expansion , so if you can direction difficult to predict right now but still directionally till what level are we comfortable obviously because Rajasthan once if the volume will start the EBITDA per ton definitely will not be as I ike as North east. But roughly are

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we are we looking at kind of a 800 -900 that's the kind of a profitability per ton that we are looking for the Rajasthan ?

Management: Yes, I think our modelling in the steady state expects it to be more than 1,000 because it also depends on how you where you put up your plants and how efficient your plants are. So, our expectation in the long run is about 1,000 and stable low , initially of course EBITDA will be low because we will be ramping up and spending on bran ding as well so the EBITDA per tons in Rajasthan could be lower because of that.

Shravan Shah: And there also we will be having incentive in Rajasthan also.

Management: Yes, we will be having a capital subsidy incentive as per the policy of the Rajasthan g overnment.

Shravan Shah: Which would be roughly on an annual basis of per ton and any broad idea.

Management: That we are happy , it is about 2 3% of the CAPEX as a capital subsidy. As far as GST is concerned it is a capital subsidy.

Shravan Shah: Got it sir . Thank you and all the best.

Management: Thank you.

Moderator: Thank you. We have one last question in queue. It's from Siddharth Mehrotra from Kotak Securities. Please go ahead.

Siddharth Mehrotra: Thanks for the opportunity. Just wanted to sort of get your views on the upcoming capacity expansion in North . So, I was just looking at the numbers. If we add in your 5 MTP expansion as well. I am looking at almost a 50 -55 MTP expansion in just the North region. So, are we sort of going to see a very aggressive supply situation in that geography and if yes how are we going to counter the incumbents already who have a legacy system there. So that's sort of just wanted to get your broad thoughts on that .

Management: So, I think North eastern markets I think over time have basically broadly maintained a decent utilization. I understand that there are 2-3 companies like GSW, Dalmia and other companies which are entering North now and that may lead to excess capacity. But I think the tendency of North has generally had more decadence than other areas in the mainland India. So, I think our strategy is quite simple. We are not entering with a very large capacity. Actually, we have an integrated plant of 3 million and shortly after we commission that we will be commissioning a grinding unit in Haryana. So, the capacity that we enter is not huge. And what we would target to do is to maintain and you have to create a brand like how we have created a brand in North east and we sell higher than any other brand in North east despite being the highest volume player in North east. We would want the same kind of a branding and patience in terms of mar

keting in

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North as well. So that is how we plan to go about and just make sure that we are able to position ourselves through branding and technical services and other things at a good price band compared to our competitors.

Siddharth Mehrotra: Understood sir. So, we definitely will not be compromising our margins just to sell volumes in that geography. If that understanding is correct.

Management: Yes, more important like especially if you are entering a new area, it is more important. I mean it is of course tempting to sell more volumes but it comes at the cost of putting yourself at a lower price band. So, we will have to make sure and have the patience and the willpower to create a brand in the long run. And discounting and selling and just trying to get done with the volume is not the answer to that.

Siddharth Mehrotra: Got it sir. And just one last question if I can squeeze in. So, what is the cost of our limestone in the North eastern region, are they legacy mines, are they newer mines?

Management: So, that I think we have an auction mine. The average premium of the auction mine is about 57%. This is for Nimbol. But we are also looking at legacy mines. So, we are confident that we will probably be able to lock one or two legacy mines. If we do that then of course our cost for the initial 10 years will be 0% auction price because they are legacy mines. So, I think that is what we are trying to do. I think by the next call I will have better clarity and probably we would have locked the mine and then I think I can talk more about it.

Siddharth Mehrotra: Great sir. That would be good to know. Thanks a lot for your time, sir. Best of luck.

Management: Thank you.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference over to Mr. Vaibhav Agarwal from PhilpCapital (India) Private Limited for closing comments.

Vaibhav Agarwal: Thank you, Tushar. I just had a couple of questions. So, first thing, were there any one-offs in the cost apart from the rate in the Q3? Sir, were there any one-offs in the cost items in Q3 apart from...

Management: 5 Cr donation is there. There is a one-off cost is there.

Vaibhav Agarwal: And this donation is to any political party or like what?

Management: Yes, it's a political donation.

Vaibhav Agarwal: And apart from that there is no other one-off, right?

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Management: No.

Vaibhav Agarwal: And sir, second thing was I just wanted to know that Tusharji mentioned on the call about Rs. 1,000 steady state EBITDA guidance in North operations. So Tusharji when I met you, we had discussed that you had kind of highlighted that 1,300 to 1,500 would be your sustainable EBITDA even after your expansions. So that is your forecast then. So, this Rs. 1,000 you are mentioning as on date or you are mentioning as once you enter? I was slightly confused over that. So, I wanted to clarify that.

Management: So, the question that am I expecting 1,300 or 1,000 in the long run?

Vaibhav Agarwal: Yes.

Management: I mean it really depends like I think the question which was asked earlier if you are operating equity mines versus option mines. So, I think the answer just really depends on all those things. I think in the next call we will be in a better position to answer. I mean ideally in the steady state; all the cement companies should be earning 1,200 given the investment that we make. But for our case depending on the legacy mine we will be able to better explain what we are expecting in the next call.

Vaibhav Agarwal: So just want to clarify. So, your earlier guidance which when I interviewed you and which you gave of 1,300 to 1,500 EBITDA per ton on a sustainable basis for Star Cement as a whole that

holds on right? That is your expe

ctation as of now. I just wanted to confirm that.

Management: I mean if you are talking about Rajasthan or are you talking about North India?

Vaibhav Agarwal: Overall, I am saying Star Cement as a whole. So, the question was asked to you was what was the dilution you were expecting by profitability once you entered in new markets. And that time you answered that 1,300 to 1,500 EBITDA.

Management: I think going in the future I think we do expect like 1,300 to 1,400 to be the range for Star Cement. Essentially for North, I thought you were asking specifically for North.

Vaibhav Agarwal: No, so I was asking after the North, so if you are saying North is Rs. 1000 to Rs. 1,100 EBITDA per ton, so broadly your guidance of 1,300 to 1,500 holds on or that is kind of tapered down?

Management: I think it is (Inaudible) (1.04.14)

Vaibhav Agarwal: That is what my question was. Thanks a lot Tushar and on behalf of PhillipCapital (India) Private Limited. I would like to thank the management for the call and also the participants for joining the call. Thank you very much sir. You may now conclude the call. Thank you.

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Management: Thank you.

Moderator: Thank you very much. With that we conclude today's conference. Thank you for joining us ladies and gentlemen, you may now disconnect your lines.

Call: Jun 2026

Date: 27th May , 2026

To,
The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G
Bandra Kurla complex, Bandra -East
Mumbai -400 051

Symbol : STARCEMENT To,
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400 001

Scrip code: 540575

Dear Sir(s) /Madam(s) ,

Sub: Transcript of the Conference call for Audited Financial Results for the fourth quarter and year ended 31st March, 2026

In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we forward herewith the Transcript of the conference call with Investors and Analysts held on 26th May, 2026 for Audited Standalone & Consolidated Financial Results for the fourth quarter and year ended 31st March, 2026 .

The same shall also be available in web site of the Company at
<https://www.starcement.co.in/earnings-call#main>
This is for your information and record.

Thanking you,
For Star Cement Limited

Debabrata Thakurta
Company Secretary
(M. No.: F6554)

Encl. as stated.

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“Star Cement Limited
Quarter and Year Ended 31st March 2026 Earnings
Conference Call ”
May 26, 2026

MANAGEMENT : MR. TUSHAR BHAJANKA – MANAGING DIRECTOR
– STAR CEMENT LIMITED
MR. MANOJ AGARWAL – CHIEF FINANCIAL OFFICER
– STAR CEMENT LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

Star Cement Limited
May 26, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call for the Quarter and Year Ended 31st March 2026 of Star Cement hosted by Phillip Capital India Private Limited.

As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Vaibhav Agarwal from Phillip Capital India Private Limited for opening remarks.

Thank you, and over to you.

Vaibhav Agarwal : Yes. Thank you, Ryan, and good evening, everyone. Sincere apologies for the delay due to some connection issues. On behalf of Phillip Capital India Private Limited, we welcome you to the Q4 and FY '26 call of Star Cement Limited. On the call, we have with us Mr. Tushar Bhajanka, Managing Director; and Mr. Manoj Agarwal, Chief Financial Officer at Star Cement Limited.

I would like to mention on behalf of Star Cement Limited and its management that certain statements that may be made or discussed on today's conference call may be forward-looking statements related to future business developments and anticipated company outcomes by its management. Such statements stated on today's call would be based on Star Cement's current management expectations, and these statements are subject to a number of risks, uncertainties and other important factors, which may cause the actual developments and results to differ materially from the statements made. Star Cement Limited and the management of the company assumes no obligation to publicly update or alter these forward-looking statements, whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of Star Cement for the opening remarks, which will be followed by interactive Q&A. Thank you, and over to you.

Tushar Bhajanka : Hi, good afternoon, everyone. My name is Tushar Bhajanka, and I'm the MD of Star Cement. I welcome you all to the conference call of FY '26 quarter 4. I would like our CFO, Mr. Manoj Agarwal, to give his remarks regarding the numbers, and then we can start with the Q&A.

Manoj Agarwal : Yes. Thank you. Hi, friends. Very good afternoon. I, on behalf of Star Cement Limited, welcome you to our con call for discussing our number of Q4 ending FY '26 and for the financial year '26-'27.

Now I will just take you through the Q4 numbers followed by the financial year numbers.

Starting from clinker production, during the quarter ended March 2026, we have produced 11.59 lakh tons of clinker as against 11.38 lakh tons same quarter last year. So far as cement production is concerned, we have produced 16.45 lakh tons this quarter as against 14.79 lakh tons same quarter last year.

Now I will take you through sales volume. During the quarter, we have sold 16.18 lakh tons of cement and 1.15 lakh ton of clinker as against 14.75 lakh tons of cement and 0.57 lakh tons of clinker in same period last year. This is as far as cement and clinker sale is concerned.

As far as geographical distribution of cement is concerned, in Northeast, we have sold around 11.27 lakh tons as against 11.02 lakh tons during same quarter last year. And as far as outside Star Cement Limited

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Northeast sale is concerned, we have sold 4.91 lakh tons of cement this quarter as against 3.74 lakh tons same quarter last year. In terms of blend mix, it is 18% of OPC and rest is PPC. These are the quantitative numbers of the quarter.

Now I will take you through to the financials. The total revenue figure for this quarter is around INR1,174 crores as against INR1,052 crores same period last

year. As far as EBITDA figure is

concerned, this quarter, we have done an EBITDA excluding exceptional item, it is around INR324 crores as against INR268 crores last year.

Profit after tax is INR147 crores as against INR123 crores in the same period last year. On per ton EBITDA front, it is INR1,871 during this quarter as against INR1,748 per ton same quarter last year. This is what our quarterly number of fourth quarter.

The total revenue figure for full year is around INR3,776 crores as against INR3,163 crores in last year FY '25. As far as EBITDA figure is concerned, during FY '26, we have done an EBITDA excluding exceptional items of around INR955 crores as against INR589 crores last

year. Full year profit after tax is INR390 crores as against INR169 crores last year. On per ton EBITDA front, it is INR1,738 during FY '26 as against INR1,245 per ton in FY '25. These are the quarterly and full -time numbers.

Now I request all of you if you have any query, you can ask the same, and I will request Vaibhav to moderate the same wherever required. Thank you. Vaibhav, now it's over to you.

Moderator: Thank you. We take the first question from the line of Harsh Mittal from Emkay Global Financial Services. Please go ahead.

Harsh Mittal : So, I have multiple questions today. And firstly, congratulations on a great set of results. The first question is on the volumes for FY '26, [inaudible 0:06:03] upper end of 5.5 million tons.

Any guidance [inaudible 0:06:09].

Moderator: Harsh, I'm sorry to interrupt you, but your audio is not clear. Could you please use your handset?

Harsh, I would request you to please join back the queue once your audio is clear.

Harsh Mittal : Hello, am I audible now?

Moderator: Yes. Now, you are.

Harsh Mittal : So, congratulations to the team for a great set of results. I have multiple questions today. My first question is on the volumes. So, we have achieved the upper end of the guidance, which we have given last year of 5.5 million tons in FY '26. Any fresh guidance for -- any new guidance for FY '27, sir?

Tushar Bhajanka : What we are looking for in the coming year is about 10% to 12% growth. So, I think that is what we are expecting. Yes, so I think it should be -- the volume that we did, which is about 5.3 million and 10% to 12% growth on that.

Harsh Mittal : And how is the current demand scenario in April and in May? Is it supportive of the run rate? I know it's too early, but how is the current scenario, sir?

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Tushar Bhajanka : So, the current scenario right now, because of April, there was elections in April and May in Assam and also West Bengal. So, I think the demand was a bit sluggish because of that. I think we do see a pickup in May. April was a bit sluggish. So, it's -- like what you said, I think it's too soon to probably predict how the year would go. And it really depends on how June also goes, right? So, I think we'll probably be able to give a better estimate of how the overall numbers will turn up in the next quarter once we've seen 4, 5 months, I guess.

Harsh Mittal : Sure, sir. Sir, my second question is on the incentives. So, we did see certain reduction in the incentive for quarter 3 and quarter 4, given the cut in the GST rates. Can we extrapolate the quarter 4 incentive accrual for full year FY 27?

Tushar Bhajanka : So, I think the overall subsidies in FY 27 would reduce by about INR40 crores to INR50 crores quarter compared to FY 26. So, I think on an absolute level, that's what we can expect. And then it will, of course, have its own per ton EBITDA impact on profitability.

Harsh Mittal : So, in absolute numbers, can we say around INR160 crores to INR 170 crores in FY 27?

Manoj Agarwal : So current year, we have done INR184 crores of subsidy. So what Tushar ji is saying INR40 crores to INR50 crores, somewhere in the INR145 crores to INR150 crores

es sort of thing you can estimate for the coming year.

Harsh Mittal : INR140 crores to INR150 crores, am I right?

Manoj Agarwal : Yes.

Harsh Mittal : Also, sir, are we sticking to our capex guidance of INR500 crores to INR 600 crores in FY27 and INR1,000 crores in FY28 or is there any upside risk to this given that we want to commission?

Tushar Bhajanka : Yes. So, I think right now, what we're doing is that we are -- we have applied for our ECs and all the permissions and we are acquiring land right now in Nimbol in Haryana for a grinding unit and also in Bihar for a grinding unit. So, I think in October around, we should be complete -- we should be able to complete our approvals as well as the land acquisition in these three places. And then we will start our capex. So, I think the estimate for FY 27 will be about INR600 crores to INR700 crores given we follow these timelines.

Harsh Mittal : And in FY28, sir?

Tushar Bhajanka : In FY28, I think the estimate would be about INR 1,500 crores.

Harsh Mittal : INR1,500 crores. Right. Okay. Sir, last question before I fall back in the queue. We have seen an increase of INR240 crores odd in the noncurrent investments. So, what could that number be?

Manoj Agarwal : Yes. Harsh, that was because the bond. This is a liquid asset sale. But as per the IndAS, we have to show it as a noncurrent asset. But these are all the liquid assets less than 1 year -- realizable less than 1 year.

Harsh Mittal: Okay. Got it. Thank you. I will fall back in the queue.

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Moderator: Thank you. We take the next question from the line of Hardik Goyal from Union Mutual Fund. Please go ahead.

Hardik Goyal: Hi, sir thanks for this opportunity and congrats on good set of results. Sir, a couple of questions. So firstly.

Moderator: Hardik, I'm sorry to interrupt you there.

Hardik Goyal: Hello, it is better now? Hello?

Moderator: Yes, Hardik. Please go ahead.

Hardik Goyal: Yes. So, sir, on the cost front, we have seen that there is an industry-wide impact of increasing fuel costs. But how immune are we to the increasing fuel cost due to our agreement of coal purchase with Coal India and less dependency on pet coke and other prices?

Tushar Bhajanka : So, I think right now in quarter 1, we would see an increase in the fuel cost. I think that is mainly because not -- I think it's both I think the cost increase in the fuel and also the shortage because all the rakes right now from the railways has been diverted to the power plants thermal plants. So, I think the availability of coal is in short supply and I think that is leading to the increase in the price of coal as well.

So, I think there would be an impact of, I think, about INR 0.10 to INR 0.15 per GCV cost in coal. I think that should be a short-term increase. I don't think it should be a long-term structural increase, but there will be increase because of all the rakes being diverted and then we have to arrange coal from elsewhere and then that increases the cost. But that should be probably quarter 1, quarter 2, and then I think it should again come back to where it was in quarter 3, quarter 4 onwards.

Hardik Goyal: Also, sir, on your expansion end, what is the priority right now in the Bihar, Nimbol and Haryana? And for the Bihar unit, what is our expected timeline and will we source the clinker from the Meghalaya unit only for the Bihar plant?

Tushar Bhajanka : Yes. So, I think our timeline for the Bihar plant is roughly about 2 years from now. This includes the land acquisition and then putting up the Greenfield. The clinker would be going from Meghalaya itself. What we are planning to do is that we have a Silchar unit, which also has a railway siding, which is about 67 kilometres away from our clinker plant. We will send the clinker to the Silchar railway siding and we'll load our clinker from there and we'll

send it to

Bihar. So that's how we have planned the entire logistics around it. And initially, definitely till time we don't have any opportunity of putting up a clinker plant in East, Bihar grinding units will be served from Meghalaya.

Hardik Goyal: Thank you.

Tushar Bhajanka : Okay.

Moderator: Thank you. We take the next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

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Shravan Shah : Hi, sir. A couple of questions, sir. When we say 10% to 12% volume growth, so this is on pure cement we are talking and not including the clinker?

Tushar Bhajanka : Yes. The estimate that I was suggesting of 10% to 12% was mainly on cement. It did not include the sales of clinkers.

Shravan Shah : So, clinker sale broadly would be the similar 3.5 lakh that we have done in FY26. So similar run rate will continue?

Tushar Bhajanka : So, I don't have necessarily a good estimate of that. Probably it should be similar numbers, but it should be quite flattish. I don't think we'll see a growth in the sale of clinker. What we are now focusing on is basically sale of cement only. And we're just trying to make sure that we realize a better rate from clinker. So rather than on the volume of clinker, I think what we're trying to optimize is on the realization that we're getting by selling clinker.

Shravan Shah : Okay. 3 data points are trade share, CC ratio, lead distance and KKL cost for fourth quarter?

Tushar Bhajanka : Okay. So, trade share is about 78%. Last year, same quarter, it was 81%. So, there was a growth in non-trade as compared to trade relatively. Then I think the second thing you had asked for was the lead distance, right?

So, which has reduced from 229 last year to right now about 220, that has reduced by about 9 kilometers. The third thing you had asked for a KKL cost, right, which is about INR 1.24 per GCV. And what was the fourth thing that you had asked?

Shravan Shah : CC ratio for fourth quarter.

Tushar Bhajanka : Okay. CC ratio for the fourth quarter is about 66.2%.

Shravan Shah : Okay. So -- and another just to clarify. So broadly now the 3 upcoming plants, the Rajasthan

one, Nimbol; and the Bihar one and Umrangso. So, we were looking at close to 6-million -ton clinker, 9-million -ton cement. So -- and INR4,800 crores overall capex and this broadly will be starting by H2 FY29 to start of FY30.

So -- and just in the previous answer, you said that the Bihar grinding, which would be, I think, 2 million ton would be coming 2 years from now. So, shall it mean by FY28 or maybe Q1, Q2 FY29?

Tushar Bhajanka : Yes. So, I think it means like first quarter of FY29 or second quarter of FY29, right? So around that time, we should be getting the Bihar grinding unit. And we have -- what we have done is that we prioritized Nimbol, Haryana and Bihar. And then we have also, of course, applied for permissions and everything in Umrangso and in Jorhat.

And that capex will start a bit later than this capex. And in the next 4 to 5 years, I think we plan to do all these 5 capexes, which includes Nimbol clinker plant. It includes Umrangso clinker plant in Assam. It includes a grinding unit in Jorhat. It includes a grinding unit in Bihar and it includes a grinding unit in Haryana.

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Shravan Shah : Yes. So, for Rajasthan particularly, so broader -- whatever we discussed last time, the 3-million -ton clinker and 5 million ton, both including the split grinding and the INR2,400 crores, INR2,500 crores capex plus 10% variation.

And so that number remains intact. And broadly, we are looking at kind of a start by September '28. So similar kind of a 1H '29, the same way Bihar. So, both would be coming together. That's the way we are looking at it?

Tushar Bhajanka : Yes. I mean that's the target, but it just depends on when we get all the approvals.

So, what we

are expecting is that we should be able to get all the approvals by October, and we should hit the ground. But if there's any delay by a month or 2 on the start date of the capex, then I think in the next con call, I'll inform.

Shravan Shah : Okay. So broadly...

Moderator : Shravan, I will request you please join back the queue for follow-up questions. Thank you. We take the next question from the line of Jainam Shah, an Individual Investor. Please go ahead.

Jainam Shah : Hi, sir. Thank you so much for this opportunity. I just wanted to ask that previously; we had maintained around 4 to 5 years that it would take for a new competition to enter. But what we see is that Shree Cement, Ambuja all have come up with plans to enter into Northeast region. So, do we still stand by that timeline?

Tushar Bhajanka : I think broadly, it should take about 3 to 4 years for someone to enter. I think that is still what's the assumption I have in mind. And I think we'll just have to see in the coming quarters how things change if they do. But right now, I think that is the estimate that I have in my mind.

Jainam Shah : Okay. But so -- because we have, to some extent, extended our timelines for the projects that we had. So do you think that with all the things that are going on currently, companies would prefer entering into new regions where the pricing is better, EBITDA per ton is better. So, do you think that is a risk now for new companies, mainland players to enter into the Northeast region?

Tushar Bhajanka : Sorry, can you repeat that question?

Jainam Shah : So what I was saying is that with all the West Asia disruptions that are happening right now, and we still provide better EBITDA per ton in the market, do you think that people -- sorry, the companies will try to fast track their expansion into different regions, for example, Northeast?

Tushar Bhajanka : See, like I mean, they would just go with the pace which is practical on ground and they would try to do their best. I don't think the West Asia crisis really pushes them to come to Northeast.

And I think irrespective, the margin was good for them to try to come to Northeast. And yes, I think the Northeast as a market overall compared to the market that they are serving is relatively small. So, I don't think that the overall numbers will change by entering Northeast that way.

Jainam Shah: Correct. And sir, the other question that I had is that we are planning to enter into North. So, at what point do we start marketing our product because we are -- we would be quite a new brand

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there. So, what would be the timeline for that? When do we add more dealers for that particular region?

Tushar Bhajanka : I think we will start like creating brand awareness. I think at least about like 8, 9 months before we actually start the commercial production, right? I think any branding that we do before that may be a bit premature.

Jainam Shah: Understood. Thank you so much. Best of luck.

Tushar Bhajanka : Thank you.

Moderator: Thank you. We take the next question from the line of Amit Gupta from ICICI Securities. Please go ahead.

Amit Gupta : Good evening, sir. Am I audible?

Tushar Bhajanka : Yes.

Amit Gupta : Sir, my first question is, what is our premium cement share for this quarter?

Tushar Bhajanka : The premium cement share for this quarter was 15.1%.

Amit Gupta : Okay. And second question is, how has been the pricing trend in April and May as compared to the March exit? Has it improved, flat, or what has been the trend basically ?

Tushar Bhajanka : I mean in Northeast, it has improved slightly. In outside also, I think there is INR10 improvement, which has happened. But yes, I think that's what has happened. Outside, I mean, basically West Bengal and Bihar.

Amit Gupta : Okay. So, in Northeast and outside also INR10 per bag has been the increase.

e.

Tushar Bhajanka : North east, I think it may be about INR6 to INR7. Outside Northeast was about INR10.

Amit Gupta : Okay. Thanks. These were my questions.

Moderator: Thank you. We take the next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Yes. Sir, just again clarifying on the capex front. So, can you clarify the capex ? Right now, we are envisaging for Rajasthan, Bihar and Umrangso individually. And in terms of if we are planning to start by 1H FY29, how we will be individually and total would be spending in FY27 - '28?

Tushar Bhajanka : So, I don't have the individual breakup of the capexes per project by year. What I can do is that in the investor presentation, I can attach a slide. And probably there -- I think you'll probably have a more comprehensive view of the different capexes of different projects by year. I think that chart we can give in like a week's time, and we can post it online.

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Shravan Shah : Yes. Got it. And second, Manoj sir, the cash as per you because of the non-current investment has increased. So, what's the cash as per you ? Gross debt, we have as per the balance sheet.

Manoj Agarwal : If you are talking about total, INR583 crores is the gross debt -- total debt is there. And the net debt is INR200 crores. So, there is INR383 -odd crores that we have cash, in the form of bond or mutual fund, it is -- or fixed deposits with the banks.

Shravan Shah : So, it is exact INR300 -odd crores or some... ?

Manoj Agarwal : INR383 -odd crores.

Shravan Shah : INR383 crores is cash and cash equivalents.

Manoj Agarwal : Yes, cash. Liquid, you can say the liquid assets.

Shravan Shah : Yes, I got that thing. Second, sir, you mentioned that in Q1 and Q2, whatever the rake shortage and some increase, so we are looking at INR0.10, INR0.15 increase in the fuel cost. So, this will be till 2Q also or only just July, August and then it will be coming back to a normalized level?

Manoj Agarwal : No. Tusharji already told because this is all -- because now we are whatever facing, that auction prices have gone up. Now the rake availability is also an issue due to the scarcity in the power because they are supplying to the power plant. So how much impact will be there, we are just estimating that it will be INR0.15, INR0.20. But how the thing moves -- now the fuel prices have also -- diesel prices have gone up. So, it is very difficult to predict right now what will be the impact -- overall impact. We are just -- we can estimate that currently it is INR0.15 to INR0.20. How the thing will move, it is difficult to tell right now.

Shravan Shah : Okay. Got it. And then broadly in terms of EBITDA per ton, what we are normally looking INR1,600 -odd to INR1,800 -odd, that we will be able to maintain till the time the Rajasthan will come and then still we will be able to still have about INR1,300, INR1,400 kind of EBITDA per ton?

Tushar Bhajanka : I think in this -- I think for the next 2, 3 years till when we get the Rajasthan project, I think the EBITDA is -- because it is only in Northeast sales, the EBITDA should be between INR1,500 to INR1,700, right, at least. And once we get the Rajasthan, of course, for the first 1 year, because we'll be absorbing fixed costs and because we'll be ramping up our sales, the EBITDA per ton may fall. But I think in the long run, we should be able to maintain it at about INR1,300, INR1,400 blended. That is what we see. And of course, the absolute will be much more because the volume sales will be -- the overall volume growth will be much more in Rajasthan.

Shravan Shah : Got it. Got it. And sir, can you share the fuel mix for this FSA, AFR, biomass, spot and other contracts?

Tushar Bhajanka : Yes. For FSA, this quarter, it is 78.5% and biomass is 21.5%.

Shravan Shah : Okay. Okay. And the spot would be of 3%?

Manoj Agarwal

: Spot, this quarter, we have not done any season in spot.
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Shravan Shah : Okay. Okay. And sir, now in terms of the green share, how we want to increase the green share? And what's the current green share. So, whatever, because Q2 presentation, after that, there is no presentation. So, 24.3-megawatt WHRS and 51-megawatt CPP and that's the, right now we have. How we want to increase WHR solar and in terms of the green share and what's the current green share?

Manoj Agarwal : So current green share last quarter, it is around 33.8%, okay, because WHR has generated more power than compared to the last quarter as well as last year. So it is, this quarter, it was around 33.8%.

Shravan Shah : Okay. So how we want to look at for the full year FY 27 this going up?

Manoj Agarwal : Maybe you can consider, because both kilns are running, so it may be, consider 30% somewhere 32%, 33%, whatever level we are seeing.

Shravan Shah : Okay.

Tushar Bhajanka : Because actually, what we have done is that we have not necessarily right now invested in any other sources of green energy like wind and solar, though we had planned to, but we have not because I think the rates in IEX for solar hours anyway are falling, right? So, I don't think it makes more sense to kind of invest in noncore activities at the moment. And probably we are trying to have a group captive power agreement. I think in case we do end up signing one, which should be in this quarter, then we will inform you in the next quarter.

Shravan Shah : Yes. And AAC block and other non-cement revenue for this quarter and for full year FY 26 and how we want to look at FY 27? And maybe the margin also, if you can specify?

Manoj Agarwal : This quarter, we have done around INR 17 crores. INR 17 crores of this quarter in AAC block and whole year, it is around INR 43 crores. And this year.

Tushar Bhajanka : We are targeting about INR 150 crores. This includes AAC, RMC and allied products. And I think the margin that we're looking at is about 7% to 8% to start with. And then gradually, we'd like to expand on the margin. Right now, we're trying to create the market first.

Shravan Shah : Okay. Got it. And the QIP for Rajasthan that we will be, the last time you said once the net debt to EBITDA will be reaching 1.5, we'll go for a QIP?

Tushar Bhajanka : Yes. I think that decision we still not have taken at the Board level. We have, of course, taken the permission for raising money in the Board. I think in quarter 3, we did that. But we haven't planned it also because the markets were, of course, a bit weak as well, right? So, I think whenever we do, we'll inform in advance and then, of course, we'll do it.

Shravan Shah : Okay got it thank you.

Moderator: Thank you. We take the next question from the line of Iqbal Singh from IFM Global. Please go ahead.

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Iqbal Singh : Hi sir. Good afternoon. I just wanted to know like for your Rajasthan unit, which you are planning to, I think from the conversations that I've heard to start from FY28, FY 29. So, when are you planning to break even on that capex and the operational costs? When will you break even on those capex sir? This is the first question.

And the second one is like regarding your realizations per ton, are you foreseeing some kind of improvement going forward with the unit that will be set up in Gujarat? Because I believe that in Gujarat and Western area, the realization might be a little higher in case you get a plant day rate that time?

Tushar Bhajanka : So, we are not thinking of Gujarat, actually. I was saying Jorhat, not Gujarat actually. Jorhat is a place in Assam.

Iqbal Singh : Right. Jorhat in Assam, yes. So just these 2 questions. The breakeven on the capex in Rajasthan unit and the realizations, scope of increase in realizations per ton?

Tushar Bhajanka : I think you see a breakeven from an operating cost perspective or from an investment perspective, that is one thing which needs to be clarified. But I think what we plan to do is that in 3.5 to 4 years' time, we want to run at 80%, 90% capacity utilization, right? And we would want to, of course, price our product in a way which is at a premium, right? So, what we'd want is that the highest price seller, we would want to peg it at INR 5 to INR 10 lower than that. That's where we do want to observe it.

So I think what we'll have to do in the first initial few years is invest in the brand, right, and create a kind of pull, which is a bit more natural than push, right, and then maintain a price and take a 4, 4.5, 3.5 year horizon to take the capacity to 80% to 85%, right? And what we will also

want to do is that we will, yes, I think because the capacity that we're initially launching is about 5 million compared to the size of the market, this is not, it is manageable, right? So, what we'd like to do is create a dense distribution, focus on branding and push for sales, breakeven automatically will happen.

Iqbal Singh : Okay. And the capacity for this unit will be how much, sir, for the Jorhat unit and Rajasthan unit?

Tushar Bhajanka : Capacity for the Jorhat unit and Rajasthan unit. So, the capacity for the clinker plant will be about 3.3 million tons in Rajasthan, along with like a 2 million to 2.5-million-ton grinding.

Another grinding, which will be supported by the clinker here from Rajasthan will be in Haryana, which will be another 2 million to 2.5 million tons. So that will be a 5-million-ton setup in North and Jorhat will be coming around the same time as Umrangso and that will be basically about 2 million tons.

Manoj Agarwal : 2 million tons of clinker, clinker unit ...

Tushar Bhajanka : Grinding. Jorhat has no limestone. It will be only grinding. Umrangso is like clinker -- Umrangso is limestone. So, you can produce clinker in Umrangso.

Manoj Agarwal : Okay, sir. Thank you.

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Moderator: Thank you. We take the next question from the line of Harsh Mittal from Emkay Global Financial Services. Please go ahead.

Harsh Mittal : Sir, I wanted to understand the CC ratio for FY '26.

Tushar Bhajanka : It's about 66.6%.

Harsh Mittal : For the full year, sir -- full year FY '26.

Tushar Bhajanka : I don't have the data for full year, but I have it for quarter 3 as well, it was 67.5%. I'm assuming that the clinker factor would be between 66.6% to 67.5%, I think, for the full year. But I will -- I think you can get in touch with us and I'll give you the full year data as well.

Harsh Mittal : Sure. Sir, the second question is once we commission the Bihar grinding unit at Begusarai, we'll be -- as you alluded to the fact that you'll be shipping the clinker from the Meghalaya plant to Bihar. So, what would be the incremental freight cost that would be bearing on that? And correspondingly, the incentives what we wanted to accrue from the Bihar grinding unit, will it kind of offset that incremental cost is what I wanted to understand?

Tushar Bhajanka : Yes. So right now, we are still catering Bihar market. We cater in the east side of it, right? And what we do is that we serve it from Siliguri. So I think like the freight, you cannot only look at the clinker freight and how much incremental clinker freight that you'll be paying, but it also has to be looked at from the cement freight, right, and how much of the cement freight we'll be able to save and the freight that we pay on fly ash, right?

So, I think it's a bit more complex than just the incremental freight that we will be paying and if it gets offset by the incremental subsidies, right? So, I think -- so -- but yes, we have applied for our subsidies in Bihar. We should be getting the FCSC benefit, and we have

applied for it under the policy.

And I think the benefit is up to about 150% to 200% of the investment that one makes. I think once we do get the confirmation of the benefit from the Bihar government, we will be sharing it with you in the next call. And I think with the subsidies and with optimized clinker transportation and fly ash sourcing, I think it can be a model, which, of course, will not give you EBITDA of INR1,300, INR1,400. So, it will help you utilize your capacity while also leading to entering new markets and creating your geographical footprint.

Harsh Mittal Sure, sir. Thank you, sir. These are my questions. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital India Private Limited for closing comments.

Vaibhav Agarwal : I believe there are no further questions from participants. Tushar, I had a few questions. Firstly, on the war impact, the West Asia war crisis. So, most of the companies that have been in India, what they have been talking about is our kind of a INR 400 overall impact in terms of operating cost in the -- by end of H1 FY '27.

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But as far as Star Cement is concerned, I believe the impact will be limited to packing cost, the diesel cost and maybe the fuel cost may not be equally impacted because of our less dependence on imported fuel. And also, we are safeguarded from the rupee depreciation. So, from that perspective, what is your estimate of the broader cost impact, which could be there in H1 for

Star Cement per se in terms of [inaudible 0:39:47].

Tushar Bhajanka : I think there could be about INR250 to INR 300 impact, I think mainly because of the packing bags and the fuel cost because for us, of course, we do not depend on imported fuel, coal or pet coke, but we do depend on -- our SSAs being supplied on time. And right now, because of the rig shortages, the SSAs are not available, and that is creating a crisis in terms of fuel sourcing. So, I think because of that, we have to go for higher rates of sources. And I think that is what is leading to a cost impact. So, I think it should be a IN R250 to INR 300 impact. So, I think there have been a few, I think, about INR 7 increase in Northeast, about INR 10 increase in North Bengal basically to kind of partially -- not fully but partially nullify the impact which is coming in terms of the cost.

Vaibhav Agarwal : So, is it fair to say that we are kind of INR100 better off versus the mainland peers in terms of cost escalation, maybe INR50 to INR 100 better off because of our less dependent on imports?

Tushar Bhajanka : Yes, so I think it really depends because I don't know if other people have forecasted a further increase in the fuel prices or not -- sorry, in the diesel prices or not. But it really depends on those assumptions and how the diesel prices behave because I think Northeast is also quite heavily dependent on the fuel price and the PTPK in Northeast is a bit higher because of the heavy terrain, right?

So, the fuel cost equally impacts us as well. So, I think it really depends on how much does the diesel prices go up further. And of course, if there's a significant increase in the diesel prices, then that will have to be absorbed some by the market as well.

Vaibhav Agarwal : Okay. And Tushar, you just mentioned that we have partially passed on the cost impact. So is it fair to say that Q1, we are kind of EBITDA dilutive on the cost -- because of the cost inflation.

It's not neutralized yet ...

Tushar Bhajanka : Yes. I think the Q1, there will be definitely a pressure of the EBITDA, right, on the EBITDA because of the cost. I think by -- as we're going, I think April was quite heavy on the cost. I think May is turning out to be a bit better. So, I think by June, I think it should normalize, but

there

will be a decent impact of whatever is going on, on the EBITDA per ton as well and overall EBITDA as well.

Vaibhav Agarwal: But you stick on to the guidance of 1,500 plus for Northeast operations per se, which would be on the call, right?

Tushar Bhajanka: Yes, I think that was more from a year -long perspective.

Vaibhav Agarwal: Yes, year -long. That's what I'm saying.

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Tushar Bhajanka: Yes. I think year long, we should be able to average that in quarter 1, we'll have to see.

Vaibhav Agarwal: Okay. And Tushar, my second question was that basically, this is from more of a kind of a long -term perspective. So recently, maybe a couple of more players. So, in total, the JK Lakshmi Cement, Shree Cement and Ambuja Cement from mainland have now announced their entry to Northeast.

So, when we interact with our investors, etcetera, so we get feedback that they have a notion that Northeast EBITDA per ton, profitability per ton will dilute substantially once they enter into the market. I know that may not be the case because of the very high capex and Northeast is a very difficult geography to operate. That is what I have kind of figured out.

So what is your say in terms of once they, maybe 3 years down the line, it's more of a long -term kind of a question, but maybe 3 years down the line or 4 years down the line, once they come in, do you see EBITDA per ton or maybe profitability of Northeast getting impacted heavily given first, keeping in conjunction the high capex, which they are spending in terms of their overall plans.

So, people have announced kind of upwards of \$160, \$170 capex per ton in Northeast. So how do you read the situation once they come into the Northeast market from a long -term perspective?

Tushar Bhajanka: See, in the long run, like once they do come in, I think there will be a significant pressure in the market, right, because everyone will be running and running for the same capacity -- sorry, for the same market and the market is relatively small, right?

So even a 3-million -ton plant in a big market makes a big impact. So, I think people who then are coming in, they also need to then think, right? Because unlike North and unlike South where they put up capacities without caring about their impact on the market, right. Everyone who comes into Northeast will have to think about their impact on the market and their own profitability.

And why are they entering in Northeast in the first place, right? Because it has a charm of a higher margin, right? So, what would be the point of entering and putting in all that effort right, if you cannot enjoy that higher margin because volume, they can get now outside also. ..

Vaibhav Agarwal: No, no. The question was that now they have already announced. So, Shree Cement has announced, JK Lakshmi has announced, Ambuja has announced. Obviously...

Tushar Bhajanka: Yes, I mean, I think once they will enter also, because the impact of their sales will not only impact -- the price decision will not only impact...

Vaibhav Agarwal: But my question was that do you see that they will take such a price decision where it can impact you because the kind of capex which they are spending like \$170, \$180 kind of a capex on an initial capex.

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Tushar Bhajanka: I don't know. I honestly don't know. I think it depends player to player because I think some players have a strategy to kind of just cut and aggressively sell and not care about their price positioning compared to ours. And then there are other players which are much more sensitive to it, right? I do not see that there will be significant -- because I think there has to be rationality, which everyone follows. So, I think...

Vaibhav Agarwal: That is what I actually was trying to figure out.

Tushar Bhajanka: So, I think -- I don't think

it should be that. Of course, there will be pressure. There's more competition. There will be some pressure on the price. So, I think it's something that probably may happen for a year or 2, but then I think it should normalize because everyone is there to earn, right?

Vaibhav Agarwal: And in terms of -- last, in terms of the trade penetration, will Star Cement be the highest in terms of all the Northeast players in terms of the trade market penetration?

Tushar Bhajanka: Yes. I think we sell like -- a majority of our sales is in trade only. And out of all the players, we have the highest penetration in trade by far, I mean, by a big margin. And I think that is something that we want to maintain, right, because I think that's...

Vaibhav Agarwal: And that will also help you safeguard the profitability, right?

Tushar Bhajanka: Yes, I think to an extent. Because I think the trade market doesn't go by just setting the market, right? I think it's much more nuanced than that.

Vaibhav Agarwal: And last question to Manoj, sir. did we have any kind of one-offs in the quarter in terms of donations, etcetera, if you can just share...

Manoj Agarwal: One-off is there as you read. Because last quarter, this INR5 crores was there. This year -- this quarter it is INR10 crores. So INR5 crores is the one-off, you can say.

Vaibhav Agarwal: And INR10 crores is a donation or whatever?

Manoj Agarwal: It is donation, major donation.

Vaibhav Agarwal: Okay. So now these one-offs will stop, right, from Q1 onwards? There would not be any one-offs.

Manoj Agarwal: Yes, because you can't foresee what will come, okay. But we still don't see that...

Vaibhav Agarwal: No, no. In terms of donations, I'm asking.

Tushar Bhajanka: Yes, I think in quarter 1, there may be a few. But I think in quarter 2, you should not be expecting any significant ones.

Vaibhav Agarwal: Okay. Thanks a lot, Tushar and Thanks a lot, Manoj sir. There are no further questions from participants. On behalf of PhillipCapital India Private Limited, I'd like to thank the management

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of Star Cement for the call and also many thanks to the participants joining the call. Thank you very much, sir, and Ryan will now conclude the call.

Moderator: Thank you. On behalf of PhillipCapital India Private Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.